

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming certain representations and compliance with certain covenants and requirements described in this Official Statement, interest (and original issue discount) on the 2014A Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the 2014 Bonds is exempt from State of California personal income tax. See the caption “TAX MATTERS” with respect to tax consequences relating to the 2014 Bonds.

\$30,685,000

**MERCED IRRIGATION DISTRICT
WATER AND HYDROELECTRIC SYSTEM
REFUNDING REVENUE BONDS
SERIES 2014A**

**\$725,000**

**MERCED IRRIGATION DISTRICT
WATER AND HYDROELECTRIC SYSTEM
REFUNDING REVENUE BONDS
SERIES 2014B (TAXABLE)**

Dated: Date of Issuance**Due: October 1, as set forth below**

The 2014 Bonds are being issued to provide funds: (i) to provide a portion of the money to refund all of the currently outstanding Merced Irrigation District 2008A Current Interest Refunding Revenue Certificates of Participation and 2008B Capital Appreciation Revenue Certificates of Participation; (ii) to purchase a municipal bond insurance policy to guarantee payment of the principal of and interest on the 2014 Bonds; (iii) to purchase a debt service reserve insurance policy for deposit in the Reserve Fund; and (iv) to pay costs of issuance of the 2014 Bonds, all as more fully described herein.

The 2014 Bonds are being issued in fully registered form and when issued will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York. Purchasers of the 2014 Bonds will not receive securities representing their beneficial ownership in the 2014 Bonds purchased. Interest on the 2014 Bonds is payable on April 1 and October 1 of each year, commencing April 1, 2015, until the maturity thereof. The principal of and interest on the 2014 Bonds are payable by the Trustee to Cede & Co. and such interest and principal payments are to be disbursed to the beneficial owners of the 2014 Bonds through their nominees.

The 2014A Bonds are subject to optional, mandatory and extraordinary redemption as more fully described herein. The 2014B Bonds are subject to extraordinary redemption as more fully described herein.

The 2014 Bonds are being issued pursuant to the Indenture of Trust, dated as of August 1, 2014, by and between the Merced Irrigation District and The Bank of New York Mellon Trust Company, N.A., as trustee. The 2014 Bonds are limited obligations of the District payable solely from Net Revenues of the District's Water System and Hydroelectric System remaining after payment of Operation and Maintenance Costs of the Water System and Operation and Maintenance Costs of the Hydroelectric System, and amounts on deposit in certain funds and accounts created under the Indenture, including the Rate Stabilization Fund, subject to certain restrictions described herein. The District may incur additional obligations payable from Net Revenues on a parity with the obligation to pay principal of and interest on the 2014 Bonds, subject to the terms and conditions of the Indenture, as more fully described herein. The District owns and operates a retail Energy System but the revenues of the District's Energy System are not pledged to the payment of principal of and interest on the 2014 Bonds and principal of and interest on the 2014 Bonds are not payable from revenues of the District's Energy System.

The scheduled payment of the principal of and interest on the 2014 Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the issuance of the 2014 Bonds by ASSURED GUARANTY MUNICIPAL CORP.



THE 2014 BONDS ARE NOT A DEBT OF THE STATE OF CALIFORNIA, OR ANY OF ITS POLITICAL SUBDIVISIONS (OTHER THAN THE DISTRICT), AND NEITHER THE STATE, NOR ANY OF ITS POLITICAL SUBDIVISIONS (OTHER THAN THE DISTRICT), IS LIABLE THEREON, NOR IN ANY EVENT SHALL THE 2014 BONDS BE PAYABLE OUT OF ANY FUNDS OR PROPERTIES OF THE DISTRICT OTHER THAN THE NET REVENUES AND OTHER MONEYS PLEDGED THEREFOR UNDER THE INDENTURE. THE OBLIGATION OF THE DISTRICT TO MAKE PAYMENTS IN ACCORDANCE WITH THE INDENTURE IS A LIMITED OBLIGATION OF THE DISTRICT AS SET FORTH IN THE INDENTURE AND THE DISTRICT SHALL HAVE NO LIABILITY OR OBLIGATION IN CONNECTION HERewith EXCEPT WITH RESPECT TO SUCH PAYMENTS TO BE MADE PURSUANT TO THE INDENTURE. THE 2014 BONDS DO NOT CONSTITUTE AN INDEBTEDNESS OF THE DISTRICT IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS ARE ADVISED TO READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

MATURITY SCHEDULE – See Inside Cover Page

The 2014 Bonds are offered when, as and if issued and received by the Underwriters, subject to the approval of the valid, legal and binding nature of the 2014 Bonds by Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, and certain other conditions. Certain legal matters will be passed upon for the Underwriters by their counsel, Nossaman LLP, for the District by Phillip R. McMurray, Esq., General Counsel to the District, for AGM by its counsel and for the Trustee by its counsel. It is anticipated that the 2014 Bonds will be available for delivery through the facilities of The Depository Trust Company on or about August 21, 2014.

**SUTTER SECURITIES INCORPORATED****CITIGROUP**

Dated: August 13, 2014

MATURITY SCHEDULE

\$30,685,000

**MERCED IRRIGATION DISTRICT
WATER AND HYDROELECTRIC SYSTEM
REFUNDING REVENUE BONDS
SERIES 2014A**

Maturity Date (October 1)	Principal Amount	Interest Rate	Price	Yield	CUSIP†
2015	\$ 950,000	3.00%	103.162	0.15%	587619AA5
2016	1,125,000	3.00	105.481	0.39	587619AB3
2017	1,170,000	4.00	110.267	0.66	587619AC1
2018	1,195,000	4.00	111.967	1.02	587619AD9
2019	1,260,000	5.00	107.804	1.38	587619AE7
2020	1,320,000	5.00	119.011	1.71	587619AF4
2021	855,000	5.00	119.718	2.01	587619AG2
2022	900,000	5.00	120.036	2.28	587619AH0
2023	945,000	5.00	120.345	2.49	587619AJ6
2024	990,000	5.00	120.623	2.66	587619AK3
2025	1,035,000	5.00	119.448	2.78*	587619AL1
2026	1,090,000	5.00	118.382	2.89*	587619AM9
2030	1,325,000	5.00	115.254	3.22*	587619AR8

\$3,605,000 5.00% Term Bonds due October 1, 2029, Price 116.758, Yield 3.06%* CUSIP† 587619AQ0

\$7,920,000 4.00% Term Bonds due October 1, 2038, Price 97.873, Yield 4.14% CUSIP† 587619BF3

\$5,000,000 5.00% Term Bonds due October 1, 2038, Price 110.968, Yield 3.69%* CUSIP† 587619AZ0

\$725,000

**MERCED IRRIGATION DISTRICT
WATER AND HYDROELECTRIC SYSTEM
REFUNDING REVENUE BONDS
SERIES 2014B (TAXABLE)**

Maturity Date (October 1)	Principal Amount	Interest Rate	Price	Yield	CUSIP†
2015	\$ 240,000	0.50%	99.778	0.70%	587619BA4
2016	240,000	0.90	99.583	1.10	587619BB2
2017	245,000	1.40	99.394	1.60	587619BC0

* Yield to optional redemption date of October 1, 2024 at par.

† Copyright 2014, American Bankers Association. CUSIP data herein is provided by the CUSIP Service Bureau, managed on behalf of the American Bankers Association by Standard & Poor's. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP service. CUSIP numbers are provided for reference only. The District, the Financial Advisor and the Underwriters do not assume any responsibility for the accuracy of such numbers.

No dealer, broker, salesperson or other person has been authorized by the District or the Underwriter to give any information or to make any representations other than those contained in this Official Statement in connection with the offering made hereby and, if given or made, such other information or representations must not be relied upon as having been authorized by the District or the Underwriter. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the 2014 Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the 2014 Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as a representation of facts.

The Underwriter has provided the following sentence for inclusion in this Official Statement:

The Underwriter has reviewed the information in this Official Statement in accordance with, and as a part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

The information set forth herein has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the Underwriter. The information and expression of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE 2014 BONDS AT A LEVEL THAT MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE 2014 BONDS TO CERTAIN DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AND OTHERS AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER.

CERTAIN STATEMENTS CONTAINED IN THIS OFFICIAL STATEMENT REFLECT NOT HISTORICAL FACTS BUT FORECASTS AND “FORWARD-LOOKING STATEMENTS.” NO ASSURANCE CAN BE GIVEN THAT THE FUTURE RESULTS DISCUSSED HEREIN WILL BE ACHIEVED, AND ACTUAL RESULTS MAY DIFFER MATERIALLY FROM THE FORECASTS DESCRIBED HEREIN. IN THIS RESPECT, THE WORDS “ESTIMATE,” “PROJECT,” “ANTICIPATE,” “EXPECT,” “INTEND,” “BELIEVE” AND SIMILAR EXPRESSIONS ARE INTENDED TO IDENTIFY FORWARD-LOOKING STATEMENTS. ALL PROJECTIONS, FORECASTS, ASSUMPTIONS, EXPRESSIONS OF OPINIONS, ESTIMATES AND OTHER FORWARD-LOOKING STATEMENTS ARE EXPRESSLY QUALIFIED IN THEIR ENTIRETY BY THE CAUTIONARY STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

THE 2014 BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, IN RELIANCE UPON AN EXEMPTION CONTAINED IN SUCH ACT. THE 2014 BONDS HAVE NOT BEEN REGISTERED OR QUALIFIED UNDER THE SECURITIES LAWS OF ANY STATE.

Assured Guaranty Municipal Corp. (“AGM”) makes no representation regarding the 2014 Bonds or the advisability of investing in the 2014 Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this

Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading “BOND INSURANCE” and Appendix F—“SPECIMEN MUNICIPAL BOND INSURANCE POLICY.”

The District maintains a website. However, the information presented there is not part of this Official Statement and should not be relied upon in making an investment decision with respect to the 2014 Bonds.

MERCED IRRIGATION DISTRICT

BOARD OF DIRECTORS

Tim Pellissier, President
Dave Long, Vice President
Scott Koehn, Director
Kevin Gonzalves, Director
Billy Pimentel, Director

DISTRICT STAFF

John Sweigard, General Manager
Hicham Eltal, Deputy General Manager, Water Supply/Rights
Bryan Kelly, Deputy General Manager, Water Resources
Don Ouchley, Deputy General Manager, Energy Resources
Brian Stubbett, Chief Financial Officer
Jennifer R. Carter, Director of Administrative Services
Mike Jensen, Public and Government Relations Officer
Bret Theodozio, Director of Parks and Recreation

SPECIAL SERVICES

General Counsel

Phillip R. McMurray, Esq.

Bond Counsel

Stradling Yocca Carlson & Rauth, a Professional Corporation
Sacramento, California

Financial Advisor

Fieldman, Rolapp & Associates
Irvine, California

Trustee

The Bank of New York Mellon Trust Company, N.A.
Los Angeles, California

Verification Agent

Grant Thornton LLP
Minneapolis, Minnesota

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SUMMARY STATEMENT

This summary is subject in all respects to the more complete information contained in this Official Statement, and the offering of the 2014 Bonds to potential investors is made only by means of the entire Official Statement. Capitalized terms used and not otherwise defined in this Summary Statement have the meanings ascribed to them in this Official Statement.

Purpose. The 2014 Bonds are being issued to provide funds: (i) to refund all of the currently outstanding Merced Irrigation District 2008A Current Interest Refunding Revenue Certificates of Participation and 2008B Capital Appreciation Revenue Certificates of Participation; (ii) to purchase a municipal bond insurance policy to guarantee payment of the principal of and interest on the 2014 Bonds; (iii) to purchase a debt service reserve insurance policy for deposit in the Reserve Fund; and (iv) to pay costs of issuance of the 2014 Bonds, all as more fully described herein.

Security for the 2014 Bonds. The 2014 Bonds are secured by a pledge of all Revenues of the District's Water System and Hydroelectric System. The 2014 Bonds are limited obligations of the District payable solely from Revenues of the District's Water System and Hydroelectric System remaining after payment of Operation and Maintenance Costs of the Water System and Operation and Maintenance Costs of the Hydroelectric System, and amounts on deposit in certain funds and accounts created under the Indenture, including the Rate Stabilization Fund. The District may incur additional obligations payable on a parity with the obligation to pay principal of and interest on the 2014 Bonds in the future as described herein. The District owns and operates a retail Energy System separate from the Hydroelectric System but the revenues of the Energy System are not pledged to the payment of principal of and interest on the 2014 Bonds and principal of and interest on the 2014 Bonds are not payable from revenues of the District's Energy System.

Notwithstanding the foregoing, so long as the 2005 Installment Purchase Agreement or the 2005 Bonds, which financed expenses of the Energy System, remain outstanding, no Hydroelectric System Revenues will be applied to the payment of the principal of and interest on the 2014B Bonds prior to the installment payments on the 2005 Installment Purchase Agreement and principal of and interest on the 2005 Bonds, if any, unless the lien on Net Hydroelectric System Revenues set forth in the 2005 Installment Purchase Agreement and the 2005 Indenture have been waived or terminated, as provided in the 2005 Installment Purchase Agreement and the 2005 Indenture. See the caption "SECURITY FOR THE 2014 BONDS—Flow of Funds" herein.

THE 2014 BONDS ARE NOT A DEBT OF THE STATE OF CALIFORNIA, OR ANY OF ITS POLITICAL SUBDIVISIONS (OTHER THAN THE DISTRICT), AND NEITHER THE STATE, NOR ANY OF ITS POLITICAL SUBDIVISIONS (OTHER THAN THE DISTRICT), IS LIABLE THEREON, NOR IN ANY EVENT SHALL THE 2014 BONDS BE PAYABLE OUT OF ANY FUNDS OR PROPERTIES OF THE DISTRICT OTHER THAN THE NET REVENUES AND OTHER MONEYS PLEDGED THEREFOR UNDER THE INDENTURE. THE OBLIGATION OF THE DISTRICT TO MAKE PAYMENTS IN ACCORDANCE WITH THE INDENTURE IS A LIMITED OBLIGATION OF THE DISTRICT AS SET FORTH IN THE INDENTURE AND THE DISTRICT SHALL HAVE NO LIABILITY OR OBLIGATION IN CONNECTION HERewith EXCEPT WITH RESPECT TO SUCH PAYMENTS TO BE MADE PURSUANT TO THE INDENTURE. THE 2014 BONDS DO NOT CONSTITUTE AN INDEBTEDNESS OF THE DISTRICT IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

Refunding Plan. A portion of the proceeds of the 2014 Bonds, together with an amount drawn under the 2014 Loan Agreement discussed herein and certain other money, will be transferred to The Bank of New York Mellon Trust Company, N.A., as trustee with respect to the 2008A Certificates and the 2008B Certificates, to refund the \$3,250,000 currently outstanding aggregate principal amount of the 2008A Certificates and to refund the \$33,757,816.95 currently outstanding accreted value of the 2008B Certificates (adjusted for the accreted value as of September 1, 2014) on or about the date of issuance of the 2014 Bonds.

Parity Payments. After the refunding contemplated herein, the District will not have any outstanding obligations payable from Net Revenues on a parity with the 2014 Bonds. See the caption “SECURITY FOR THE 2014 BONDS- Flow of Funds” for a discussion of the District’s obligation to apply Net Revenues of the Hydroelectric System to certain Energy System obligations prior to the payment of the 2014B Bonds. The District may incur additional obligations on a parity with the 2014 Bonds, subject to the terms and conditions described under the caption “SECURITY FOR THE BONDS—Additional Indebtedness.” The District expects to enter into an unsecured line of credit with Wells Fargo Bank National Association on or about the date of the original issuance of the 2014 Bonds. See the caption “THE DISTRICT—Other Outstanding Obligations.”

Rate Covenant. The Indenture will require the District, to the fullest extent permitted by law, to fix and prescribe, at the commencement of each Fiscal Year, rates and charges for the Water Service provided by the Water System, which, when combined with Net Hydroelectric System Revenues, are reasonably expected, to be at least sufficient to yield during such Fiscal Year, Net Revenues equal to 125% of the Debt Service payable in such Fiscal Year; provided, however, that for purposes of the foregoing covenant, Revenues in such Fiscal Year do not include any amount transferred from the Rate Stabilization Fund to the Water System Revenue Fund and the Hydroelectric System Revenue Bonds in excess of 25% of Debt Service payable in such Fiscal Year. The District may make adjustments from time to time in such rates and charges and may make such classification thereof as it deems necessary, but will not reduce the rates and charges then in effect unless the District reasonably expects Net Water System Revenues from such reduced rates and charges, when combined with Net Hydroelectric System Revenues, to be sufficient to meet the foregoing requirements. See the caption “SECURITY FOR THE 2014 BONDS—Rate Covenant.”

Reserve Fund. A Reserve Fund for the 2014 Bonds is established pursuant to the Indenture in an amount equal to the Reserve Requirement. The Reserve Requirement for the 2014 Bonds is \$2,405,740.25. Assured Guaranty Municipal Corp. has committed to issue, simultaneously with the issuance of the 2014 Bonds, a municipal bond debt service reserve insurance policy in the principal amount of \$2,405,740.25 for deposit in the Reserve Fund to satisfy the Reserve Requirement. See the caption “SECURITY FOR THE 2014 BONDS—Reserve Fund.”

Rate Stabilization Fund. The Indenture continues the Rate Stabilization Fund which is held by the District. The District may withdraw all or any portion of the amounts on deposit in the Rate Stabilization Fund and transfer such amounts to the Water System Revenue Fund or the Hydroelectric System Revenue Fund for application in accordance with the Indenture. In the event that all or a portion of the 2014 Bonds are discharged in accordance with the Indenture, the District may transfer all or any portion of such amounts for application to the payment of the 2014 Bonds in accordance with the Indenture. On the date of issuance of the 2014 Bonds, the District will deposit approximately \$1,500,000 into the Rate Stabilization Fund. See the caption “SECURITY FOR THE 2014 BONDS—Rate Stabilization Fund.”

Redemption. The 2014A Bonds are subject to optional, mandatory and extraordinary redemption as described herein. The 2014B Bonds are subject to extraordinary redemption as described herein.

The District. The District is a California irrigation district organized in 1919 under the provisions of the Irrigation District Law (codified as Division 11 of the California Water Code). The District has the powers under the Irrigation District Law to, among other things, provide water, electricity and water-related recreation services within its service area. In connection therewith, the District has the powers of eminent domain, to contract, to construct works, to fix rates and charges for commodities or services furnished and to incur indebtedness.

The District owns, operates and maintains, the New Exchequer Dam, which impounds the New Exchequer Reservoir (Lake McClure) and McSwain Dam, which impounds the McSwain Reservoir (Lake McSwain). New Exchequer Reservoir and the McSwain Reservoir has storage capacities of 1,024,600 acre-feet and 9,730 acre-feet, respectively. Both dams, reservoirs and related hydroelectric facilities were

completed in 1967 and comprise the Merced River Hydroelectric Project. The District is currently operating the Merced River Hydroelectric Project under a one year license from the Federal Energy Regulatory Commission, pending the issuance of a long term license by FERC. While the current FERC schedule suggests a long term license could be issued in 2015, the District cannot predict the actual date by which a long term license may be received from FERC. See the caption “HYDROELECTRIC SYSTEM—FERC Relicensing.” Until the long term license is issued, the District expects to continue receiving annual licenses from FERC permitting the continued operations of the Hydroelectric System. The District delivers water through 725 miles of earthen and concrete-lined canals and pipelines, as well as sections of several creeks and sloughs, to convey water from the Merced River to its growers. The District owns 220 well sites within its boundary, of which 170 are ready for use during dry years.

The District is authorized under the Irrigation District Law to provide retail electric service and began providing electric service through its Energy System in 1995. Since 1996, the District has connected approximately 8,000 customers to its Energy System. The revenues of the Energy System are not pledged to the payment of principal of and interest on the 2014 Bonds and principal of and interest on the 2014 Bonds are not payable from revenues of the District’s Energy System. See the caption “THE DISTRICT—Energy System” below.

Insurance. Payment of principal of and interest on the 2014 Bonds will be insured by a municipal bond insurance policy to be issued by Assured Guaranty Municipal Corp. concurrently with the issuance of the 2014 Bonds. See the caption “BOND INSURANCE.”

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\$30,685,000
MERCED IRRIGATION DISTRICT
WATER AND HYDROELECTRIC SYSTEM
REFUNDING REVENUE BONDS
SERIES 2014A

\$725,000
MERCED IRRIGATION DISTRICT
WATER AND HYDROELECTRIC SYSTEM
REFUNDING REVENUE BONDS
SERIES 2014B (TAXABLE)

INTRODUCTION

General

This Official Statement, including the cover page, the inside cover page and all appendices hereto, provides certain information concerning the sale and delivery of the Merced Irrigation District Water and Hydroelectric Refunding Revenue Bonds, Series 2014A (the “2014A Bonds”) and the Merced Irrigation District Water and Hydroelectric Refunding Revenue Bonds, Series 2014B (Taxable) (the “2014B Bonds” and together with the 2014A Bonds, the “2014 Bonds”). The 2014 Bonds are being issued pursuant to an Indenture of Trust, dated as of August 1, 2014 (the “Indenture”), by and between the Merced Irrigation District (the “District”) and The Bank of New York Mellon Trust Company, N.A., Los Angeles, California, as trustee (the “Trustee”). Descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive, and reference is made to each document for complete details of all terms and conditions. All statements herein are qualified in their entirety by reference to each document. Capitalized terms used and not otherwise defined herein have the meanings ascribed to them in Appendix B—“DEFINITIONS AND SUMMARY OF THE INDENTURE.”

The 2014 Bonds are being issued to provide funds: (i) to provide a portion of the money to refund all of the currently outstanding Merced Irrigation District 2008A Current Interest Refunding Revenue Certificates of Participation (the “2008A Certificates”) and 2008B Capital Appreciation Revenue Certificates of Participation (the “2008B Certificates” and, together with the 2008A Certificates, the “2008 Certificates”) as described under the caption “REFUNDING PLAN;” (ii) to purchase a municipal bond insurance policy to guarantee payment of the principal of and interest on the 2014 Bonds as further described under the caption “BOND INSURANCE;” (iii) to purchase a debt service reserve insurance policy (the “Reserve Surety Policy”) for deposit in the Reserve Fund, as further described under the caption “SECURITY FOR THE 2014 BONDS—Reserve Fund;” and (iv) to pay costs of issuance of the 2014 Bonds. See the caption “ESTIMATED SOURCES AND USES OF FUNDS.”

Payment of the principal of and interest on the 2014 Bonds will be insured by a municipal bond insurance policy (the “Policy”) to be issued by Assured Guaranty Municipal Corp. (“AGM” or the “Insurer”) concurrently with the issuance of the 2014 Bonds. See the caption “BOND INSURANCE.” A specimen of the Policy is set forth in Appendix F.

The 2014 Bonds are limited obligations of the District payable solely from Net Revenues, which consist of Revenues of the District’s Water System and Hydroelectric System remaining after payment of Operation and Maintenance Costs of the Water System and Operation and Maintenance Costs of the Hydroelectric System, as such terms are defined in Appendix B hereto, and amounts on deposit in certain funds and accounts created under the Indenture, including the Rate Stabilization Fund, subject to certain restrictions described under the caption “SECURITY FOR THE 2014 BONDS— Flow of Funds” so long as certain Energy System obligations remain outstanding. The District may incur additional obligations payable on a parity with the obligation to pay principal of and interest on the 2014 Bonds in the future. See the caption “SECURITY FOR THE 2014 BONDS—Additional Indebtedness.” The revenues of the Energy System are not pledged to the payment of principal of and interest on the 2014 Bonds and principal of and interest on the 2014 Bonds are not payable from revenues of the District’s Energy System.

The summaries and references to the Indenture and all documents, statutes, reports and other instruments referred to herein do not purport to be complete, comprehensive or definitive, and each such

summary or reference is qualified in its entirety by reference to the full Indenture and each such document, statute, report or instrument, copies of which are available for inspection at the offices of the District in Merced, California and will be available from the Trustee upon request and payment of duplication cost. Unless otherwise indicated, all financial and statistical information herein has been provided by the District.

The District regularly prepares a variety of reports, including audits, budgets and related documents. Any registered owner of the 2014 Bonds (each, an “Owner”) may obtain a copy of such reports, as available, from the Trustee or the District. Additional information regarding the Official Statement may be obtained by contacting the Trustee or Merced Irrigation District, 744 West 20th Street, Merced, California Telephone: (209) 249-4600.

Changes have been made on the cover of and under certain captions in this Official Statement since the Preliminary Official Statement dated August 5, 2014 (i) to reflect information with respect to AGM, the Policy insuring the payment of the principal of and interest on the 2014 Bonds and the Reserve Surety Policy, and to reflect changes to the Indenture to conform to the requirements of AGM in the captions “INTRODUCTION,” “SECURITY FOR THE 2014 BONDS,” “BOND INSURANCE,” “APPROVAL OF LEGAL PROCEEDINGS,” and “RATING,” as well as Appendices B and F, (ii) under the caption “SECURITY FOR THE 2014 BONDS—Limited Obligations Payable From Net Revenues” to reflect certain requirements under the Policy and (iii) in Appendix B under the captions “DEFINITIONS; CONTENT OF CERTIFICATES AND OPINIONS” and “THE TRUSTEE—Liability of Trustee” to reflect certain changes to the Indenture required by the Trustee.

REFUNDING PLAN

General

The District caused the execution and delivery of the 2008 Certificates pursuant to a Trust Agreement, dated as of June 1, 2008 (the “2008 Trust Agreement”), by and among the District, the Merced Irrigation District Public Facilities Financing Corporation (the “Corporation”) and The Bank of New York Mellon Trust Company, N.A., as trustee. The 2008 Certificates are payable from installment payments made under an Installment Purchase Agreement, dated as of June 1, 2008 (the “2008 Installment Purchase Agreement”), by and between the District and the Corporation. The 2008A Certificates are currently outstanding in the aggregate principal amount of \$3,250,000 and the 2008B Certificates are currently outstanding with an accreted value of \$33,757,816.95 (adjusted for the accreted value as of September 1, 2014).

The District plans to apply a portion of the proceeds of the 2014 Bonds together with an amount drawn under the 2014 Loan Agreement (described under the caption “THE DISTRICT—Other Outstanding Obligations”) and certain other moneys to refund all outstanding obligations with respect to the 2008 Certificates. To effect such refunding, the District will cause a portion of the proceeds of the 2014 Bonds, an amount drawn under the 2014 Loan Agreement and certain other moneys to be deposited into the Escrow Fund (the “2008 Escrow Fund”) established under the Escrow Agreement (2008 Certificates) dated as of August 1, 2014 (the “2008 Escrow Agreement”), by and between District and The Bank of New York Mellon Trust Company, N.A., as escrow agent (the “Escrow Agent”). Such amounts will be held in cash or invested in direct general obligations of the United States of America (the “Defeasance Obligations”).

With respect to the 2008A Certificates, cash and certain Defeasance Obligations will be scheduled to mature in such amounts and at such times and bear interest at such rates as to provide amounts sufficient to pay all regularly scheduled payments of principal and interest with respect to the 2008A Certificates through and including September 1, 2016 and to pay on September 1, 2016 the principal with respect to the 2008A Certificates maturing on and after September 1, 2017, plus interest with respect thereto accrued to such date, without premium.

With respect to the 2008B Certificates, cash and certain Defeasance Obligations will be scheduled to mature in such amounts and at such times and bear interest at such rates as to provide amounts sufficient to pay all regularly scheduled payments of principal and interest with respect to the 2008B Certificates through and including September 1, 2016 and to pay on September 1, 2016 the accreted value with respect to the 2008B Certificates maturing on and after September 1, 2017.

All cash and Defeasance Obligations in the Escrow Fund will be irrevocably pledged to secure, when due, the payment of the principal, interest and premium due with respect to the 2008 Certificates and will not be available to pay the principal or interest on the 2014 Bonds.

As a result of the deposit and investment of funds under the 2008 Escrow Agreement, all of the District's obligations with respect to the 2008 Certificates, including the pledge and lien on the Net Revenues of the Water System and the Hydroelectric System which secure the District's obligations under the 2008 Installment Purchase Agreement, will be fully discharged upon the issuance of the 2014 Bonds. The sufficiency of the cash and Defeasance Obligations to pay such amounts will be verified by Grant Thornton LLP, Minneapolis, Minnesota (the "Verification Agent"). See the caption "—Verification of Mathematical Computations" below.

Verification of Mathematical Computations

Upon delivery of the 2014 Bonds, the Verification Agent, a firm of independent public accountants, will deliver a report on the mathematical accuracy of certain computations based upon certain information and assertions provided to them by the Underwriter relating to: (a) the adequacy of the maturing principal of and interest earned on the Defeasance Obligations, together with the cash to be concurrently deposited in the 2008 Escrow Fund, to pay all regularly scheduled payments of principal and interest with respect to the 2008A Certificates through and including September 1, 2016 and to pay on September 1, 2016 the principal with respect to the 2008A Certificates maturing on and after September 1, 2017, plus interest with respect thereto accrued to such date, without premium; (b) the adequacy of the maturing principal of and interest earned on the Defeasance Obligations, together with the cash to be concurrently deposited in the 2008 Escrow Fund, to pay all regularly scheduled payments of principal and interest with respect to the 2008B Certificates through and including September 1, 2016 and to pay on September 1, 2016 the accreted value with respect to the 2008B Certificates maturing on and after September 1, 2017; and (c) the computations of yield of the 2014 Bonds and the Defeasance Obligations which support Bond Counsel's opinion that interest on the 2014 Bonds is not includable in gross income for federal income tax purposes.

THE 2014 BONDS

General Provisions

The 2014 Bonds will be issued in the aggregate principal amount of \$30,685,000. The 2014 Bonds will be dated as of the date of initial issuance thereof (the "Issuance Date"), will bear interest from such date at the rates per annum set forth on the inside cover page hereof, payable on April 1 and October 1 of each year, commencing April 1, 2015 (each, an "Interest Payment Date"), and will mature on the dates set forth on the inside cover page hereof. Interest on the 2014A Bonds will be computed on the basis of a 360 day year of twelve 30 day months. Interest on the 2014B Bonds will be computed on an actual days elapsed basis and a 365/366 day year.

The 2014 Bonds will be issued only in fully registered form and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the 2014 Bonds. Ownership interests in the 2014 Bonds may be purchased in book-entry form, in denominations of \$5,000 or any integral multiple thereof. See the caption "—Book Entry Only System" below and Appendix D attached hereto.

In the event that the book-entry only system described below is discontinued, the principal of and redemption premium (if any) on the 2014 Bonds are payable by check or draft of the Trustee upon presentation and surrender thereof at maturity or upon prior redemption at the office of the Trustee in Los Angeles, California (the "Office of the Trustee"). Interest on the 2014 Bonds is payable on each Interest Payment Date to the person whose name appears on the registration books maintained by the Trustee (the "Registration Books") as the Owner thereof as of the close of business on the fifteenth day of the calendar month preceding the Interest Payment Date (the "Record Date"), such interest to be paid by check or draft of the Trustee, sent by first class mail to the Owner at such Owner's address as it appears on the Registration Books. An Owner of \$1,000,000 or more in principal amount of 2014 Bonds may, at such Owner's option, be paid interest by wire transfer of immediately available funds in accordance with written instructions provided to the Trustee by such Owner prior to the applicable Record Date. The principal of and interest and premium on the 2014 Bonds will be payable in lawful money of the United States of America.

Interest on any 2014 Bond will be payable from the Interest Payment Date preceding the date of issuance thereof, unless such date is after a Record Date and on or before the succeeding Interest Payment Date, in which case interest thereon will be payable from such Interest Payment Date, or unless such date is on or before March 15, 2015, in which case interest thereon will be payable from the Issuance Date.

Transfers and Exchanges Upon Termination of Book-Entry Only System

In the event that the book-entry system described above is abandoned, the 2014 Bonds will be printed and delivered as provided in the Indenture. Thereafter, any 2014 Bond may, in accordance with its terms, be transferred on the Registration Books by the person in whose name it is registered, in person or by such person's duly authorized attorney, upon surrender of such 2014 Bond for cancellation at the Office of the Trustee, accompanied by delivery of a duly executed instrument of transfer in a form approved by the Trustee. Upon the surrender of a 2014 Bond for transfer, the Trustee is to issue a new 2014 Bond or 2014 Bonds of the same maturity, for a like series and aggregate principal amount and of authorized denomination or denominations. The Trustee may charge a sum for each new 2014 Bond issued upon any transfer. The Trustee may require the payment by any 2014 Bond Owner requesting any such transfer of any tax or other governmental charge required to be paid with respect to such transfer. Following any transfer of 2014 Bonds, the Trustee will cancel and destroy the 2014 Bonds it has received.

2014 Bonds may be exchanged at the Office of the Trustee for a like aggregate principal amount of 2014 Bonds of other authorized denominations of the same series and maturity. The Trustee may charge a sum for each new 2014 Bond issued upon any exchange except in the case of any exchange of temporary 2014 Bonds for definitive 2014 Bonds. The Trustee may require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange. Following any exchange of 2014 Bonds, the Trustee will cancel and destroy the 2014 Bonds it has received.

The Trustee is not required to register the exchange or transfer of any 2014 Bond: (i) within 15 days preceding selection of 2014 Bonds for redemption; or (ii) selected for redemption.

Redemption of the 2014 Bonds

Optional Redemption of 2014A Bonds. The 2014A Bonds with stated maturities on or after October 1, 2025 are subject to redemption prior to their respective stated maturities, as a whole or in part on any date in the order of maturity as directed by the District in a Written Request provided to the Trustee at least 60 days (or such lesser number of days acceptable to the Trustee in the sole discretion of the Trustee, such notice for the convenience of the Trustee) prior to such date and by lot within each maturity in integral multiples of \$5,000, on or after October 1, 2024, at a Redemption Price equal to the principal amount thereof plus accrued interest thereon to the date fixed for redemption, without premium.

No Optional Redemption of 2014B Bonds. The 2014B are not subject to optional redemption prior to maturity.

Mandatory Redemption. The 2014A Bonds with stated maturities on October 1, 2029 are subject to mandatory sinking fund redemption in part (by lot) on each October 1 on and after October 1, 2027, in integral multiples of \$5,000 at a Redemption Price of the principal amount thereof plus accrued interest evidenced and represented thereby to the date fixed for redemption, without premium, in accordance with the following schedule:

<i>Redemption Date (October 1)</i>	<i>Principal Amount</i>
2027	\$1,145,000
2028	1,200,000
2029*	1,260,000

* Final Maturity.

The 2014A Bonds with stated maturities on October 1, 2038 and bearing interest at 4.00% per annum are subject to mandatory sinking fund redemption in part (by lot) on each October 1 on and after October 1, 2031, in integral multiples of \$5,000 at a Redemption Price of the principal amount thereof plus accrued interest evidenced and represented thereby to the date fixed for redemption, without premium, in accordance with the following schedule:

<i>Redemption Date (October 1)</i>	<i>Principal Amount</i>
2031	\$1,390,000
2032	1,450,000
2033	1,505,000
2034	565,000
2035	635,000
2036	710,000
2037	790,000
2038*	875,000

* Final Maturity.

The 2014A Bonds with stated maturities on October 1, 2038 and bearing interest at 5.00% per annum are subject to mandatory sinking fund redemption in part (by lot) on each October 1 on and after October 1, 2034, in integral multiples of \$5,000 at a Redemption Price of the principal amount thereof plus accrued interest evidenced and represented thereby to the date fixed for redemption, without premium, in accordance with the following schedule:

<i>Redemption Date (October 1)</i>	<i>Principal Amount</i>
2034	\$1,000,000
2035	1,000,000
2036	1,000,000
2037	1,000,000
2038*	1,000,000

* Final Maturity.

Extraordinary Redemption. The 2014 Bonds are subject to extraordinary redemption prior to their respective stated maturities, as a whole or in part on any date in the order of maturity and within maturities as directed by the District in a Written Request provided to the Trustee at least 60 days (or such lesser number of days acceptable to the Trustee in the sole discretion of the Trustee, such notice for the convenience of the Trustee) prior to such date and by lot within each maturity in integral multiples of \$5,000 from Net Proceeds, upon the terms and conditions of, and as provided for in, the Indenture, at a Redemption Price equal to the principal amount thereof plus accrued interest thereon to the date fixed for redemption, without premium. See Appendix B under the captions “PARTICULAR COVENANTS—Insurance” and “PARTICULAR COVENANTS—Eminent Domain Proceeds,” respectively, for a description of the circumstances under which the 2014 Bonds could be subject to extraordinary redemption from Net Proceeds of insurance or condemnation.

Notice of Redemption

When redemption is authorized or required, the Trustee will give notice to the Owners of the 2014 Bonds designated for redemption. Notice of redemption will be mailed by first class mail at least 20 days but not more than 60 days before any Redemption Date, to the respective Owners of any 2014 Bonds designated for redemption at their addresses appearing on the Registration Books, to the Securities Depositories and the Information Services; provided that, in the case of notice of optional redemption not related to an advance or current refunding, such notice may be given only if sufficient funds have been deposited with the Trustee to pay the applicable Redemption Price of the 2014 Bonds to be redeemed, provided that such notice may be cancelled by the District upon Written Request delivered to the Trustee not less than five days prior to such Redemption Date. Each notice of redemption will state the date of notice, the Redemption Date, the place or places of redemption, the Redemption Price, will designate the maturities, CUSIP numbers, if any, and, if less than all 2014 Bonds of any such maturity are to be redeemed, the serial numbers of the 2014 Bonds of such maturity to be redeemed by giving the individual number of each 2014 Bond or by stating that all 2014 Bonds between two stated numbers, both inclusive, have been called for redemption and, in the case of 2014 Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice will also state that on the Redemption Date there will become due and payable on each of said 2014 Bonds or parts thereof designated for redemption the Redemption Price thereof or of said specified portion of the principal thereof in the case of a 2014 Bond to be redeemed in part only, together with interest accrued thereon to the Redemption Date, and that (provided that moneys for redemption have been deposited with the Trustee) from and after such Redemption Date interest thereon ceases to accrue, and will require that such 2014 Bonds be then surrendered to the Trustee. Neither the failure to receive such notice nor any defect in the notice or the mailing thereof will affect the validity of the redemption of any 2014 Bond. Notice of redemption of 2014 Bonds will be given by the Trustee, at the expense of the District, for and on behalf of the District.

With respect to any notice of optional redemption of 2014 Bonds, such notice will state that such redemption will be conditional upon the receipt by the Trustee on or prior to the date fixed for such redemption of moneys sufficient to pay the principal of, premium, if any, and interest on such 2014 Bonds to be redeemed and that, if such moneys have not been so received, said notice will be of no force and effect and the Trustee will not be required to redeem such 2014 Bonds. In the event that such notice of redemption contains such a condition and such moneys are not so received, the redemption will not be made, and the Trustee will within a reasonable time thereafter give notice, in the manner in which the notice of redemption was given, that such moneys were not so received.

Book-Entry Only System

One fully-registered 2014 Bond of each maturity of each series will be issued in the principal amount of the 2014 Bonds of such maturity. Such 2014 Bond will be registered in the name of Cede & Co. and will be deposited with DTC.

The District may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, the 2014 Bonds will be printed and delivered and will be governed by the provisions of the Indenture with respect to payment of principal and interest and rights of exchange and transfer.

The District cannot and does not give any assurances that DTC Participants or others will distribute payments of principal of and interest on the 2014 Bonds received by DTC or its nominee as the registered Owner, or any redemption or other notices, to the Beneficial Owners, or that they will do so on a timely basis, or that DTC will service and act in the manner described in this Official Statement. See Appendix D hereto for additional information concerning DTC.

DEBT SERVICE PAYMENT SCHEDULE

Set forth below is a schedule of principal of and interest on the 2014 Bonds payable in the Fiscal Years ending March 31 indicated:

<i>March 31</i>	<i>Principal</i>	<i>Interest</i>	<i>Total</i>
2016	\$ 1,190,000	\$ 1,551,886	\$ 2,741,886
2017	1,365,000	1,366,990	2,731,990
2018	1,415,000	1,331,080	2,746,080
2019	1,195,000	1,280,850	2,475,850
2020	1,260,000	1,233,050	2,493,050
2021	1,320,000	1,170,050	2,490,050
2022	855,000	1,104,050	1,959,050
2023	900,000	1,061,300	1,961,300
2024	945,000	1,016,300	1,961,300
2025	990,000	969,050	1,959,050
2026	1,035,000	919,550	1,954,550
2027	1,090,000	867,800	1,957,800
2028	1,145,000	813,300	1,958,300
2029	1,200,000	756,050	1,956,050
2030	1,260,000	696,050	1,956,050
2031	1,325,000	633,050	1,958,050
2032	1,390,000	566,800	1,956,800
2033	1,450,000	511,200	1,961,200
2034	1,505,000	453,200	1,958,200
2035	1,565,000	393,000	1,958,000
2036	1,635,000	320,400	1,955,400
2037	1,710,000	245,000	1,955,000
2038	1,790,000	166,600	1,956,600
2039	<u>1,875,000</u>	<u>85,000</u>	<u>1,960,000</u>
TOTAL	\$31,410,000	\$19,511,606	\$50,921,606

SECURITY FOR THE 2014 BONDS

Limited Obligations Payable From Net Revenues

All of the Revenues, all amounts held in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, the Rate Stabilization Fund under the Indenture and any other amounts (including proceeds of the sale of the 2014 Bonds) held in any fund or account established pursuant to the Indenture (except the Rebate Fund) are irrevocably pledged under the Indenture to secure the payment of the principal of and interest, and the premium, if any, on the 2014 Bonds in accordance with their terms and the provisions of the Indenture, subject however to the pledge thereon securing Bonds and Contracts and, so long as certain obligations of the Energy System are outstanding, the pledge securing such Energy System obligations. See the caption “- Flow of Funds.” The Revenues will not be used for any other purpose while the 2014 Bonds remain Outstanding; provided that out of the Revenues and amounts on deposit in the Rate Stabilization Fund there may be apportioned such sums for such purposes as are expressly permitted in the Indenture and described below.

The District is obligated to make payments of principal of and interest on the 2014 Bonds solely from the District’s Net Water System Revenues and Net Hydroelectric System Revenues (collectively, the “Net

Revenues”), along with amounts on deposit in the Rate Stabilization Fund and certain other funds and accounts created under the Indenture. The term “Net Water System Revenues” means, for any Fiscal Year of the District (currently, the District’s Fiscal Year commences on April 1 of each year) (“Fiscal Year”), the Water System Revenues for such Fiscal Year less the Operation and Maintenance Costs of the Water System for such Fiscal Year. See the caption “-Flow of Funds” for a summary of the definition of Water System Revenues. The term “Net Hydroelectric System Revenues” means, for any Fiscal Year of the District, the Hydroelectric System Revenues for such Fiscal Year less the Operation and Maintenance Costs of the Hydroelectric System for such Fiscal Year. See the caption “-Flow of Funds” for a summary of the definition of Hydroelectric System Revenues. See Appendix B—“DEFINITIONS AND SUMMARY OF INDENTURE” for a detailed discussion of the terms of the Indenture. After the refunding contemplated herein, the District will not have any obligations payable from Net Revenues on a parity with the obligation to pay principal of and interest on the 2014 Bonds. See the caption “SECURITY FOR THE 2014 BONDS- Flow of Funds” for a discussion of the District’s obligation to apply Net Revenues of the Hydroelectric System to certain Energy System obligations prior to the payment of the 2014B Bonds.

The District has previously pledged Net Hydroelectric System Revenues to the payment of installment payments (the “2005 Installment Payments”) under an Installment Purchase Agreement dated as of October 1, 2005 (the “2005 Installment Purchase Agreement”), and to pay the principal of and interest on the 2005 Electric System Refunding Revenue Bonds (the “2005 Bonds”), which pledge is subordinate to the pledge of Hydroelectric System Revenues to the payment of principal of and interest on the 2014A Bonds. Such Hydroelectric System Revenues shall be applied to pay the 2005 Installment Purchase Agreement and the principal of and interest on the 2005 Bonds under the caption “—Flow of Funds” if Energy System revenues are insufficient therefor. See the caption “THE DISTRICT—Other Outstanding Obligations” below for additional information regarding the subordinate pledged of Net Hydroelectric System Revenues to certain obligations of the District’s Energy System. The District does not currently project applying any Net Hydroelectric Revenues to the payments under the 2005 Installment Purchase Agreement or the 2005 Bonds. See the caption “DISTRICT FINANCIAL AND OPERATING INFORMATION”.

THE 2014 BONDS ARE NOT A DEBT OF THE STATE OF CALIFORNIA, OR ANY OF ITS POLITICAL SUBDIVISIONS (OTHER THAN THE DISTRICT), AND NEITHER THE STATE, NOR ANY OF ITS POLITICAL SUBDIVISIONS (OTHER THAN THE DISTRICT), IS LIABLE THEREON, NOR IN ANY EVENT SHALL THE 2014 BONDS BE PAYABLE OUT OF ANY FUNDS OR PROPERTIES OF THE DISTRICT OTHER THAN THE NET REVENUES AND OTHER MONEYS PLEDGED THEREFOR UNDER THE INDENTURE. THE OBLIGATION OF THE DISTRICT TO MAKE PAYMENTS IN ACCORDANCE WITH THE INDENTURE IS A LIMITED OBLIGATION OF THE DISTRICT AS SET FORTH IN THE INDENTURE AND THE DISTRICT SHALL HAVE NO LIABILITY OR OBLIGATION IN CONNECTION HERewith EXCEPT WITH RESPECT TO SUCH PAYMENTS TO BE MADE PURSUANT TO THE INDENTURE. THE 2014 BONDS DO NOT CONSTITUTE AN INDEBTEDNESS OF THE DISTRICT IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

Flow of Funds. In order to carry out and effectuate the pledge and lien contained in the Indenture, the District has agreed and covenanted that (i) the Water System Revenues shall be deposited when and as received in a special fund designated as the “Water System Revenue Fund” and (ii) the Hydroelectric System Revenues shall be deposited when and as received in a special fund designated as the “Hydroelectric System Revenue Fund,” which funds have been established and which funds the District has agreed and covenanted to maintain and to hold separate and apart from other funds so long as the 2014 Bonds remain unpaid. Moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund will be held in trust by the District and will be applied, used and withdrawn by the District for the purposes set forth below.

Water System Revenues are defined under the Indenture to include all income, rents, rates, fees, charges and other moneys derived from the ownership or operation of the Water System, including, without limiting the generality of the foregoing, all income, rents, rates, fees, charges, business interruption insurance

proceeds or other moneys derived by the District from the sale, furnishing and supplying of water, other services, facilities, and commodities sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Water System; plus the proceeds of any stand-by or water availability charges; plus connection charges or similar charges related to the Water System; plus for any Fiscal Year, the amount of 1% ad valorem property tax if and to the extent received by the District; plus all fees or other income derived from use of Water System rights-of-way; plus the earnings on and income derived from the investment of the amounts described above, and from investment of amounts in the Water System Revenue Fund; plus the earnings on and income derived from investment of the District reserves allocated to the Water System; plus all amounts transferred from the Rate Stabilization Fund to the Water System Revenue Fund during any Fiscal Year in accordance with the Indenture but excluding in all cases any amounts transferred from the Water System Revenue Fund to the Rate Stabilization Fund during any Fiscal Year in accordance with the Indenture, customer deposits or any other deposits or advances subject to refund until such deposits or advances have become the property of the District, any proceeds of taxes restricted by law to be used by the District to pay obligations of the District other than Bonds or Contracts, Hydroelectric System Revenues and revenues of the Energy System.

The District will, from the moneys in the Water System Revenue Fund, pay all Water System Operation and Maintenance Costs (including amounts reasonably required to be set aside in contingency reserves for Water System Operation and Maintenance Costs, the payment of which is not then immediately required) as such Water System Operation and Maintenance Costs become due and payable.

Hydroelectric System Revenues are defined in the Indenture to include all income and other moneys derived from the ownership or operation of the Hydroelectric System, including, without limiting the generality of the foregoing, all income, business interruption insurance proceeds or other moneys derived by the District from the sale of electricity, capacity and renewable portfolio standard revenues and other services of the Hydroelectric System or other services, facilities, and commodities sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Hydroelectric System; plus the earnings on and income derived from the investment of the amounts described above and from the investment of money in the Hydroelectric System Revenue Fund; plus the earnings on and income derived from investment of the District reserves allocated to the Hydroelectric System; plus all amounts transferred from the Rate Stabilization Fund to the Hydroelectric System Revenue Fund during any Fiscal Year in accordance with the Indenture; but excluding any amounts transferred from the Hydroelectric System Revenue Fund to the Rate Stabilization Fund during any Fiscal Year in accordance with the Indenture.

The District will, from the moneys in the Hydroelectric System Revenue Fund, pay all Hydroelectric Operation and Maintenance Costs (including amounts reasonably required to be set aside in contingency reserves for Hydroelectric Operation and Maintenance Costs, the payment of which is not then immediately required) as such Hydroelectric Operation and Maintenance Costs become due and payable and such amounts, if any, as may be determined in a final order of a court of competent jurisdiction from which no opportunity for further appeal exists to be periodically due and owing to the County of Mariposa, California, under that certain Agreement between Merced Irrigation District and County of Mariposa for Settlement of Water Rights Dispute, dated as of March 1, 1960.

The District accounts for moneys received and expenses paid in accordance with generally accepted accounting principles applicable to governmental agencies such as the District ("GAAP"). In certain cases GAAP requires or permits moneys collected in one Fiscal Year to be recognized as revenue in a subsequent Fiscal Year and requires or permits expenses paid or incurred in one Fiscal Year to be recognized as expenses in a subsequent Fiscal Year. See "APPENDIX A – MERCED IRRIGATION DISTRICT FINANCIAL STATEMENTS." Except as otherwise expressly noted herein, all financial information derived from the District's audited financial statement reflect the application of GAAP.

All remaining moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund shall be applied by the District at the following times for the transfer to the following respective special funds in the following order of priority:

(i) Not later than six (6) Business Days prior to each Interest Payment Date, the District will, from the moneys in the Water System Revenue Fund and, subject to clause (iii) below, the Hydroelectric System Revenue Fund, transfer to the Trustee for deposit in the Payment Fund the amount, if any, necessary for the payments of interest and principal, including mandatory sinking fund installments, if any, on the 2014 Bonds due and payable on such Interest Payment Date. The District will also, from the moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, transfer to the applicable trustee for deposit in the respective payment fund, without preference or priority, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, any other Debt Service in accordance with the provisions of any Bond or Contract. Notwithstanding the foregoing, so long as the 2005 Installment Purchase Agreement or the 2005 Bonds remain outstanding, no Hydroelectric System Revenues shall be applied to the payment of the principal of and interest on the 2014B Bonds, unless the lien on Net Hydroelectric System Revenues set forth in the 2005 Installment Purchase Agreement and the 2005 Indenture have been waived or terminated as provided therein. Hydroelectric System Revenues may be applied to the payment of the principal of and interest on the 2014B Bonds as described in (iv) below even if the 2005 Installment Purchase Agreement or the 2005 Bonds remain outstanding.

(ii) Not later than six (6) Business Days prior to each Interest Payment Date, the District will, from the remaining moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, thereafter, without preference or priority and in the event of any insufficiency of such moneys ratably without any discrimination or preference, transfer to the applicable trustee for such other reserve funds and/or accounts, if any, as may have been established in connection with Bonds or Contracts, that sum, if any, necessary to restore such funds or accounts to an amount equal to the reserve requirement with respect thereto. No such transfer shall be made with respect to the Reserve Fund, which will be deemed fully funded at all times by the deposit of the Reserve Surety Policy therein.

(iii) To the extent the revenues of the Energy System are insufficient to pay the 2005 Installment Payments or principal of and interest on the 2005 Bonds, the District will, from the moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, transfer to the trustee for the 2005 Bonds or the trustee under the 2005 Indenture, as applicable, to pay such 2005 Installment Payments or principal of and interest on the 2005 Bonds.

(iv) The District shall, from the remaining moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, pay the repayment of draws and expenses and accrued interest thereon with respect to the Reserve Surety Policy, and amounts paid by the Insurer under the Policy and interest thereon to the extent such amounts are due and payable. See Appendix B—“DEFINITIONS AND SUMMARY OF THE INDENTURE” under the captions “REVENUES, FUNDS AND ACCOUNTS; PAYMENT OF PRINCIPAL AND INTEREST—Reserve Fund” and “—Claims Upon the Insurance Policy and Payments by and to the Insurer” for further information with respect to payments under the Reserve Surety Policy and the Policy.

(v) Moneys on deposit in the Water System Revenue Fund and the Hydroelectric System Revenue Fund on any date when the District reasonably expects such moneys will not be needed for the payment of Water System Operation and Maintenance Costs or Hydroelectric System Operations and Maintenance Costs, as applicable, or for any of the purposes described in clauses (i), (ii), (iii) or (iv) above, may be expended by the District on expenses related to the Parks and Recreation facilities, if any, to the Drainage District (as described under the caption “THE DISTRICT”), if any, payments of principal of and interest on the 2014 Loan Agreement (described under the caption “THE

DISTRICT—Other Outstanding Obligations”), and for any other purpose permitted by law, including, but not limited to the deposit of amounts in the Rate Stabilization Fund.

Rate Covenant

The Indenture will require the District, to the fullest extent permitted by law, to fix and prescribe, at the commencement of each Fiscal Year, rates and charges for the Water Service provided by the Water System, which, when combined with Net Hydroelectric System Revenues, are reasonably expected to be at least sufficient to yield during each Fiscal Year Net Revenues equal to one hundred twenty-five percent (125%) of Debt Service payable in such Fiscal Year; provided, however, that for purposes of the foregoing covenant, Revenues in such Fiscal Year shall not include any amount transferred from the Rate Stabilization Fund to the Water System Revenue Fund and the Hydroelectric System Revenue Fund in excess of twenty-five percent (25%) of Debt Service payable in such Fiscal Year. The District may make adjustments from time to time in such rates and charges and may make such classification thereof as it deems necessary, but shall not reduce the rates and charges then in effect unless the Net Water System Revenues from such reduced rates and charges, when combined with Net Hydroelectric System Revenues, are reasonably expected to be sufficient to meet the foregoing requirements. Failure to produce Net Revenues equal to or greater than one hundred twenty-five percent (125%) of Debt Service in a Fiscal Year is not an Event of Default under the Indenture so long as the District complies with the covenant described above. Such failure may, however, affect the ability of the District to issue Bonds or incur Contracts payable from Net Revenues on a parity with the 2014 Bonds. See the caption “-Additional Indebtedness.”

Rate Stabilization Fund

There is continued under the Indenture a special fund designated as the “Rate Stabilization Fund” to be held by the District in trust thereunder, which fund the District has pledged to the payment of the 2014 Bonds under the Indenture and has agreed and covenanted to maintain and to hold separate and apart from other funds so long as any 2014 Bonds remain unpaid. On the date of the issuance of the 2014 Bonds, approximately \$1,500,000 will be deposited into the Rate Stabilization Fund. Money transferred by the District from the Water System Revenue Fund and the Hydroelectric System Revenue Fund to the Rate Stabilization Fund in accordance with the Indenture will be held in the Rate Stabilization Fund and applied in accordance with the Indenture.

The District may withdraw all or any portion of the amounts on deposit in the Rate Stabilization Fund and transfer such amounts to the Water System Revenue Fund or the Hydroelectric System Revenue Fund for application in accordance with the Indenture or, in the event that all or a portion of the 2014 Bonds are discharged in accordance with the Indenture, transfer all or any portion of such amounts for application in accordance with the Indenture. Amounts transferred from the Rate Stabilization Fund to the Water System Revenue Fund and the Hydroelectric System Revenue Fund pursuant to the Indenture during or within 270 days after a Fiscal Year, may be taken into account as Revenues for purposes of the calculations described under the captions “—Rate Covenant” and “—Additional Indebtedness” in such Fiscal Year.

Under certain circumstances, moneys received in one Fiscal Year may be required or permitted by GAAP to be recorded as revenue in a subsequent Fiscal Year, regardless of whether such moneys have been deposited in the Rate Stabilization Fund. See “APPENDIX A – MERCED IRRIGATION DISTRICT FINANCIAL STATEMENTS.”

Additional Indebtedness

The District may at any time execute any Contract or issue any Bonds, as the case may be, in accordance with the Indenture; provided:

(i) The Net Revenues for either the most recent audited Fiscal Year or any consecutive twelve calendar month period during the eighteen calendar month period preceding the date of adoption by the Board of Directors of the District of the resolution authorizing the issuance of such Bonds or the date of the execution of such Contract, as the case may be, as evidenced by both a calculation prepared by the District and a special report prepared by an Independent Certified Public Accountant or an Independent Financial Consultant on such calculation on file with the District, shall have produced a sum equal to at least one hundred twenty-five percent (125%) of the Debt Service for such audited Fiscal Year or such twelve month period, as applicable; and

(ii) The Net Revenues for either the most recent audited Fiscal Year or any consecutive twelve calendar month period during the eighteen calendar month period preceding the date of the execution of such Contract or the date of adoption by the Board of Directors of the District of the resolution authorizing the issuance of such Bonds, as the case may be, including adjustments to give effect as of the first day of such audited Fiscal Year or such twelve month period to increases or decreases in rates and charges for the Water Service approved and in effect as of the date of calculation, as evidenced by a calculation prepared by the District, shall have produced a sum equal to at least one hundred twenty-five percent (125%) of the Debt Service for such audited Fiscal Year or such twelve month period plus the Debt Service which would have accrued on any Contracts executed or Bonds issued since the end of such audited Fiscal Year or such twelve month period assuming such Contracts had been executed or Bonds had been issued at the beginning of such audited Fiscal Year or such twelve month period, plus the Debt Service which would have accrued had such Contract been executed or Bonds been issued at the beginning of such audited Fiscal Year or such twelve month period, as applicable; and

(iii) The estimated Net Revenues for the then current Fiscal Year and for each Fiscal Year thereafter to and including the first complete Fiscal Year after the latest Date of Operation of any uncompleted Parity Project, as evidenced by a certificate of the General Manager of the District on file with the District, including (after giving effect to the completion of all such uncompleted Parity Projects) an allowance for estimated Net Revenues for each of such Fiscal Years arising from any increase in the income, rents, fees, rates and charges estimated to be fixed, prescribed or received for the Water Service which are economically feasible and reasonably considered necessary based on projected operations for such period, as evidenced by a certificate of the General Manager on file with the District, shall produce a sum equal to at least one hundred twenty-five percent (125%) of the estimated Debt Service for each of such Fiscal Years, after giving effect to the execution of all Contracts and the issuance of all Bonds estimated to be required to be executed or issued to pay the costs of completing all uncompleted Parity Projects within such Fiscal Years, assuming that all such Contracts and Bonds have maturities, interest rates and proportionate principal repayment provisions similar to the Contract last executed or then being executed or the Bonds last issued or then being issued for the purpose of acquiring and constructing any of such uncompleted Parity Projects.

For purposes of the foregoing requirements, Revenues in any Fiscal Year do not include any amounts transferred from the Rate Stabilization Fund to the Water System Revenue Fund and the Hydroelectric System Revenue Fund in excess of 25% of the Debt Service for such Fiscal Year. See also the captions “- Flow of Funds” and “-Rate Stabilization Fund.”

Notwithstanding the foregoing, Bonds or Contracts may be issued or incurred to refund outstanding Bonds or Contracts if, after giving effect to the application of the proceeds thereof, total Debt Service will not be increased in any Fiscal Year in which Bonds or Contracts (outstanding on the date of issuance or incurrence of such refunding Bonds or Contracts, but excluding such refunding Bonds or Contracts) not being refunded are outstanding in an amount in excess of 10%.

Nothing in the Indenture shall prohibit the District from issuing bonds, notes or other obligations payable from Net Revenues subordinate to Bonds or Contracts. The 2014 Loan Agreement is an unsecured obligation of the District and not a Bond or Contract. See the caption “THE DISTRICT-Other Outstanding Obligations.”

Reserve Fund

AGM has made a commitment to issue, simultaneously with the initial issuance of the 2014 Bonds, the Reserve Surety Policy in the amount of \$2,405,740.25 (equal to the Reserve Requirement) for deposit in the Reserve Fund, effective as of the date of issuance of the 2014 Bonds. Under the terms of the Reserve Surety Policy, AGM will unconditionally and irrevocably guarantee to pay that portion of the scheduled payments of principal of and interest on the 2014 Bonds that becomes due for payment but shall be unpaid by reason of nonpayment by the District.

See Appendix B—“DEFINITIONS AND SUMMARY OF THE INDENTURE” under the caption “REVENUES, FUNDS AND ACCOUNTS; PAYMENT OF PRINCIPAL AND INTEREST—Reserve Fund” for further information with respect to the Reserve Surety Policy.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds with respect to the refunding of the 2008 Certificates:

Sources⁽¹⁾:

Principal Amount of 2014 Bonds	\$31,410,000.00
Net Original Issue Premium	3,160,261.55
From Reserve Fund for 2008 Certificates	2,912,812.85
Draw Under the 2014 Loan Agreement ⁽²⁾	4,310,000.00
District Contribution ⁽³⁾	<u>544,016.26</u>
Total Sources	<u>\$42,337,090.66</u>

Uses⁽¹⁾:

Transfer to Escrow Agent for Refunding of 2008 Certificates	\$41,916,446.93
Deposit to Costs of Issuance Fund ⁽⁴⁾	<u>420,643.73</u>
Total Uses	<u>\$42,337,090.66</u>

⁽¹⁾ All amounts rounded to the nearest dollar. Totals may not add due to rounding.

⁽²⁾ Reflects amount drawn under the 2014 Loan Agreement with Wells Fargo Bank National Association. See the caption “THE DISTRICT—Other Outstanding Obligations—Bank Credit Facility.”

⁽³⁾ Reflects September 1, 2004 principal and interest payments with respect to the 2008 Certificates.

⁽⁴⁾ Includes Underwriter’s discount and certain legal fees, premiums for the Policy and the Reserve Surety Policy, financing and printing costs.

BOND INSURANCE

The information under this caption has been prepared by AGM for inclusion in this Official Statement. Neither the District nor the Underwriters set forth on the cover page hereof (collectively, the “Underwriters”) make any representation with respect to the accuracy or completeness thereof. The following information is not a complete summary of the terms of the Policy (as such term is defined below) and reference is made to Appendix F for a specimen of the Policy.

Bond Insurance Policy

Concurrently with the issuance of the 2014 Bonds, AGM will issue its Policy. The Policy guarantees the scheduled payment of principal of and interest on the 2014 Bonds when due as set forth in the form of the Policy included as Appendix F to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Assured Guaranty Municipal Corp.

AGM is a New York domiciled financial guaranty insurance company and an indirect subsidiary of Assured Guaranty Ltd. (“AGL”), a Bermuda-based holding company whose shares are publicly traded and are listed on the New York Stock Exchange under the symbol “AGO”. AGL, through its operating subsidiaries, provides credit enhancement products to the U.S. and global public finance, infrastructure and structured finance markets. Neither AGL nor any of its shareholders or affiliates, other than AGM, is obligated to pay any debts of AGM or any claims under any insurance policy issued by AGM.

AGM’s financial strength is rated “AA” (stable outlook) by Standard and Poor’s Ratings Services, a Standard & Poor’s Financial Services LLC business (“S&P”) and “A2” (stable outlook) by Moody’s Investors Service, Inc. (“Moody’s”). Each rating of AGM should be evaluated independently. An explanation of the significance of the above ratings may be obtained from the applicable rating agency. The above ratings are not recommendations to buy, sell or hold any security, and such ratings are subject to revision or withdrawal at any time by the rating agencies, including withdrawal initiated at the request of AGM in its sole discretion. In addition, the rating agencies may at any time change AGM’s long-term rating outlooks or place such ratings on a watch list for possible downgrade in the near term. Any downward revision or withdrawal of any of the above ratings, the assignment of a negative outlook to such ratings or the placement of such ratings on a negative watch list may have an adverse effect on the market price of any security guaranteed by AGM. AGM only guarantees scheduled principal and scheduled interest payments payable by the issuer of bonds insured by AGM on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the relevant insurance policy), and does not guarantee the market price or liquidity of the securities it insures, nor does it guarantee that the ratings on such securities will not be revised or withdrawn.

Current Financial Strength Ratings

On July 2, 2014, S&P issued a credit rating report in which it affirmed AGM’s financial strength rating of “AA” (stable outlook). AGM can give no assurance as to any further ratings action that S&P may take.

On July 2, 2014, Moody’s issued a rating action report stating that it had affirmed AGM’s insurance financial strength rating of “A2” (stable outlook). AGM can give no assurance as to any further ratings action that Moody’s may take.

For more information regarding AGM’s financial strength ratings and the risks relating thereto, see AGL’s Annual Report on Form 10-K for the fiscal year ended December 31, 2013.

Capitalization of AGM

At June 30, 2014, AGM’s policyholders’ surplus and contingency reserve were approximately \$3,654,000 and its net unearned premium reserve was approximately \$1,850,000. Such amounts represent the combined surplus, contingency reserve and net unearned premium reserve of AGM, AGM’s wholly owned subsidiary Assured Guaranty (Europe) Ltd. and 60.7% of AGM’s indirect subsidiary Municipal Assurance Corp.; each amount of surplus, contingency reserve and net unearned premium reserve for each company was determined in accordance with statutory accounting principles.

Incorporation of Certain Documents by Reference

Portions of the following documents filed by AGL with the Securities and Exchange Commission (the “SEC”) that relate to AGM are incorporated by reference into this Official Statement and shall be deemed to be a part hereof:

- (i) the Annual Report on Form 10-K for the fiscal year ended December 31, 2013 (filed by AGL with the SEC on February 28, 2014);
- (ii) the Quarterly Report on Form 10-Q for the quarterly period ended March 31, 2014 (filed by AGL with the SEC on May 9, 2014); and
- (iii) the Quarterly Report on Form 10-Q for the quarterly period ended June 30, 2014 (filed by AGL with the SEC on August 8, 2014).

All consolidated financial statements of AGM and all other information relating to AGM included in, or as exhibits to, documents filed by AGL with the SEC pursuant to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, as amended, excluding Current Reports or portions thereof “furnished” under Item 2.02 or Item 7.01 of Form 8-K, after the filing of the last document referred to above and before the termination of the offering of the Bonds shall be deemed incorporated by reference into this Official Statement and to be a part hereof from the respective dates of filing such documents. Copies of materials incorporated by reference are available over the internet at the SEC’s website at <http://www.sec.gov>, at AGL’s website at <http://www.assuredguaranty.com>, or will be provided upon request to Assured Guaranty Municipal Corp.: 31 West 52nd Street, New York, New York 10019, Attention: Communications Department (telephone (212) 974-0100). Except for the information referred to above, no information available on or through AGL’s website shall be deemed to be part of or incorporated in this Official Statement.

Any information regarding AGM included herein under the caption “BOND INSURANCE – Assured Guaranty Municipal Corp.” or included in a document incorporated by reference herein (collectively, the “AGM Information”) shall be modified or superseded to the extent that any subsequently included AGM Information (either directly or through incorporation by reference) modifies or supersedes such previously included AGM Information. Any AGM Information so modified or superseded shall not constitute a part of this Official Statement, except as so modified or superseded.

Miscellaneous Matters

AGM or one of its affiliates may purchase a portion of the 2014 Bonds or any uninsured bonds offered under this Official Statement and such purchases may constitute a significant proportion of the bonds offered. AGM or such affiliate may hold such 2014 Bonds or uninsured bonds for investment or may sell or otherwise dispose of such 2014 Bonds or uninsured bonds at any time or from time to time.

AGM makes no representation regarding the 2014 Bonds or the advisability of investing in the 2014 Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading “BOND INSURANCE.”

THE DISTRICT

The description of the District below includes information on operations of the District that are not part of its Water System or Hydroelectric System. The 2014 Bonds are payable solely from Net Water System Revenues and Net Hydroelectric System Revenues.

General

The District is a California irrigation district organized in 1919 under the provisions of the Irrigation District Law (codified as Division 11 of the California Water Code). The District has the powers under the Irrigation District Law to, among other things, provide water, electricity and water-related recreation services within its service area. In connection therewith, the District has the powers of eminent domain, to contract, to construct works, to fix rates and charges for commodities or services furnished and to incur indebtedness.

The District owns, operates and maintains, the New Exchequer Dam, which impounds the New Exchequer Reservoir (Lake McClure) and the McSwain Dam, which impounds the McSwain Reservoir (Lake McSwain). New Exchequer Reservoir and the McSwain Reservoir has storage capacities of 1,024,600 acre feet and 9,730 acre-feet, respectively. Both dams, reservoirs and related hydroelectric facilities were completed in 1967 and comprise the Merced River Hydroelectric Project. The Merced River Hydroelectric Project is licensed by the Federal Energy Regulatory Commission ("FERC"). The District delivers water through 720 miles of earthen and concrete-lined canals, and pipelines. The District owns 220 well sites within its boundary, of which 170 are ready for use during dry years.

The District is authorized under the Irrigation District Law to sell retail electric service through its Energy System and began providing electric service in 1995. The District's Energy System currently serves approximately 8,000 retail customers. The revenues of the Energy System are not pledged to the payment of principal of and interest on the 2014 Bonds and principal of and interest on the 2014 Bonds are not payable from revenues of the District's Energy System. See the caption "—Energy System" below.

In 1994, the District established a storm water drainage district known as the Merced Irrigation District Drainage Improvement District # 1 (the "Drainage District"). The District uses portions of its irrigation distribution system for urban storm drainage by routing natural stream flows and runoff from urban developments, away from populated areas. Drainage fees are assessed annually by the District and are collected through the County of Merced (the "County") tax rolls but are not included in Revenues. Certain expenses of the Drainage District are paid from Net Revenues remaining after the payment of principal of and interest on the 2014 Bonds, the 2005 Installment Purchase Agreement and the 2005 Bonds, as set forth in the Indenture. See the caption "—Drainage District" below.

The District owns, operates and maintains five recreation areas adjacent to Lake McClure and Lake McSwain which consist of the Lake McSwain Recreation Area, located adjacent to Lake McSwain; McClure Point, Barrett Cove, Horseshoe Bend and Bagby Recreation Areas, all located adjacent to Lake McClure (collectively, the Parks and Recreation Facilities"). A total of six boat launch facilities are available and over 600 campsites are available to the public on a year round basis. Floating marinas are located at two locations on Lake McClure for the boating public. A land-based marina is located adjacent to Lake McSwain. Recreational activities enjoyed in the Recreation Areas include fishing, boating, swimming camping, hiking and bicycling. Revenues generated by the District's Parks and Recreation Facilities are not included as Net Revenues. Certain expenses of the Parks and Recreation Facilities are paid from Net Revenues remaining after the payment of principal of and interest on the 2014 Bonds, the 2005 Installment Purchase Agreement and the 2005 Bonds, as set forth in the Indenture. See the caption "—Parks and Recreation" below.

Service Area

The District is located in the central portion of the San Joaquin Valley and currently encompasses approximately 165,000 acres. The District provides surface irrigation water to approximately 100,000 acres within its boundary which include cities and communities of Merced, Atwater, Livingston, Winton, Le Grand, Snelling, Cressey, El Nido, and the Castle Airport and Aviation Development Center (formerly Castle Air Force Base).

The District also provides irrigation to water to lands within its sphere of influence, which encompasses all lands within the Merced Groundwater Basin located in the eastern part of Merced County, in addition to lands adjacent to its boundary north of the Merced River, totaling approximately 420,000 acres (the “Sphere of Influence”). In addition, the District provides up to 26,400 acre-feet of irrigation water to the Stevenson Water District and up to 15,000 acre-feet of irrigation water to Merced National Wildlife Refuge at no cost. See the caption “WATER SYSTEM—District Water Delivery and Transfer Agreements.”

Governance and Management

The District is governed by a Board of Directors (the “Board”) composed of five persons serving staggered four year terms. The current directors are set forth below:

<i>Director</i>	<i>Expiration of Term</i>	<i>Occupation</i>
Tim Pellissier, President	December 2014	Businessman
Dave Long, Vice President	December 2014	Businessman
Scott Koehn, Director	December 2016	Businessman
Kevin Gonzalves, Director	December 2016	Farmer
Billy Pimental, Director	December 2016	Farmer

The management of the District is under the direction of John Sweigard, General Manager. The District is organized functionally into ten departments. The six operating departments are: Irrigation Operations, Facilities Maintenance, Electric Services, Hydroelectric Project, Parks and Recreation, and Storm Drainage. The four support departments are: Finance, Administrative Services, Engineering and Planning. The operating departments also manage a storm drainage district, a ground water management program, and flood control on the Merced River. The following is the background of the District’s management staff involved in water resources, retail electric services and hydroelectric generation activities.

General Manager – John Sweigard: Mr. Sweigard joined the District in 2010 as its General Manager. Prior to joining the District, Mr. Sweigard served almost 13 years as the General Manager of Patterson Irrigation District. Mr. Sweigard is an active member of the United States Committee on Irrigation and Drainage and was elected by his irrigation profession peers to their Board of Directors in 2011. Additionally, he was a longtime board member of the San Luis & Delta Mendota Water Authority (“SLDMWA”) and served on the SLDMWA Finance and Administration Committee and Operations and Maintenance Committee. Mr. Sweigard received his Bachelor of Science in Agricultural Engineering from California Polytechnic State University, San Luis Obispo.

Deputy General Manager, Water Supply/Rights – Hicham Eltal: Mr. Eltal serves as the Deputy General Manager, Water Supply/Rights and has over 26 years of experience in civil engineering work, including 22 years as a professional engineer in the California. Mr. Eltal is responsible for the compliance and protection of the District’s various water rights, including administering water resource-related activities involving water rights, supply, quality, marketing and resource development. Mr. Eltal is a Chairman of the Merced Area Groundwater Pool Interests (“MAGPI”), a member of the groundwater committee of the Association of California Water Agencies, and represents the District with respect to the Merced Integrated Regional Water Management Plan and various state and national committees for issues related to water supply and water rights. Mr. Eltal is a member of the American Society of Civil Engineers. Mr. Eltal received a

Bachelor of Science in Civil Engineering from California State University at Fullerton and is licensed as a professional civil engineer in California.

Deputy General Manager, Water Resources – Bryan Kelly: Mr. Kelly joined the District in August 2004 as a senior engineer with the Water Resources Department. Mr. Kelly is responsible for overseeing all of water resources engineering, construction, maintenance, operations and planning. In addition, Mr. Kelly is responsible for overseeing the District's water resources related regulatory compliance. Mr. Kelly has more than 18 years of experience in planning, engineering, operations and management of irrigation and municipal infrastructure systems. Prior to joining the District, Mr. Kelly worked for ten years at a national environmental engineering firm where he served as a water resource project manager, lead engineer, staff manager and marketing lead. Mr. Kelly is obtaining his Bachelor of Science in Civil Engineering from the University of New Orleans.

Deputy General Manager, Water Resources – Don Ouchley: Mr. Ouchley joined the District in September 2011 as the Manager of Engineering and Operations for Energy Resources. Mr. Ouchley provides oversight for the general planning, direction, supervision of engineering, construction, operation and maintenance related to the Energy Resources Department, which includes the New Exchequer Dam and hydroelectric facilities. Mr. Ouchley has more than 40 years of experience in the public utility industry. Prior to joining the District, he served as a director with Beaches Energy Services, a municipal electric and gas utility in Jacksonville Beach, Florida, and as General Manager of Piedmont Municipal Power Agency in Greer, South Carolina. Mr. Ouchley has a Master's Degree in Business Administration from City University and a Bachelor of Science in Electrical Engineering from Louisiana Tech University.

Chief Financial Officer – Brian Stubbart: Mr. Stubbart joined the District as Chief Financial Officer in March 2011. Mr. Stubbart is responsible for planning and directing the District's financial activities, including budgeting, payroll, customer service and billing as well as developing and improving cost controls. He has over 15 years of experience in accounting, budgeting and auditing. Prior to joining the District, Mr. Stubbart served as Vice President of Accounting and Administration at Patterson Vegetable Co. Mr. Stubbart graduated from California State University, Stanislaus and is a Certified Public Accountant and a member of the American Institute of Certified Public Accountants.

Jennifer R. Carter – Director of Administrative Services: Ms. Carter joined the District as its Director of Administrative Services in August 2010. She is responsible for planning, directing and coordinating all of the District's human resource, information technology and risk management activities, as well as implementing the goals, objectives, policies and procedures of the District's Administrative Services Department. Ms. Carter has more than 20 years of experience in human resources, management, risk management and general administration. Prior to joining the District, she served as the Manager of Employment and Administrative Services for Foster Farms. Ms. Carter holds a Bachelor's Degree from California State University, Stanislaus.

General Counsel – Phillip R. McMurray, Esq.: Prior to joining Merced Irrigation District, Mr. McMurray served as an associate with Linneman, Burgess, Telles, Van Atta, Vierra, Rathmann, Whitehurst & Keene, with primary offices located in Los Banos and Dos Palos, California. Mr. McMurray has been General Counsel to the District since July 2011. Mr. McMurray received his Bachelor of Science in Agriculture Business and Plant Science from California State University, Fresno and his law degree from Lincoln Law School in Sacramento.

Budget Process

In January of each year, District staff provides the Finance and Administration Committee with a draft budget including estimates of revenues and expenditures for operations for the upcoming Fiscal Year and conducts two public meetings in January in which the draft budget is reviewed and adjustments are recommended. The Board typically conducts public meetings in February to review and consider a draft

budget including estimates of revenues and expenditures for operations for the upcoming Fiscal Year and makes such revisions as it deems desirable. The Board typically adopts a final budget by the end of March or the beginning of April each year. Due to the third year of extreme drought and the timing related to the completion of the Proposition 218 process, the Board of Directors adopted its budget for Fiscal Year 2014-15 on June 3, 2014. See the caption “CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218.”

Prior to Fiscal Year 2013, the District’s fiscal years began on January 1 and ended on December 31 of each year. On September 4, 2012, the District modified its fiscal year to begin on April 1 and end on March 31 of each year. All references herein to Fiscal Years 2011 and Fiscal Years prior thereto under the captions “THE DISTRICT”, “WATER SYSTEM”, “HYDROELECTRIC SYSTEM” and “DISTRICT FINANCIAL AND OPERATING INFORMATION” refer to the twelve month period ending December 31 of the applicable year. All reference therein to Fiscal Year 2013 refers to the 15 month period ending March 31, 2013. All reference therein to Fiscal Years subsequent to Fiscal Year 2013 refers to the twelve month periods ending March 31 of the applicable year.

Employees and Employee Benefits

General. The District currently employs approximately 179 persons, of whom 30 work in Irrigation Operations, 38 work in Facilities Maintenance, 18 work in Electric Services, 7 work in Hydroelectric Project, 31 work in Parks and Recreation, 21 work in Finance and Customer Service, 14 work in Administration, and 20 work in Engineering and Planning.

The Field Operations employees are represented by the International Brotherhood of Electrical Workers, Local 1245 (“IBEW”). No other District employees are represented by a labor union. The District has not experienced any strike or other labor actions.

Pension. The District contributes to the California Public Employees Retirement System (“CalPERS”), an agent multiple-employer defined benefit pension plan (the “Pension Plan”) which acts as a common investment and administrative agent for its participating member employers. The Pension Plan provides retirement, disability, annual cost-of-living adjustments and death benefits to Pension Plan members and beneficiaries. Benefit provisions under the Pension Plan are established by statutes of the State and by District resolution. Funding contributions for the Pension Plan are determined annually on an actuarial basis as of June 30 by CalPERS; the District must fund those contribution amounts.

The District paid annual employer contributions for the non-bargaining group of \$1,372,770, \$1,498,977 and \$1,159,626 for the years ended June 30, 2013, 2012 and 2011, respectively. The District paid all employer contributions (7%) for the non-bargaining group. Employees represented by the IBEW paid 2% of their employer contributions through the Fiscal Year beginning March 1, 2011, with the District paying the remaining 5%. Employees represented by the IBEW currently pay 4%, with the District paying the remaining 3%.

CalPERS determines contribution requirements using a modification of the Entry Age Normal Method. Under this method, the District’s total normal benefit cost for each employee from date enrolled into the CalPERS system to date of retirement is expressed as a level percentage of the related total payroll cost. Normal benefit cost under this the Entry Age Normal Method is the level amount the employer must pay annually to fund an employee’s projected retirement benefit. This level percentage of payroll method is used to amortize any unfunded actuarial liabilities. The actuarial assumptions used to compute contribution requirements are also used to compute the actuarial accrued liability.

All employees hired on or after January 1, 2013 who were not previously members of the CalPERS system contribute one half of the normal rate up to a maximum of 8% of their annual covered salary. Such employees currently pay 7% of their annual covered salary. The District contributes all or a portion of on such

required contribution on behalf of District employees. For Fiscal Year 2015, the District's required contribution rate is 14.651%.

The District had an unfunded accrued liability of \$10,662,878 as of June 30, 2012, based on an actuarial value of assets of \$47,600,034 as set forth in the most recent actuarial report prepared by CalPERS.

The Pension Plan's actuarial value (which differs from market value) and funding progress over the most recently available four years is set forth below at the actuarial valuation date of June 30. As further discussed below, the District's Pension Plan is included within a pooled pension plan. Information in the following table is for the pooled plan as a whole:

<i>Valuation Date</i>	<i>Entry Age Accrued Liability</i>	<i>Actuarial Value of Assets</i>	<i>Unfunded Actuarial Accrued Liability ("UAAL")</i>	<i>Funded Ratio</i>	<i>Annual Covered Payroll</i>	<i>UAAL as % of Payroll</i>
6/30/2009	\$50,519,117	\$40,762,944	\$ 9,756,173	80.68%	\$10,805,144	90.29%
6/30/2010	53,752,166	43,296,042	10,456,124	80.50	10,672,324	98.00
6/30/2011	56,533,121	45,674,192	10,858,929	80.80	10,284,848	105.58
6/30/2012	58,262,912	47,600,034	10,662,878	81.70	9,869,599	108.04

Audited annual financial statements and ten-year trend data are available from CALPERS at 400 Q Street, Sacramento, California 95811. CalPERS reports this information approximately seventeen months after the end of its June 30 fiscal year.

Further information with respect to the Pension Plan is set forth in Note 8 and the Supplementary Information to the District's audited financial statements for the fiscal year ended March 31, 2014, attached hereto as Appendix A.

On September 12, 2012, the Governor of the State signed Assembly Bill 340 ("AB 340"), which implements pension reform in the State. Effective January 1, 2013, AB 340 provides in part as follows: (i) requires public retirement systems and their participating employers to share equally with employees by January 1, 2018 the normal cost rate (as described below) for such retirement systems; (ii) prohibits employers from paying employer-paid member contributions to such retirement systems for employees hired after January 1, 2013; (iii) establishes a compulsory maximum non safety benefit formula of 2.5% at age 67; and (iv) defines final compensation as the highest average annual pensionable compensation earned during a 36 month period. The Board of Directors adopted a resolution creating a separate tier of CalPERS pension benefits for employees hired after January 1, 2013 to comply with AB 340's compulsory reduced formula. Benefit provisions and all other requirements are established by State statute and the Board of Directors.

Under Government Accounting Standards Board Statement No. 27, an employer reports an annual pension cost equal to the ARC plus an adjustment for the cumulative difference between the annual pension cost and the employer's actual plan contributions for the year. The cumulative difference is called the net pension obligation and may be positive or negative. The ARC for Fiscal Year 2013 was determined by an actuarial valuation of the plan as of October, 2012. The ARC for fiscal year 2014 was determined by an actuarial valuation of the plan as of October, 2013.

The staff actuaries at CalPERS annually prepare an actuarial valuation which covers a fiscal year ending approximately 15 months before the actuarial valuation is delivered. The actuarial valuations express the District's required contribution rates in percentages of covered payroll, which percentages the District must contribute in the fiscal year immediately following the fiscal year in which the actuarial valuation is prepared. CalPERS rules require the District to implement the actuary's recommended rates.

In calculating the annual actuarially recommended contribution rates, the CalPERS actuary calculates on the basis of certain assumptions the actuarial present value of benefits that CalPERS will fund under the CalPERS plans. This includes two components, the normal cost and the unfunded actuarial accrued liability

(the “UAAL”). The normal cost represents the actuarial present value of benefits that CalPERS will fund under the CalPERS plans that are attributed to the current year, and the actuarial accrued liability represents the actuarial present value of benefits that CalPERS will fund that are attributed to past years. The UAAL represents an estimate of the actuarial shortfall between actuarial value of assets on deposit at CalPERS and the present value of the benefits that CalPERS will pay under the CalPERS plans to retirees and active employees upon their retirement. The UAAL is based on several assumptions such as, among others, the rate of investment return, average life expectancy, average age of retirement, inflation, salary increases and occurrences of disabilities. In addition, the UAAL includes certain actuarial adjustments such as, among others, the actuarial practice of smoothing losses and gains over multiple years (which is described in more detail below). As a result, the UAAL may be considered an estimate of the unfunded actuarial present value of the benefits that CalPERS will fund under the CalPERS plans to retirees and active employees upon their retirement and not as a fixed expression of the liability that the District owes to CalPERS under its CalPERS plans.

In each actuarial valuation, the CalPERS actuary estimates the actuarial value of the assets (the “Actuarial Value”) of the CalPERS plans at the end of the fiscal year (which assumes, among other things, that the rate of return during that fiscal year equaled the assumed rate of return, currently 7.5%). The CalPERS actuary uses a smoothing technique to determine Actuarial Value that is calculated based on certain policies.

On March 14, 2012, the CalPERS Board approved a change in the inflation assumption used to determine employer contribution rates. CalPERS changed the inflation assumption from 3% to 2.75% effective July 1, 2012. The change will impact the inflation component of the annual investment return assumption and the long term payroll growth assumption as follows:

- The annual assumed investment return will decrease from 7.75% to 7.5%.
- The long term payroll growth assumption will decrease from 3.25% to 3%.
- The inflation component of individual salary scales will decrease from 3.25% to 3%.

Although the impact of the above changes is not yet clear, they may result in increases in contribution levels. The reduction in the inflation assumption, however, could partially mitigate increases, if any, in the District’s required annual contributions resulting from the reduction in the assumed investment rate of return, as described above.

Due to significant market investment losses of approximately 24% in the CalPERS trust fund for fiscal year 2009, CalPERS implemented a 3-year phase-in of the fiscal year 2009 investment loss. This phased in approach will be achieved by temporarily relaxing the constraints on the smoothed value of assets around the actual market value. The corridor will be widened and then contracted as follows:

- Increase the corridor limits from 80% to 120% of market value to 60% to 140% of market value to determine the actuarial value of assets for the June 30, 2009 valuation, which impacts the fiscal year 2012 contribution rate.
- Reduce the corridor limits from 60% to 140% of market value to 70% to 130% of market value to determine the actuarial value of assets for the June 30, 2010 valuation, which impacts the fiscal year 2013 contribution rate.
- Return to the 80% to 120% of market value corridor limits for the actuarial value of assets on June 30, 2011 and thereafter, which impacts contribution rates for fiscal year 2014 and beyond.
- Asset losses outside of the 80% to 120% corridor described above will be amortized pursuant to a fixed 30-year amortization schedule.

In addition, in February 2010, the CalPERS Board adopted a resolution requiring additional contributions for any plan or pool if the cash flows hamper adequate funding progress by preventing the expected funded status on a market value of assets basis of the plan to either:

- Increase by at least 15% by June 30, 2043; or
- Reach a level of 75% funded by June 30, 2043.

Such contributions have been factored into the District's contribution rates set by CalPERS.

On April 17, 2013, the CalPERS Board of Administration approved a plan: (i) to replace the current 15-year asset-smoothing policy with a 5-year direct-rate smoothing process; and (ii) to replace the current 30-year rolling amortization of unfunded liabilities with a 30-year fixed amortization period. CalPERS' Chief Actuary has stated that the revised approach provides a single measure of funded status and unfunded liabilities, less volatility in extreme years, a faster path to full funding and more transparency to employers such as the District about future contribution rates. These changes are expected to accelerate the repayment of unfunded liabilities (including CalPERS' Fiscal Year 2008-09 market losses described above) of the District's plans in the near term; the exact magnitude of the potential contribution rate increases is not known at this time, but may be significant. These changes will be reflected beginning with the June 30, 2014 actuarial valuation affecting contribution rates for Fiscal Year 2016 and thereafter.

Other Post-Retirement Employee Benefits. The District provides a portion of the cost of medical insurance for retired District employees for up to 60 months after retirement from the District. The Governmental Accounting Standards Board's Statement No. 45 ("GASB 45") requires governmental agencies that fund post-employment benefits on a pay-as-you go basis, such as the District, to account for and report the outstanding obligations and commitments related to such post-employment benefits in essentially the same manner as for pensions. For the Fiscal Year ended March 31, 2014, the District contributed \$260,611 to the plan, which represents 100% of the cost for such Fiscal Year. While requiring the District to disclose the unfunded actuarial accrued liability and the ARC in its financial statements, GASB 45 does not require the District to amortize the ARC.

For Fiscal Year 2015, the District has budgeted \$321,115 with respect to post-employment benefits, which is equal to the expected amount of the ARC for Fiscal Year 2015. The District currently does not expect that any increased funding of post-employment benefits in the future will have a material adverse effect on the ability of the District to make payments of principal of and interest on the 2014 Bonds.

Further information with respect to the District's post-employment benefits funding status is set forth in Note 9 and the Supplementary Information to the District's audited financial statements for Fiscal Year 2014 attached hereto as Appendix A.

Risk Management

The District participates in the Association of California Water Agencies Joint Powers Insurance Authority (the "JPIA"), an intergovernmental risk sharing joint powers authority created to provide self-insurance programs for California water agencies. The JPIA arranges and administers programs of insurance for the pooling of self-insured losses, and purchases excess insurance coverage for its members. The JPIA began operations on October 1, 1979 and has continued without interruption since that time.

As of March 31, 2014, the Agency limits and deductibles for liability, property, and workers compensation programs of the JPIA are as follows:

- General and auto liability, public officials and employees' errors and omissions: Total risk financing self-insurance limits of \$2,000,000, combined single limit per occurrence. The JPIA purchased

additional excess coverage layers of \$58,000,000 for general, auto and public officials liability, which increases the limits on the insurance coverage noted above.

- Property losses are paid at the replacement cost for buildings, fixed equipment and personal property on file, if replaced within two years after the loss, otherwise such losses are paid on an actual cash value basis, subject to a \$5,000 to \$25,000 deductible per loss, and actual cash value for mobile equipment, subject to a \$5,000 deductible per loss, and licensed vehicles, subject to a \$5,000 deductible per loss. The JPIA purchased excess coverage for a combined total of \$100,000,000 per occurrence.

- Workers compensation insurance up to State statutory limits for all work related injuries/illnesses covered by State law. The JPIA has a pooled layer of up to \$2,000,000 and excess coverage has been purchased.

Settled claims have not exceeded commercial insurance coverage in any of the past three Fiscal Years.

Other Outstanding Obligations

Parity Payments. After the refunding contemplated herein, the District will not have any outstanding obligations payable from Net Revenues on a parity with the 2014 Bonds. The District may incur additional obligations on a parity with the 2014 Bonds, subject to the terms and conditions described under the caption “SECURITY FOR THE BONDS—Additional Indebtedness.”

Energy System Obligations. The District has obligations secured by revenues of the Energy System in the aggregate principal amount of \$80,008,960 as of June 30, 2014. These obligations include the 2005 Bonds, 2005 Certificates, the 2012 Electric System Revenue Bonds (the “2012 Bonds”) and the Electric System 2013 Revenue Refunding Bonds (the “2013 Bonds” and, together with the 2005 Bonds, the 2005 Certificates and the 2012 Bonds, the “Energy System Obligations”). Except as described in the following paragraph, the Energy System Obligations are payable solely from revenues of the Energy System which generally include all revenues derived from energy generation (other than Hydroelectric System Revenues), transmission and distribution of the Energy System (the “Energy System Revenues”). Energy System Revenues are not pledged to and are not available to pay the principal of and interest on the 2014 Bonds.

The District has pledged the Net Hydroelectric System Revenues to the payment of principal of and interest on the 2005 Bonds and the 2005 Installment Payments on a subordinate basis to any obligations secured by Net Hydroelectric System Revenues and used to finance Hydroelectric System improvements unless such subordinate pledge is waived or terminated, as provided in the 2005 Installment Purchase Agreement and the 2005 Indenture. With the exception of the foregoing subordinate pledge of Net Hydroelectric System Revenues, Net Revenues are not available to pay the Energy System Obligations.

Bank Credit Facility. On or about the date of original issuance of the 2014 Bonds, the District expects to enter into an unsecured line of credit with Wells Fargo Bank National Association in a not-to-exceed amount of \$25,000,000 to finance the District’s operating and capital expenditures (the “2014 Loan Agreement”). Principal of and interest on the 2014 Loan Agreement will be an unsecured obligation of the District payable from all legally available funds and revenues of the District.

While the 2014 Loan Agreement is an unsecured obligation of the District, under certain circumstances, including, but not limited to the downgrade of certain obligations of the Water System, the Hydroelectric System or the Energy System by one or more rating agencies or the scheduled termination of the 2014 Loan Agreement, amounts due under the 2014 Loan Agreement may become immediately due and payable. The 2014 Loan Agreement is scheduled to terminate three years from its effective date, unless extended in accordance with its terms. If the 2014 Loan Agreement terminates and certain conditions are met, any amounts outstanding under the 2014 Loan Agreement may be converted to a term loan, payable in twelve substantially equal quarterly installments.

On or prior to the date of issuance of the 2014 Bonds, the District expects to draw approximately \$4,310,000 under the 2014 Loan Agreement, which together with a portion of the proceeds of the 2014 Bonds and certain other moneys, will be used to refund all outstanding obligations with respect to the 2008 Certificates. See the caption “REFUNDING PLAN.”

Energy System

General. The District owns and operates its retail Energy System consisting of 34 miles of transmission lines, 3 substations, and 447 miles of distribution lines. The District’s Energy System serves approximately 8,000 customers in the eastern portion of Merced County, including in the communities and cities of Livingston, Merced and Atwater. To provide electricity to serve its Energy System retail customers, the District has entered into power supply agreements with the Western Area Power Administration, the Turlock Irrigation District (the “TID Agreement”), and Iberdrola Renewables. Energy System Revenues are not available to pay principal of and interest on the 2014 Bonds.

Energy System Commodity Swaps. The price of electricity under the TID Agreement is based on the Daily Intercontinental Exchange, Inc. NP-15 Firm Index. To hedge against fluctuations in the price of electricity under the TID Agreement, the District has entered into several commodity swap transactions. Upon a termination of any of such swap transactions, the District may be required to make certain termination payments. Amounts payable relating to such swap transactions, if any, are payable from Energy System Revenues and would only be payable from Net Water System Revenues and Net Hydroelectric Revenues on a basis that is subordinate to the 2014 Bonds and other Contracts and Bonds.

Drainage District

In 1994, the District formed the Drainage District and began using portions of its irrigation distribution system for urban storm drainage. As of March 31, 2014, the District provided drainage service to approximately 14,950 parcels in certain cities and communities in Merced County. Drainage fees are assessed annually by the District and are collected through the County tax rolls. Drainage fees collected do not constitute Revenues pledged to the payment of principal and interest on the 2014 Bonds and operations and maintenance costs of the Drainage District do not constitute Operations and Maintenance Costs of the Water System or the Hydroelectric System. Notwithstanding the foregoing, if necessary, the District may pay operations and maintenance costs of the Drainage District from Net Revenues after payment of principal of and interest on the 2014 Bonds, the 2005 Installment Purchase Agreement and the 2005 Bonds, as described under the caption “SECURITY FOR THE 2014 BONDS-Flow of Funds” and as set forth in the Indenture.

Parks and Recreation

The District owns, operates and maintains five recreation areas adjacent to Lake McClure and Lake McSwain which consist of the Lake McSwain Recreation Area, located adjacent to Lake McSwain; McClure Point, Barrett Cove, Horseshoe Bend and Bagby Recreation Areas, all located adjacent to Lake McClure (collectively, the “Parks and Recreation Facilities”). A total of six boat launch facilities are available and over 600 campsites are available to the public on a year round basis. Floating marinas are located at two locations on Lake McClure for the boating public. A land-based marina is located adjacent to Lake McSwain. Recreational activities enjoyed in the Recreation Areas include fishing, boating, swimming camping, hiking and bicycling.

In 2011, the District formed the Twin Lakes Management Company to operate the Park and Recreation Facilities. Fees and charges collected by the Twin Lakes Management Company relating to the Parks and Recreation Facilities do not constitute Revenues pledged to the payment of principal of and interest on the 2014 Bonds, and operations and maintenance costs of the Parks and Recreation Facilities do not constitute Operations and Maintenance Costs of the Water System or the Hydroelectric System. Notwithstanding the foregoing, if necessary, the District may pay operations and maintenance costs of the

Parks and Recreation Facilities from Net Revenues after payment of principal of and interest on the 2014 Bonds, the 2005 Installment Purchase Agreement and the 2005 Bonds, as described under the caption “SECURITY FOR THE 2014 BONDS Flow of Funds” and as set forth in the Indenture.

WATER SYSTEM

District Water Supply and Water Rights

The Merced River is the main source of the District’s surface water supply. The District diverts direct flows and stored water impounded in Lake McClure by the New Exchequer Dam on the Merced River. The District holds pre-1914 water rights on the Merced River, local reservoirs and creeks that are intertwined with the District’s distribution system. The District also holds appropriate water right licenses on the Merced River issued by the State Water Resources Control Board, Division of Water Rights (“SWRCB”), for the direct diversion and storage of Merced River water. Three licenses are for consumptive use and allow the District to store up to 605,000 acre-feet from October to June of each year and withdraw from storage up to 516,110 acre-feet throughout each year. The consumptive use licenses are used during the irrigation season. The pre-1914 water rights and the three licenses for power use may be used throughout the year.

The District’s water supply system diverts water from the Merced River at two locations – the Northside Canal and the Main Canal. These diversion canals lead to a network of downstream canals that deliver water for various beneficial uses, primarily agricultural irrigation, but also for groundwater recharge, municipal and industrial uses, water transfers, landscape irrigation and environmental purposes.

The District’s consumptive water distribution system includes more than 725 miles of canals, 207 miles of which have been lined or piped. The system also includes portions of natural streams, creeks, sloughs or drains that convey irrigation water during the irrigation season and storm flows during the off-season. These reaches collect and enable reuse of canal operational discharges and return flows during the irrigation season.

The District is a conjunctive use district that owns and operates 220 groundwater wells, of which 170 are ready for use during dry years. Most wells range in depth from 350 to 500 feet and are constructed of 12 to 18 inch casings. Approximately 50 of the 220 well sites are on standby to be operated during years of surface water shortages. The District operates certain wells annually to serve parcels located at high elevations.

The District owns several small reservoirs controlled by a Supervisory Control and Data Acquisition (“SCADA”) network that are used for regulating flows and balancing the supplies and demands of the District’s Water System.

The District uses the facilities described above to deliver water to a service territory that encompasses approximately 164,000 acres in the County, with an estimated population of 140,000. Cities and communities within the District’s service territory are Merced, Atwater, Livingston, Winton, Le Grand, Snelling, Cressey and El Nido, and the Castle Airport and Aviation Development Center (formerly Castle Air Force Base). The District is the leading provider of irrigation water to over 2,200 customers within its service territory.

The District is committed to provide up to 26,400 acre-feet of irrigation water to the Stevenson Water District, which provides irrigation service to customers within the Merquin Water District and within Stevenson Water District’s own service area. The flow entitlements are delivered through the District’s distribution system from April through September each year. If in any year the New Exchequer reservoir does not fill on or before June 15 to the amount of 289,000 acre-feet, then water deliveries to the Stevenson Water District will be curtailed in the same proportion as District curtailments.

There are several historical system diverters that have agreements allowing diversions of certain amounts of water from the District’s irrigation conveyance system at no cost (the “System Diverters”).

In addition, the District, at times, has chosen to provide supplemental irrigation supplies via water transfer to agricultural lands within its Sphere of Influence in the eastern part of the County, mainly over the Merced Groundwater Basin, with a small portion north of the Merced River. These areas are outside the District's boundary and may include portions of adjacent water districts, such as Le Grand Athlone Water District and Chowchilla Water District. The amount of water sold to users within the Sphere of Influence depends on hydrology and availability of water. Further, the District occasionally makes supplemental water supplies available via water transfers through its distribution system to outside entities, such as adjacent water districts and wildlife refuges.

Since the time of the District's formation in 1919, surface water and groundwater sources have been used conjunctively to meet the District's water demands. Originally, these demands were predominately for agricultural irrigation, although, over time, the magnitude of municipal and industrial pumping increased as the urban centers within the District's territory grew.

The District's normal operating objective is to maximize surface water use subject to availability in order to preserve groundwater for use in years when surface water supplies are limited. Thus, the proportions of surface water use and groundwater use vary from year to year depending primarily on surface water availability and to some extent, on cropping patterns and weather conditions.

During an average wet year, approximately 92% of the District's water is supplied by surface water sources as compared to approximately 85% in an average dry year. The remainder of the supply in each year is provided by groundwater sources. Because of the ongoing drought in the Merced River watershed, the District is currently projecting that approximately 70% of the District's water supply in Fiscal Year 2015 will come from surface water and approximately 30% will come from District groundwater pumping. Certain landowners in the District also own or have access to non-District owned wells.

Merced River Hydroelectric Project. The Merced River Hydroelectric Project is located in central California, in Mariposa County in the western foothills of Sierra Nevada. The existing Merced River Hydroelectric Project consists of two developments – New Exchequer and McSwain. The existing project can store approximately 1,034,330 acre-feet of water (gross storage). The District operates Lake McClure to retain snowmelt from spring time run off for flood control, water supply, recreation, hydroelectric generation and environmental purposes.

On April 8, 1964, the Federal Power Commission (predecessor to FERC) granted the District an initial license to construct and operate the Merced River Hydroelectric Project (31 FPC 897). The initial license term expired on February 28, 2014. The District is currently in the process of acquiring a license renewal with FERC and expects to operate under an annual license on the same terms and conditions as the existing license until the relicensing process concludes. The District projected the relicensing process to cost approximately \$25,000,000. A portion of the proceeds of the 2008 Certificates were used toward relicensing costs. As of March 31, 2014, the District had expended approximately \$20,400,000 on the relicensing effort. See the caption "HYDROELECTRIC SYSTEM—FERC Relicensing" below.

The District is currently operating the Merced River Hydroelectric Project under a one year license from FERC, pending the issuance of a long term license by FERC. While the current FERC schedule suggests a long term license could be issued in 2015, the District cannot predict the actual date by which a long term license may be received from FERC. See the caption "HYDROELECTRIC SYSTEM—FERC Relicensing." Until the long term license is issued, the District expects to continue receiving annual licenses from FERC permitting the continued operations of the Hydroelectric System.

The existing FERC license includes 50 articles, six of which (34, 35, 36, 46, 48 and 50) may be considered expired or dated since they pertain to construction activity which has either been completed, a filing related to a construction activity that has been completed or other related activity has been completed. As a result, the existing license includes 44 active articles, 33 of which are standard articles included in most

licenses issued for a major project in the 1960s. The remaining 11 active articles may be considered project-specific articles to the Merced River Hydroelectric Project. Articles 39 through 45 and Article 47, which more directly affect the obligations of the District (referred to as “Licensee” below) with respect to streamflow in the Merced River, are provided below as they appear in the expired FERC license.

Article 39. The Licensee shall enter into an agreement with the Department of the Army providing for the operation of the project for flood control in accordance with rules and regulations prescribed by the Secretary of the Army. A conformed copy of the agreement shall be filed with the Commission for its information and records prior to commencement of construction of project works.

Article 40. The Licensee shall provide minimum streamflows in the Merced River downstream from the project reservoirs in accordance with the following schedule:

- (a) Downstream from Exchequer Dam, a minimum of 25 cfs at all times.
- (b) At Shaffer Bridge downstream from Exchequer Afterbay Dam, a minimum streamflow shall be maintained as follows:

<i>Period</i>	<i>Normal Year (cfs)</i>	<i>Dry Year (cfs)</i>
June 1 – October 15	25	15
October 16 – October 31	75	60
November 1 – December 31	100	75
January 1 – May 31	75	60

Article 41. The Licensee shall, insofar as possible during the period November 1 through December 31, regulate the Merced River streamflow downstream from the Exchequer afterbay development between 100 and 200 cfs except during dry years when the streamflow shall be maintained between 75 and 150 cfs. Streamflow shall be measured at Shaffer Bridge.

Article 42. The Licensee shall operate the power plants so as to avoid rapid fluctuation of the Merced River. At Crocker-Huffman Diversion, the Licensee shall, insofar as possible, restrict the rate of change of release during any one-hour period to not more than double nor less than one-half the amount of release as the start of the change. The Licensee shall during emergency periods, endeavor to make releases in a manner that will not be detrimental to fish.

Article 43. The Licensee shall make all releases at Exchequer Dam during the period October 16 through December 31, from the outlets at or below elevation 485 feet insofar as physically possible.

Article 44. The Licensee shall make every reasonable effort to maintain the water surface elevation of Exchequer Reservoir (Lake McClure) as high as possible from April through October consistent with the primary purposes of the reservoir and shall maintain a minimum pool of not less than 115,000 acre-feet in Exchequer Reservoir except for a drawdown as necessary to maintain minimum streamflow as required by Article 40.

Article 45. The Licensee shall cooperate with the Bureau of Sport Fisheries and Wildlife of the U.S. Fish and Wildlife Service to determine means of providing up to 15,000 acre-feet of project water and return flow waters to the Merced National Wildlife Refuge.

Article 47. The Licensee shall, within one year from the effective date of this license, file with the Commission for approval of its proposed recreational use plan for the project. The plan shall be prepared after consultation with appropriate Federal, State and local agencies and shall include recreational improvements, which may be provided by others in addition to the improvements the Licensee plans to provide.

With respect to Article 39, the District operates the Merced River Hydroelectric Project in full compliance with the USACE's document entitled *New Exchequer Dam and Reservoir, Merced River, California; Water Control Manual; Appendix VII to Master Water Control Manual, San Joaquin River Basin, California*, dated October 1981. Such manual sets year-round flood control limits in Lake McClure for rain flood space, and March through July flood control limits for snowmelt flood space or conditional space.

In addition to the current FERC license requirements, four licenses, agreements and other contracts include various streamflow-related requirements, which are summarized below. These licenses, agreements and contracts and the terms and conditions therein are not part of the existing FERC license.

SWRCB Consumptive Use Licenses. Pursuant to the District's consumptive right licenses 2685, 6947 and 16186 (Applications 1224, 10572 and 11,395, respectively), the District is required to supplement flows in the Merced River during October by providing an additional 12,500 acre-feet of water during such month.

Water Deliveries from Lake McClure. The District makes three minor diversions each year from Lake McClure, which diversions have no substantial effect on District operations. These diversions include:

(i) a diversion to Lake Don Pedro Community Services District from a location north of Barrett Cove Marina of up to 5,000 acre-feet. The Lake Don Pedro Community Services District's intake is at 700 feet.

(ii) less than 1,000 acre-feet of water to serve the District's recreation facilities located at Lake McClure (see the caption "—Parks and Recreation" above) and

(iii) Up to 25 acre-feet for the McClure Boat Club, a small development adjacent to the Merced River Hydroelectric Project with a diversion point near the McClure Boat Club. The McClure Boat Club withdraws water from a pump on a float that rises and falls with the reservoir elevation and has an intake ten feet below the float.

Cowell Agreement. The Cowell Agreement is the result of an adjudicated settlement issued by the Merced County Superior Court in 1926. The adjudication established a schedule of rates and times for water releases into the Merced River for riparian water users downstream of the Crocker-Huffman Diversion Dam and is not specific to any individual water user. The adjudication determined that the District must provide water downstream of the Crocker-Huffman Diversion Dam. The water could then be diverted from the Merced River for consumptive purposes by 11 diverters, known as the Cowell Agreement Diverters. In general, these diverters withdraw water from the Merced River via either gravity through ditches or through lift pumps. There is no requirement that each diverter notify the District in advance if such diverter does not plan to take any water and none of the withdrawals or return flows are currently gauged. Under the Cowell Agreement, the District releases from the Crocker-Huffman Diversion Dam up to the following flows for use by the diverters: 100 cfs in March; 175 cfs in April ; 225 cfs in May; 250 cfs from the first day in June until the natural flow of the Merced River falls below 1,200 cfs; 225 cfs flow for the next 31 days; 175 cfs flow for the next 31 days; 150 cfs for the next 30 days; and 50 cfs thereafter or the natural inflow into Lake McClure, whichever is less, through the last day of February. The District expects these diversions to continue. The Cowell Agreement does not have an expiration date.

Davis-Grunsky Agreement. The Davis-Grunsky Agreement was entered into by the District and the State in 1967. Under the terms of such agreement, the District agreed to provide a continuous flow between 180 cfs and 220 cfs in the Merced River between the Crocker-Huffman Diversion Dam and Shaffer Bridge from November through March of each year. The Davis-Grunsky Agreement expires on December 17, 2017.

Bay-Delta Matters

Much of California's developed water supply flows into or is exported from the Sacramento-San Joaquin River Delta/San Francisco Bay Estuary (the "Bay-Delta"). Beset by claimed degraded environmental

conditions, conflicting federal and state laws, and extensive litigation, the Bay-Delta has become a bottleneck to water supply for the Central Valley Project and State Water Project. In December 1994, key federal and state agencies, together with stakeholders in the water community representing agricultural, urban and environmental perspectives, entered into a historic document entitled “Principles for Agreement on Bay/Delta Standards Between the State of California and the Federal Government” (the “Bay/Delta Accord”). Hailed as a truce in California’s water wars, the Bay/Delta Accord outlined new water quality standards designed to restore and protect the Bay-Delta Estuary and aquatic species, including anadromous fish. The Bay/Delta Accord was expected to reduce the water available for consumptive uses by an average of 300,000-400,000 acre-feet per year, and to assure water users that no additional reductions would occur for purposes of implementing statutes, such as the Federal Endangered Species Act. The Bay/Delta Accord also called for a cooperative state-federal program, known as “CALFED.” Several recent decisions by the United States District Court for the Eastern District of California have held that biological opinions issued by federal fisheries agencies to protect delta smelt and other aquatic species were deficient and required them to be re-done, but continued to enforce instream flow schedules for federal Central Valley Project reservoirs and restrictions on pumping water from the Bay-Delta. Some of these decisions have been revisited and revised, but the litigation continues. These decisions and other pending regulatory actions suggest continuing uncertainty in the reliability of the Bay-Delta as a dependable water source in the near future, in particular for water users south of the Bay Delta, and on the west side of the San Joaquin Valley.

Because the District receives its water supply from the Merced River watershed and is located on the eastern side of the San Joaquin Valley without access or the ability to use water exported from the Bay Delta as part of either the CVP or SWP, the District is not likely to be significantly affected by the regulatory or legal uncertainty discussed above. However, it is not out of the range of possibility that impacts could occur at some point in the future. Such changes could also impact other major water rights owners and water users in the San Joaquin River watershed. Among the actual or potential regulatory activities are the following:

1. The State of California’s ability, primarily through the State Water Resources Control Board, to use (i) the authority to regulate the public trust and (ii) the authority under Article X, Section II of the California Constitution to determine reasonable and beneficial water uses by water rights holders and water users in order to protect fisheries and increase the reliability of the State’s water supply for urban areas.

2. In Decision 1641, the State Water Resources Control Board (the “SWRCB”) ordered the implementation of the flow schedule described in the San Joaquin River Agreement, to which the District is a party, to implement the Water Quality Control Plan for the San Francisco Bay/Sacramento-San Joaquin Delta Estuary that was adopted in May 1995 (the “Bay-Delta Standards”). The District is a member of the San Joaquin River Group Authority and the San Joaquin Tributaries Authority, both of which are joint powers authorities, and along with other members of the San Joaquin River Group Authority and San Joaquin Tributaries Authority, and was contractually committed to supply a quantity of water to assist in meeting the flow schedule. The District’s contractual obligation expired at the end of 2011.

3. The SWRCB last updated the Bay-Delta Standards in 2006. The SWRCB is in the process of updating the Bay-Delta Standards and is preparing a substitute environmental document as part of that process. The substitute environmental document will serve as the environmental review document for compliance with the California Environmental Quality Act. The SWRCB also issued three technical appendices. One is in support of the new standards and the other two describe impacts to agriculture and hydropower generation. The technical appendices are premised on San Joaquin River flow standards that would be based on a range from 20% to 60% of unimpaired runoff. The SWRCB is expected to prepare a plan based on the environmental document and at some point in the future, commence proceedings to enforce the new standards. In past enforcement proceedings, the SWRCB has implemented standards based on the water rights priority system. If the same process is observed in this upcoming process, the Bureau of Reclamation’s water rights for its New Melones Reservoir on the Stanislaus would be the first to be affected as they are junior in priority to those of the District. The effect of the new standards on the District’s water supply depend upon what standards are adopted and how the SWRCB implements the new standards.

4. The Merced River and other San Joaquin River tributaries have been listed as impaired water bodies under the Federal Clean Water Act and Total Maximum Daily Loads (“TMDL”) for dissolved oxygen, salt and boron have been set for the Bay-Delta. In addition, a TMDL for temperature could be set for the Bay-Delta. It is possible that regulatory actions to enforce such standards could be imposed, which could limit the District’s drainage to the San Joaquin River system or require that additional flows be provided to the San Joaquin River system.

The District often participates with other irrigation districts with water rights on the eastern side of the San Joaquin River in regulatory proceedings involving the above issues and in related litigation.

Water Service Charges

The District has historically charged its irrigation customers both a per acre-foot irrigation charge and a per acre standby charge. For Fiscal Year 2013 and prior, the per acre-foot irrigation charge was \$18.25. In Fiscal Year 2014, the per acre-foot irrigation charge was \$23.25. The standby charge has been \$24 per acre for many years. Municipal and industrial users are charged \$125 per acre-foot but are not assessed a standby charge.

In response to the ongoing drought in the Merced River watershed, on April 18, 2014 after a notice, public hearing and protest process described under the caption “CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218,” the Board approved an increase of approximately \$80 to the per acre-foot irrigation charge, bringing the total per acre-foot charge to approximately \$100.67. Such rate increase was effective as of April 18, 2014, the beginning of the irrigation season. In connection with such protest process, the District received 4,313 votes in favor of the increase in the per-acre foot charge and 776 votes against. Such per acre-foot charge was reduced to \$75 by the Board on June 3, 2014 after execution of a water transfer agreement described under the caption “THE DISTRICT-Historic Other Water Sales-Other Water Sales in Fiscal Year 2015.”

In addition to the increase to the per acre-foot charge, the District proposed an increase of \$10 per acre to the standby charge for Fiscal Year 2015. The proposed increase to the standby charge was required to be approved by landowners as described under the caption “CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218”. The proposed increase in the standby charge was not approved by the landowners and no increase to the standby charge was made in accordance with California law.

The table below sets forth a comparison of the latest District water service charges (including the rate increase described above) to the current charges of agricultural water providers in the vicinity of the District. The table represents the cost per acre-foot of water delivered set in each year or a flat charge per acre in each respective district:

<i>Water Provider</i>	<i>Rate</i>
District⁽¹⁾	\$75.00 per acre-foot
Turlock Irrigation District	26.00
Fresno Irrigation District	40.38
Chowchilla Irrigation District	55.00
Madera Irrigation District	110.00

⁽¹⁾ The District also charges a standby charge of \$24.00 per acre.
Source: District.

For information with respect to certain constitutional provisions which may affect the ability of the District to increase rates and charges above level approved on April 18, 2014, see the caption “CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES.” The Board may reduce

such rates in the future, subject to the rate covenant described under the caption “SECURITY FOR THE 2014 BONDS—Rate Covenant.”

Beginning in Fiscal Year 2014, the District began a voluntary groundwater pumping program. In Fiscal Year 2014, the per acre charge for District pumped groundwater was \$73.25. In Fiscal Year 2015, the per acre-foot charge for District pumped groundwater is \$110. The District currently projects the per acre-foot charge for District pumped groundwater remaining at \$110.

Collection Procedures. Bills for the standby charge are sent out in April and are payable in two equal payments due each May 15 and June 30.

Customers are billed on a monthly basis for water use with bills are typically rendered between the 1st and the 5th of the month for the prior month’s consumption. Payment is typically due by the 25th of the month, becoming delinquent on the 26th. Delinquent amounts are subject to 1% interest per month on the past due balance.

If the past due amount is not paid within 30 days following the due date the customer’s account will be placed on hold and no water orders will be accepted until the past due amount is paid or a payment arrangement is made. If the past due amount is not paid by mid-August, the District sends delinquent accounts to the county tax collectors where such past due amounts are added to tax roll. As of August 31, 2013, approximately 225 accounts were past due aggregating approximately \$58,400. As the tax roll is submitted to the County on August 31 of each year, the past due amounts for 2014 are not yet available.

Small Hydroelectric Projects

The District has entered into an agreement with the Turlock Irrigation District (the “Small Hydroelectric Project Agreement”) relating to the three small hydroelectric projects owned by the District. Under the terms of Small Hydroelectric Project Agreement, the Turlock Irrigation District operates and maintains the three small hydroelectric projects and receives all revenues from the sale of power produced. The District shares in any profits pursuant to a formula set forth in the Small Hydroelectric Project Agreement. Revenues received by the District pursuant to the terms of the Small Hydroelectric Project Agreement are allocated to Water System Revenues and are pledged to the payment of principal of and interest on the 2014 Bonds.

Future Water System Improvements

The District routinely makes capital improvements and additions to the District’s Water System. The District’s existing capital improvement plan currently anticipates spending approximately \$2,000,000 per year (annualized) on capital improvements. The cost of such capital improvements and additions are currently expected to be paid from the 2014 Loan Agreement, Net Water System Revenues and existing reserves. This annualized estimate, however, is likely to change as the District is currently preparing a Water Resources Management Plan (“WRMP”). The WRMP is the District’s long-range business plan (30 years) designed to be updated periodically. A major goal included in the WRMP is the development of an updated capital improvement plan, including developing costs and financial options to meet the District’s long-range operations and maintenance and infrastructure requirements. The WRMP will also consider the financial relationship between the District’s Water System, Parks and Recreation Facilities and Hydroelectric System. The WRMP is expected to be completed in 2015.

Factors Affecting Agriculture Generally

The District’s ability to make payments of principal of and interest on the 2014 Bonds is dependent on the collection of water rates and standby charges from the water rate payers and owners of the land within the District. Substantially all of the land within the District is under commercial agricultural cultivation. A

number of factors, including but not limited to weather conditions, crop prices, disease and crop predation, federal and State agricultural and environmental policies, federal reclamation law policies, national and international trade policies, soil quality, drainage or other soil conditions, operational conditions as well as general economic conditions may adversely affect the ability of rate payers or property owners to pay water rates or standby charges. If one or a combination of these factors adversely impacts the ability of the owners or rate payers to make such payment, the District expects that collection of water and/or standby charges in the District would decline. The District does not believe that such decline would adversely affect the ability of the District to make payments of principal of and interest on the 2014 Bonds unless such factors extended for a substantial period of time.

Historic Water Flow and Storage

Normally, the District's irrigation season extends from late March into October. Historically, water deliveries average just over 3.0 acre feet per acre, with a high of 4.0 acre feet per acre in 1972, and a low of a projected 1.1 acre feet per acre in 2014. The table below shows water flows from the New Exchequer and McSwain Reservoirs for the previous five irrigation years:

Historical Water Flows

<i>Irrigation Year</i>	<i>Inflows (acre-feet)</i>	<i>Outflows (acre-feet)⁽¹⁾</i>	<i>Total Acre-Feet Sold to District Customers⁽²⁾</i>	<i>End of Season Storage</i>
2013	463,873	466,781	265,613	258,425
2012	394,214	597,759	315,295	384,794
2011	1,884,642	1,346,962	288,865	687,499
2010	1,040,432	710,867	277,789	649,066
2009	912,946	563,369	251,775	412,233

⁽¹⁾ Includes releases, transfers to other agencies and sales to non-District customers and sales to District customers.

⁽²⁾ Prior to 2013, the District did not separate out District pumped groundwater for surface water.

⁽³⁾ Includes amounts for the 15 month period ended March 31, 2013. See the caption "THE DISTRICT—Budget Process" above regarding the District's modification of its Fiscal Year in 2013.

Source: The District.

For planning purposes, the District generally assumes 275,000 to 300,000 acre-feet of irrigation water sales to customers within the District. Water available varies primarily based on reservoir levels and known and projected hydrology. Under the current drought conditions, the District is estimating that approximately 132,500 acre-feet of water will be available to customers within the District for the 2014 irrigation season, including groundwater pumped by the District.

Historic Accounts, Deliveries and Service Charges

The following table summarizes the number of accounts, deliveries and service charges for the six most recent irrigation years. Increases in accounts are primarily a result of a division of existing water services into multiple accounts, not additional new services.

Historic Accounts, Deliveries and Service Charges

<i>Irrigation Year⁽¹⁾</i>	<i>Number of Accounts</i>	<i>Total Acre-Feet Delivered</i>	<i>In District Service Charges⁽²⁾</i>	<i>Supplemental Water Service Charges⁽³⁾</i>
2013	2,260	265,613	\$5,874,219	\$2,809,604
2012 ⁽⁴⁾	2,237	309,340	6,667,327	86,368
2011	1,899	263,194	4,951,558	0
2010	1,867	261,320	4,912,560	0
2009	1,935	251,775	4,006,991	0

⁽¹⁾ An Irrigation Year generally covers the period from March through October. Beginning with Fiscal Year 2015, the District will report Accounts, Deliveries and Service Charges amounts based on a Fiscal Year ending March 31 of each year. See “—Projected Accounts, Deliveries and Service Charges” below.

⁽²⁾ Surface water charges based on a fiscal year basis.

⁽³⁾ District pumped groundwater deliveries. Prior to 2014, the District did not separate out District pumped groundwater from surface water. Starting in 2014, the District began a voluntary pumped groundwater program with a separate per acre-foot charge. See the caption “—Water Service Charges.”

⁽⁴⁾ Includes amounts for the 15 month period ended March 31, 2013. See the caption “THE DISTRICT—Budget Process” above regarding the District’s modification of its Fiscal Year.

Source: District.

Projected Accounts, Deliveries and Service Charges

The table below shows the District’s estimates of the accounts, deliveries and service charges for the current and next four Fiscal Years. For Fiscal Years 2016 and 2017, the District is currently projecting reducing the per acre-foot water charge from \$75 to \$58 and \$47, respectively. Thereafter, the District is projecting the per acre-foot water charge to remain at \$47. Because the per acre-foot charge for water charged by the District may change for a variety of factors, including the amount of water projected to be available for delivery, the actual per acre-foot water charge in future years may vary materially from these projections.

Projected Accounts, Deliveries and Service Charges

<i>Fiscal Year (Ending March 31)</i>	<i>Number of Accounts</i>	<i>Total Acre-Feet Delivered</i>	<i>In-District Water Revenue⁽¹⁾</i>	<i>Supplemental Water Revenue⁽²⁾</i>
2015 ⁽³⁾	2,200	132,500	\$ 8,116,930	\$3,080,000
2016	2,200	275,000	12,470,000	6,600,000
2017	2,200	300,000	14,100,000	0
2018	2,200	300,000	15,000,000	0
2019	2,200	300,000	15,000,000	0

⁽¹⁾ Surface water deliveries.

⁽²⁾ District pumped groundwater deliveries. Current per acre-foot charge for the District pumped groundwater is \$110 and the District projects the same rate in Fiscal Year 2016. See the caption “—Water Service Charges.”

⁽³⁾ Reflects Fiscal Year 2015 budgeted amounts.

Source: District.

The total acre-feet of water projected to be delivered in Fiscal Year ending March 31, 2015 reflect current drought conditions. Service charges for Fiscal Year 2015 reflect rates approved by the Board of Directors on April 18, 2014, as reduced on June 3, 2014. See the caption “—Water Service Charges.” The projections for Fiscal Year 2016 reflects a projected increase in District groundwater pumping and thereafter assume a return to more normal hydrological conditions.

Historic Other Water Sales

General. The District enters into certain arrangements from time to time to sell water to entities outside of the District. These sales vary significantly from year-to-year based on weather, regulatory and other factors. Water deliveries to entities outside of the District have ranged from approximately 26,000 acre feet to approximately 55,000 acre feet during the last five Fiscal Years. The following describes certain recent arrangements entered into by the District to sell water to entities outside of the District.

San Joaquin River Agreement. The District, along with other districts and water agencies, is a member of the San Joaquin River Group Authority. The San Joaquin River Group Authority members reached agreements with federal, state and local agencies receiving water exported to them via the Bay-Delta Estuary in regard to implementing the San Joaquin River portion of the Bay Delta 1995 Water Quality Plan (the “San Joaquin River Agreement”). A key provision of the San Joaquin River Agreement was the implementation of the Vernalis Adaptive Management Plan (the “VAMP”), a plan developed to monitor and respond to changes in water flow in the San Joaquin River through the Sacramento-San Joaquin Delta. Such agreements required San Joaquin River Group Authority members to provide water under certain conditions to assist in meeting water flow and other provisions of the VAMP. The San Joaquin River Group Authority was obligated to provide a maximum of 110,000 acre-feet per year with the District obligated to provide 55,000 of those acre-feet. In addition, the District was required under the San Joaquin River Agreement to provide an additional flow of 12,500 acre-feet during the fall. The San Joaquin River Agreement expired by its terms on December 31, 2011, however, the District’s requirement to provide the 12,500 acre-feet flow during the fall has been incorporated into the District’s licenses described under the caption “—District Water Supply and Water Rights” above.

Since the expiration of the San Joaquin River Agreement, the District has entered into one-year transfers with various agencies for environmental, agricultural and other ancillary purposes. The District is currently negotiating agreements for multi-year water transfers, however, the District is unable to predict whether such agreements will be reached or what the exact terms and conditions such agreements may include.

Bureau of Reclamation. The District enters into agreements with the U.S. Bureau of Reclamation from time-to-time for the sale of water for environmental and other purposes. Such agreements are generally not long-term arrangements. While the District expects to make sale of water to the Bureau of Reclamation in the future, the District is not able to predict the amounts, prices or terms thereof.

Historic Other Water Deliveries

The following table summarizes other water deliveries by the District in each of the five most recent Fiscal Years.

	Historic Other Water Deliveries (Acre-Feet)				
	2014	2013 ⁽¹⁾	2011	2010	2009
U.S. Bureau of Reclamation	32,255	29,194	893	500	0
Vernalis Adaptive Management Plan	0	0	25,000	25,000	25,000
Sphere of Influence Agricultural Users	0	5,955	0	0	0
Westlands Water District	0	20,000	0	0	0
Kern County Water Agency	0	0	0	14,269	0
Other	0	0	0	731	1,087
Total	32,255	55,149	25,893	40,500	26,087

⁽¹⁾ Includes amounts for the 15 month period ended March 31, 2013. See the caption “THE DISTRICT—Budget Process” above regarding the District’s modification of its Fiscal Year.

Source: District.

Historic Other Water Sales Revenues

The following table summarizes Revenues received by the District from other water sales in each of the five most recent Fiscal Years.

	2014	2013 ⁽¹⁾	2011	2010	2009
U.S. Bureau of Reclamation	\$3,699,943	\$3,030,466	\$ 89,253	\$ 50,000	\$ 0
Vernalis Adaptive Management Plan	0	0	3,114,005	3,789,023	3,923,434
Sphere of Influence Agricultural Users	0	870,859	0	0	0
Westlands Water District	0	1,350,000	0	0	0
Kern County Water Agency	0	0	0	2,872,825	0
Other	0	450,000 ⁽²⁾	0	147,175	1,133,400
Total	\$3,699,943	\$5,701,325	\$3,203,258	\$6,859,023	\$5,056,834

⁽¹⁾ Includes amounts for the 15 month period ended March 31, 2013. See the caption “THE DISTRICT—Budget Process” above regarding the District’s modification of its Fiscal Year.

⁽²⁾ Reflects recognition of previously deferred revenue of \$450,000 which was originally received in connection with a water transfer in 2007.

Source: District.

Other Water Sales In Fiscal Year 2015

In calendar year 2014, California is experiencing a third year of drought conditions. During the spring of 2014, the California Department of Fish and Wildlife requested the District release 5,000 acre-feet of water into the Merced River as a pulse flow during April and early May to support certain migrating aquatic species. The District released the 5,000 acre-feet as requested by the California Department of Fish and Wildlife. Such water was purchased by the San Luis Water District and the Santa Clara Valley District from the District for \$1,000 per acre-foot. The District expects to recognize all \$5,000,000 from such water sale in Fiscal Year 2015, but to deposit approximately \$1,500,000 of such moneys in the Rate Stabilization Fund. As a result, only approximately \$3,500,000 of such moneys will be included in Water System Revenues for Fiscal Year 2014 for purposes of the Indenture.

Historic and Projected 1% Property Tax Revenues

Property Tax Revenues - General. The County levies a 1% ad valorem property tax on behalf of all taxing agencies in the County, including the District (the “Property Tax”). The taxes collected are allocated to taxing agencies within the County, including the District, on the basis of a formula established by State law enacted in 1979. Under this formula, the County and all other taxing entities receive a base year allocation plus an allocation on the basis of “situs” growth in assessed value (new construction, change of ownership, and inflation) prorated among the jurisdictions which serve the tax rate areas within which the growth occurs. Tax rate areas are specifically defined geographic areas which were developed to permit the levying of taxes for less than county-wide or less than city-wide special districts.

For the 12 month period ended March 31, 2014, the District received \$2,865,870 as the District’s share of the County’s 1% ad valorem property tax. From time to time legislation has been considered as part of the State of California budget to shift Property Tax revenues from special districts to school districts or other governmental entities. While legislation enacted in connection with the 1992-93 State of California budget shifted approximately 35% of many special districts’ shares of the countywide 1% ad valorem property tax, certain special districts were exempted.

The 2004-05 State budget reallocated additional portions of the special districts' shares of the county-wide 1% ad valorem property tax, shifting a portion of the Property Tax revenues collected by the County from special districts to school districts. As a result of the 2004-05 State of California budget, the District lost approximately \$3,000,000 of Property Tax revenues, cumulatively, over Fiscal Years 2005 and 2006. Pursuant to the 2004-05 State of California budget, such Property Tax revenues reverted to the District in Fiscal Year 2007.

On November 2, 2004, State voters approved Proposition 1A, which amends the State Constitution to significantly reduce the State's authority over major local government revenue sources. Under Proposition 1A, the State may not, among other things: (i) shift property taxes from local governments to schools or community colleges; or (ii) change how 1% ad valorem property tax revenues are shared among local governments without two-thirds approval of both houses of the State Legislature. Beginning in Fiscal Year 2009-10, the State may shift to schools and community colleges a limited amount of local government Property Tax revenues if certain conditions are met, including: (a) a proclamation by the Governor that the shift is needed due to a severe financial hardship of the State; and (b) approval of the shift by the State Legislature with a two-thirds vote of both houses. Under such a shift, the State must repay local governments for their property tax losses, with interest, within three years. Proposition 1A does allow the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Given the magnitude of the State's projected budgetary deficit, it is possible that the Governor may proclaim that a shift of additional local property tax revenue, including tax revenue of the District, is needed due to severe financial hardship.

On July 28, 2009, the Governor of the State signed a revised State fiscal year 2009-10 budget which included a shift of approximately 8% of the 1% ad valorem property tax revenues (other than unitary taxes) from certain local agencies, including the District, to school districts and other governmental agencies. The District participated in the State of California Proposition 1A Receivables Program to securitize its receivable from the State, and as a result received the funds shifted, without interest, in two installment payments in January and May 2010. Proposition 1A does allow the State of California to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county.

There can be no assurance that the Property Tax revenues the District currently expects to receive will not be temporarily shifted from the District pursuant to Proposition 1A, or reduced pursuant to State legislation enacted in the future. The District cannot predict whether the State of California will again temporarily shift some amount of the Property Tax revenues away from the District in future State fiscal years. If the property tax formula is permanently changed in the future, it could have a material adverse effect on the receipt of Property Tax Revenues by the District.

Property Tax Revenues. The following table provides a record of the amount the District received as its share of the 1% ad valorem property tax (and certain other property tax derived revenue) during the five most recent Fiscal Years.

Property Tax Revenues

<i>Fiscal Year</i>	<i>Amount Received by District⁽¹⁾</i>
2014 ⁽²⁾	\$ 2,865,870
2013 ⁽²⁾	2,342,891
2012	1,732,334
2011	1,854,222
2010	1,945,466

⁽¹⁾ District allocation based on County fiscal year ending on June 30; differs from Property Tax Revenues shown under “DISTRICT FINANCIAL AND OPERATING INFORMATION—Historic Operating Results and Debt Service Coverage,” which is based on District Fiscal Year ending December 31 or March 31 of each year, as applicable.

⁽²⁾ Amounts in Fiscal Year 2013 and Fiscal Year 2014 reflect receipt in Fiscal Year 2014 of a distribution of property tax revenues which would have been historically received from the County in Fiscal Year 2013. See the caption “THE DISTRICT – Budget Process” above regarding the District’s modification of its Fiscal Year in 2013.

Source: District.

The following table provides amounts the District projects as its share of the 1% ad valorem property tax for the current and next four Fiscal Years. The District does not budget for the receipt of other property tax related revenues which may be received from time-to-time.

Projected Property Tax Revenues

<i>Fiscal Year</i>	<i>Amount Received by District⁽¹⁾</i>
2015	\$ 2,080,800
2016	2,122,416
2017	2,164,864
2018	2,208,162
2019	2,252,325

⁽¹⁾ District allocation based on County fiscal year ending on June 30; differs from Property Tax Revenues shown under “DISTRICT FINANCIAL AND OPERATING INFORMATION—Historic Operating Results and Debt Service Coverage,” which is based on District Fiscal Year ending March 31.

Source: District.

Teeter Plan

The District is included in the County’s Teeter Plan and, as described below, so long as the Teeter Plan remains in effect with respect to the District, the District will be paid 100% of the amount of Property Taxes levied regardless of whether the County has actually collected the levies.

In 1949, the California Legislature enacted an alternative method for the distribution of secured property taxes to local agencies. This method, known as the Teeter Plan, is now set forth in Section 4701-4717 of the California Revenue and Taxation Code. Upon adoption and implementation of this method by a county board of supervisors, local agencies for which the county acts as “bank” and certain other public agencies and taxing areas located in the county receive annually the full amount of their share of property taxes on the secured roll, including delinquent property taxes which have yet to be collected. A county benefits from the Teeter Plan by retaining penalties associated with these delinquent taxes when they are paid and the Teeter Plan provides participating local agencies with stable cash flow with respect to Property Tax revenues and the elimination of collection risk.

Upon making a Teeter Plan election, a county must initially provide a participating local agency with 95% of the estimated amount of the then accumulated tax delinquencies (excluding penalties) for that agency. In the case of the initial year distribution of special taxes and assessments (if a county has elected to include assessments), 100% of the tax delinquencies (excluding penalties) are to be apportioned to the participating local agency which levied the tax. After the initial distribution, each participating local agency receives annually 100% of the secured property tax levies to which it is otherwise entitled, regardless of whether the county has actually collected the levies.

If any tax or assessment which was distributed to a Teeter Plan participant is subsequently changed by correction, cancellation or refund, a pro rata adjustment for the amount of the change is made on the records of the treasurer and auditor of the county. Such adjustment for a decrease in the tax or assessment is treated by the County as an interest-free offset against future advances of tax levies under the Teeter Plan.

Once adopted, a county's Teeter Plan will remain in effect in perpetuity unless the board of supervisors orders its discontinuance or unless prior to the commencement of a fiscal year a petition for discontinuance is received and joined in by resolutions of the governing bodies of not less than two-thirds of the participating districts in the county. An electing county may, however, opt to discontinue the Teeter Plan with respect to any levying agency in the county if the board of supervisors, by action taken not later than July 15 of a fiscal year, elects to discontinue the procedure with respect to such levying agency and the rate of secured tax delinquencies in that agency in any year exceeds 3% of the total of all taxes and assessments levied on the secured roll by that agency. A termination of the Teeter Plan with respect to the District would eliminate such protection from delinquent Property Taxes.

HYDROELECTRIC SYSTEM

General

Since completion in 1967, the District has owned, operated and maintained the New Exchequer and McSwain dams, reservoirs and hydroelectric facilities (the "Hydroelectric System"), which are the main facilities of the District's Hydroelectric System. The New Exchequer and the McSwain Reservoirs are the District's primary water storage facilities on the Merced River. They are located in the foothills of the western slope of the Sierra Nevada mountain range, approximately 23 miles northeast of Merced, California. The two dams and reservoirs are integral parts of the Merced River Hydroelectric Project, and are licensed by FERC.

In the early 1960's, the District obtained a modification to its FERC license to expand its Exchequer Hydroelectric plant and increase flood control storage for the Merced River. In 1964, the District signed a 50-year Power Purchase contract with Pacific Gas and Electric ("PG&E") which provided PG&E with power output from the expanded plant and, in return, PG&E agreed to pay for operating and maintenance expenses of the hydroelectric plant and make the semi-annual bond payments for the project's financing (the "PG&E Power Contract"). While the PG&E Power Contract was in effect, the District did not receive revenues from the power generated by the Hydroelectric System as such revenues were used for the repayment of bonds that financed the project. The PG&E Power Contract expired on February 28, 2014.

As of March 1, 2014, the District is sole owner of the electricity produced by the Hydroelectric System and may use such electricity for purposes including, but not limited to, selling it to the District's Energy System customers or selling it to outside purchasers on the open market.

FERC Relicensing

The District's operating license for the Hydroelectric System from FERC expired on February 28, 2014. The District is currently operating and expects to continue operating an annual licenses until a new license is issued. The Federal Power Act requires that FERC issue annual licenses under the terms and conditions of the expired license until such time as responsibility and operation of the applicable project is

assumed by the federal government or a new license is issued. The District expected the relicensing process to cost approximately \$25,000,000. A portion of the proceeds of the 2008 Certificates were used toward the relicensing costs. As of March 31, 2014, the District had expended approximately \$20,400,000 on the relicensing efforts. The District expects FERC to issue a new license after the issuance of the final Environmental Assessment or Environmental Impact Statement prepared by FERC. The District is currently operating the Merced River Hydroelectric Project under a one year license from the Federal Energy Regulatory Commission, pending the issuance of a long term license by FERC. While the current FERC schedule suggests a long term license could be issued in 2015, the District cannot predict the actual date by which a long term license may be received from FERC. See the caption “HYDROELECTRIC SYSTEM—FERC Relicensing.” Until the long term license is issued, the District expects to continue receiving annual licenses from FERC permitting the continued operations of the Hydroelectric System.

Mariposa Settlement

On September 5, 2012, the District filed a complaint in the Superior Court of Merced County for declaratory relief against the County of Mariposa (“Mariposa County”) concerning the interpretation and implementation of the Agreement between Merced Irrigation District and the County of Mariposa for Settlement of Water Rights Dispute dated March 1, 1960 (the “Settlement Agreement”). The District and Mariposa County entered into the Settlement Agreement in 1960 to resolve Mariposa County’s opposition to the District’s applications to the State Water Rights Board (now known as the State Water Rights Control Board) for appropriation of water from the South Fork of the Merced River and its intervention in opposition to the granting of a license for the New Exchequer Dam from the Federal Power Commission (now Federal Energy Relicensing Board). Under the Settlement Agreement, Mariposa County withdrew, inter alia, its opposition to the District’s applications for water permits and license associated with the District’s New Exchequer Dam and hydroelectric power project.

Paragraph 1 of the Settlement Agreement allows Mariposa County to deplete up to 112,000 acre-feet per year (subsequently reduced by amendment to 70,000 acre-feet) per year of water from the District’s water rights granted by the State Water Resources Control Board relating to the permits mentioned above. Paragraph 2 of the Settlement Agreement also required the District to pay to Mariposa County the sum of \$100,000 per year for a period of 50 years beginning in January 1969. The District has made those payments since 1969, and they have continued through the present.

The dispute relates to the interpretation and implementation of Paragraph 3 of the Settlement Agreement. Paragraph 3 of the Settlement Agreement requires the District, beginning in or about July 2015, to pay to Mariposa County either 20% of the gross power revenues from the project during the preceding year, or 25% of the gross power revenues after deducting operation and maintenance costs and expenses during the preceding year. The District’s payments under Paragraph 3 are to “continue for either (1) a period of 50 years from their commencement or (2) until the cost of financing construction of a project by Mariposa County to fully exercise and utilize the water from the South Fork of the Merced River as set forth in paragraph numbered 1 hereof, has been repaid, whichever occurs first.” (emphasis added).

The District contends that purpose of the payment was to finance a project to bring water from the South Fork of the Merced River into Mariposa County. Between 1987 and 1992, the South Fork of the Merced River was designated as a wild-and-scenic river under the federal Wild and Scenic Rivers Act (16 U.S.C. §§ 1271-1287). As part of the 1992 legislation, Mariposa County was authorized by Congress to construct a small water diversion project on the main stem of the Merced River, and Mariposa County later built that project. The District believes that any obligation on its part to make payments to Mariposa County under Paragraph 3 of the Settlement Agreement ended when the South Fork of the Merced River became subject to the restrictions of the Wild and Scenic Rivers Act, which effectively make it impossible for Mariposa County to build the water project contemplated by the Settlement Agreement.

Mariposa County and District dispute whether the period for payments under the Settlement Agreement either has already passed or will pass, as well as whether the District will be obligated to make payments to Mariposa County at all. Despite lengthy efforts to resolve the disputes short of litigation, the parties were unable to come to an agreement. The litigation is currently in its preliminary discovery phases before the Superior Court of Tulare County (to which it was moved by agreement of Mariposa County and the District in May 2013), and trial is tentatively scheduled for November 2014.

While the District believes it will prevail in the litigation described above, there can be no assurance of the final outcome of such litigation. In the event that a final, non-appealable judgment obligates the District to make payments to Mariposa County under Paragraph 3 of the Settlement Agreement, such payments could be payable from Hydroelectric System Revenues prior to the principal of and interest on the 2014 Bonds. The District does not believe that any such payments, if owed, would have a material adverse effect on the ability of the District to pay the principal of and interest on the 2014 Bonds.

Historic and Projected Hydroelectric Power Generation

The table below shows the power generation for the Hydroelectric System for the current and last four calendar years. Hydroelectric power generation was largely dependent on water flows. For historical information on water flows, see “HISTORIC AND PROJECTED WATER FLOWS” above.

Historic Hydroelectric Power Generation

<i>Calendar Year</i>	<i>New Exchequer Dam Gross Generation (MWH's)</i>	<i>McSwain Dam Gross Generation (MWH's)</i>	<i>Combined Gross Generation (MWH's)</i>
2013	139,840	20,357	160,197
2012	204,360	25,294	229,654
2011	480,020	52,292	532,312
2010	284,220	33,161	317,381
2009	193,800	25,088	218,888

Source: The District.

Prior to expiration of the PG&E Power Contract on June 30, 2014, the District did not receive any revenue from the sale of hydroelectric power generation other than revenues necessary to pay operating and capital expenses under the PG&E Power Contract and debt service on the bonds issued to finance the expansion of the New Exchequer hydroelectric facilities.

On June 30, 2014 the District's contract with PG&E ended. In anticipation of the expiration of such contract, the District executed power purchase contracts with PG&E for energy and Shell Energy for capacity from the plants effective on July 1, 2014. These agreements will terminate on June 30, 2017, unless extended.

The table below shows the projected power generation for the Hydroelectric System for the next five calendar years. For calendar year 2014, the projections below assume generation lower than historical averages as a result of the current drought in the Merced River watershed. Thereafter, the projections assume a return to more normal hydrology.

Projected Hydroelectric Power Generation

<i>Fiscal Year</i>	<i>New Exchequer Dam Gross Generation (MWH's)⁽¹⁾</i>	<i>McSwain Dam Gross Generation (MWH's)</i>	<i>Combined Gross Generation (MWH's)</i>	<i>Hydroelectric Sales Revenues</i>
2015 ⁽²⁾	28,364	12,026	40,390	\$2,221,434
2016	150,000	25,000	175,000	6,331,836
2017	220,000	25,000	245,000	8,819,239
2018	220,000	25,000	245,000	8,819,239
2019	220,000	25,000	245,000	8,819,239

⁽¹⁾ Projected generation has been reduced to reflect the effects of the ongoing drought in the Merced River watershed and a slower return to historic levels.

⁽²⁾ Amounts for 2015 reflect nine months of projected operations between July 1, 2014 (when the PG&E Power Contract expired) and March 31, 2015.

Source: The District.

In the event Net Hydroelectric System Revenues are further reduced or not generated due to drought conditions on the Merced River or other events, the District will be more reliant on Net Water System Revenues and amounts in the Rate Stabilization Fund to pay principal of and interest on the 2014 Bonds. In such case, the District may need to significantly increase rates and charges for Water Service in order to pay the principal of and interest on the 2014 Bonds as they become due. For the District to raise rates and charges of the Water System above the levels approved on April 18, 2014 to increase Net Water System Revenues, it must comply with Proposition 218 notice, public hearing, objection procedures, and other requirements. See “CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND FEES — Proposition 218” herein.

Future Hydroelectric System Improvements

The District projects spending approximately \$8,400,000 on Hydroelectric System capital improvements and additions in the current and next four Fiscal Years. The District anticipates paying for the cost of such improvements and additions from a combination of proceeds the 2014 Loan Agreement, Net Hydroelectric System Revenues and existing reserves.

The District is reviewing the feasibility of connecting its Hydroelectric System to its Energy System, allowing the District to sell electricity generated by the Hydroelectric System directly to its current and future Energy System customers. The District also expects that certain capital improvements to the Hydroelectric System may be required by the terms of the new long term FERC license. No costs for the construction of such connection or for any capital improvements required to comply with a new long term FERC license are currently reflected in the Hydroelectric System capital improvement program.

DISTRICT FINANCIAL AND OPERATING INFORMATION

Financial Statements

A copy of the most recent audited financial statements of the District prepared by Burr Pilger Mayer, Inc. Certified Public Accountants, San Jose, California (the “Auditor”) are included as Appendix A hereto (the “Financial Statements”). The Financial Statements are combined with certain unaudited statistical and supplementary information to form the District’s Comprehensive Annual Financial Report. The Auditor’s letter concludes that the financial statements referred to above present fairly, in all material respects, the financial position of the business-type activities of the District, as of March 31, 2014, and the changes in financial position and cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America. The Auditor is not required to, and has not been asked to, consent to the inclusion of the Financial Statements in this Official Statement.

The summary operating results contained under the caption “—Historic Operating Results and Debt Service Coverage” are derived from the Financial Statements (excluding certain non-cash items and after certain other adjustments) and are qualified in their entirety by reference to such statements, including the notes thereto. See the caption “SECURITY FOR THE 2014 BONDS—Flow of Funds” and “—Rate Stabilization Fund” for a discussion of the recognition of certain revenues and operation and maintenance expenses under GAAP.

District Reserves

The District has established unrestricted funds to use current Net Water System Revenues and future Net Hydroelectric System Revenues to satisfy future spending plans. With respect to its Water System, the District maintains a capital fund, unanticipated infrastructure fund, operating reserve fund, and catastrophe fund which, as of March 31, 2014, were funded in the amounts of \$2,000,000, \$2,000,000, \$5,513,074 and \$748,360, respectively. In addition to such reserves, the District has approximately \$7,250,000 of water transfer revenues which under GAAP will not be recognized as Revenue until the corresponding expenditure is made by the District. The District may modify, amend or remove the use of such funds and the amounts. Due to the expired PG&E Power Contract, the District has previously not received any Hydroelectric System Revenues other than cost reimbursement. As such, no reserves had been established for the Hydroelectric System. The District expects to finance a portion of the operating and capital costs of the Hydroelectric System with the 2014 Loan Agreement until a reserve fund for the Hydroelectric System can be funded from Net Hydroelectric System Revenues. See the caption “THE DISTRICT—Other Outstanding Obligations.” The District has additional reserves that are not designated but are expected to be applied toward other purposes.

Historic Water System Operating Results and Debt Service Coverage

The following table is a summary of operating results of the District’s Water System for Fiscal Year 2014, the 15 month period ended March 31, 2013, and Fiscal Years 2009 through 2011. These results have been derived from the District’s Financial Statements but exclude certain non-cash items and include certain other adjustments. The table has not been audited by the District’s Auditor.

Historic Water System Operating Results and Debt Service Coverage

	2014	2013 ⁽¹⁾	2011	2010	2009
REVENUES					
Water Sales ⁽²⁾	\$11,998,771	\$10,312,735	\$9,613,418	\$9,063,731	\$8,891,727
Water Transfers ⁽³⁾	3,879,498	5,701,325 ⁽⁴⁾	3,203,258	6,859,023	5,056,833
Interest income	71,813	46,565	46,059	61,713	101,063
1% Property Tax Revenue ⁽⁵⁾	2,865,870	1,813,796	1,945,624	1,945,466	2,118,270
Other Revenues ⁽⁶⁾	<u>1,399,161</u>	<u>562,396</u>	<u>566,964</u>	<u>1,337,563</u>	<u>1,148,803</u>
Total Revenues	\$20,215,113	\$18,436,817	\$15,375,323	\$19,267,496	\$17,316,696
OPERATION AND MAINTENANCE COSTS⁽⁷⁾					
Water Distribution	\$16,197,532	\$13,961,533	\$11,042,027	\$12,395,276	\$13,807,527
Administrative and General ⁽⁸⁾	<u>1,961,449</u>	<u>3,076,039</u>	<u>1,572,653</u>	<u>1,544,894</u>	<u>1,172,442</u>
Total Operation and Maintenance Expenses	\$18,158,981	\$17,037,572	\$12,614,680	\$13,940,170	\$14,979,969
NET REVENUES	\$2,056,132	\$ 1,399,245	\$ 2,760,643	\$5,327,326	\$2,336,727
DEBT SERVICE					
2008 Installment Purchase Agreement	\$637,883	\$787,528	\$786,795	\$804,045	\$867,133
COVERAGE	3.22	1.78	3.51	6.63	2.69
NET REVENUES AVAILABLE FOR OTHER DISTRICT PURPOSES	\$1,418,249	\$612,717	\$1,973,848	\$4,523,281	\$1,469,594

(1) Includes amounts for the 15 month period ended March 31, 2013.

(2) Includes Standby Charges, surface water deliveries and District pumped groundwater deliveries.

(3) See the caption "HISTORIC OTHER WATER SALES—Historic Other Water Sales Revenues."

(4) Includes approximately \$450,000 of revenues received by the District pursuant to a water transfer in 2007 and recognized in Fiscal Year 2013. See the caption "WATER SYSTEM—Historic Other Water Sales Revenues."

(5) See the caption "HISTORIC AND PROJECTED 1% PROPERTY TAX REVENUES" for additional information regarding the District's allocation and receipt of property tax revenues.

(6) Includes contributed capital, revenues from other water sales (see the caption "HISTORIC OTHER WATER SALES—Historic Other Water Sales Revenues"), revenues from the small hydroelectric projects (see the caption "WATER SYSTEM—Small Hydroelectric Projects"), engineering and administrative charges and contractual services revenues. Increase in Fiscal Years 2011 and 2010 amounts reflect an increase to contributed capital related to matching grant funding for capital projects.

(7) Excludes hydroelectric transmission and distribution expenses paid from revenues received from PG&E with respect to the PG&E Power Contract and which were not Hydroelectric Operation and Maintenance Costs.

(8) Includes allocation of administrative costs, engineering, inter-fund credits related to work or equipment charged to capital projects and other funds and the annual payment to Mariposa County (see the caption "THE DISTRICT – Mariposa Settlement"). Increase in Fiscal Year 2013 due to a reduction in inter-fund credits charged to capital projects.

Source: District.

Projected Operating Results and Debt Service Coverage

The District's estimated projected Water System and Hydroelectric System operating results for the Fiscal Years ending March 31, 2015 to March 31, 2019 are set forth below, reflecting certain significant assumptions concerning future events and circumstances. The financial forecast represents the District's estimate of projected financial results based on a variety of assumptions, including the assumptions set forth in the footnotes to the chart below. All of such assumptions are material in the development of the District's financial projections, and variations in the assumptions may produce substantially different financial results. Actual operating results achieved during the projection period may vary from those presented in the forecast and such variations may be material.

**Projected Water System and Hydroelectric System
Operating Results and
Debt Service Coverage
Fiscal Years ending March 31**

	<i>2015⁽¹⁾</i>	<i>2016</i>	<i>2017</i>	<i>2018</i>	<i>2019</i>
REVENUES					
Sale of Hydroelectric Energy ⁽²⁾	\$2,221,434	\$6,331,836	\$8,819,239	\$8,819,239	\$8,819,239
Water Sales ⁽³⁾	14,346,930	22,220,000	17,250,000	18,150,000	18,150,000
Water Transfers ⁽⁴⁾	8,100,000	0	0	0	0
1% Property Tax Revenues ⁽⁵⁾	2,040,000	2,000,000	2,000,000	2,000,000	2,000,000
Permission Fee – Water	991,026	1,000,443	1,020,451	1,040,860	1,061,678
Interest income	80,000	80,000	80,000	80,000	80,000
Grants ⁽⁶⁾	0	0	0	0	0
Other Revenues ⁽⁷⁾	393,773	401,341	401,341	401,341	401,341
Transfer from Rate Stabilization	0	0	0	0	0
Transfer to Rate Stabilization	<u>(1,500,000)</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Total Revenues	\$26,673,163	\$32,033,620	\$29,571,031	\$30,491,440	\$30,512,258
OPERATION AND MAINTENANCE COSTS					
Hydroelectric Transmission and Distribution ⁽⁸⁾	\$2,239,716	\$3,275,935	\$3,355,908	\$3,505,416	\$3,663,982
Water Distribution ⁽⁹⁾	16,174,196	16,641,945	14,345,305	15,184,312	16,086,028
Administrative and General ⁽¹⁰⁾	<u>4,124,396</u>	<u>2,992,722</u>	<u>3,054,558</u>	<u>3,176,741</u>	<u>3,303,811</u>
Total Operation and Maintenance Expenses	\$22,538,308	\$22,910,602	\$20,755,771	\$21,866,469	\$23,053,821
NET REVENUES	\$4,134,855	\$9,123,018	\$8,815,260	\$8,624,971	\$7,458,437
DEBT SERVICE					
2008 Installment Purchase Agreement	\$545,316	\$0	\$0	\$0	\$0
2014 Bonds	<u>\$ 0</u>	<u>\$2,741,886</u>	<u>\$2,731,990</u>	<u>\$2,746,080</u>	<u>\$2,475,850</u>
Total Debt Service	\$545,316	\$2,741,886	\$2,731,990	\$2,746,080	\$2,475,850
COVERAGE	7.58	3.33	3.23	3.14	3.01
NET REVENUES AVAILABLE FOR SUBORDINATE DEBT SERVICE	\$3,589,539	\$ 6,381,132	\$ 6,083,270	\$ 5,878,891	\$ 4,982,587
SUBORDINATE DEBT SERVICE					
2005 Installment Purchase Agreement ⁽¹¹⁾	\$0	\$0	\$0	\$0	\$0
2005 Bonds ⁽¹²⁾	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Total Subordinate Debt Service	\$0	\$0	\$0	\$0	\$0
NET REVENUES AVAILABLE FOR ADDITIONAL DISTRICT EXPENSES	\$3,589,539	\$ 6,381,132	\$ 6,083,270	\$ 5,878,891	\$ 4,982,587
Parks and Recreation Operation and Maintenance Costs ⁽¹³⁾	\$1,370,761	\$1,439,299	\$1,511,264	\$1,586,827	\$1,666,169
Drainage District Operation and Maintenance Costs ⁽¹⁴⁾	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Total	\$1,370,761	\$1,439,299	\$1,511,264	\$1,586,827	\$1,666,169
NET REVENUES AVAILABLE FOR OTHER DISTRICT PURPOSES⁽¹⁵⁾	\$2,218,778	\$4,941,833	\$4,572,006	\$4,292,064	\$3,316,418

⁽¹⁾ Based on Fiscal Year 2015 budgeted amounts.

⁽²⁾ Based on projections set forth under the caption “HYDROELECTRIC SYSTEM—Historic and Projected Hydroelectric Power Generation.” Projections are based certain reports prepared by consultants to the District, with certain adjustments, and assumes increases in future electric rates. Lower electric rates and reduction in water flow through the Hydroelectric System could result in materially lower Hydroelectric System revenues received by the District in the years shown. See the caption “HISTORIC AND PROJECTED WATER FLOWS.”

(Footnotes continued on following page)

(Continued from previous page)

- (3) Includes approximately \$3,150,000 of standby charge revenue in each year, surface water sales revenues and, in Fiscal Year 2015 and 2016, District pumped groundwater sales revenues; all as described under the caption “WATER SYSTEM—Projected Accounts, Deliveries and Service Charges.” Reflects current water rates and projected water rates described under the caption “WATER SYSTEM—Water Service Charges.”
- (4) Reflects water transfers described under the caption WATER SYSTEM—Historic Other Water Sales in Fiscal Year 2015.”
- (5) Based on projections under the caption “HISTORIC AND PROJECTED WATER SALES—Property Tax Revenues.”
- (6) Includes operating and capital grants.
- (7) Includes other water revenue (see the caption “HISTORIC OTHER WATER SALES—Historic Other Water Sales Revenues”), revenues from the small hydroelectric projects (see the caption “WATER SYSTEM—Small Hydroelectric Projects”), engineering and administrative charges and contractual services revenues. Projected to remain approximately level with Fiscal Year 2015 budgeted amounts. Excludes non-cash contributed capital.
- (8) Includes Hydroelectric System Operation and Maintenance Costs. Projected to increase in Fiscal Year 2016 approximately 46.3% from Fiscal Year 2015 budgeted amount and approximately 3.8% per annum thereafter. Projected increase in Fiscal Year 2016 from Fiscal Year 2015 budgeted amount results from a budgeted decrease in outside professional services in Fiscal Year 2015.
- (9) Projected to increase approximately 0.2% on average between Fiscal Year 2015 and Fiscal Year 2019. Projected decrease in Fiscal Year 2017 reflects a decrease in expenses relating to electricity wells/boosters.
- (10) Projected to decrease in Fiscal Year 2016 approximately 27.4% from Fiscal Year 2015 budgeted amount and increase 3.4% per annum thereafter. Projected decrease in Fiscal Year 2016 from Fiscal Year 2015 budgeted amount reflects a decrease in legal expenses.
- (11) The District has pledged Net Hydroelectric System Revenues to pay 2005 Installment Payments on a basis subordinate to the payment of principal of and interest on the 2014 Bonds. See the captions “SECURITY FOR THE 2014 BONDS—Limited Obligations Payable From Net Revenues” and “THE DISTRICT—Other Outstanding Obligations.” The District does not project applying any Hydroelectric System Revenues to pay the 2005 Installment Purchase Agreement or the 2005 Bonds which are primarily payable from Energy System revenues. See the caption “THE DISTRICT—Other Outstanding Obligations.”
- (12) The District has pledged Net Hydroelectric System Revenues to pay the principal of and interest on the 2005 Bonds on a basis subordinate to the payment of principal of and interest on the 2014 Bonds. See the captions “SECURITY FOR THE 2014 BONDS—Limited Obligations Payable From Net Revenues” and “THE DISTRICT—Other Outstanding Obligations.”
- (13) Amounts reflect net operation and maintenance costs. The District may pay operations and maintenance costs of the Parks and Recreation Facilities from Net Revenues after payment of principal of and interest on the 2014 Bonds, the 2005 Installment Purchase Agreement and the 2005 Bonds, as set forth in the Indenture. See the captions “SECURITY FOR THE 2014 BONDS—Limited Obligations Payable From Net Revenues” and “THE DISTRICT—Parks and Recreation.”
- (14) Amounts reflect net operation and maintenance costs. The District may pay operations and maintenance costs of the Drainage District from Net Revenues after payment of principal of and interest on the 2014 Bonds, the 2005 Installment Purchase Agreement and the 2005 Bonds, as set forth in the Indenture. See the captions “SECURITY FOR THE 2014 BONDS—Limited Obligations Payable From Net Revenues” and “THE DISTRICT—Parks and Recreation.”
- (15) Includes any amounts available to pay amounts due under the 2014 Loan Agreement. On or prior to the date of issuance of the 2014 Bonds, the District expects to enter into the 2014 Loan Agreement and to draw an amount of approximately \$4,310,000 under the 2014 Loan Agreement, which amount, together with a portion of the proceeds of the 2014 Bonds and certain other money, will be used to refund all outstanding obligations with respect to the 2008 Certificates. See the captions “THE DISTRICT—Other Outstanding Obligations” and “REFUNDING PLAN.”

LITIGATION

There is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, regulatory agency, public board or body, pending or, to the knowledge of the District, threatened against the District affecting the existence of the District or the titles of its directors or officers to their respective offices or seeking to restrain or to enjoin the sale or delivery of the 2014 Bonds, the application of the proceeds thereof in accordance with the Indenture, or in any way contesting or affecting the validity or enforceability of the 2014 Bonds, the Indenture or any action of the District contemplated by any of said documents, or in any way contesting the completeness or accuracy of this Official Statement or any amendment or supplement thereto, or contesting the powers of the District or its authority with respect to the 2014 Bonds or any action of the District contemplated by any of said documents, nor to the knowledge of the District, is there any basis therefor. See the caption “THE DISTRICT – Mariposa Settlement” for a discussion of litigation which could affect the amount of Hydroelectric System Revenues received by the District.

There exist lawsuits and claims against the District which are incidental to the ordinary course of business of the operation of the District. In the view of the District’s general counsel, there is no such litigation present or pending, which will individually or in the aggregate materially impair the District’s ability to pay the principal of and interest on the 2014 Bonds.

CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES

Article XIII B

The State Constitution limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and population. The “base year” for establishing such appropriation limit is the 1978-79 fiscal year and the limit is to be adjusted annually to reflect changes in population and consumer prices. Adjustments in the appropriations limit of an entity may also be made if: (i) the financial responsibility for a service is transferred to another public entity or to a private entity; (ii) the financial source for the provision of services is transferred from taxes to other revenues; or (iii) the voters of the entity approve a change in the limit for a period of time not to exceed four years.

Appropriations subject to Article XIII B generally include the proceeds of taxes levied by the State or other entity of local government, exclusive of certain State subventions and refunds of taxes. “Proceeds of taxes” include, but are not limited to, all tax revenues and the proceeds to an entity of government from: (a) regulatory licenses, user charges, and user fees (but only to the extent such proceeds exceed the cost of providing the service or regulation); and (b) the investment of tax revenues. Article XIII B includes a requirement that if an entity’s revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

Certain expenditures are excluded from the appropriations limit including payments of indebtedness existing or legally authorized as of January 1, 1979, or of bonded indebtedness thereafter approved by the voters and payments required to comply with court or federal mandates which without discretion require an expenditure for additional services or which unavoidably make the providing of existing services more costly.

The District is of the opinion that the rates imposed by the District do not exceed the costs that the District reasonably bears in providing water service. The District will covenant in the Indenture that, to the fullest extent permitted by law, it will prescribe rates and charges that it reasonably expects to be sufficient to provide Net Revenues for payment of principal of and interest on the 2014 Bonds in each year.

Proposition 218

General. An initiative measure entitled the “Right to Vote on Taxes Act” (the “Initiative”) was approved by the voters of the State of California in 1996. The Initiative added Article XIII C and Article XIII D to the California Constitution. According to the “Title and Summary” of the Initiative prepared by the California Attorney General, the Initiative limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.”

Article XIII D. Article XIII D defines the terms “fee” and “charge” to mean “any levy other than an ad valorem tax, a special tax or an assessment, imposed by an agency upon a parcel or upon a person as an incident of property ownership, including user fees or charges for a property-related service.” A “property-related service” is defined as “a public service having a direct relationship to property ownership.” Article XIII D further provides that reliance by an agency on any parcel map (including an assessor’s parcel map) may be considered a significant factor in determining whether a fee or charge is imposed as an incident of property ownership.

Article XIII D requires that any agency imposing or increasing any property-related fee or charge must provide written notice thereof to the record owner of each identified parcel upon which such fee or charge is to be imposed and must conduct a public hearing with respect thereto. The proposed fee or charge may not be imposed or increased if a majority of owners of the identified parcels file written protests against it. As a result, if and to the extent that a fee or charge imposed by a local government for water service is ultimately

determined to be a “fee” or “charge” as defined in Article XIID, the local government’s ability to increase such fee or charge may be limited by a majority protest.

In addition, Article XIID includes a number of limitations applicable to existing fees and charges including provisions to the effect that: (i) revenues derived from the fee or charge shall not exceed the funds required to provide the property-related service; (ii) such revenues shall not be used for any purpose other than that for which the fee or charge was imposed; (iii) the amount of a fee or charge imposed upon any parcel or person as an incident of property ownership shall not exceed the proportional cost of the service attributable to the parcel; and (iv) no such fee or charge may be imposed for a service unless that service is actually used by, or immediately available to, the owner of the property in question. Property-related fees or charges based on potential or future use of a service are not permitted.

Based upon the California Court of Appeal decision in *Howard Jarvis Taxpayers Association v. City of Los Angeles*, 85 Cal. App. 4th 79 (2000), which was denied review by the State Supreme Court, it was generally believed that Article XIID did not apply to charges for water services that are “primarily based on the amount consumed” (i.e., metered water rates), which had been held to be commodity charges related to consumption of the service, not property ownership. The State Supreme Court ruled in *Bighorn-Desert View Water Agency v. Verjil*, 39 Cal.4th 205 (2006) (the “*Bighorn Case*”), however, that fees for ongoing water service through an existing connection were properly-related fees and charges. The State Supreme Court specifically disapproved the holding in *Howard Jarvis Taxpayers Association v. City of Los Angeles* that metered water rates are not subject to Proposition 218.

The District has complied with the notice, hearing and protest procedures in Article XIID with respect to its Water System rates, including those approved on April 18, 2014 and with a proposed increase in the Water System standby charge which was not approved in April 2014. See the caption “WATER SYSTEM—Water Service Charges.”

Article XIIC. Article XIIC provides that the initiative power shall not be prohibited or otherwise limited in matters of reducing or repealing any local tax, assessment, fee or charge and that the power of initiative to affect local taxes, assessments, fees and charges shall be applicable to all local governments. Article XIIC does not define the terms “local tax,” “assessment,” “fee” or “charge,” so it was unclear whether the definitions set forth in Article XIID referred to above are applicable to Article XIIC. Moreover, the provisions of Article XIIC are not expressly limited to local taxes, assessments, fees and charges imposed after November 6, 1996. On July 24, 2006, the Supreme Court held in the *Bighorn Case* that the provisions of Article XIIC included rates and fees charged for domestic water use. In the decision, the Court noted that the decision did not address whether an initiative to reduce fees and charges could override statutory rate setting obligations. The District does not believe that Article XIIC grants to the voters within the District the power to repeal or reduce the water charges in a manner which would be inconsistent with the contractual obligations of the District. However, there can be no assurance of the availability of particular remedies adequate to protect the beneficial owners of the 2014 Bonds. Remedies available to beneficial owners of the 2014 Bonds in the event of a default by the District are dependent upon judicial actions which are often subject to discretion and delay and could prove both expensive and time-consuming to obtain.

In addition to the specific limitations on remedies contained in the applicable documents themselves, the rights and obligations with respect to the 2014 Bonds and the Indenture are subject to bankruptcy, insolvency, reorganization, moratorium, fraudulent conveyance and other similar laws affecting creditors’ rights, to the application of equitable principles if equitable remedies are sought, and to the exercise of judicial discretion in appropriate cases and to limitations on legal remedies against public agencies in the State. The various opinions of counsel to be delivered with respect to such documents, including the opinion of Bond Counsel (the form of which is attached as Appendix C), will be similarly qualified.

The District believes that its current water rates and other property-related charges comply with the requirements of Proposition 218 and expects that any increases in current rates and charges or the adoption of

any new future water rates and other property-related charges will be subject to compliance with Proposition 218's procedural and substantive requirements to the extent applicable thereto.

Future Initiatives

Articles XIII B, XIII C and XIII D were adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiatives could be proposed and adopted affecting the District's revenues or ability to increase revenues.

APPROVAL OF LEGAL PROCEEDINGS

The valid, legal and binding nature of the 2014 Bonds is subject to the approval of Stradling Yocca Carlson & Rauth, a Professional Corporation, acting as Bond Counsel. The form of such legal opinion is attached hereto as Appendix C, and such legal opinion will be attached to each 2014 Bond. Bond Counsel expresses no opinion as to the accuracy, completeness or fairness of this Official Statement or other offering materials relating to the 2014 Bonds and expressly disclaims any duty to advise the Owners of the 2014 Bonds as to matters related to this Official Statement.

Certain legal matters will be passed upon for the District by Phillip R. McMurray, Esq., General Counsel to the District, for the underwriters by their counsel, Nossaman LLP ("Underwriters' Counsel"), for AGM by its counsel and for the Trustee by its counsel. Payment of the fees of Bond Counsel and Underwriters' Counsel is contingent upon the issuance of the 2014 Bonds.

TAX MATTERS

2014A Bonds

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, Newport Beach, California, Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the 2014A Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the 2014A Bonds is exempt from State of California personal income tax. Bond Counsel notes that, with respect to corporations, interest on the 2014A Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.

Bond Counsel's opinion as to the exclusion from gross income of interest on the 2014A Bonds is based upon certain representations of fact and certifications made by the District and others and is subject to the condition that the District complies with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the 2014A Bonds to assure that interest on the 2014A Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest on the 2014A Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the 2014A Bonds. The District has covenanted to comply with all such requirements.

The difference between the issue price of a 2014A Bond (the first price at which a substantial amount of the 2014A Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to the 2014A Bond (to the extent the redemption price at maturity is greater than the issue price) constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a 2014A Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a 2014A Bond Owner will increase the

2014A Bond Owner's basis in the applicable 2014A Bond. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the 2014A Bond Owner is excluded from gross income of such 2014A Bond Owner for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the 2014A Bond Owner is exempt from State of California personal income tax.

The amount by which a 2014A Bond Owner's original basis for determining loss on sale or exchange in the applicable 2014A Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable bond premium, which must be amortized under Section 171 of the Code; such amortizable bond premium reduces the 2014A Bond Owner's basis in the applicable 2014A Bond (and the amount of tax-exempt interest received with respect to the 2014A Bonds), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of bond premium may result in a 2014A Bond Owner realizing a taxable gain when a 2014A Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the 2014A Bond to the Owner. Purchasers of the 2014A Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax exempt bond issues, including both random and targeted audits. It is possible that the 2014A Bonds will be selected for audit by the IRS. It is also possible that the market value of the 2014A Bonds might be affected as a result of such an audit of the 2014A Bonds (or by an audit of similar municipal obligations). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the 2014A Bonds to the extent that it adversely affects the exclusion from gross income of interest on the 2014A Bonds or their market value.

It is possible that subsequent to the issuance of the 2014A Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the 2014A Bonds or the market value of the 2014A Bonds. Recently, proposed legislative changes have been introduced in Congress, which, if enacted, could result in additional federal income or state tax being imposed on owners of tax-exempt state or local obligations, such as the 2014A Bonds. The introduction or enactment of any of such changes could adversely affect the market value or liquidity of the 2014A Bonds. No assurance can be given that subsequent to the issuance of the 2014A Bonds such changes (or other changes) will not be introduced or enacted or interpretations will not occur. Before purchasing any of the 2014A Bonds, all potential purchasers should consult their tax advisors regarding possible statutory changes or judicial or regulatory changes or interpretations, and their collateral tax consequences relating to the 2014A Bonds.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Indenture and the Tax Certificate relating to the 2014A Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income of interest for federal income tax purposes with respect to any 2014A Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth, a Professional Corporation.

Although Bond Counsel has rendered an opinion that interest on the 2014A Bonds is excluded from gross income for federal income tax purposes provided that the District continues to comply with certain requirements of the Code, the ownership of the 2014A Bonds and the accrual or receipt of interest on the 2014A Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the 2014 Bonds, all potential

purchasers should consult their tax advisors with respect to collateral tax consequences relating to the 2014 Bonds.

2014B Bonds

In the opinion of Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, interest on the 2014B Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Code but interest (and original issue discount) on the 2014B Bonds is exempt from State of California personal income tax.

Except for certain exceptions, the difference between the issue price of a 2014B Bond (the first price at which a substantial amount of 2014B Bonds of the same maturity is to be sold to the public) and the stated redemption price at maturity with respect to such 2014B Bond (to the extent the redemption price at maturity is greater than the issue price) constitutes original issue discount. Original issue discount accrues under a constant yield method. The amount of original issue discount deemed received by the 2014B Bond Owner will increase the 2014B Bond Owner's basis in the 2014B Bond. 2014B Bond Owners should consult their own tax advisor with respect to taking into account any original issue discount on the 2014B Bonds.

The amount by which a 2014B Bond Owner's original basis for determining loss on sale or exchange in the applicable 2014B Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable bond premium, which the 2014B Bond Owner may elect to amortize under Section 171 of the Code. Such amortizable bond premium reduces the 2014B Bond Owner's basis in the applicable 2014B Bond (and the amount of taxable interest received) and is deductible for federal income tax purposes. The basis reduction as a result of the amortization of 2014B Bond premium may result in the 2014B Bond Owner realizing a taxable gain when a 2014B Bond is sold by the 2014B Bond Owner for an amount equal to or less (under certain circumstances) than the original cost of the 2014B Bond to the 2014B Bond Owner. The 2014B Bond Owners that have a basis in the 2014B Bond that is greater than the principal amount of the 2014B Bonds should consult their own tax advisors with respect to whether or not they should elect to amortize such premium under Section 171 of the Code.

The federal tax and State of California personal income tax discussion set forth above with respect to the 2014B Bonds is included for general information only and may not be applicable depending upon a 2014B Bond Owner's particular situation. The ownership and disposal of a 2014B Bond and the accrual or receipt of interest with respect to the 2014B Bond may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences.

A complete copy of the proposed opinion of Bond Counsel is set forth in Appendix C—"FORM OF OPINION OF BOND COUNSEL."

FINANCIAL ADVISOR

The District has retained Fieldman, Rolapp & Associates, Irvine, California, as financial advisor (the "Financial Advisor") in connection with the issuance of the 2014 Bonds. The Financial Advisor has not undertaken to make an independent verification or to assume responsibility for the accuracy, completeness, or fairness of the information contained in this Official Statement. The fees being paid to the Financial Advisor are contingent upon the issuance of the 2014 Bonds.

The Financial Advisor is an independent advisory firm and is not engaged in the business of underwriting, trading or distributing municipal or other public securities.

RATING

The District expects that S&P will assign the 2014 Bonds the rating of “AA” (stable outlook) based upon the delivery of the Policy by AGM at the time of issuance of the 2014 Bonds. See the caption “BOND INSURANCE” for a discussion of recent rating actions taken with respect to AGM. S&P will assign the 2014 Bonds the rating of “A” (stable outlook) notwithstanding the delivery of the Policy. There is no assurance that any credit rating given to the 2014 Bonds will be maintained for any period of time or that the rating may not be lowered or withdrawn entirely by S&P, if, in the judgment of S&P, circumstances so warrant. Any downward revision or withdrawal of such rating may have an adverse effect on the market price of the 2014 Bonds. Such rating reflects only the views of S&P, and an explanation of the significance of such rating may be obtained from S&P.

UNDERWRITING

The 2014 Bonds will be purchased by Sutter Securities Incorporated, as representative of itself and Citigroup Global Markets, Inc. (collectively, the “Underwriter”) pursuant to a Purchase Contract, dated August 13, 2014 (the “Purchase Contract”), by and between the District and the Underwriter. Under the Purchase Contract, the Underwriter has agreed to purchase all, but not less than all, of the 2014A Bonds for an aggregate purchase price of \$33,720,522.21 (representing the principal amount of the 2014A Bonds, less an Underwriter’s discount of \$127,757.64, plus a net original issue premium of \$3,163,279.85) and all, but not less than all, of the 2014B Bonds for an aggregate purchase price of \$720,233.09 (representing the principal amount of the 2014B Bonds, less an Underwriter’s discount of \$1,748.61, less an original issue discount of \$3,018.30). The Purchase Contract provides that the Underwriter will purchase all of the 2014 Bonds if any are purchased, the obligation to make such a purchase being subject to certain terms and conditions set forth in the Purchase Contract, the approval of certain legal matters by counsel and certain other conditions.

The initial public offering prices stated on the inside front cover of this Official Statement may be changed from time to time by the Underwriter. The Underwriter may offer and sell the 2014 Bonds to certain dealers (including dealers depositing 2014 Bonds into investment trusts), dealer banks, banks acting as agents and others at prices lower than said public offering prices.

Citigroup Global Markets Inc., one of the Underwriters of the 2014 Bonds, has entered into a retail distribution agreement with each of TMC Bonds L.L.C. (“TMC”) and UBS Financial Services Inc. (“UBSFS”). Under these distribution agreements, Citigroup Global Markets Inc. may distribute municipal securities to retail investors through the financial advisor network of UBSFS and the electronic primary offering platform of TMC. As part of this arrangement, Citigroup Global Markets Inc. may compensate TMC (and TMC may compensate its electronic platform member firms) and UBSFS for their selling efforts with respect to the 2014 Bonds.

Citigroup Global Markets Inc. and its affiliates are full service financial institutions engaged in various activities, which may include securities trading, commercial and investment banking, financial advisory, investment management, principal investment, hedging, financing and brokerage activities. Citigroup Global Markets Inc. and its affiliates have, from time to time, performed, and may in the future perform, various investment banking services for the District for which they received or will receive customary fees and expenses. In addition, certain affiliates of Citigroup Global Markets Inc. are lenders, and in some cases agents or managers for the lenders, under credit and liquidity facilities.

In the ordinary course of their various business activities, Citigroup Global Markets Inc. and its respective affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities) and financial instruments (which may include bank loans and/or credit default swaps) for their own account and for the accounts of their customers and may at any time hold long and short positions in such securities and instruments. Such investment and securities activities may involve securities and instruments of the District.

CONTINUING DISCLOSURE UNDERTAKING

The District has covenanted in a Continuing Disclosure Certificate for the benefit of the holders and beneficial owners of the 2014 Bonds to provide certain financial information and operating data relating to the District by not later than the 270 days following the end of the District's Fiscal Year (currently its Fiscal Year ends on March 31) (the "Annual Report"), commencing with the report for Fiscal Year ending March 31, 2014, to provide notices of the occurrence of certain enumerated events, and to provide notices of the occurrence of certain other enumerated events, if material. The Annual Report and the notices of enumerated events will be filed by the District with the Municipal Securities Rulemaking Board's Electronic Municipal Market Access system. The specific nature of the information to be contained in the Annual Report and the notice of material events is set forth in Appendix E—"FORM OF CONTINUING DISCLOSURE CERTIFICATE." These covenants have been made in order to assist the Underwriter in complying with Section (b)(5) of Rule 15c2-12 promulgated under the Securities Exchange Act of 1934.

Over the past five years, the District has been subject to obligations under continuing disclosure certificates previously entered into with respect to the 2003 Revenue Certificates of Participation (2003 Electric System Project), the 2005 Certificates, the 2005 Bonds and the 2008 Certificates (the "Prior Continuing Disclosure Undertakings"). Pursuant to the Prior Continuing Disclosure Undertakings, the District agreed to file its audited financial reports, certain operating data with respect to the respective obligations, as well as notices of certain enumerated events, if material.

The District filed its audited financial statements, Comprehensive Annual Financial Reports ("CAFR") and updates to required operating data in accordance with the Prior Continuing Disclosure Undertakings in each of the past five years. In certain years, however, the audited financial statements and the CAFRs were not properly linked on EMMA to all applicable District obligations.

On June 6, 2014, the District filed supplements to its continuing disclosure reports for the last five fiscal years with respect to the 2005 Certificates, the 2005 Bonds and the 2008 Certificates to include the balance in the reserve funds established for such obligations as of December 31 of such fiscal years.

On June 12, 2014, the District filed a supplemental with respect to the 2005 Bonds, reflecting the current ratings on the 2005 Bonds.

While the District cannot assure the Underwriter that, in the last five years, all significant event notices of changes in the ratings of the 2005 Bonds resulting from changes in ratings to the bond insurer insuring such 2005 Bonds were filed in accordance with the Prior Continuing Disclosure Undertaking for such bonds, the current ratings with respect to the 2005 Bonds are on file with EMMA. Other than such ratings downgrade notices described in the prior sentence, the District is not aware of any events in the last five years which may have required the filing of significant event notices under the Prior Continuing Disclosure Undertakings that were not filed.

The District believes that it is in compliance in all material respects with the Prior Continuing Disclosure Undertakings.

In order to ensure compliance by the District with its continuing disclosure undertakings in the future, the Board of Directors approved disclosure procedures on August 5, 2014 (the "Disclosure Procedures"). Pursuant to the Disclosure Procedures, the Chief Financial Officer is required to take steps to ensure that continuing disclosure filings are prepared and filed in a timely manner. A copy of the Disclosure Procedures has been provided to the Underwriter and is available from the Chief Financial Officer of the District at 744 West 20th Street, Merced, California Telephone: (209) 249-4600.

MISCELLANEOUS

Insofar as any statements made in this Official Statement involve matters of opinion or of estimates, whether or not expressly stated, they are set forth as such and not as representations of fact. No representation is made that any of such statements made will be realized. Neither this Official Statement nor any statement which may have been made verbally or in writing is to be construed as a contract with the Owners of the 2014 Bonds.

The execution and delivery of this Official Statement have been duly authorized by the District.

MERCED IRRIGATION DISTRICT

By: /s/ Tim Pellissier
President of the Board of Directors

By: /s/ John Sweigard
General Manager

APPENDIX A

MERCED IRRIGATION DISTRICT FINANCIAL STATEMENTS

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MERCED IRRIGATION DISTRICT

FINANCIAL STATEMENTS

For the year ended March 31, 2014

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MERCED IRRIGATION DISTRICT

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INDEPENDENT AUDITORS' REPORT

To the Board of Directors
Merced Irrigation District
Merced, California

Report on the Financial Statements

We have audited the accompanying financial statements of the business-type activities of the Merced Irrigation District (the District) as of and for the year ended March 31, 2014, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the business-type activities of the District as of March 31, 2014, and the changes in financial position and cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and the Schedules of Funding Progress on pages 3-10 and 50, respectively, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming an opinion on the financial statements that collectively comprise the District's basic financial statements. The combining statements and debt service coverage calculations, as listed in the table of contents, are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining statements and debt service coverage calculations are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining statements and debt service coverage calculations are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Burr Pilger Mayer, Inc.

Burr Pilger Mayer, Inc.
San Jose, California
June 26, 2014



MANAGEMENT'S DISCUSSION AND ANALYSIS

For the Year Ended March 31, 2014

Management's discussion and analysis of the Merced Irrigation District's (the District) financial performance provides an overview of the District's activities, as well as its financial condition for the year ended March 31, 2014. The District's 2012/13 and 2011 financial results have been presented for purposes of providing comparative data, with the understanding that 2012/13 is for 15 months, due to an accounting period change that incurred during that time, and 2011 is for the calendar year ended December 31, 2011. The 2011 numbers have been restated to match the new presentation required in GASB Statement No. 65, *Items Previously Reported as Assets and Liabilities*. This discussion and analysis should be read in conjunction with the financial statements, including the notes to the financial statements that begin on page 17.

GASB Statement No. 63, *Financial Reporting of Deferred Outflows of Resources, Deferred Inflows of Resources and Net Position*, changes the name and format of required audited financial reports. What was historically called the *Statement of Net Assets* is now referred to as the *Statement of Net Position*. The *Statement of Net Position* presents combined assets and deferred outflows of resources, less combined liabilities and deferred inflows of resources, resulting with the difference reported as net position. Over time, increases and decreases in net position may serve as a useful indicator of whether the financial position of the District is improving or deteriorating. The *Statement of Net Position* provides the basis for evaluating the capital structure of the District and assessing its liquidity and financial flexibility.

The *Statement of Revenues, Expenses, and Changes in Net Position* measure the success of the District's operations during the year and determine whether the District has recovered its costs through user fees and other charges, resulting in the changes in net position.

The *Statement of Cash Flows* provides information about the District's cash receipts and cash payments resulting from operating, financing, and investing activities for the year.

Background

The District was established to provide irrigation water to farms in the central portion of the San Joaquin Valley located around the city of Merced. The District was organized under the California Water Code in 1919. Today, the District is comprised of five major operational enterprises: Water Resources, Parks and Recreation, Hydroelectric, Energy Resources, and Storm Drainage.

MERCED IRRIGATION DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

The District provides surface irrigation water to approximately 100,000 acres within its 165,000 acre boundary. In addition, the District partially serves agricultural lands outside its boundary along with portions of adjacent water districts, such as Le Grand Athlone Water District and Chowchilla Water District, but within its 305,000 acre sphere of influence (SOI), which encompasses all lands within the Merced Groundwater Basin located in the eastern part of Merced County, in addition to lands adjacent to its boundary north of the Merced River. The District also provides up to 26,400 acre feet of irrigation water to Stevinson Water District and 15,000 acre feet to Merced National Wildlife Refuge at no cost; both are located westerly of the District. The District distributes water through 723 miles of earthen and concrete lined canals, and pipelines. The District also owns 220 well sites within its boundary, of which 170 wells are on standby and ready for use in dry years. In 2013, the District delivered 265,000 acre feet of irrigation water to approximately 102,000 acres, and 2,250 fields farmed by 2,200 customers.

In addition to providing irrigation water, the District also uses portions of its existing irrigation distribution system for urban storm drainage by routing natural stream flows and runoff from urban developments, away from populated areas. The District formed the Merced Irrigation District Drainage Improvement District #1 (MIDDID#1) in 1994. As of March 31, 2014, there were approximately 15,000 residential, commercial, industrial, and government parcels located primarily within the urban area of the District that received drainage service.

The District owns, operates and maintains five recreation areas adjacent to the lakes behind New Exchequer and McSwain Dams. The Lake McSwain Recreation Area is located adjacent to Lake McSwain. McClure Point, Barrett Cove, Horseshoe Bend and Bagby Recreation Areas are all located adjacent to Lake McClure. A total of six boat launch facilities are available in the Parks system. The District is in the process of building a seventh boat launch facility on Lake McClure, at McClure Point. The completion date is dependent on the State's release of grant funds approved for the project. Over 600 campsites are available to the public on a year-round basis. Floating marinas are located on Lake McSwain, as well as two locations on Lake McClure, for the boating public. Recreational activities enjoyed in the recreation areas include fishing, boating, swimming, camping, hiking and bicycling. For the season ending March 31, 2014, the various Parks locations had approximately 285,000 combined visitor days. In addition, the District maintains three fishing access locations on the Merced River, downstream from the lakes.

In 2011, the District formed the Twin Lakes Management Company, Inc (TLMC) as a separate company to operate the marina and lake recreation concessions on both Lake McSwain and Lake McClure. These concessions were previously operated by two different private company entities under Special Use Permit Agreements with the District. Both operators were determined to be in default of those Agreements, and the decision was made to terminate the Agreements. The Twin Lakes Management Company and the District reached agreement with both parties to purchase certain assets and interests and took over full operational responsibility in June 2011.

The District owns, operates and maintains the New Exchequer and McSwain dams, reservoirs, and hydroelectric facilities. These are the District's primary water storage facilities on the Merced River. They are located in the foothills on the western slope of the Sierra Nevada mountain range, approximately 23 miles northeast of Merced. The two dams and reservoirs are integral parts of the 1964 Merced River Development Project, and are licensed by the Federal Energy Regulatory Commission (FERC). Lake McClure has a maximum storage capacity of 1,024,600 acre feet, while Lake McSwain has a storage capacity of 9,730 acre feet. The New Exchequer Dam Project was completed in 1967 as a multi-purpose facility providing facilities and water for all beneficial uses, including domestic and irrigation water, flood control, hydroelectric power generation, recreation, and the environment.

MERCED IRRIGATION DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS

The District is authorized to act as an electric utility under the California Water Code. The District has owned and operated hydroelectric generating facilities on the Merced River since 1927. In July 2014, the hydroelectric project will transition from PG&E to the District. The hydroelectric project will be treated as a standalone department, but is a water asset. The revenue generated by selling the energy the plant generates and the capacity of the project, as well as the expenses incurred that have previously been reimbursed by PG&E, will be tracked in the Hydroelectric Department.

In 1995, the District exercised its authority to sell power to retail electric customers. The District offers its customers full electric service including power supply and delivery to the customer. Since 1996, the District has connected 8,037 customers to the District's electric system as of March 31, 2014. Electric peak demand at the height of the 2013 summer season was approximately 100.7 megawatts.

Required Financial Statements

This annual financial report consists of three parts: Management's Discussion and Analysis, the Basic Financial Statements, and Supplementary Information. The District's financial statements include the (1) *Statement of Net Position*; (2) *Statement of Revenues, Expenses, and Changes in Net Position*; and (3) *Statement of Cash Flows*. The financial statements are prepared using the accrual basis of accounting.

The Notes to the Financial Statements provide additional information that is essential to a full understanding of the financial data provided and are an integral part of the District's financial statements. The District provides a presentation of both the combined financial statements, as well as supplemental combining financial statements which portray the individualized major component funds.

The Financial Statements of the District report information about the District using accounting methods similar to those used by companies in the private sector. These statements offer short-term and long-term financial information about its activities. The *Statement of Net Position* includes all of the District's assets and liabilities and provides information about the nature and amounts of investments in assets and obligations to District creditors as liabilities. It also provides the basis for computing rate of return, evaluating the capital structure of the District and assessing the liquidity and financial flexibility of the District.

All of the current year's revenues and expenses are accounted for in the *Statement of Revenues, Expenses, and Changes in Net Position*. This statement measures the District's operations over the past year and can be used to determine whether the District has successfully recovered all of its costs through its rates, fees, capacity and other charges. The District's profitability and credit worthiness can also be determined from this statement. It is prepared using the accrual basis of accounting, by recognizing revenues in the period they are earned and expenses in the period they are incurred without regard to the period of cash receipt or payment.

The final required financial statement is the *Statement of Cash Flows*. The primary purpose of this statement is to provide information about the District's cash receipts and cash payments during the year, as well as net changes in cash resulting from operating, financing, and investing activities. The statement explains where cash came from, where cash was used and the change in the cash balance during the reporting year.

MERCED IRRIGATION DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS

Financial Highlights

- The District's total assets increased by \$3.9 million for the year ended March 31, 2014. The increase is due to increased cash due to operating activities. The total liabilities remain consistent at \$141 million when compared to March 31, 2013. There is an overall decrease of long term liabilities of \$1 million. The deferred outflow of resources remained consistent at \$2.4 million as compared to March 31, 2013. Deferred inflow of resources decreased by \$200,000 when compared to March 31, 2013.
- The District continued its efforts to obtain a new operating license for the hydroelectric project from the Federal Energy Regulatory Commission (FERC). The District has expended \$22.6 million on relicensing costs as of March 31, 2014. The current license expired on February 28, 2014; however, the District was granted a one year extension of the current license through February 28, 2015 and expects automatic one year extensions will be granted until a new operating license is granted by the FERC. The District fully expects the FERC to grant a new license in 2015.
- Operating revenues of \$79 million and operating expenses of \$73 million resulted in net income from operations of \$5.6 million. Net non-operating expense of \$1.5 million is the result of total non-operating revenue of \$3.6 million offset by interest expense of \$5.1 million. The District also received capital contributions totaling \$676,000.
- The District's total cash and cash equivalents increased by \$5 million for the year ended March 31, 2014. This was primarily due to a \$4.5 million water transfer that occurred in September 2013. The District entered into this transfer to fund the (1) Master Water Plan; (2) transition of the hydroelectric project from PG&E to the District; (3) the FERC relicensing; and (4) specific legal expenses related to defense of the District's water rights.

MERCED IRRIGATION DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS

Financial Analysis of the District

The District's Condensed Statements of Net Position are as follows:

	March 31, 2014	March 31, 2013	Dec. 31, 2011
	Total	Total	Total
Assets			
Capital assets, net	\$ 147,701,559	\$ 151,856,544	\$ 140,510,355
Total other non-current assets	49,796,644	53,070,013	27,128,560
Total current assets	61,736,808	50,385,746	72,378,711
Total assets	<u>259,235,011</u>	<u>255,312,303</u>	<u>240,017,626</u>
Deferred Outflows of Resources			
Deferred amount on debt refunding	2,566,336	2,832,374	3,184,260
Deferred gas charges	389,222	-	-
Accumulated decrease in fair value of hedging derivatives	(513,551)	(460,945)	(9,636,581)
Total deferred outflows of resources	<u>2,442,007</u>	<u>2,371,429</u>	<u>(6,452,321)</u>
Total assets and deferred outflows of resources	<u>\$ 261,677,018</u>	<u>\$ 257,683,732</u>	<u>\$ 233,565,305</u>
Liabilities			
Long-term liabilities	\$ 121,391,626	\$ 122,473,318	\$ 123,842,069
Total other liabilities	10,570,646	3,416,591	7,115,441
Total current liabilities	9,510,610	16,102,296	10,071,037
Total liabilities	<u>141,472,882</u>	<u>141,992,205</u>	<u>141,028,547</u>
Deferred Inflows of Resources			
Public purpose revenues	1,073,881	1,234,926	2,088,937
Power cost reductions	800,000	800,000	800,000
Accumulated increase in fair value of hedging derivatives	(513,551)	(460,945)	(9,636,581)
Total deferred inflows of resources	<u>1,360,330</u>	<u>1,573,981</u>	<u>(6,747,644)</u>
Net Position			
Invested in capital assets, net of related debt	65,801,230	70,364,183	56,940,683
Restricted	1,544,100	1,544,100	1,744,100
Unrestricted	51,498,476	42,209,263	40,599,619
Total net position	<u>118,843,806</u>	<u>114,117,546</u>	<u>99,284,402</u>
Total liabilities, deferred inflows of resources and net position	<u>\$ 261,677,018</u>	<u>\$ 257,683,732</u>	<u>\$ 233,565,305</u>

MERCED IRRIGATION DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS

Condensed Capital Assets Detail, Net of Accumulated Depreciation

	<u>March 31, 2014</u>	<u>March 31, 2013</u>
Land	\$ 13,098,088	\$ 13,144,380
Construction in progress	20,160,236	24,398,070
Goodwill	10,100	10,100
Landscaping	4,961,161	779,563
Building and structures	24,354,200	25,110,110
Distribution system	78,531,499	81,867,811
Machinery and equipment	4,866,280	4,630,731
Vehicles	640,012	619,916
Intangible plant	1,079,983	1,295,863
 Total capital assets	 <u>\$ 147,701,559</u>	 <u>\$ 151,856,544</u>

Significant Capital Asset Activity – Overall, capital assets decreased by \$4.2 million to \$148 million as of March 31, 2014 when compared to March 31, 2013, due to depreciation and partly due to a decrease in capital spend in the 2013/14 Fiscal Year and asset disposals. The District completed improvements to its water distribution system, which spanned multiple years, in the year ended March 31, 2014 in conjunction with State funded Highway improvements, with the majority of the spend occurring prior to March 31, 2013.

For additional information about the District's capital assets, see Note 3 to the financial statements.

Significant Long-term Debt Activity – Long-term debt decreased by \$1.1 million in the year ended March 31, 2014 as compared to a decrease of \$1.3 million in 2013. At March 31, 2014, the District had long-term debt outstanding of \$121.4 million as compared to \$122.5 million at March 31, 2013 and \$123.8 million at December 31, 2011. The District refunded and defeased \$10.2 million of the 2005 Revenue Certificates of Participation in September 2012, with a Net Present Value ("NPV") Savings of \$780,000 (7.65%) and an annual cash savings of \$75,000. The District refunded and defeased the 2003 Revenue Certificates of Participation in June 2013 with a NPV savings of \$1,783,000 (13.8%) and an annual cash savings of \$112,000. For additional information about the District's long-term debt, see Note 5 of the financial statements.

Significant Net Position Activity – The District's net investment in capital assets decreased by \$4.6 million for the year ended March 31, 2014 as compared to an increase of \$13.4 million in the fifteen months ending March 31, 2013. This corresponds with the District's capital related debt caused by the refunding of the 2003 debt, coupled with the continued use of the FERC funding. The balance of net position is comprised of \$1.5 million of restricted net position, which are subject to external restrictions on their use, and \$51.5 million of unrestricted net position. The District's assets and deferred outflow of resources exceeded liabilities and deferred inflows of resources by \$118.8 million.

MERCED IRRIGATION DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS

The District's Condensed Statements of Revenues, Expenses, and Changes in Net Position are as follows:

	<u>March 31, 2014</u>	<u>March 31, 2013</u>	<u>Dec. 31, 2011</u>
Operating Revenue	\$ 78,637,109	\$ 90,101,155	\$ 71,461,864
Operating Expense	<u>73,141,254</u>	<u>79,743,407</u>	<u>62,661,210</u>
Net Income	5,495,855	10,357,748	8,800,654
Non-operating revenue (expense)	<u>(1,445,717)</u>	<u>(3,146,546)</u>	<u>(1,921,836)</u>
Net Income before capital contribution	4,050,138	7,211,202	6,878,818
Capital Contributions	<u>676,122</u>	<u>9,132,946</u>	<u>4,713,067</u>
Change in net position	<u>4,726,260</u>	<u>16,344,148</u>	<u>11,591,885</u>
Net position, beginning	<u>114,117,546</u>	<u>97,773,398</u>	<u>87,692,517</u>
Net position, end	<u>\$ 118,843,806</u>	<u>\$ 114,117,546</u>	<u>\$ 99,284,402</u>

Net income from operations is \$5.5 million for the year ended March 31, 2014, which is a decrease from \$10.4 million net income from operations for the fifteen months ending March 31, 2013. The \$4.9 million dollar decrease is due to a combination of an increase in the NP-15 portion of the power costs, a large increase in solar customers that enjoy subsidized rates under California's Net Energy Metering law; as well as California's new Cap and Trade program that had the impact of increasing the NP-15 portion of the District's power costs. The change in the fiscal periods between the fifteen months for last year 2012/13 compared to the twelve months for 2013/14 make up the remaining difference between the two years equal to a decrease of \$1.8 million.

In the year ended March 31, 2014 net non-operating expense of \$1.4 million is the result of non-operating revenue of \$3.7 million offset by interest expense of \$5.1 million.

Capital contribution revenue of \$676,000 is comprised of non-cash developer contributions and third-party cash proceeds used for capital projects. The decrease in capital contribution revenue of \$8.5 million for the year ended March 31, 2014 is due to a decrease in hydroelectric capital project expenditures reimbursable from PG&E and continued use of the FERC funding.

Economic Factors and Rates

The 2013 Water Year (October 1, 2012 to September 30, 2013) was the second dry year in a row. End of October storage in Lake McClure (October 31, 2012) was 384,794 acre-feet, compared to a 47 year average storage of 455,400 acre-feet. The April-July 2013 inflow Into Lake McClure was 256,694 acre-feet, compared to the historical average inflow during this time period of 640,000 acre-feet.

MERCED IRRIGATION DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

Due to the drought conditions, the District Board allocated 2.4 acre-feet per acre to Class I growers and 1.2 acre-feet per acre to Class II growers. In addition, the District implemented its Supplemental Water Supply Pool Program (Program), which provided additional water supply from groundwater supplies to Class I growers. Overall, the District sold 265,613 acre-feet of water supplies to in-District growers during the 2013 Irrigation Season. In addition, the District provided a spring pulse flow in the Merced River through a water transfer to United States Bureau of Reclamation. Furthermore, the District completed two out-of-District water transfers with one involving lands within its Sphere of Influence. The District also sold pre-1914 water collected in Lake Yosemite and Bear Creek to the East Bear Creek Unit of the San Luis Wildlife Refuge.

Subsequent to year end, in response to the ongoing drought in the Merced River watershed, on April 18, 2014 after a notice, public hearing and protest process, the Board approved an increase of approximately \$80 to the per acre-foot irrigation charge, bringing the total per acre-foot charge to approximately \$100.67. Such rate increase was effective as of April 18, 2014, the beginning of the irrigation season. In connection with such protest process, the District received 4,313 votes in favor of the increase in the per-acre foot charge and 776 votes against. Such per-acre foot charge was reduced to \$75 by the Board on June 3, 2014 after execution of a water transfer agreement that occurred in May of 2014.

In addition to the increase to the per acre-foot charge, the District proposed an increase of \$10 per acre to the standby charge for Fiscal Year 2015. The proposed increase to the standby charge was required to be approved by landowners. The proposed increase in the standby charge was not approved by the landowners and no increase to the standby charge was made in accordance with California law.

The District maintained its risk management program with the goal of reducing price volatility and providing rate certainty for its customers. The District saw an increase in customers' usage in 2013/14, with electric load increasing by 2.4% percent from 2012/13. In the 2013/14 fiscal year, the District received significant payment from counterparties in our risk management program. This is the first time since 2009, and began in December 2013 and has continued through the remainder of the fiscal year ending March 31, 2014.

In 2011, the California Legislature passed SBX1-2. The legislation requires all public utilities to procure 33 percent of their electricity through renewable sources of energy, known commonly as "RPS," or Renewable Portfolio Standards, by the end of 2020. The California Energy Commission (CEC) adopted final regulations in the fall of 2013. Based on our best analysis, we anticipate full compliance (procurement) expenditures to be in the range of \$10 to \$15 million between 2014 and the end of 2020.

Energy generated at the hydroelectric facility has historically been sold to PG&E under a long-term power purchase agreement. This 50-year contract from 1964 will expire on June 30, 2014. The District is in the final stages of executing a new three year agreement with PG&E to sell energy. In addition, the District has an executed agreement for capacity with Shell Oil Company.

The management team at TLMC has focused on improving customer services and addressing a number of deferred maintenance needs at the facilities. New rate structures and customer services, along with a continuing focus on customer satisfaction, are expected to increase revenues in the future.

Request for Information

This financial report is designed to provide a general overview of the District's finances. Questions concerning the information provided in this report or requests for additional financial information should be addressed to Kandi Ramos, Controller, P.O. Box 2288, Merced, CA 95344-0288; or please call (209) 722-5761.

BASIC FINANCIAL STATEMENTS

MERCED IRRIGATION DISTRICT

STATEMENT OF NET POSITION

March 31, 2014

ASSETS

Capital assets:

Non-depreciable	\$ 33,268,424
Depreciable	114,433,135
Capital assets, net	<u>147,701,559</u>

Other non-current assets:

Investments	15,336,645
Deferred relicense costs	22,559,347
Debt issuance costs	1,750,294
Regulatory costs for future recovery	10,150,358
Total other noncurrent assets	<u>49,796,644</u>

Current assets:

Cash and cash equivalents	24,513,230
Investments	11,957,176
Accounts receivable, net	6,579,594
Due from other governmental agencies	1,025,273
Accrued interest and taxes receivable	92,724
Inventory	4,001,218
Prepaid expenses and other current assets	1,095,609
Restricted cash and cash equivalents	12,471,984
Total current assets	<u>61,736,808</u>

Total assets	<u>259,235,011</u>
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DEFERRED OUTFLOWS OF RESOURCES

Long-term debt refundings	2,566,336
Deferred gas charges	389,222
Accumulated decrease in fair value of hedging derivatives	(513,551)
Total deferred outflows of resources	<u>2,442,007</u>

Total assets and deferred outflows of resources	<u>\$ 261,677,018</u>
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The accompanying notes are an integral part of these financial statements.

MERCED IRRIGATION DISTRICT
STATEMENT OF NET POSITION (CONTINUED)

March 31, 2014

LIABILITIES

Non-current liabilities	
Long-term liabilities	\$ 121,391,626
Regulatory deferred revenues	9,800,445
Deposits	770,201
Total non-current liabilities	<u>131,962,272</u>
Current liabilities:	
Accounts payable	701,454
Accrued liabilities	4,489,364
Unearned revenue	1,435,319
Accrued interest payable	3,703
Current portion of long-term liabilities	2,880,770
Total current liabilities	<u>9,510,610</u>
Total liabilities	<u>141,472,882</u>

DEFERRED INFLOWS OF RESOURCES

Public purpose revenues	1,073,881
Power cost reductions	800,000
Accumulated increase in fair value of hedging derivatives	(513,551)
Total deferred inflows of resources	<u>1,360,330</u>

NET POSITION

Net investment in capital assets	65,801,230
Restricted	1,544,100
Unrestricted	51,498,476
Total net position	<u>118,843,806</u>
Total liabilities, deferred inflows of resources and net position	<u><u>\$ 261,677,018</u></u>

The accompanying notes are an integral part of these financial statements.

MERCED IRRIGATION DISTRICT
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

For the year ended March 31, 2014

Operating revenues:	
Electric sales and services	\$ 52,655,884
Water sales and services	11,998,771
Hydroelectric contractual services	6,821,581
Water transfers	3,879,498
Recreation fees	1,423,916
Storm drainage fees	19,942
Concessionaire revenue	1,837,517
Total operating revenues	<u>78,637,109</u>
Operating expenses:	
Purchase of power	28,583,744
Water distribution	16,197,532
Electric transmission and distribution	12,744,986
Recreation	2,670,247
Concessionaire	529,003
Storm drainage	21,076
Administrative and general	6,189,318
Depreciation and amortization	6,205,348
Total operating expenses	<u>73,141,254</u>
Net income from operations	<u>5,495,855</u>
Non-operating revenues (expenses):	
Property taxes	3,214,982
Interest income	313,773
Other non-operating income	145,265
Loss on disposal of capital assets	(10,200)
Interest expense	(5,109,537)
Total non-operating revenues (expenses)	<u>(1,445,717)</u>
Net income before capital contributions	<u>4,050,138</u>
Capital contributions	676,122
Total capital contributions	<u>676,122</u>
Change in net position	4,726,260
Net position, beginning of year	<u>114,117,546</u>
Net position, end of year	<u><u>\$ 118,843,806</u></u>

The accompanying notes are an integral part of these financial statements.

MERCED IRRIGATION DISTRICT

STATEMENT OF CASH FLOWS

For the year ended March 31, 2014

Cash flows from operating activities:	
Cash receipts from customers	\$ 85,942,428
Cash paid to suppliers for goods and services	(62,810,342)
Cash paid to employees for services	(8,914,799)
Net cash provided by operating activities	<u>14,217,287</u>
Cash flows from noncapital financing activities:	
Property taxes received	3,215,558
Relicense costs incurred	(2,136,689)
Other income, net of other expenses	189,228
Net cash provided by noncapital financing activities	<u>1,268,097</u>
Cash flows from capital and related financing activities:	
Acquisition and construction of capital assets	(1,229,477)
Loss on sale of equipment	(10,200)
Proceeds from issuance of debt	11,988,960
Principal payments on long-term debt	(16,997,634)
Interest payments on long-term debt	(4,745,608)
Net cash used by capital and related financing activities	<u>(10,993,959)</u>
Cash flows from investing activities:	
Purchase of investment securities	(2,919,621)
Interest received on investments	283,701
Net cash used in investing activities	<u>(2,635,920)</u>
Increase in cash and cash equivalents	1,855,505
Cash and cash equivalents, beginning of year	<u>35,129,709</u>
Cash and cash equivalents, end of year	<u><u>\$ 36,985,214</u></u>
Cash and cash equivalents consist of the following:	
Unrestricted	\$ 24,513,230
Restricted	12,471,984
	<u><u>\$ 36,985,214</u></u>

The accompanying notes are an integral part of these financial statements.

MERCED IRRIGATION DISTRICT
STATEMENT OF CASH FLOWS (CONTINUED)

For the year ended March 31, 2014

Reconciliation of the net income from operations to		
net cash provided by operating activities		
Net income from operations	\$	5,495,855
Adjustments to reconcile net income from operations		
to net cash provided by operating activities:		
Depreciation and amortization		6,205,348
Changes in operating assets and liabilities:		
Accounts receivable		(85,537)
Due from other governmental agencies		748,837
Inventory		331,966
Prepaid expenses and other current assets		(284,532)
Deferred gas charges		(389,222)
Accounts payable		(598,979)
Accrued liabilities		(36,003)
Unearned revenue		2,107,054
Deposits		149,059
Deferred inflow of resources		(161,045)
Accrued postemployment benefits		824,229
Accrued compensated absences		(89,743)
Net cash provided by operating activities	\$	<u>14,217,287</u>

Supplemental disclosures of cash flow information:

Noncash investing, capital and financing activities:		
Receipt of contributed electric system assets		
from developers	\$	676,122
Change in derivative financial instruments	\$	<u>52,606</u>

The accompanying notes are an integral part of these financial statements.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

1. Reporting Entity and Summary of Significant Accounting Policies

The basic financial statements of the Merced Irrigation District (the District) have been prepared in conformity with generally accepted accounting principles (GAAP) as applied to government units. The Governmental Accounting Standards Board (GASB) is the accepted standard setting body for establishing governmental accounting and financial reporting principles. As allowed by the GASB, the District has elected to apply to its proprietary activities Financial Accounting Standards Board (FASB) Statements and Interpretations, Accounting Principles Board Opinions, and Accounting Research Bulletins of the Committee of Accounting Procedures issued after November 30, 1989, where not in conflict with GASB pronouncements. The more significant of the District's accounting policies are described below.

Reporting Entity

The District was organized in 1919 under the California Water Code to provide agricultural irrigation water to the farmers in the central portion of the San Joaquin Valley in and around eastern Merced County. The District owns and operates two dams and related reservoirs, hydroelectric generation facilities, recreation, and fish enhancement facilities in Merced and Mariposa Counties. The District also provides urban storm drainage and retail electric services in Merced County. The District is governed by a five member Board of Directors elected by the voters within the District for staggered, four year terms, every two years. As required by GAAP, the accompanying basic financial statements present the District and its component units. The component units discussed below are included in the District's reporting entity because of the significance of their operational and financial relationship with the District.

The District has created the Merced Irrigation District Public Facilities Financing Corporation (MIDPFFC) to provide assistance to the District in the issuance of debt. The District also established the Merced Irrigation District Drainage Improvement District #1 (MIDDID#1) to make annual assessments against properties that drain into a District facility for storm water drainage construction and maintenance expenses. The Twin Lakes Management Company, Inc. (TLMC) was created by the District to operate the marina and lake recreation concessions on Lake McSwain and Lake McClure.

Although legally separate from the District, the MIDPFFC and the MIDDID#1 are reported as if they were part of the primary government because they share a common Board of Directors with the District and their sole purposes are to provide financing to the District under the debt issuance documents of the District and construction and maintenance of storm water drainage facilities. TLMC is also a legally separate entity that is owned by the District and provides concession management at Lake McSwain and Lake McClure. TLMC maintains separate bank accounts, management, and Board Meetings from the District. Debt issued by the MIDPFFC is reflected as debt of the District in these financial statements. The MIDPFFC, the MIDDID#1 and the TLMC do not issue separate financial statements.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

1. Reporting Entity and Summary of Significant Accounting Policies, continued

Participation in Joint Power Authorities

The San Joaquin River Group Authority (SJRGa) was created in September, 1996 under a joint exercise of powers agreement between the District and the Modesto Irrigation District, Oakdale Irrigation District, South San Joaquin Irrigation District, Turlock Irrigation District, the City and County of San Francisco, Friant Water Authority, and the San Joaquin River Exchange Contractors Water Authority (the Parties) to represent the Parties as necessary in proceedings relating to the investigation, monitoring, planning, control, mitigation of water flow and non-flow issues, and to enhance the environmental conditions in the Delta which impact the Parties. The SJRGa is governed by an eight-member commission made up of one member of the Governing Board of each Party. The agreement terminates in December 2036, unless extended or terminated by the Parties. Upon termination of the Agreement, all of the SJRGa assets will be returned to the respective Parties in the proportion to the contribution the Party made. Equipment, furniture or furnishings will be returned to the contributing Party. Any other property shall be converted to cash and distributed equally among the Parties.

The District is also a member of the San Joaquin Tributaries Authority (SJTA), which was created in or about April 2012 under a joint exercise of powers agreement between the District, Modesto Irrigation District, Turlock Irrigation District, South San Joaquin Irrigation District, Oakdale Irrigation District, and the City and County of San Francisco. The purpose of the SJTA is similar to that of the SJRGa, including the defense of common interests of the Parties, including the common defense of water rights and to develop proactive and responsive public relations approaches to issues over the long term. The SJTA is governed by a six-member commission made up of one member of the governing board of each Party. The agreement has no scheduled termination date; it will terminate upon agreement of all Parties unless the Party decides to voluntarily withdraw earlier. Upon termination of the agreement, all of the assets of the SJTA will be returned to the respective Parties in proportion to the contribution the Party made. Equipment, furniture or furnishings will be returned to the contributing Party. Any other property shall be converted to cash and distributed equally among the Parties.

Basis of Presentation

The District's resources are allocated to and accounted for in these basic financial statements as an enterprise fund type of the proprietary fund group. The enterprise fund is used to account for operations that are financed and operated in a manner similar to a private business enterprise, where the intent of the governing body is that the costs (expenses, including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges, or where the governing body has decided that periodic determination of revenues earned, expenses incurred, and/or net income is appropriate for capital maintenance, public policy, management control, accountability, or other policies. Net position represents the amount available for future operations.

Basis of Accounting

The accounting and financial reporting treatment applied to a fund is determined by its measurement focus. The enterprise fund type is accounted for on a flow of economic resources measurement focus. With this measurement focus, all assets and all liabilities associated with the operation of the District are included on the statement of net position. Net position is segregated into net investment in capital assets; restricted; and unrestricted. Enterprise fund type operating statements present increases (i.e., revenues) and decreases (i.e., expenses) in total net position.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

1. Reporting Entity and Summary of Significant Accounting Policies, continued

Basis of Accounting, continued

The District uses the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time liabilities are incurred. Grant revenue is recognized when program expenditures are incurred in accordance with program guidelines. When funds are received in advance of program expenditures, they are recorded as unearned revenues until earned. Earned but unbilled electric and water services are accrued as revenue. Electrical infrastructures that are constructed by private developers are contributed to the District, which then become the responsibility of the District to maintain. These infrastructures are recorded as capital contributions when they pass inspection by the District and the estimated costs are capitalized and included as a part of the electric transmission and distribution system.

Operating revenues and expenses consist of those revenues and expenses that result from the ongoing principal operations of the District. Operating revenues consist primarily of charges for services. Non-operating revenues and expenses consist of those revenues and expenses that are related to financing and investing types of activities and result from non-exchange transactions or ancillary activities.

The District maintains both restricted and unrestricted cash. Restricted cash is held in reserve and is spent exclusively for the intended purpose. In the event that the restricted cash is insufficient to complete the intended purpose, unrestricted cash is utilized.

Change in Accounting Period

During 2013, the District changed its year end from December 31 to March 31 to better reflect the operating and construction cycles of the District. The financial statements presented reflect the initial fiscal year ended March 31.

Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Regulatory Deferrals

The Board has the authority to establish the level of rates charged for all District services. As a regulated entity, the District's financial statements are prepared in accordance with Statement of Financial Accounting Standards (SFAS) No. 71, *Accounting for the Effects of Certain Types of Regulation* (SFAS 71), which requires that the effects of the rate-making process be recorded in the financial statements. Accordingly, certain expenses and credits normally reflected in the statement of revenues, expenses and changes in net position as incurred are recognized when included in rates and recovered from, or refunded to, customers.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

1. Reporting Entity and Summary of Significant Accounting Policies, continued

Regulatory Deferrals, continued

A portion of the District's annual power supply requirement is purchased from the Western Area Power Administration (WAPA). In 2006, due to increased hydroelectric production by WAPA, the District's allotment was significantly higher than anticipated. The comparatively low cost of this power offset higher priced power, causing a reduction of the District's expected overall power supply cost in 2006. This reduction in cost resulted in excess net income that is available to offset the projected power supply cost increase in future years. The power supply cost reduction was deferred in accordance with SFAS 71 for the benefit of future customer rate stabilization and is recorded as a deferred inflow of resources power cost reductions on the statement of net position. At March 31, 2014, the deferred power cost reductions were \$800,000 as reported in deferred inflows of resources.

A portion of the District water sales is derived from water transfers to local, state and/or federal agencies for environmental purposes based upon the District's ability to make such water resources available to meet flow objectives in the Merced River, San Joaquin River, or the Delta. At March 31, 2014, such cumulative water sales were \$9,800,445, and reported as regulatory deferred revenues, as follows:

1. In 2007, the District was able to negotiate several transfer agreements which resulted in excess net income available to offset the projected low water sales and increasing costs in future years. A portion of the excess revenue was deferred in accordance with SFAS 71 to offset certain expenditures in future years. At March 31, 2014, the available balance was \$2,750,000.
2. In 2013, the District entered into an agreement to transfer water to a local agency on or before February 28, 2019. The transfer is currently undergoing its state required environmental review. At March 31, 2014, the balance on deposit, to be applied to the future purchase amount was \$2,730,000.
3. In 2014, the District entered into and completed an agreement to transfer water to a local agency. The revenue from this transfer has been deferred to offset certain expenditures in future years. At March 31, 2014, the remaining balance is \$4,320,445.

The amount reported as regulatory costs for future recovery of \$10,150,358 represents the accretion of interest on capital appreciation certificates of participation, which are recorded as long-term liabilities, until such time as these costs will be covered by hydroelectric sales in the future.

Capital Assets

Capital assets are recorded at historical cost. Contributed assets are valued at estimated fair value on the date received. Depreciation is calculated using the straight-line method over the following estimated useful lives:

Description	Estimated Life
Landscaping	10 - 40 years
Building and structures	10 - 100 years
Transmission and distribution systems	15 - 50 years
Machinery	30 - 35 years
Vehicles	3 - 10 years
Equipment	3 - 40 years
Intangible plant	10 - 50 years

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

1. Reporting Entity and Summary of Significant Accounting Policies, continued

Capital Assets, continued

Maintenance and repairs are charged to operations when incurred. It is the District's policy to capitalize all capital assets with a cost of more than \$5,000. Costs of assets sold or retired and the related amounts of accumulated depreciation are eliminated from the accounts in the year of sale or retirement and the resulting gain or loss is included in the operating statement.

Deferred Relicense Costs

The District is deferring the costs of studies, legal counsel and various consultants associated with relicensing the 1964 Merced River Development Project with the Federal Energy Regulatory Commission (FERC) until the license is renewed. The District's existing FERC license expired on February 28, 2014; however, the District obtained a one year renewal, extending the license through February 28, 2015. According to FERC's latest schedule for the relicensing process for P-2179 (the Merced River Hydroelectric Project), it is anticipated that a new license will be issued after February 2015, although this date is not fixed and is subject to FERC's discretion. However, in accordance with FERC regulations, the District will be issued annual licenses to operate under existing terms and conditions until a new license is issued. The project is expected to be relicensed in 2015, at which time these costs will be amortized to expense over the new license period.

Bond Discounts, Premiums, Prepaid Insurance Debt Issuance Costs

Bond discounts, premiums, as well as prepaid insurance debt issuance costs, are deferred and amortized over the life of the bonds. Bonds payable are reported net of the applicable bond discounts and premiums. Issuance costs are reported as noncurrent assets.

Deferred Outflows

Long-Term Debt Refundings - Unamortized gains and losses resulting from current or advance debt refunding are classified as deferred outflows of resources. This amount is amortized as a component of interest expense over the remaining life of the old debt or the life of the new debt, whichever is shorter.

Deferred gas charges - The District is required to meet an annual carbon emissions obligation for the State of California's Cap-and-Trade Program. Greenhouse gas (GHG) costs have two components, the expense side and the revenue side. The expense side consists of GHG costs billed by Turlock Irrigation District on the monthly cost of power bill. The revenue side consists of the District receiving funds for allowances sold at auction. The deferred GHG costs are the net expenses waiting to be offset by the revenue generated at auction.

Derivative Financial Instruments - The District uses swap agreements to hedge the impact of market volatility of electricity commodity prices for purchases of electricity for the District's retail load. The District records these derivative financial instruments at fair value on its statement of net position. Fair value is estimated by comparing contract prices to forward market prices quoted by third party market participants. The Board defers recognition of the unrealized gains or losses from such instruments for rate-making purposes and due to the hedging effectiveness of the derivatives; the balance is reflected as a deferred outflow of resources and deferred inflow of resources on the statement of net position and is charged or credited into electricity supply costs as the related asset or liability is utilized.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

1. Reporting Entity and Summary of Significant Accounting Policies, continued

Accounts Receivable, Net

Accounts receivable arise from billings to customers for water and electricity usage and include an estimate for unbilled revenues earned from the dates the customers were last billed to the end of the year. An estimate of the uncollectible amount is \$41,100 at March 31, 2014.

Due from Other Governmental Agencies

Due from other agencies represents reimbursements due from other agencies for services performed and for water and electricity delivered.

Inventory

Inventory is stated at average cost. Inventory consists of parts and supplies.

Compensated Absences

The District's policy allows employees to accumulate earned but unused vacation, which will be paid to employees upon separation from service to the District, subject to a vesting policy. All or a portion of unused sick leave is paid out upon retirement. The District accrues the liability for vacation and sick leave when the employee earns the right to the benefit.

Deferred Inflows

Public Purpose Revenues - The District is required by the Public Utilities Code to establish a usage-based charge of 2.85% on its electricity sales, which is collected as part of the electric billings. These revenues are to be used for energy efficiency and conservation programs, renewable energy resources, research and development and to provide assistance to low-income customers. These revenues are deferred until qualifying expenses are incurred. At March 31, 2014 the deferred public purpose revenues were \$1,073,881 as reported in deferred inflows of resources.

Purchased Power Expenses - The District's electricity needs are provided through electricity purchase agreements. Expenses from such agreements, along with associated interconnection costs, are recorded as the cost of electricity in the period the electricity is received. The net cash payments or receipts incurred under the swap agreements are reported as a component of cost of electricity supply in the statement of revenues, expenses and changes in net position in the period in which the underlying electricity supply delivery occurs.

Property Taxes

The District receives property taxes from Merced County. Property taxes receivable are recorded in the fiscal year for which the tax is levied based on the assessed value as of September 1 of the preceding fiscal year. They become a lien on the first day of the year they are levied. Secured property tax is levied on September 1 and due in two installments, on November 1 and March 1. They become delinquent on December 10 and April 10, respectively. Unsecured property taxes are due on July 1 and become delinquent on August 31. The District elected to receive the property taxes from the County under the Teeter Bill Program. Under this Program, the District receives 100% of the levied property taxes in periodic payments, with the County assuming responsibility for delinquencies.

Cash and Cash Equivalents

For the purpose of the Statement of Cash Flows, the District considers all highly liquid debt instruments purchased with an initial maturity of three months or less to be cash equivalents, along with all pooled deposits and investments in the Local Agency Investment Fund, which are available upon demand.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

1. Reporting Entity and Summary of Significant Accounting Policies, continued

Reclassifications

Certain reclassifications have been made to beginning net position between the District's internal funds. These reclassifications were a result of the District's system conversion. Net position was evaluated for departments that had moved from one fund to another in the past few years. The District opted to re-class the net position from FY 2010-FY 2013 for these departments to the current fund.

New Accounting Pronouncements

In June 2012, GASB issued Statement No. 67, *Financial Reporting for Pension Plans – an amendment to GASB Statement No.25*. The objective of this Statement is to improve financial reporting by state and local governmental pension plans. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for pensions with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency. This Statement replaces the requirements of Statements No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans*, and No. 50, *Pension Disclosures*, as they relate to pension plans that are administered through trusts or equivalent arrangements (hereafter jointly referred to as trusts) that meet certain criteria. The requirements of Statements 25 and 50 remain applicable to pension plans that are not administered through trusts covered by the scope of this Statement and to defined contribution plans that provide postemployment benefits other than pensions. The requirements of this statement are effective for financial statements for periods beginning after June 15, 2013. The District is in the process of evaluating the impact of implementing this statement for financial reporting.

In June 2012, GASB issued Statement No. 68, *Accounting and Financial Reporting for Pensions – an amendment to GASB Statement No. 27*. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for pensions. It also improves information provided by state and local governmental employers about financial support for pensions that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for pensions with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency. This Statement replaces the requirements of Statement No. 27, *Accounting for Pensions by State and Local Governmental Employers*, as well as the requirements of Statement No. 50, *Pension Disclosures*, as they relate to pensions that are provided through pension plans administered as trusts or equivalent arrangements (hereafter jointly referred to as trusts) that meet certain criteria. The requirements of Statements 27 and 50 remain applicable for pensions that are not covered by the scope of this Statement. The requirements of this statement are effective for financial statements for periods beginning after June 15, 2014. The District is in the process of evaluating the impact of implementing this statement for financial reporting.

In January 2013, GASB issued Statement No. 69, *Government Combinations and Disposals of Government Operations*. This Statement establishes accounting and financial reporting standards related to government combinations and disposals of government operations. As used in this Statement, the term *government combinations* include a variety of transactions referred to as mergers, acquisitions, and transfers of operations. The requirements of this statement are effective for financial statements for periods beginning after December 15, 2013. The District does not believe there will be a significant financial effect related to this statement.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

1. Reporting Entity and Summary of Significant Accounting Policies, continued

New Accounting Pronouncements, continued

In April 2013, GASB issued Statement No. 70, *Accounting and Financial Reporting for Nonexchange Financial Guarantees*. The objective of this Statement is to enhance comparability of financial statements among governments by requiring consistent reporting by those governments that extend nonexchange financial guarantees and by those governments that receive nonexchange financial guarantees. This Statement will also enhance the information disclosed about a government's obligations and risk exposure from extending nonexchange financial guarantees and augment the ability of financial statement users to assess the probability that governments will repay obligation holders by requiring disclosures about obligations that are issued with this type of financial guarantee. The requirements of this statement are effective for financial statements for reporting periods beginning after June 15, 2013. The District does not believe there will be a financial statement effect related to this statement.

In November 2013, GASB issued Statement No. 71, *Pension Transition for Contributions made Subsequent to the Measurement Date*. The objective of this Statement is to address an issue regarding application of the transition provisions of Statement No. 68, *Accounting and Financial Reporting for Pensions*. The issue relates to amounts associated with contribution, if any, made by a state or local government employer or nonemployer contributing entity to a defined benefit pension plan after the measurement date of the government's net pension liability. The requirements of this statement should be applied simultaneously with the provisions of Statement 68, *Accounting and Financial Reporting for Pensions – an amended of GASB Statement No.27* whose requirement is effective for financial statements for fiscal years beginning after June 15, 2013. The District is in the process of evaluating the impact of implementing this statement for financial reporting.

2. Cash, Cash Equivalents and Investments

Cash, cash equivalents and investments are classified in the accompanying financial statements as follows as of March 31, 2014:

Cash	\$ 22,443,890
Cash equivalents	2,069,340
Restricted cash equivalents	12,471,984
Investments	27,293,821
Total cash, cash equivalents and investments	<u>\$ 64,279,035</u>

Cash, cash equivalents and investments consisted of the following as of March 31, 2014:

Cash on hand	\$ 10,100
Deposits with financial institutions	22,433,790
Investments and cash equivalents	41,835,145
Total cash, cash equivalents and investments	<u>\$ 64,279,035</u>

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

2. Cash, Cash Equivalents and Investments, continued

Investment Policy

California statutes authorize districts to invest idle or surplus funds in a variety of credit instruments as provided for in the California Government Code, Section 53600, Chapter 4 - *Financial Affairs*. The table below identifies the investment types that are authorized for the District by the California Government Code (or the District's investment policy, where more restrictive) that address interest rate risk, credit risk, and concentration of credit risk. This table does not address investments of debt proceeds held by bond trustee that are governed by the provisions of debt agreements of the District, rather than the general provisions of the California Government Code or the District's investment policy.

During the year ended March 31, 2014, the District's permissible investments included the following instruments:

Authorized Investment Type	Maximum Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agencies Securities	5 years	None	None
California Local Agency Debt	5 years	None	None
Banker's Acceptances	180 days	40%	5%
Commercial paper	270 days	25%	5%
Negotiable Certificates and Time Deposits	5 years	30%	5%
Repurchase Agreements	90 days	None	5%
Medium Term Notes	5 years	30%	5%
Mutual Funds	N/A	20%	None
Money Market Mutual Funds	N/A	20%	None
Mortgage Pass-Through Securities	5 years	20%	5%
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Funds (LAIF)	N/A	None	None
JPA Pools (Other investment pools)	N/A	None	None
Fully Insured Certificates of Deposits	5 years	25%	\$250,000 or Collateralization

The District complied with all other provisions of California Government Code (or the District's investment policy, where more restrictive) pertaining to the types of investments held, institutions in which deposits were made and security requirements. The District will continue to monitor compliance with applicable statutes pertaining to public deposits and investments.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

2. Cash, Cash Equivalents and Investments, continued

Investments Authorized by Debt Agreements

Investment of debt proceeds held by bond trustee are governed by provisions of the debt agreements, rather than the general provisions of the California Government Code or the District's investment policy. The table below identifies certain provisions of these debt agreements that address interest risk, credit risk and concentration risk.

Authorized Investment Type	Maximum Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agencies Securities	5 years	None	None
California Local Agency Debt	5 years	None	None
Banker's Acceptances	1 year	None	None
Commercial Paper	None	None	None
Negotiable Certificates and Time Deposits	None	None	None
Repurchase Agreements	30 days	None	None
Investment Agreements	None	None	None
Money Market Mutual Funds	N/A	None	None
Mortgage Pass-Through Securities	5 years	20%	None
Local Agency Investment Funds (LAIF)	N/A	None	None

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. One of the ways the District manages its exposure to interest rate risk is by purchasing a combination of shorter term and longer term investments and by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

2. Cash, Cash Equivalents and Investments, continued

Interest Rate Risk, continued

Information about the sensitivity of the fair values of the District's investments (including investments held by bond trustee and cash equivalents) to market interest rate fluctuations is provided by the following table that shows the distribution of the District's investments by maturity:

	Total	Remaining Maturity (in Months)			
		12 months or less	13 to 24 months	25 to 60 months	More than 60 months
U.S. Treasury Obligations	\$ 8,417,327	\$ -	\$ 4,363,521	\$ 4,053,806	\$ -
U.S. Agency Securities	8,070,166	-	1,700,377	6,369,789	-
Medium Term Notes	6,178,775	-	601,401	5,577,374	-
Money Market Mutual Funds	612,554	612,554	-	-	-
Local Agency Investment Funds	2,069,340	2,069,340	-	-	-
Certificates of Deposit	4,552,172	1,100,943	1,701,229	1,750,000	-
Held by bond trustee:					
U.S. Treasury Obligations	4,285,559	4,285,559	-	-	-
U.S. Agency Securities	3,159,529	-	3,159,529	-	-
Money Market Mutual Funds	4,489,723	4,489,723	-	-	-
Total	<u>\$ 41,835,145</u>	<u>\$ 12,558,119</u>	<u>\$ 11,526,057</u>	<u>\$ 17,750,969</u>	<u>\$ -</u>

Credit Risk

Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. Presented below is the minimum rating required by (where applicable) the California Government Code, the District's investment policy, or debt agreements, and the actual rating as of yearend for each investment and cash equivalent type.

	Minimum Legal Rating	Total	Minimum Rating			
			AAA/Aaa	AA/Aa	A	Unrated
U.S. Treasury Obligations	Unrated	\$ 8,417,327	\$ -	\$ -	\$ -	\$ 8,417,327
U.S. Agency Securities	Unrated	8,070,166	-	-	-	8,070,166
Medium Term Notes	A	6,178,775	141,570	3,509,886	2,527,319	-
Money Market Mutual Funds	AAA/Aaa	612,554	612,554	-	-	-
Local Agency Investment Funds	Unrated	2,069,340	-	-	-	2,069,340
Certificates of Deposit	A	4,552,172	-	599,579	3,952,593	-
Held by bond trustee:						
U.S. Treasury Obligations	Unrated	4,285,559	-	-	-	4,285,559
U.S. Agency Securities	Unrated	3,159,529	-	-	-	3,159,529
Money Market Mutual Funds	AAA/Aaa	4,489,723	4,489,723	-	-	-
		<u>\$ 41,835,145</u>	<u>\$ 5,243,847</u>	<u>\$ 4,109,465</u>	<u>\$ 6,479,912</u>	<u>\$ 26,001,921</u>

Concentration of Credit Risk

The investment policy of the District limits the amount that can be invested in any one issuer to the lesser of the amount stipulated by the California Government Code or 50% of total investments, with the exception of U.S. Treasury Obligations, U.S. Agency Securities, Money Market Mutual Funds, and LAIF. As of March 31, 2014, the District had no individual investment that exceeded 5% of its total investments.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

2. Cash, Cash Equivalents and Investments, continued

Custodial Credit Risk

Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g., broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. The California Government Code and the District's investment policy do not contain legal or policy requirements that would limit the exposure to custodial credit risk for deposits, other than the following provision for deposits: The California Government Code requires that a financial institution secure deposits made by state or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110% of the total amount deposited by the public agencies. California law also allows financial institutions to secure public agency deposits by pledging first trust deed mortgage notes having a value of 150% of the secured public deposits.

At March 31, 2014, the carrying amount of the District's deposits was \$22,433,790 and the balance in financial institutions was \$22,952,366. Of the balance in financial institutions, \$500,000 was covered by federal depository insurance and \$22,452,366 was collateralized as required by State law (Government Code Section 53630), by the pledging financial institution with assets held in a common pool for the District and other governmental agencies, but not in the name of the District.

Investment in LAIF

As of March 31, 2014, the District's investment in LAIF is \$2,069,340. The total amount invested by all public agencies in LAIF at that date is approximately \$20.1 billion. LAIF is part of the Pooled Money Investment Account (PMIA) with a total portfolio of approximately \$59.8 billion. As of March 31, 2014, LAIF has an average life-month end of 185 days. The Local Investment Advisory Board (Advisory Board) has oversight responsibility for LAIF. The Advisory Board consists of five members as designated by state statute. The value of the pool shares in LAIF, which may be withdrawn, is determined on an amortized cost basis that is different than the fair value of the District's position in the pool.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

3. Capital Assets

Capital asset activity for the year ended March 31, 2014 is as follows:

	Balances at April 1, 2013	Additions	Disposals	Transfers and Adjustments	Balances at March 31, 2014
Capital assets, not being depreciated					
Land	\$ 13,144,380	\$ -	\$ (9,499)	\$ (36,793)	\$ 13,098,088
Construction in process	24,398,070	2,694,455	(782,835)	(6,149,454)	20,160,236
Goodwill	10,100	-	-	-	10,100
Total capital assets, not being depreciated	37,552,550	2,694,455	(792,334)	(6,186,247)	33,268,424
Capital assets, being depreciated					
Landscaping	6,555,912	-	(103,749)	5,392,675	11,844,838
Buildings and structures	51,836,694	6,604	(700,957)	(776,785)	50,365,556
Distribution systems	114,015,661	42,679	(674,363)	1,173,960	114,557,937
Machinery and equipment	15,774,403	6,512	(1,134,864)	276,192	14,922,243
Vehicles	4,060,103	191,380	(106,898)	178,724	4,323,309
Intangible plant	8,804,830	34,224	(132,871)	(67,188)	8,638,995
Total capital assets, being depreciated	201,047,603	281,399	(2,853,702)	6,177,578	204,652,878
Less accumulated depreciation for:					
Landscaping	(5,776,349)	(237,773)	103,953	(973,508)	(6,883,677)
Buildings and structures	(26,726,584)	(866,260)	367,233	1,214,255	(26,011,356)
Distribution systems	(32,147,850)	(3,139,386)	499,135	(1,238,337)	(36,026,438)
Machinery and equipment	(11,143,672)	(657,251)	1,121,376	623,584	(10,055,963)
Vehicles	(3,440,187)	(180,961)	102,655	(164,804)	(3,683,297)
Intangible plant	(7,508,967)	(204,429)	98,388	55,996	(7,559,012)
Total accumulated depreciation	(86,743,609)	(5,286,060)	2,292,740	(482,814)	(90,219,743)
Total capital assets being depreciated, net	114,303,994	(5,004,661)	(560,962)	5,694,764	114,433,135
Capital assets, net	\$ 151,856,544	\$ (2,310,206)	\$ (1,353,296)	\$ (491,483)	\$ 147,701,559

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

4. Accrued Liabilities

The balance of the District's accrued liabilities at March 31, 2014 is as follows:

Accrued NMDL settlement	\$ 24,881
Accrued permission fees	182,890
Accrued power purchase expense	2,434,044
Accrued salaries and wages	239,072
Other accrued liabilities	1,608,477
Total accrued liabilities	<u>\$ 4,489,364</u>

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

5. Long-Term Liabilities

Long-term liabilities include long-term debt, capital leases, accrued compensated absences and retirement obligations. The activity of the District's long-term liabilities during the year ended March 31, 2014 is as follows:

	Balances at April 1, 2013	Additions	(Repayments)	Balances at March 31, 2014	Due Within One Year
Long-term debt:					
Merced River					
Development Bonds	\$ 1,945,000	\$ -	\$ (1,550,000)	\$ 395,000	\$ 395,000
2003 Revenue Certificates of Participation	12,920,000	-	(12,920,000)	-	-
2005 Electric System					
Refunding Revenue Bonds	58,050,000	-	(1,305,000)	56,745,000	1,380,000
2005 Revenue Certificates of Participation	3,380,000	-	(315,000)	3,065,000	330,000
2008 Water and Hydro					
Refunding Revenue Certificates of Participation	4,175,000	-	(460,000)	3,715,000	465,000
2008 Water and Hydro Capital					
Appreciation Revenue Certificates of Participation	22,718,863	-	-	22,718,863	-
2012 Electric System					
Refunding Revenue Bonds	10,230,000	-	(20,000)	10,210,000	10,000
2013 Electric System					
Refunding Revenue Bonds	-	11,988,960	-	11,988,960	300,770
	<u>113,418,863</u>	<u>11,988,960</u>	<u>(16,570,000)</u>	<u>108,837,823</u>	<u>2,880,770</u>
Line of Credit	<u>533,156</u>	<u>-</u>	<u>(533,156)</u>	<u>-</u>	<u>-</u>
Total	113,952,019	11,988,960	(17,103,156)	108,837,823	<u>\$ 2,880,770</u>
Add:					
Bond discounts	(215,532)	-	200,996	(14,536)	
Bond premiums	1,110,988	-	(95,474)	1,015,514	
Accretion of capital appreciation certificates	8,111,908	2,038,450	-	10,150,358	
Less: current portion of long-term debt	<u>(3,925,000)</u>	<u>(2,880,770)</u>	<u>3,925,000</u>	<u>(2,880,770)</u>	
Total long-term debt	119,034,383	(842,320)	4,030,522	117,108,389	
Accrued compensated absences	1,145,598	2,751,099	(2,829,599)	1,067,098	
Employee retirement	641,054	849,159	-	1,490,213	
Net OPEB obligation	<u>1,652,283</u>	<u>(260,611)</u>	<u>334,254</u>	<u>1,725,926</u>	
Total long-term liabilities	<u>\$ 122,473,318</u>	<u>\$ 2,497,327</u>	<u>\$ 1,535,177</u>	<u>\$ 121,391,626</u>	

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

5. Long-Term Liabilities, continued

Long-Term Debt

Long-term debt consists of the following at March 31, 2014:

Merced River Development Bonds

On July 1, 1964, the District issued the Merced River Development Revenue Bonds in the amount of \$36,000,000. Serial and term bonds in the amount of \$9,660,000 and \$26,340,000, respectively, were issued with various call features. Proceeds from these bonds were used to construct the New Exchequer Dam and McSwain Dam, expand the hydroelectric plant, increase irrigation water supply and increase flood control storage. The bonds are to be retired from the proceeds of the power contract with the Pacific Gas and Electric Company dated June 25, 1964 for the sale of power. Interest rates range from 3.625% to 3.75%. Semi-annual principal and interest payments ranging from \$402,406 to \$1,214,572 are due on January 1 and July 1, through July 1, 2014.

2003 Revenue Certificates of Participation (Electric System Project)

On March 1, 2003, the District issued 2003 Revenue Certificates of Participation in the amount of \$15,000,000. The proceeds were used to finance the cost of certain improvements to the electric system. The Certificates are secured by a lien on the District's electric system net revenues. Interest rates range from 1.50% to 5.70%. Principal payments ranging from \$95,000 to \$945,000 are due annually on September 1 through September 1, 2036. Interest payments ranging from \$26,933 to \$408,978 are due semi-annually on March 1 and September 1, through September 1, 2036. The District is required to maintain a ratio of electric system net revenues to debt service of at least 125%. This bond with a balance of \$12,920,000 was defeased in 2014 by the 2013 Electric System Refunding Revenue Bonds.

2005 Electric System Refunding Revenue Bonds

On November 10, 2005, the District issued 2005 Electric System Refunding Revenue Bonds in the amount of \$63,050,000. Proceeds from these bonds were used to advance refund the District's 2001 Electric System Refunding Revenue Bonds and the 2002 Revenue Certificate of Participation. The Bonds are secured by a lien on the District's electric system net revenues. Interest rates range from 3.25% to 5.75%. Principal payments ranging from \$300,000 to \$4,045,000 are due annually on September 1 through September 1, 2036. Interest payments ranging from \$106,181 to \$1,576,706, are due semi-annually on March 1 and September 1, through September 1, 2036. The District is required to maintain a ratio of electric system net revenues to debt service of at least 125%.

2005 Revenue Certificates of Participation (2005 Electric System Project)

On November 10, 2005, the District issued 2005 Revenue Certificates of Participation in the amount of \$15,000,000. The proceeds are to be used to finance the cost of certain improvements to the electric system of the District. The Bonds are secured by a lien on the District's electric system net revenues. Interest rates range from 3.25% to 5.25%. Principal payments ranging from \$260,000 to \$950,000 are due annually on September 1, through September 1, 2036. Interest payments ranging from \$24,938 to \$365,476 are due semi-annually on March 1 and September 1, through September 1, 2036. In July 2012, a payment of \$10,200,000 was made for a partial refunding of these bonds. The District is required to maintain a ratio of electric system net revenues to debt service of at least 125%.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

5. Long-Term Liabilities, continued

Long-Term Debt, continued

2008 A Refunding Revenue Certificates of Participation (Water and Hydroelectric System Projects)

On June 24, 2008, the District issued 2008 Refunding Revenue Certificates of Participation in the amount of \$6,335,000. Proceeds were used to advance refund the District's 2001 Certificates of Participation (Water Utility Facilities Improvements). The Certificates are secured by a lien on the District's Water Operations and Hydroelectric net revenues. Interest rates range from 3.00% to 4.625%. Principal payments ranging from \$435,000 to \$600,000 are due annually on September 1, through September 1, 2020. Interest payments ranging from \$27,750 to \$292,133 are due semi-annually on March 1 and September 1, through September 1, 2020. The District is required to maintain a ratio of water operation net revenues to debt service of 120% until 2014 and a ratio of water operations and hydroelectric net revenue to debt service of 125% thereafter.

2008 B Capital Appreciation Revenue Certificates of Participation

On June 24, 2008, the District issued 2008 Capital Appreciation Revenue Certificates of Participation in the amount of \$22,718,863. Proceeds were used to advance refund the 2005 Warrants and to continue to finance the costs of relicensing the District's 1964 Merced River Development Project. The certificates are secured by a lien on the District's Water Operations and Hydroelectric net revenues. Interest rates range from 6.35% to 6.75%. Interest on these certificates is compounded semi-annually at March 1 and September 1, commencing September 1, 2008. The interest cost is accreted from date of issuance to maturity. The Certificates mature on September 1, 2023, 2033 and 2038; however, mandatory prepayments on these Certificates begin on September 1, 2015, September 1, 2024 and September 1, 2034 for each certificate maturity date, respectively. Principal payments ranging from \$387,550 to \$1,832,445 are due annually starting September 1, 2015 through September 1, 2038. Interest payments ranging from \$1,039,143 to \$2,487,450 are due annually starting September 1, 2015 through September 1, 2038. The District is required to maintain a ratio of water operations and hydroelectric net revenue to debt service of 125%.

2012 Electric System Refunding Revenue Bonds

On July 31, 2012, the District issued 2012 Electric System Refunding Revenue Bonds in the amount of \$10,235,000. Proceeds from these bonds were used to currently refund a portion of the District's 2005 Revenue Certificates of Participation (2005 Electric System Project). The Bonds are secured by a lien on the District's electric system net revenues. The interest rate is 4.4% per annum. Principal payments ranging from \$5,000 to \$450,000 are due semi-annually on March 1 and September 1, through September 1, 2036. Interest payments ranging from \$9,900 to \$263,949, are due semi-annually on March 1 and September 1, through September 1, 2036. The District is required to maintain a ratio of electric system net revenues to debt service of at least 125%.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

5. Long-Term Liabilities, continued

Long-Term Debt, continued

2013 Electric System Refunding Revenue Bonds

On June 6, 2013, the District issued 2013 Electric System Refunding Revenue Bonds in the amount of \$11,988,960. Proceeds from these bonds were used to defease the District's 2003 Revenue Certificates of Participation. The Bonds are secured by a lien on the District's electric system net revenues. The interest rate is 3.95% per annum. Principal payments ranging from \$300,770 to \$852,470 are due semi-annually on March 1 and September 1, through September 1, 2033. Interest payments ranging from \$16,836 to \$348,596, are due semi-annually on March 1 and September 1, through September 1, 2033. The District is required to maintain a ratio of electric system net revenues to debt service of at least 125%.

The following is a schedule of long-term debt:

<u>Years Ending March 31,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2015	\$ 2,880,770	\$ 4,050,297	\$ 6,931,067
2016	4,566,905	4,965,284	9,532,189
2017	4,558,380	4,962,641	9,521,021
2018	4,581,320	4,943,619	9,524,939
2019	4,595,755	4,904,778	9,500,533
2020-2024	22,377,205	22,507,708	44,884,913
2025-2029	22,845,950	21,816,832	44,662,782
2030-2034	26,505,708	18,142,824	44,648,532
2035-2039	15,925,830	13,520,236	29,446,066
	<u>\$ 108,837,823</u>	<u>\$ 99,814,219</u>	<u>\$ 208,652,042</u>

Pledged Revenues

The District has pledged future electric customer revenues, net of specified operating expenses, to repay \$15,000,000 of Revenue Certificates of Participation issued in March 2003, \$63,050,000 of Electric System Refunding Revenue Bonds issued in November 2005, \$15,000,000 of Revenue Certificates of Participation issued in November 2005 and \$10,235,000 of Electric System Refunding Revenue Bonds issued in July 2012. Proceeds from the bonds provided financing for improvements to the electric system. The bonds are payable solely from electric customer net revenues and are payable through September 2036. The total principal and interest remaining to be paid on the bonds is \$134,902,829. Principal and interest paid for the current period and total electric customer net revenues were \$5,903,029 and \$13,345,122, respectively.

The District has pledged future water operations and hydroelectric system revenues, net of specified operating expenses, to repay \$6,335,000 of Revenue Refunding Certificates of Participation issued in June 2008, and \$22,718,863 of Capital Appreciation Revenue Certificates of Participation issued in June 2008. Proceeds from the Certificates provided financing for improvements to the water system and relicensing of the hydroelectric facility. The Certificates are payable solely from water operations and hydroelectric net revenues and are payable through September 2038. The total principal and interest remaining to be paid on the Certificates is \$73,346,808. Principal and interest paid for the current period and total water customer net revenues were \$637,883 and \$2,052,774 respectively.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

5. Long-Term Liabilities, continued

Arbitrage

The Tax Reform Act of 1986 instituted certain arbitrage restrictions with respect to the issuance of tax exempt bonds after August 31, 1986. Arbitrage regulations deal with investments of all tax-exempt bond proceeds at an interest yield greater than the interest paid to the bondholders. Generally, all interest paid to bond holders can be retroactive if applicable rebates are not reported and paid to the Internal Revenue Service at least every five years. At March 31, 2014 the District had no arbitrage liability.

6. Energy Supply Purchases and Derivatives

Power Supply Agreements

The District relies on various power supply agreements to serve its customers' electricity requirements. The District has power supply agreements with the Turlock Irrigation District (TID), Western Area Power Administration (WAPA), and Iberdrola Renewables, Inc. (Iberdrola). Furthermore, TID provides wheeling, interconnection and ancillary services to the District under an interconnection agreement. The major agreements are described as follows:

Turlock Irrigation District

In 2011, the District amended and extended its current power supply agreement with TID through April 30, 2017. The amendment contained several changes effective February 1, 2011, including a calculation of the energy prices based on the Daily Intercontinental Exchange, Inc. NP-15 Firm Index (ICE NP-15 Index) in dollars per megawatt-hour plus any congestion and loss charges. In addition, the energy prices adder was redefined to be the product of the ICE NP-15 Index applicable to the delivery period, and six percent plus \$4.50 per megawatt-hour for the period from January 1, 2012 through December 31, 2012; \$4.75 per megawatt-hour for the period from January 1, 2013 through December 31, 2013; and \$5.00 per megawatt-hour for the period from January 1, 2014 through April 30, 2017.

This partial requirements power supply agreement provides power for all of the District's power requirements with the exception of the power supplied by WAPA. The price of this power supply is tied to the ICE NP-15 Index times 106% plus \$4.50-\$4.75 per megawatt-hour, effective January 1, 2012. The District's purchases of power from TID for the year ended March 31, 2014 totaled \$24,552,357.

The District is also a party to a small hydroelectric project development agreement with TID, under which the District owns the project plant and equipment and TID operates and maintains the three small hydroelectric projects which are part of the overall agreement. The agreement provides for TID to receive all revenues from the sale of project power and the District to share in any profits earned by the project per the agreement formula. The agreement for each of the small hydroelectric projects expire beginning in 2031 through 2032.

Western Area Power Administration

WAPA markets power from the Central Valley Project (CVP) and Washoe Project. The District began operating under the base resource contract on January 1, 2005. This contract provides for the District to receive 0.33201% of WAPA's base resource, which is power available for marketing after project power requirements. The current contract is scheduled to expire December 31, 2024. The District's composite price for power was approximately \$28.12 per megawatt hour during the year ended March 31, 2014. The District's purchases for the year ended March 31, 2014 totaled \$370,485.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

6. Energy Supply Purchases and Derivatives, continued

Iberdrola Renewables, Inc.

The District entered into a 25-year power supply agreement with Iberdrola in 2003 for energy generated by a wind energy project. This is a non-firm power supply contract to purchase 5 megawatts of installed capacity, which is expected to generate 16,000 megawatt-hours of energy annually for the District at a fixed price of \$54.95 per megawatt-hour. Effective April 1, 2010 through the remaining life of the power supply agreement, under the new amendment, the District receives a credit on their invoice for the amount of energy delivered to the California Independent System Operator (CAISO) times the locational marginal price applicable to the CAISO pricing node for the wind project. The District's purchases during the year ended March 31, 2014 totaled \$620,331. The District's sales back to Iberdrola during the year ended March 31, 2014 totaled \$354,602.

Derivative Instruments

The District follows GASB Statement No. 53, *Accounting and Financial Reporting for Derivative Instruments*. Subject to certain exceptions, GASB Statement No. 53 requires that every derivative instrument be recorded on the statement of net position as an asset or liability measured at its fair value, and that changes in the derivative's fair value be recognized currently in earnings unless such derivatives meet specific hedge accounting criteria to be determined as effective. Effective hedges qualify for hedge accounting and such changes in fair values are deferred.

It is the District's policy to document and apply as appropriate the normal purchase and normal sales exception under GASB Statement No. 53. The District has reviewed its various contractual arrangements to determine applicability of these standards. Purchases and sales of forward electricity, natural gas and option contracts that require physical delivery and which are expected to be used or sold by the reporting entity in the normal course of business are generally considered "normal purchases and normal sales." These transactions are excluded under GASB Statement No. 53 and therefore are not required to be recorded at fair value in the financial statements. Certain put and call options and financial swaps for electricity and natural gas are considered to be derivatives under GASB Statement No. 53, as they do not generally meet the "normal purchases and normal sales" criteria.

Background Information

At March 31, 2014, the District has the following derivative financial instruments:

Type	Notional Amount	Changes in Fair Value		2014	
		Classification	Amount	Classification	Amount
Commodity forward contracts	368,520 MWh	Deferred inflow	\$ 52,606	Derivative instruments	\$ 513,551

The District enters into derivative energy transactions to hedge its known or expected positions within its approved risk management policy. Decisions are made to enter into forward transactions to protect its financial position.

The District purchases fixed-for-floating swap agreements to hedge changes in cash flows and to manage market price risk under its TID agreement. Effective April 1, 2009, all ongoing electricity swap agreements settle against the newly-created North Path 15 Existing Zone Generation Trading Hub's day-ahead locational marginal price index. The North Path 15 index was selected to link the swap agreements to the cost of electricity under the TID agreement. The District's objective in executing swap agreements is to fix its costs for power supply and hedge market price exposure. The net amount of electricity swap settlements paid during the year ended March 31, 2014 was \$155,519.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

6. Energy Supply Purchases and Derivatives, continued

Background Information, continued

The fair values of the electricity price swap agreements are based on forward prices from established indices for the applicable region and discounted using the District's estimated cost of funds of 5.5% at March 31, 2014.

Risks

The following table displays the terms of the District's hedging derivative instruments outstanding at March 31, 2014, along with the credit rating of the associated counterparty or parent company guarantor, as applicable. All of these instruments presented in the table are commodity forward contracts with the objective to hedge changes in cash flows due to market price fluctuations related to expected purchases of electricity. In addition, all of the instruments settle at expiration using the North Path 15 as the index.

Type	Notional Amount		Effective Date	Maturity Date	Counterparty Credit Risk
Commodity forward contract	10,400	MWh	04/01/14	4/30/2014	A2
Commodity forward contract	14,280	MWh	04/01/14	6/30/2014	A
Commodity forward contract	30,800	MWh	04/01/14	6/30/2014	A
Commodity forward contract	4,160	MWh	05/01/14	5/31/2014	A2
Commodity forward contract	10,400	MWh	05/01/14	5/31/2014	A2
Commodity forward contract	6,000	MWh	06/01/14	6/30/2014	A
Commodity forward contract	10,000	MWh	06/01/14	6/30/2014	A2
Commodity forward contract	10,400	MWh	07/01/14	7/31/2014	A2
Commodity forward contract	10,400	MWh	07/01/14	7/31/2014	A2
Commodity forward contract	18,480	MWh	07/01/14	9/30/2014	A
Commodity forward contract	24,400	MWh	07/01/14	9/30/2014	A
Commodity forward contract	10,400	MWh	08/01/14	8/31/2014	A2
Commodity forward contract	10,400	MWh	08/01/14	8/31/2014	A2
Commodity forward contract	10,000	MWh	09/01/14	9/30/2014	A2
Commodity forward contract	10,400	MWh	09/01/14	9/30/2014	A2
Commodity forward contract	18,240	MWh	01/01/15	3/31/2015	A
Commodity forward contract	42,560	MWh	01/01/15	3/31/2015	A
Commodity forward contract	24,400	MWh	07/01/15	9/30/2015	A
Commodity forward contract	61,600	MWh	07/01/15	9/30/2015	A
Commodity forward contract	30,800	MWh	10/01/15	12/31/2015	A

Credit Risk – The District is exposed to credit risk related to non-performance by its wholesale counterparties under the terms of these swap agreements. The District evaluates the creditworthiness of its counterparties at the time of inception of the International Swap Dealers Association, Inc. (ISDA) agreement and at the time each swap transaction is executed, but the District does not currently have a formal evaluation policy. The District does contract with several counterparties to mitigate the risk of non-performance by any one counterparty.

Other Risks – There were no derivatives transactions outstanding that carry basis risk as of March 31, 2014. As of March 31, 2014, no termination events have occurred, and there were no outstanding transactions with material termination risk. There was no rollover, interest rate, foreign currency or market access risk for these derivative products at March 31, 2014.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

7. Net Position

Restricted

The restricted component of net position consists of restricted assets reduced by liabilities and deferred inflows of resources related to those assets. Restricted assets include the following at March 31, 2014:

Recreation plan operations and maintenance	\$ 1,100,490
Mariposa County water rights settlement	437,107
Recreation plan future stage construction	<u>6,503</u>
Total	<u><u>\$ 1,544,100</u></u>

The restrictions are for the following:

- Restricted for recreation plan operations and maintenance represents unspent State of California grant proceeds restricted for the District's recreation plan operations and maintenance.
- Restricted for Mariposa County water rights settlement represents unspent State of California grant proceeds restricted for the remaining unpaid Mariposa County water rights commitment.
- Restricted for recreation plan future stage construction represents unspent State of California grant proceeds restricted for the third stage of onshore recreation facilities improvements, including fishing access sites, at Lake McClure and Lake McSwain in accordance with the District's recreation plan.

Unrestricted

The Board of Directors has taken action to use current unrestricted resources to satisfy future spending plans. There is no external restriction on these amounts and the future use of these funds may be modified, amended or removed by Board action. Amounts set aside for future spending plans included the following at March 31, 2014:

Water resources - capital fund	\$ 2,000,000
Water resources - unanticipated infrastructure	2,000,000
Water resources - operating reserve	5,513,074
Water resources - catastrophe fund	<u>748,360</u>
Subtotal - water resources	<u><u>10,261,434</u></u>
Energy resources - new customer growth	2,185,000
Energy resources - system support and growth	16,001,392
Energy resources - purchased power reserve	9,989,121
Energy resources - operating reserve	3,196,586
Energy resources - catastrophe fund	<u>1,684,596</u>
Subtotal - energy resources	<u><u>33,056,695</u></u>
Total	<u><u>\$ 43,318,129</u></u>

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

7. Net Position, continued

The unrestricted net position set aside for future spending plans are for the following:

- Designated for water resources - capital fund: the Capital Fund is used for the funding of new capital assets or the replacement of capitalized assets when they reach the end of their useful lives.
- Designated for water resources - unanticipated infrastructure: this fund is established to provide funds to pay for unanticipated capital expenditures related to existing Water Resources facilities and infrastructure.
- Designated for water resources – operating reserve: the Operating Reserve Fund is used for unanticipated operating expenses and to ensure prudent levels of general liquidity. This fund is designated by the Board to maintain a reserve for current operations and to meet routine cash flow needs.
- Designated for water resources – catastrophe fund: the Catastrophe Fund is used to begin repairs of capital facilities after a catastrophic event, such as a severe earthquake or fire, while long-term financing is being arranged or insurance claims are being processed. Merced may use funds herein for either capital or operating purposes.
- Designated for energy resources – new customer growth: this Fund is designed to set aside funding for future capital projects that will enable Merced to strategically add customers in a competitive environment.
- Designated for energy resources – system support and growth: this Fund is used for the funding of new capital assets or the replacement of capitalized assets when they reach the end of their useful lives.
- Designated for energy resources – purchase power reserve: this sub-fund is established to provide flexibility to the Board when setting rates to allow for absorbing temporary rate fluctuations in energy expenses in connection with ICE NP-15 Index driven costs.
- Designated for energy resource – operating reserve: the Operating Reserve Fund is used for unanticipated operating expenses. This fund is designated by the Board to maintain a reserve for current operations and to meet routine cash flow needs.
- Designated for energy resources – catastrophe fund: the Catastrophe Fund can be used (i) to begin repair of the electric system after a catastrophic event, such as a severe earthquake or fire, while long-term financing is being arranged or insurance claims are being processed or (ii) for any operating or capital purpose in the event of severe financial events that impact the financial soundness of Merced. Merced may use funds herein for either capital or operating purposes.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

8. Employees' Retirement Plan

Plan Description

The District contributes to the California Public Employees Retirement System (CalPERS), an agent multiple-employer public employee defined benefit pension plan. CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and their beneficiaries. CalPERS acts as a common investment and administrative agent for participating public employers within the State of California. All permanent full and part-time District employees working at least 1,000 hours per year are eligible to participate in CalPERS. Under CalPERS, benefits vest after five years of service. Upon retirement, participants are entitled to an annual retirement benefit, payable for life, in an amount equal to a benefit factor, based on years of service, multiplied by their highest average monthly salary over thirty-six consecutive months of employment. Copies of the CalPERS annual financial report may be obtained from their Executive Office, 400 Q Street, Sacramento, CA 95811.

Funding Policy

Active plan members are required to contribute 7% of their annual covered salary, which the District contributes a portion or all on behalf of District employees and for their account. As of January 1, 2013, new employees are required to pay their own required contribution. Contributions made by the District on behalf of the employees were \$740,625 for the year ended March 31, 2014. The District is required to contribute at an actuarially determined rate; the rate for April 1, 2013 to June 30, 2013 was 12.411% and for July 1, 2013 to March 31, 2014 was 12.6%. The contribution requirements of plan members and the District are established and may be amended by CalPERS.

Annual Pension Cost

For the year ended March 31, 2014, the District incurred an annual pension cost of \$1,372,770. The required contribution was determined as part of the June 30, 2009 and 2010 actuarial valuations using entry age actuarial cost method. The actuarial assumptions included (a) 7.75% investment rate of return (net of administrative expenses); (b) projected salary increases that vary in duration of service ranging from 3.55% to 14.45% for miscellaneous members, and (c) 3.25% payroll growth adjustment. Both (a) and (b) include an inflation component of 3%. The actuarial value of the plan's assets was determined using techniques that smooth the effects of short-term volatility in the market value of investments over a 15 year period (smoothed market value). The plan's unfunded liability is being amortized as a level percentage of projected payroll on a closed basis. The average remaining amortization period at June 30, 2010 was 25 years.

Three-Year Trend Information for the District

	Annual Pension Cost (APC)	Percentage of APC Contributed
December 31, 2011	\$ 1,159,626	100%
December 31, 2012	1,498,977	100%
December 31, 2013	1,372,770	100%

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

8. Employees' Retirement Plan, continued

Funded Status and Funding Progress

The actuarial value and funding progress as of March 31, 2014, is set forth below at the most recent actuarial valuation date:

Actuarial Valuation Date	Entry Age Actuarial Accrued Liability	Actuarial Assets Value	(Excess Assets) Unfunded Liability	Funded Ratio	Covered Payroll	Unfunded Liability as a % of Covered Payroll
6/30/2010	\$ 53,752,166	\$ 43,296,042	\$ 10,456,124	80.50%	\$ 10,672,324	98.00%
6/30/2011	56,533,121	45,674,192	10,858,929	80.80%	10,284,848	105.58%
6/30/2012	58,262,912	47,600,034	10,662,878	81.70%	9,869,599	108.04%

Multiyear trend actuarial information about whether the actuarial value of plan assets is increasing or decreasing relative to the actuarial accrued liability for benefits over time is presented in the Required Supplementary Information immediately following the notes to the basic financial statements.

9. Postemployment Health Care Benefits

Plan Description

The District administers a single employer defined benefit other postemployment healthcare (OPEB) plan providing health plan coverage to eligible retired employees and their eligible dependents. The District maintains the same medical plans for its retirees as for its active employees. Benefits are paid until the retiree, spouse or surviving spouse, becomes eligible for Medicare. Employees become eligible to retire and receive healthcare benefits upon reaching the age of 60 with 5 years of service to the District. The OPEB Plan does not issue a publicly available financial report.

Funding Policy

The contribution requirements of plan members and the District are established and may be amended by the Board of Directors. The required contribution is based on projected pay-as-you-go financing requirements. For the year ended March 31, 2014, the District contributed \$260,611 to the plan, which represents 78% of the cost for the year ended December 31, 2013 premiums for eligible retired plan members and their spouses. During the year ended March 31, 2014, plan members receiving benefits contributed \$14,216 or approximately 9% of the total premiums, through their required contribution.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

9. Postemployment Health Care Benefits, continued

Annual OPEB Cost and Net OPEB Obligation

The District's annual OPEB cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover the normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The following table shows the components of the District's annual OPEB cost for the year ended December 31, 2013, the amount actually contributed to the plan for the year ended March 31, 2014, and changes in the District's net OPEB obligation to the OPEB plan:

Annual required contribution	\$ 359,121
Interest on net OPEB obligation	82,614
Annual required contribution adjustment	(107,481)
Annual OPEB cost	<u>334,254</u>
Contributions made (premium payment made)	(260,611)
Change in net OPEB obligation	<u>73,643</u>
Net OPEB obligation, beginning of year	<u>1,652,283</u>
Net OPEB obligation, end of year	<u><u>\$ 1,725,926</u></u>

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for 2011, 2012 and 2013 were as follows:

Year Ended	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
December 31, 2011	\$ 335,224	85.94%	\$ 1,634,827
December 31, 2012	282,392	93.82%	1,652,283
December 31, 2013	334,254	77.97%	1,725,926

Funded Status and Funding Progress

As of January 1, 2011, the most recent actuarial valuation date, the actuarial accrued liability for benefits was \$2,971,500.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as Required Supplementary Information, presents multi-year trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

9. Postemployment Health Care Benefits, continued

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets consistent with the long-term perspective of the calculations.

In the January 1, 2011 actuarial valuation, the projected unit credit actuarial method was used. The actuarial assumptions included a 5% investment rate of return (net of administrative expenses), which is based on the employer's own investments. The annual healthcare-cost trend rates are as follows: for medical premiums, 10% initially, reduced by 1% decrements to an ultimate rate of 5% after four years; for dental premiums, 7% every other year, with the first assumed July 1, 2010; for vision insurance premiums, 5% every third year, with the next increase in January 2009. Life insurance premiums are not assumed to change from current levels. The assumptions also include a 3% inflationary factor. The UAAL is being amortized as a level percentage of projected payroll on an open basis. The remaining amortization period at January 1, 2011 was 30 years.

10. Insurance

The District participates in the Association of California Water Agencies Joint Powers Insurance Authority (ACWA/JPIA) a public entity risk pool of California water agencies, for general and auto liability, public officials' liability, property damage, fidelity, dam failure and workers' compensation insurance. ACWA/JPIA provides insurance through the pool up to a certain level, beyond which group-purchased commercial excess insurance is obtained.

The District pays an annual premium to ACWA/JPIA that includes its pro-rata share of excess insurance premiums, charges for the pooled risk, claims adjusting and legal costs, and administrative and other costs to operate the ACWA/JPIA. The District's deductibles and maximum coverage's are as follows:

Coverage	ACWA/JPIA	Commercial Insurance	Deductible
General and Auto Liability			
(Includes public officials liability)	\$ 2,000,000	\$ 58,000,000	None
Property Damage (Includes crime)	100,000	100,000,000	Various
Workers' Compensation liability	2,000,000	Statutory	None
Dam failure liability	250,000	5,000,000	250,000

The District continues to carry commercial insurance for all other risks of loss to which the District is exposed. Settled claims have not exceeded commercial insurance coverage in any of the past three fiscal years.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

11. Commitments and Contingencies

Mariposa County Water Rights Commitment

On March 1, 1960, the District entered into an agreement with Mariposa County regarding stream flow from the Merced River. In 1968, the District agreed to pay \$5,000,000 over 50 years in annual installments of not less than \$100,000, which are due annually on March 1. The agreement is secured by a lien on interest earned on certain accounts held in trust.

Litigation

The District is party to various claims, legal actions and complaints that arise in the normal operation of business. Management and the District's legal counsel believe that there are no material loss contingencies that would have a materially adverse impact on the financial position of the District.

Federal and State Regulatory Issues

The District has a conditional license with the Federal Energy Regulatory Commission to operate its 1964 Merced River Development Project through February 2014. The District is working to renew this license and expects it to be renewed in 2015.

Contract Commitments

At March 31, 2014, the District had contract commitments of \$801,175 for construction, design, engineering, planning and administrative costs. The District has unexpended approved allocations from existing sources, as well as committed revenues in its funding plan to cover the costs of these contract commitments.

12. Line of Credit

The District had a \$7,000,000 line of credit that will expire on August 1, 2014. At March 31, 2014, there was no balance outstanding on this line of credit.

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

13. Disclosure of Segment Information

The District has issued separate revenue bonds to finance its electric and water operations. These operations are accounted for within the District, but investors in those bonds rely solely on the revenue generated by the individual activities for repayment. Summary financial information for each segment is presented below. Electric Services operates the retail electric system. The Water Operations operates the District's irrigation water supply system.

	Electric Services	Water Operations
Condensed Statements of Net Position		
Assets:		
Capital assets, net	\$ 65,100,870	\$ 41,465,997
Debt issuance costs	1,750,294	-
Interfund receivables	34,536,070	32,168,019
Current assets	13,630,797	6,276,712
Total assets	<u>115,018,031</u>	<u>79,910,728</u>
Deferred outflow of resources	<u>2,340,290</u>	<u>86,133</u>
Liabilities:		
Long-term and other liabilities	81,988,966	14,509,099
Interfund payables	222,605	379,370
Other current liabilities	4,862,354	3,181,730
Total liabilities	<u>87,073,925</u>	<u>18,070,199</u>
Deferred inflow of resources	<u>1,360,330</u>	<u>-</u>
Net position:		
Net investment (deficit) in capital assets	(9,111,649)	38,823,996
Restricted	-	437,107
Unrestricted	<u>38,035,715</u>	<u>22,665,559</u>
Total net position	<u>\$ 28,924,066</u>	<u>\$ 61,926,662</u>

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

13. Disclosure of Segment Information, continued

	Electric Services	Water Operations
Condensed Statements of Revenues, Expenses and Changes in Net Position		
Operating revenues (pledged against bonds)	\$ 52,655,884	\$ 15,878,269
Depreciation and amortization	(2,949,152)	(1,882,301)
Other operating expenses	(38,200,873)	(18,158,981)
Operating income	<u>11,505,859</u>	<u>(4,163,013)</u>
Non-operating revenues (expenses):		
Property taxes	-	2,865,870
Other non-operating revenues	113,829	165,137
Interest expense	(4,808,842)	(201,164)
Non-operating revenues (expenses), net	<u>(4,695,013)</u>	<u>2,829,843</u>
Income (loss) before transfers and capital contributions	6,810,846	(1,333,170)
Capital contributions	193,198	136,383
Transfers in	1,534	1,302,479
Transfers out	<u>(1,225,252)</u>	<u>-</u>
Changes in net position	5,780,326	105,692
Beginning net position	<u>23,143,740</u>	<u>61,820,970</u>
Ending net position	<u>\$ 28,924,066</u>	<u>\$ 61,926,662</u>

MERCED IRRIGATION DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS

March 31, 2014

13. Disclosure of Segment Information, continued

	Electric Services	Water Operations
Condensed Statements of Cash Flows		
Net cash provided by (used in):		
Operating activities	\$ 5,940,459	\$ (1,950,736)
Noncapital financing activities	2,335	2,963,128
Capital and related financing activities	(6,960,751)	(1,175,910)
Investing activities	118,296	71,813
Net (decrease)	(899,661)	(91,705)
 Cash and cash equivalents, beginning of year	 6,742,667	 4,157,272
 Cash and cash equivalents, end of year	 \$ 5,843,006	 \$ 4,065,567

Cash is used within the District by different funds for various operations and this use of another fund's cash is recorded on the statement of net position as due to other funds and due from other funds. As of March 31, 2014 the amounts of unrestricted cash balances available to the District's segments, in addition to those amounts specifically reported as cash on the fund statements of net position, can be calculated from the condensed statements of net position above by subtracting the interfund payable amount from the interfund receivable amounts.

14. Subsequent Events

The District evaluated subsequent events for recognition and disclosure through June 26, 2014, the date which these financial statements were available to be issued. Management concluded that no material subsequent events have occurred since March 31, 2014 that required recognition or disclosure in such financial statements.

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**REQUIRED SUPPLEMENTARY INFORMATION
(UNAUDITED)**

MERCED IRRIGATION DISTRICT
REQUIRED SUPPLEMENTARY INFORMATION (UNAUDITED)
SCHEDULES OF FUNDING PROGRESS
For the year ended March 31, 2014

Schedule of Funding Progress for the Postemployment Health Care Benefits

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL)- Simplified Entry Age (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b-a)/c)
January 1, 2008	\$ -	\$ 1,873,768	\$ 1,873,768	0%	N/A	N/A
January 1, 2011	-	2,971,500	2,971,500	0%	N/A	N/A

Schedule of Funding Progress for the Employees Retirement Plan

Actuarial Valuation Date	Entry Age Actuarial Accrued Liability	Actuarial Assets Value	(Excess Assets) Unfunded Liability	Funded Ratio	Covered Payroll	Unfunded Liability as a % of Covered Payroll
6/30/2010	\$ 53,752,166	\$ 43,296,042	\$ 10,456,124	80.50%	\$ 10,672,324	98.00%
6/30/2011	56,533,121	45,674,192	10,858,929	80.80%	10,284,848	105.58%
6/30/2012	58,262,912	47,600,034	10,662,878	81.70%	9,869,599	108.04%

SUPPLEMENTARY INFORMATION

MERCED IRRIGATION DISTRICT
COMBINING STATEMENT OF NET POSITION

March 31, 2014

<u>Assets</u>	Electric Services	Water Utility	Hydroelectric	Parks
Capital assets:				
Non-depreciable	\$ 7,155,236	\$ 10,191,899	\$ 13,544,674	\$ 1,771,436
Depreciable	57,945,634	31,274,098	21,700,147	1,933,167
Capital assets, net	<u>65,100,870</u>	<u>41,465,997</u>	<u>35,244,821</u>	<u>3,704,603</u>
Other non-current assets:				
Investments	-	-	-	-
Deferred relicense costs	-	-	-	-
Debt issuance costs	1,750,294	-	-	-
Regulatory costs for future recovery	-	-	-	-
Total other non-current assets	<u>1,750,294</u>	<u>-</u>	<u>-</u>	<u>-</u>
Current assets:				
Cash and cash equivalents	-	3,085,521	-	1,460
Investments	-	-	-	-
Accounts receivable, net	4,279,704	520,455	1,718,787	12,505
Due from other governmental agencies	-	916,763	23,884	7,193
Accrued interest and taxes receivable	4,337	1,074	-	-
Inventory	3,401,453	384,207	-	-
Prepaid expenses and other current assets	102,297	388,646	185,461	52,462
Due from other funds	34,536,070	32,168,019	-	-
Restricted cash and cash equivalents	5,843,006	980,046	377,738	1,106,993
Total current assets	<u>48,166,867</u>	<u>38,444,731</u>	<u>2,305,870</u>	<u>1,180,613</u>
Total assets	<u>115,018,031</u>	<u>79,910,728</u>	<u>37,550,691</u>	<u>4,885,216</u>
<u>Deferred Outflows of Resources</u>				
Deferred amount on debt refundings	2,464,619	86,133	-	-
Deferred gas charges	389,222	-	-	-
Accumulated decrease in fair value of hedging derivatives	(513,551)	-	-	-
Total deferred outflows of resources	<u>2,340,290</u>	<u>86,133</u>	<u>-</u>	<u>-</u>
Total assets and deferred outflows of resources	<u>\$ 117,358,321</u>	<u>\$ 79,996,861</u>	<u>\$ 37,550,691</u>	<u>\$ 4,885,216</u>

Drainage Improvement District #1	Federal Energy Regulatory Commission Fund	General Operations	Twin Lakes	Eliminating Entries	Total
\$ -	\$ -	\$ 583,175	22,004	\$ -	\$ 33,268,424
895,094	-	315,268	369,727	-	114,433,135
895,094	-	898,443	391,731	-	147,701,559
-	-	15,336,645	-	-	15,336,645
-	22,559,347	-	-	-	22,559,347
-	-	-	-	-	1,750,294
-	10,150,358	-	-	-	10,150,358
-	32,709,705	15,336,645	-	-	49,796,644
-	-	21,408,455	17,794	-	24,513,230
-	-	11,957,176	-	-	11,957,176
-	-	6,352	41,791	-	6,579,594
77,433	-	-	-	-	1,025,273
-	2,273	85,040	-	-	92,724
-	-	-	215,558	-	4,001,218
77	-	344,016	22,650	-	1,095,609
872,364	-	9,399,758	1,969,859	(78,946,070)	-
-	4,164,201	-	-	-	12,471,984
949,874	4,166,474	43,200,797	2,267,652	(78,946,070)	61,736,808
1,844,968	36,876,179	59,435,885	2,659,383	(78,946,070)	259,235,011
-	15,584	-	-	-	2,566,336
-	-	-	-	-	389,222
-	-	-	-	-	(513,551)
-	15,584	-	-	-	2,442,007
\$ 1,844,968	\$ 36,891,763	\$ 59,435,885	\$ 2,659,383	\$ (78,946,070)	\$ 261,677,018

MERCED IRRIGATION DISTRICT
COMBINING STATEMENT OF NET POSITION (CONTINUED)

March 31, 2014

	Electric Services	Water Utility	Hydroelectric	Parks
<u>Liabilities</u>				
Long-term liabilities	\$ 81,552,317	\$ 4,483,235	\$ 1,841,365	\$ 447,365
Other noncurrent liabilities:				
Regulatory deferred revenues	-	9,800,445	-	-
Deposits	436,649	225,419	-	102,078
Total other noncurrent liabilities	436,649	10,025,864	-	102,078
Current liabilities:				
Accounts payable	86,455	351,588	105,053	22,782
Accrued liabilities	2,755,129	982,587	388,540	44,247
Unearned revenue	-	1,382,555	-	-
Accrued interest payable	-	-	3,703	-
Due to other funds	222,605	379,370	3,068,790	9,739,324
Current portion of long-term debt	2,020,770	465,000	395,000	-
Total current liabilities	5,084,959	3,561,100	3,961,086	9,806,353
Total liabilities	87,073,925	18,070,199	5,802,451	10,355,796
<u>Deferred Inflows of Resources</u>				
Public purpose revenues	1,073,881	-	-	-
Power cost reductions	800,000	-	-	-
Accumulated increase in fair value of hedging derivatives	(513,551)	-	-	-
Total deferred inflows of resources	1,360,330	-	-	-
<u>Net Position</u>				
Net investment (deficit) in capital assets	(9,111,649)	38,823,996	35,227,559	4,811,597
Restricted	-	437,107	-	1,106,993
Unrestricted (deficit)	38,035,715	22,665,559	(3,479,319)	(11,389,170)
Total net position (deficit)	28,924,066	61,926,662	31,748,240	(5,470,580)
Total liabilities, deferred inflows of resources and net position	\$ 117,358,321	\$ 79,996,861	\$ 37,550,691	\$ 4,885,216

Drainage Improvement District #1	Federal Energy Regulatory Commission Fund	General Operations	Twin Lakes	Eliminating Entries	Total
\$ 4,177	32,869,236	\$ 163,442	\$ 30,489	\$ -	\$ 121,391,626
-	-	-	-	-	9,800,445
-	-	6,055	-	-	770,201
-	-	6,055	-	-	10,570,646
-	16,174	75,901	43,501	-	701,454
-	69,219	190,407	59,235	-	4,489,364
7,315	-	-	45,449	-	1,435,319
-	-	-	-	-	3,703
-	2,355,524	59,587,691	3,592,766	(78,946,070)	-
-	-	-	-	-	2,880,770
7,315	2,440,917	59,853,999	3,740,951	(78,946,070)	9,510,610
11,492	35,310,153	60,023,496	3,771,440	(78,946,070)	141,472,882
-	-	-	-	-	1,073,881
-	-	-	-	-	800,000
-	-	-	-	-	(513,551)
-	-	-	-	-	1,360,330
895,094	(6,135,541)	898,443	391,731	-	65,801,230
-	-	-	-	-	1,544,100
938,382	7,717,151	(1,486,054)	(1,503,788)	-	51,498,476
1,833,476	1,581,610	(587,611)	(1,112,057)	-	118,843,806
\$ 1,844,968	\$ 36,891,763	\$ 59,435,885	\$ 2,659,383	\$ (78,946,070)	\$ 261,677,018

MERCED IRRIGATION DISTRICT

COMBINING STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

For the year ended March 31, 2014

	Electric Services	Water Utility	Hydroelectric	Parks
Operating revenues:				
Electric sales and services	\$ 52,655,884	\$ -	\$ -	\$ -
Water sales and services	-	11,998,771	-	-
Hydroelectric contractual services	-	-	6,821,581	-
Water transfers	-	3,879,498	-	-
Recreation fees	-	-	-	1,423,916
Administrative services	-	-	-	-
Storm drainage fees	-	-	-	-
Concessionaire revenue	-	-	-	-
Total operating revenues	<u>52,655,884</u>	<u>15,878,269</u>	<u>6,821,581</u>	<u>1,423,916</u>
Operating expenses:				
Purchase of power	28,583,744	-	-	-
Water distribution	-	16,197,532	-	-
Electric transmission and distribution	7,772,591	-	4,972,395	-
Recreation	-	-	-	2,670,247
Concessionaire	-	-	-	-
Storm drainage	-	-	-	-
Administrative and general	1,844,538	1,961,449	493,221	-
Depreciation and amortization	2,949,152	1,882,301	775,291	354,946
Total operating expenses	<u>41,150,025</u>	<u>20,041,282</u>	<u>6,240,907</u>	<u>3,025,193</u>
Net income (loss) from operations	<u>11,505,859</u>	<u>(4,163,013)</u>	<u>580,674</u>	<u>(1,601,277)</u>
Non-operating revenues (expenses):				
Property taxes	-	2,865,870	-	-
Interest income	167,631	71,813	37	100
Other non-operating income (expense)	(46,960)	96,682	-	-
Loss on disposal of capital assets	(6,842)	(3,358)	-	-
Interest expense	(4,808,842)	(201,164)	(50,637)	-
Transfers in	1,534	1,302,479	-	-
Transfers out	(1,225,252)	-	(5,266)	(24,383)
Total non-operating revenues (expenses)	<u>(5,918,731)</u>	<u>4,132,322</u>	<u>(55,866)</u>	<u>(24,283)</u>
Net income (loss) before capital contributions	5,587,128	(30,691)	524,808	(1,625,560)
Capital contributions	193,198	136,383	314,879	11,662
Change in net position	5,780,326	105,692	839,687	(1,613,898)
Net position (deficit), beginning of year	23,143,740	61,820,970	30,908,553	(3,856,682)
Net position (deficit), end of year	<u>\$ 28,924,066</u>	<u>\$ 61,926,662</u>	<u>\$ 31,748,240</u>	<u>\$ (5,470,580)</u>

Drainage Improvement District #1	Federal Energy Regulatory Commission Fund	General Operations	Twin Lakes	Eliminating Entries	Total
\$ -	\$ -	\$ -	\$ -	\$ -	\$ 52,655,884
-	-	-	-	-	11,998,771
-	-	-	-	-	6,821,581
-	-	-	-	-	3,879,498
-	-	-	-	-	1,423,916
-	-	4,618,577	-	(4,618,577)	-
19,942	-	-	-	-	19,942
-	-	-	1,837,517	-	1,837,517
19,942	-	4,618,577	1,837,517	(4,618,577)	78,637,109
-	-	-	-	-	28,583,744
-	-	-	-	-	16,197,532
-	-	-	-	-	12,744,986
-	-	-	-	-	2,670,247
-	-	-	529,003	-	529,003
21,076	-	-	-	-	21,076
176,151	317,069	4,581,256	1,434,211	(4,618,577)	6,189,318
49,020	-	112,162	82,476	-	6,205,348
246,247	317,069	4,693,418	2,045,690	(4,618,577)	73,141,254
(226,305)	(317,069)	(74,841)	(208,173)	-	5,495,855
349,112	-	-	-	-	3,214,982
134	26,240	47,818	-	-	313,773
-	5,432	7,021	83,090	-	145,265
-	-	-	-	-	(10,200)
-	(1,284)	-	(47,610)	-	(5,109,537)
-	-	-	-	(1,304,013)	-
(49,112)	-	-	-	1,304,013	-
300,134	30,388	54,839	35,480	-	(1,445,717)
73,829	(286,681)	(20,002)	(172,693)	-	4,050,138
-	-	20,000	-	-	676,122
73,829	(286,681)	(2)	(172,693)	-	4,726,260
1,759,647	1,868,291	(587,609)	(939,364)	-	114,117,546
\$ 1,833,476	\$ 1,581,610	\$ (587,611)	\$ (1,112,057)	\$ -	\$ 118,843,806

MERCED IRRIGATION DISTRICT
COMBINING STATEMENT OF CASH FLOWS

For the year ended March 31, 2014

	Electric Services	Water Utility	Hydroelectric	Parks
Cash flows from operating activities:				
Cash receipts from customers	\$ 52,163,013	\$ 19,088,477	\$ 6,774,208	\$ 1,430,156
Cash paid to suppliers for goods and services	(37,518,593)	(16,224,231)	(5,043,884)	(2,635,184)
Cash paid to employees for services	(418,327)	(1,832,648)	-	-
Cash receipts/(payments) to other funds	(8,285,634)	(2,982,334)	610,893	1,356,455
Net cash provided by (used for) operating activities	5,940,459	(1,950,736)	2,341,217	151,427
Cash flows from noncapital financing activities:				
Property taxes received	-	2,866,446	-	-
Relicense costs incurred	-	-	-	-
Other income, net of other expenses	2,335	96,682	-	100
Net cash provided by (used for) noncapital financing activities	2,335	2,963,128	-	100
Cash flows from capital and related financing activities:				
Acquisition and construction of capital assets	(22,211)	(543,294)	(204,698)	(151,506)
Loss from the sale of equipment	(6,842)	(3,358)	-	-
Proceeds from issuance of debt	11,988,960	-	-	-
Principal payments on long-term debt	(14,459,085)	(455,393)	(2,083,156)	-
Interest payments on long-term debt	(4,461,573)	(173,865)	(65,168)	-
Net cash (used for) capital and related financing activities	(6,960,751)	(1,175,910)	(2,353,022)	(151,506)
Cash flows from investing activities:				
Purchase of investment securities	-	-	-	-
Interest received on investments	118,296	71,813	55	9
Net cash provided by investing activities	118,296	71,813	55	9
Increase (decrease) in cash and cash equivalents	(899,661)	(91,705)	(11,750)	30
Cash and cash equivalents, beginning of year	6,742,667	4,157,272	389,488	1,108,423
Cash and cash equivalents, end of year	\$ 5,843,006	\$ 4,065,567	\$ 377,738	\$ 1,108,453

Drainage Improvement District #1	Federal Energy Regulatory Commission Fund	General Operations	Twin Lakes	Eliminating Entries	Total
\$ 19,795	\$ -	\$ 4,625,519	\$ 1,841,260	\$ -	\$ 85,942,428
(98,511)	(93,896)	(644,440)	(551,603)	-	(62,810,342)
(176,070)	(317,069)	(4,747,717)	(1,422,968)	-	(8,914,799)
(94,461)	280,915	9,025,082	89,084	-	-
(349,247)	(130,050)	8,258,444	(44,227)	-	14,217,287
349,112	-	-	-	-	3,215,558
-	(2,136,689)	-	-	-	(2,136,689)
-	-	7,021	83,090	-	189,228
349,112	(2,136,689)	7,021	83,090	-	1,268,097
-	-	(307,768)	-	-	(1,229,477)
-	-	-	-	-	(10,200)
-	-	-	-	-	11,988,960
-	-	-	-	-	(16,997,634)
-	-	-	(45,002)	-	(4,745,608)
-	-	(307,768)	(45,002)	-	(10,993,959)
-	-	(2,919,621)	-	-	(2,919,621)
135	29,441	63,952	-	-	283,701
135	29,441	(2,855,669)	-	-	(2,635,920)
-	(2,237,298)	5,102,028	(6,139)	-	1,855,505
-	6,401,499	16,306,427	23,933	-	35,129,709
\$ -	\$ 4,164,201	\$ 21,408,455	\$ 17,794	\$ -	\$ 36,985,214

MERCED IRRIGATION DISTRICT
COMBINING STATEMENT OF CASH FLOWS (CONTINUED)

For the year ended March 31, 2014

	Electric Services	Water Utility	Hydroelectric
Reconciliation of net income (loss) from operations to net cash provided by (used for) operating activities:			
Net income (loss) from operations	\$ 11,505,859	\$ (4,163,013)	\$ 580,674
Adjustments to reconcile net income (loss) from operations to net cash provided by (used for) operating activities:			
Depreciation and amortization	2,949,152	1,882,301	775,291
Transfers to/from other funds	(1,223,718)	1,302,479	(5,266)
Changes in operating assets and liabilities:			
Accounts receivable	(331,826)	276,737	(47,373)
Due from other governmental agencies	-	826,270	-
Inventory	460,605	(92,455)	-
Prepaid expenses and other current assets	6,228	(42,420)	(37,361)
Deferred gas charges	(389,222)	-	-
Accounts payable	(88,335)	(413,065)	39,526
Accrued liabilities	408,667	353,542	(428,667)
Unearned revenue	-	2,107,201	-
Due to/from other funds	(7,061,916)	(4,284,813)	616,159
Deposits	(4,390)	167,699	-
Deferred inflow of resources	(161,045)	-	-
Accrued postemployment benefits	(54,907)	153,754	872,455
Accrued compensated absences	(74,693)	(24,953)	(24,221)
Net cash provided by (used for) operating activities	<u>\$ 5,940,459</u>	<u>\$ (1,950,736)</u>	<u>\$ 2,341,217</u>
Noncash investing, capital and financing activities:			
Receipt of contributed electric system assets from developers	<u>\$ 193,198</u>	<u>\$ 136,383</u>	<u>\$ 314,879</u>
Change in derivative financial instruments	<u>\$ 52,606</u>	<u>\$ -</u>	<u>\$ -</u>

Parks	Drainage Improvement District #1	Federal Energy Regulatory Commission Fund	General Operations	Twin Lakes	Eliminating Entries	Total
\$ (1,601,277)	\$ (226,305)	\$ (317,069)	\$ (74,841)	\$ (208,173)	\$ -	\$ 5,495,855
354,946	49,020	-	112,162	82,476	-	6,205,348
(24,383)	(49,112)	-	-	-	-	-
6,240	-	-	6,942	3,743	-	(85,537)
-	(77,433)	-	-	-	-	748,837
-	-	-	-	(36,184)	-	331,966
(6,802)	(2)	-	(181,525)	(22,650)	-	(284,532)
-	-	-	-	-	-	(389,222)
(3,905)	-	(109,411)	(25,052)	1,263	-	(598,979)
24,634	-	15,500	(438,831)	29,152	-	(36,003)
-	(147)	-	-	-	-	2,107,054
1,380,838	(45,349)	280,915	9,025,082	89,084	-	-
(21,037)	-	-	968	5,819	-	149,059
-	-	-	-	-	-	(161,045)
40,571	81	15	(198,983)	11,243	-	824,229
1,602	-	-	32,522	-	-	(89,743)
<u>\$ 151,427</u>	<u>\$ (349,247)</u>	<u>\$ (130,050)</u>	<u>\$ 8,258,444</u>	<u>\$ (44,227)</u>	<u>\$ -</u>	<u>\$ 14,217,287</u>
<u>\$ 11,662</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 20,000</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 676,122</u>
<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 52,606</u>

MERCED IRRIGATION DISTRICT
DEBT SERVICE COVERAGE RELATED TO OUTSTANDING COP'S AND BONDS -
ELECTRIC SERVICES

For the year ended March 31, 2014

Net income	\$ 5,780,326
Add back:	
Depreciation and amortization	2,949,152
Bond interest expense	4,808,842
Less:	
Capital contribution revenue	<u>193,198</u>
Reconciled net revenue	<u><u>\$ 13,345,122</u></u>
COP debt service related to outstanding COPs and Bonds	<u><u>\$ 5,903,029</u></u>
Debt service coverage	<u><u>226%</u></u>
Required debt service coverage	<u><u>125%</u></u>

MERCED IRRIGATION DISTRICT
DEBT SERVICE COVERAGE RELATED TO OUTSTANDING COP'S -
WATER SERVICES

For the year ended March 31, 2014

Net income	\$ 105,692
Add back:	
Depreciation and amortization	1,882,301
Bond interest expense	201,164
Less:	
Capital contribution revenue	<u>136,383</u>
Reconciled net revenue	<u><u>\$ 2,052,774</u></u>
COP debt service related to outstanding COPs	<u><u>\$ 637,883</u></u>
Debt service coverage	<u><u>322%</u></u>
Required debt service coverage	<u><u>125%</u></u>

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APPENDIX B

DEFINITIONS AND SUMMARY OF THE INDENTURE

The following is a summary of certain provisions of the Indenture which are not described elsewhere. This summary does not purport to be comprehensive and reference should be made to the Indenture for a full and complete statement of the provisions thereof.

DEFINITIONS; CONTENT OF CERTIFICATES AND OPINIONS

Definitions. Unless the context otherwise requires, the terms defined in the Indenture, for all purposes of the Indenture and of any indenture supplemental thereto and of any certificate, opinion or other document therein mentioned, have the meanings therein specified, to be equally applicable to both the singular and plural forms of any of the terms therein defined.

Accountant's Report. The term "Accountant's Report" means a report signed by an Independent Certified Public Accountant.

Acquisition and Construction Fund. The term "Acquisition and Construction Fund" means the fund by that name continued pursuant to the Indenture.

Authorized Representative. The term "Authorized Representative" means, with respect to the District, its President, Vice President, Secretary, General Manager, Deputy General Managers, Chief Financial Officer or any other person designated as an Authorized Representative of the District by a Certificate of the District signed by its President, Vice President, Secretary, General Manager, Deputy General Managers or Chief Financial Officer and filed with the Trustee.

Bond Counsel. The term "Bond Counsel" means Stradling Yocca Carlson & Rauth, a Professional Corporation, or another firm of nationally recognized attorneys experienced in the issuance of obligations the interest on which is excludable from gross income under Section 103 of the Code.

Bond Year. The term "Bond Year" will have the meaning set forth in the Tax Certificate.

Bonds. The term "Bonds" means all revenue bonds or notes of the District authorized, executed, issued and delivered by the District, the payments of which are payable from Net Revenues on a parity with the 2014 Bonds and which are secured by a pledge of and lien on Revenues as described in the Indenture.

Business Day. The term "Business Day" means: (i) a day which is not a Saturday, Sunday or legal holiday on which banking institutions in the State, or in any other state in which the Office of the Trustee is located, are closed; or (ii) a day on which the New York Stock Exchange is not closed.

Certificate; Direction; Request; Requisition. The terms "Certificate," "Direction," "Request," and "Requisition" of the District mean a written certificate, direction, request or requisition signed in the name of the District by its Authorized Representative. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument. If and to the extent required by the Indenture, each such instrument shall include the statements provided for in the Indenture.

Closing Date. The term "Closing Date" means the date on which the 2014 Bonds are delivered to the original purchaser thereof.

Code. The term "Code" means the Internal Revenue Code of 1986, as amended.

Continuing Disclosure Certificate. The term “Continuing Disclosure Certificate” means the Continuing Disclosure Certificate, dated the Closing Date, by the District, as originally executed and as it may be from time to time amended or supplemented in accordance with its terms.

Contracts. The term “Contracts” means and is limited to all contracts of the District previously or hereafter authorized and executed by the District which are on a parity with the 2014 Bonds and which are secured by a pledge and lien on the Revenues as described in the Indenture, but excluding contracts entered into for operation and maintenance of the Water System or the Hydroelectric System.

Corporation. The term “Corporation” means the Merced Irrigation District Public Facilities Financing Corporation, a nonprofit public benefit corporation duly organized and existing under and by virtue of the laws of the State of California.

Costs of Issuance. The term “Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the District and related to the authorization, issuance, sale and delivery of the 2014 Bonds, including but not limited to costs of preparation and reproduction of documents, printing expenses, filing and recording fees, initial fees and charges of the Trustee and counsel to the Trustee, legal fees and charges, fees and disbursements of consultants and professionals, Rating Agency fees, title insurance premiums, letter of credit fees and bond insurance premiums (if any), fees and charges for preparation, execution and safekeeping of the 2014 Bonds and any other cost, charge or fee in connection with the original issuance of the 2014 Bonds.

Costs of Issuance Fund. The term “Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

Debt Service. The term “Debt Service” means, for any period of calculation, the sum of:

- (1) the interest payable during such period on all outstanding Bonds, assuming that all outstanding serial Bonds are retired as scheduled and that all outstanding term Bonds are redeemed or paid from sinking fund payments as scheduled (except to the extent that such interest is capitalized);
- (2) those portions of the principal amount of all outstanding serial Bonds maturing in such period;
- (3) those portions of the principal amount of all outstanding term Bonds required to be prepaid or paid in such period; and
- (4) those portions of the Contracts required to be made during such period, (except to the extent the interest evidenced and represented thereby is capitalized);

but less the earnings to be derived from the investment of moneys on deposit in debt service reserve funds established for Bonds or Contracts;

provided that, as to any such Bonds or Contracts bearing or comprising interest at other than a fixed rate, the rate of interest used to calculate Debt Service shall, for all purposes, be assumed to bear interest at a fixed rate equal to the higher of:

- (i) the then current variable interest rate borne by such Bonds or Contracts plus 1%, and
- (ii) if such Bonds or Contracts have been outstanding for at least twelve months, the average rate over the twelve months immediately preceding the date of calculation, or if such Bonds or Contracts have not been outstanding for the twelve prior months, the average rate borne by reference to an index comparable to that to be utilized in determining the interest rate for the Bonds to be issued or the Contracts to be executed;

provided further that if any series or issue of such Bonds or Contracts have twenty-five percent (25%) or more of the aggregate principal amount of such series or issue due in any one year, Debt Service shall be determined for the period of determination as if the principal of and interest on such series or issue of such Bonds or Contracts were being paid from the date of incurrence thereof in substantially equal annual amounts over a period of twenty-five (25) years from the date of calculation; and

provided further that, as to any such Bonds or Contracts or portions thereof bearing no interest but which are sold at a discount and which discount accretes with respect to such Bonds or Contracts or portions thereof, such accreted discount shall be treated as interest in the calculation of Debt Service; and

provided further that if the Bonds or Contracts constitute paired obligations, the interest rate on such Bonds or Contracts shall be the resulting linked rate or the effective fixed interest rate to be paid by the District with respect to such paired obligations; and

provided further that the amount on deposit in a debt service reserve fund on any date of calculation of Debt Service shall be deducted from the amount of principal due at the final maturity of the Bonds and Contracts for which such debt service reserve fund was established and to the extent the amount in such debt service reserve fund is in excess of such amount of principal, such excess shall be applied to the full amount of principal due, in each preceding year, in descending order, until such amount is exhausted.

Defeasance Securities. The term “Defeasance Securities” means: (1) cash, (2) non-callable direct obligations of the United States of America (“Treasuries”), (3) evidences of ownership of proportionate interests in future interest and principal payments on Treasuries held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor and the underlying Treasuries are not available to any person claiming through the custodian or to whom the custodian may be obligated, (4) subject to the prior written consent of the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy), pre-refunded municipal obligations rated “AAA” and “Aaa” by S&P and Moody’s, respectively, and (5) subject to the prior written consent of the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy), securities eligible for “AAA” defeasance under then existing criteria of S&P.

Depository; DTC. The term “Depository” or “DTC” means The Depository Trust Company, New York, New York, a limited purpose trust company organized under the laws of the State of New York in its capacity as Securities Depository for the 2014 Bonds.

District. The term “District” means Merced Irrigation District, an irrigation district duly organized and existing under and by virtue of the laws of the State.

Drainage District. The term “Drainage District” means the Merced Irrigation District Drainage Improvement District #1, an improvement district of the District duly organized and existing under and by virtue of the laws of the State.

Energy System. The term “Energy System” means (i) all energy generation, transmission and distribution facilities of the District existing on the date hereof, and (ii) all additions, betterments, extensions and improvements to such existing energy generation, transmission and distribution facilities hereafter acquired or constructed, and (iii) other energy generation, transmission and distribution facilities of the District hereafter acquired or constructed and determined by the Board of Directors to be a part of the Energy System; provided, however, that neither the facilities included in the Hydroelectric System nor the Small Hydroelectric Projects shall be a part of the Energy System.

Event of Default. The term “Event of Default” means any of the events specified in the Indenture.

Federal Securities. The term “Federal Securities” means any direct, noncallable general obligations of the United States of America (including obligations issued or held in book entry form on the books of the Department of

the Treasury of the United States of America), or noncallable obligations the timely payment of principal of and interest on which are fully and unconditionally guaranteed by the United States of America.

Fiscal Year. The term “Fiscal Year” means the twelve month period beginning on April 1 of each year and ending on March 31 of the following year, both dates inclusive, or any other twelve month period hereafter selected and designated as the official fiscal year period of the District.

Fitch. The term “Fitch” means Fitch Ratings, Inc., a Delaware corporation, or any successor thereto.

Hydroelectric Service. The term “Hydroelectric Service” means the electricity generated and other products made available by the Hydroelectric System.

Hydroelectric System. The term “Hydroelectric System” means (i) the whole and each and every part of the hydroelectric generation system of the District existing on the date hereof and generally referred to as the “Merced River Development Project,” and (ii) all additions, betterments, extensions and improvements to such hydroelectric system and (iii) any other hydroelectric facilities hereafter acquired or constructed and determined by the Board of Directors to be a part of the Hydroelectric System; provided, however, that the Small Hydroelectric Projects shall not be a part of the Hydroelectric System.

Hydroelectric System Revenue Fund. The term “Hydroelectric System Revenue Fund” means those District accounts designated by the District as account numbers 103.XXXX.40000 through 103.XXXX.49999 and 103.XXXX.59111, 59121, 59131, 59141, 59211, 59221, 59231, 59241, 59251, 59311, 59331, 59351, 59511, 59521, 59531, 59551, and 59810, (excluding account 103.XXXX.48000 Contribution Revenue Non Cash) together with other accounts created in the future and designated by action of the Board of Directors as a part of the Hydroelectric System Revenue Fund created pursuant to the Indenture.

Hydroelectric System Revenues. The term “Hydroelectric System Revenues” means all income and other moneys derived from the ownership or operation of the Hydroelectric System, including, without limiting the generality of the foregoing,

(1) all income, business interruption insurance proceeds or other moneys derived by the District from the sale of electricity, capacity and renewable portfolio standard revenues and other services of the Hydroelectric System or other services, facilities, and commodities sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Hydroelectric System; plus

(2) the earnings on and income derived from the investment of the amounts described in clause (1) hereof and from the investment of money in the Hydroelectric System Revenue Fund; plus

(3) the earnings on and income derived from investment of the District reserves allocated to the Hydroelectric System; plus

(4) all amounts transferred from the Rate Stabilization Fund to the Hydroelectric System Revenue Fund during any Fiscal Year in accordance with the Indenture;

but excluding any amounts transferred from the Hydroelectric System Revenue Fund to the Rate Stabilization Fund during any Fiscal Year in accordance with the Indenture.

Indenture. The term “Indenture” means the Indenture of Trust, dated as of August 1, 2014, by and between the District and the Trustee, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture.

Independent Certified Public Accountant. The term “Independent Certified Public Accountant” means any firm of certified public accountants appointed by the District, each of whom is independent of the District pursuant to the Statement on Auditing Standards No. 1 of the American Institute of Certified Public Accountants.

Independent Financial Consultant. The term “Independent Financial Consultant” means a financial consultant or firm of such consultants appointed by the District, which may, for purposes of the certification described in the definition of “Paired Obligations” be an interest rate swap adviser, and who, or each of whom: (1) is in fact independent and not under domination of the District; (2) does not have any substantial interest, direct or indirect, with the District; and (3) is not connected with the District as an officer or employee thereof, but who may be regularly retained to make reports thereto.

Information Services. The term “Information Services” means the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access system; or, in accordance with then-current guidelines of the Securities and Exchange Commission, such other services providing information with respect to called bonds as the District may specify in a certificate to the Trustee and as the Trustee may select.

Insurance Policy. The term “Insurance Policy” means the insurance policy issued by the Insurer guaranteeing the scheduled payment of principal of and interest on the 2014 Bonds when due.

Insurer. The term “Insurer” means Assured Guaranty Municipal Corp., a New York financial guaranty insurance company, or any successor thereto or assignee thereof.

Interest Account. The term “Interest Account” means the account by that name in the Payment Fund established pursuant to the Indenture.

Interest Payment Date. The term “Interest Payment Date” means each April 1 and October 1 of each year, commencing April 1, 2015.

Investment Agreement. The term “Investment Agreement” means an investment agreement supported by appropriate opinions of counsel; provided the provider thereof or the guarantor thereof is rated by at least two Rating Agencies, at the time of issuance, at least “AA”, “Aa” or “AA” (S&P, Moody’s or Fitch, respectively).

Letter of Representations. The term “Letter of Representations” means the letter of the District and the Trustee delivered to and accepted by the Depository on or prior to delivery of the 2014 Bonds as book entry bonds setting forth the basis on which the Depository serves as depository for such book entry bonds, as originally executed or as it may be supplemented or revised or replaced by a letter from the District and the Trustee delivered to and accepted by the Depository.

Loan Agreement. The term “Loan Agreement” means that Credit Agreement by and between the District and Wells Fargo Bank, National Association dated as of August 18, 2014.

Moody’s. The term “Moody’s” means Moody’s Investors Service, Inc., or any successor thereto.

Net Proceeds. The term “Net Proceeds” means, when used with respect to any casualty insurance or condemnation award, the proceeds from such insurance or condemnation award remaining after payment of all expenses (including attorneys fees) incurred in the collection of such proceeds.

Net Hydroelectric System Revenues. The term “Net Hydroelectric System Revenues” means for any Fiscal Year, the Hydroelectric System Revenues for such Fiscal Year less the Operation and Maintenance Costs of the Hydroelectric System for such Fiscal Year.

Net Revenues. The term “Net Revenues” means, for any Fiscal Year, the Net Water System Revenues and the Net Hydroelectric System Revenues for such Fiscal Year.

Net Water System Revenues. The term “Net Water System Revenues” means for any Fiscal Year, the Water System Revenues for such Fiscal Year less the Operation and Maintenance Costs of the Water System for such Fiscal Year.

Nominee. The term “Nominee” means the nominee of the Depository, which may be the Depository, as determined from time to time pursuant to the Indenture.

Office of the Trustee. The term “Office of the Trustee” means the principal corporate trust office of the Trustee in Los Angeles, California, provided that for purposes of payment, redemption, exchange, transfer, surrender and cancellation of 2014 Bonds, such term means the office of the Trustee at which it conducts its corporate agency business, or such other office as the Trustee may from time to time designate in writing to the District and the Owners.

Operation and Maintenance Costs of the Hydroelectric System. The term “Operation and Maintenance Costs of the Hydroelectric System” means costs spent or incurred for maintenance and operation of the Hydroelectric System calculated in accordance with generally accepted accounting principles, including (among other things) the reasonable expenses of management and repair and other expenses necessary to maintain and preserve the Hydroelectric System in good repair and working order, and including administrative costs of the District that are charged directly or apportioned to the Hydroelectric System, including but not limited to salaries and wages of employees, payments to the Public Employees Retirement System, overhead, insurance, taxes (if any), fees of auditors, accountants, attorneys, consultants or engineers and insurance premiums, and including all other reasonable and necessary costs of the District or charges (other than Debt Service) required to be paid by it to comply with the terms of the Indenture or any other Contract or of any resolution or indenture authorizing the issuance of any Bonds or of such Bonds; but excluding in all cases depreciation, replacement and obsolescence charges or reserves therefor and amortization of intangibles or other bookkeeping entries of a similar nature and any amounts transferred to the Rate Stabilization Fund.

Operation and Maintenance Costs of the Water System. The term “Operation and Maintenance Costs of the Water System” means (i) costs spent or incurred for maintenance and operation of the Water System calculated in accordance with generally accepted accounting principles, including (among other things) the reasonable expenses of management and repair and other expenses necessary to maintain and preserve the Water System in good repair and working order, and including administrative costs of the District that are charged directly or apportioned to the Water System, including but not limited to salaries and wages of employees, payments to the Public Employees Retirement System, overhead, insurance, taxes (if any), fees of auditors, accountants, attorneys, consultants or engineers and insurance premiums, and including all other reasonable and necessary costs of the District or charges (other than Debt Service) required to be paid by it to comply with the terms of the Indenture or any other Contract or of any resolution or indenture authorizing the issuance of any Bonds or of such Bonds, and (ii) all costs of water purchased or otherwise acquired for delivery by the Water System (including any interim or renewed arrangement therefor); but excluding in all cases depreciation, replacement and obsolescence charges or reserves therefor and amortization of intangibles or other bookkeeping entries of a similar nature and any amounts transferred to the Rate Stabilization Fund.

Opinion of Counsel. The term “Opinion of Counsel” means a written opinion of counsel (including but not limited to counsel to the District) selected by the District. If and to the extent required by the provisions of the Indenture each Opinion of Counsel shall include the statements provided for in the Indenture.

Outstanding. The term “Outstanding,” when used as of any particular time with reference to 2014 Bonds, means (subject to the provisions of the Indenture) all 2014 Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except: (i) 2014 Bonds theretofore canceled by the Trustee or surrendered to the Trustee for cancellation; (ii) 2014 Bonds with respect to which all liability of the District shall have been discharged in accordance with the Indenture, including 2014 Bonds (or portions thereof) described in the Indenture; and (iii) 2014 Bonds for the transfer or exchange of or in lieu of or in substitution for which other 2014 Bonds shall have been authenticated and delivered by the Trustee pursuant to the Indenture.

Owner; 2014 Bond Owner. The term “Owner” or “2014 Bond Owner,” whenever used in the Indenture with respect to a 2014 Bond, means the person in whose name the ownership of such 2014 Bond is registered on the Registration Books.

Parity Project. The term “Parity Project” means any additions, betterments, extensions or improvements to the District’s Water System or Hydroelectric System designated by the Board of Directors of the District as a Parity Project, the acquisition and construction of which is to be paid for with the proceeds of any Contracts or Bonds.

Parks and Recreation Facilities. The term “Parks and Recreation Facilities” means the whole and each and every part of the parks and recreational facilities of the District and including the portion thereof existing on the date hereof, and including all additions, betterments, extensions and improvements to such parks and recreational facilities or any part thereof hereafter acquired or constructed.

Participants. The term “Participants” means those broker-dealers, banks and other financial institutions from time to time for which the Depository holds book entry certificates as Securities Depository.

Payment Fund. The term “Payment Fund” means the fund by that name established pursuant to the Indenture.

Permitted Investments. The term “Permitted Investments” means any of the following obligations if and to the extent that they are permissible investments of funds of the District (provided that the Trustee shall be entitled to rely upon any investment directions from the District as conclusive certification to the Trustee that the investments described therein are permissible investment of funds of the District):

(a) Direct obligations of the United States (including obligations issued or held in book-entry form on the books of the Department of the Treasury, and CATS and TIGRS) or obligations the principal of and interest on which are unconditionally guaranteed by the United States.

(b) Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following federal agencies and provided such obligations are backed by the full faith and credit of the United States (stripped securities are only permitted if they have been stripped by the agency itself):

1. U.S. Export-Import Bank (“Eximbank”)
Direct obligations or fully guaranteed certificates of beneficial ownership
2. Farmers Home Administration (“FmHA”)
Certificates of beneficial ownership
3. Federal Financing Bank
4. Federal Housing Administration Debentures (“FHA”)
5. General Services Administration
Participation certificates
6. Government National Mortgage Association (“GNMA”)
GNMA - guaranteed mortgage-backed bonds
GNMA - guaranteed pass-through obligations (not acceptable for certain cash-flow sensitive issues)
7. United States Maritime Administration
Guaranteed Title XI financing
8. United States Department of Housing and Urban Development (“HUD”)
Project Notes
Local Authority Bonds
New Communities Debentures
United States government guaranteed debentures

United States Public Housing Notes and Bonds
United States government guaranteed public housing notes and bonds

(c) Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following non-full faith and credit United States government agencies (stripped securities are only permitted if they have been stripped by the agency itself):

1. Federal Home Loan Bank System
Senior debt obligations
2. Federal Home Loan Mortgage Corporation (“FHLMC”) Participation Certificates
Senior debt obligations
3. Federal National Mortgage Association (“FNMA”) Mortgage-backed securities and senior debt obligations
4. Student Loan Marketing Association (“SLMA”) Senior debt obligations
5. Resolution Funding Corporation obligations
6. Farm Credit System
Consolidated system-wide bonds and notes

(d) Money market funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of “AAAm-G,” “AAA-m” or “AA-m” and if rated by Moody’s rated “Aaa,” “Aa1” or “Aa2,” including such funds for which the Trustee, its affiliates or subsidiaries provide investment advisory or other management services or for which the Trustee or an affiliate of the Trustee serves as investment administrator, shareholder servicing agent, and/or custodian or subcustodian, notwithstanding that (i) the Trustee or an affiliate of the Trustee receives fees from funds for services rendered, (ii) the Trustee collects fees for services rendered pursuant to the Indenture, which fees are separate from the fees received from such funds, and (iii) services performed for such funds and pursuant to the Indenture may at times duplicate those provided to such funds by the Trustee or an affiliate of the Trustee.

(e) Certificates of deposit secured at all times by collateral described in clauses (a) and/or (b) above. Such certificates must be issued by commercial banks (including affiliates of the Trustee), savings and loan associations or mutual savings banks. The collateral must be held by a third party and the bondholders must have a perfected first security interest in the collateral.

(f) Certificates of deposit, savings accounts, deposit accounts or money market deposits (including those of the Trustee and its affiliates) which are fully insured by FDIC, or secured at all times by collateral described in clauses (a) and/or (b) above.

(g) Investment Agreements, including guaranteed investment contracts, forward purchase agreements and reserve fund put agreements.

(h) Commercial paper rated, at the time of purchase, “Prime-1” by Moody’s and “A-1” or better by S&P.

(i) Bonds or notes issued by any state or municipality which are rated by Moody’s and S&P in one of the two highest Rating Categories assigned by such agencies.

(j) Federal funds or bankers acceptances with a maximum term of one year of any bank (including those of the Trustee and its affiliates) which has an unsecured, uninsured and unguaranteed obligation rating of “Prime-1” or “A3” or better by Moody’s and “A-1” or “A” or better by S&P.

(k) Repurchase agreements for 30 days or less must follow the following criteria. Repurchase agreements which provide for the transfer of securities from a dealer bank or securities firm (seller/borrower) to a municipal entity (buyer/lender), and the transfer of cash from a municipal entity to the dealer bank or securities firm with an agreement that the dealer bank or securities firm will repay the cash plus a yield to the municipal entity in exchange for the securities at a specified date; and:

1. Repurchase agreements must be between the municipal entity and a dealer bank or securities firm;

A. Primary dealers on the Federal Reserve reporting dealer list which are rated “A” or better by S&P and Moody’s; or

B. Banks rated “A” or above by S&P and Moody’s.

2. The written repurchase agreements contract must include the following:

A. Securities which are acceptable for transfer are:

(1) Direct United States governments, or

(2) Federal agencies backed by the full faith and credit of the United States government (and FNMA & FHLMC)

B. The term of a repurchase agreement may be up to 30 days

C. The collateral must be delivered to the municipal entity, trustee (if trustee is not supplying the collateral) or third party acting as agent for the trustee (if the trustee is supplying the collateral) before/simultaneous with payment (perfection by possession of certificated securities).

D. Valuation of Collateral

(1) The securities must be valued weekly, marked to market at current market price plus accrued interest.

(2) The value of collateral must be equal to 104% of the amount of cash transferred by the municipal entity to the dealer bank or security firm under the repo plus accrued interest. If the value of securities held as collateral slips below 104% of the value of the cash transferred by municipality, then additional cash and/or acceptable securities must be transferred. If, however, the securities used as collateral are FNMA or FHLMC, then the value of collateral must equal 105%.

(3) A legal opinion must be delivered to the municipal entity to the effect that the repurchase agreement meets guidelines under state law for legal investment of public funds.

(l) Any pooled investment fund administrated by Merced County in which the District is statutorily permitted or required to invest.

(m) Any state administered pooled investment fund in which the District is statutorily permitted or required to invest will be deemed a permitted investment, including, but not limited to the Local Agency Investment Fund in the treasury of the State.

Principal Account. The term “Principal Account” means the account by that name in the Payment Fund established pursuant to the Indenture.

Project. The term “Project” means costs relating to the license renewal process with the Federal Energy Regulatory Commission for the Merced River Development Project.

Rate Stabilization Fund. The term “Rate Stabilization Fund” means the District account designated by the District as account number 101.0000.16050, together with other accounts created in the future and designated by action of the Board of Directors as a part of the Rate Stabilization Fund continued pursuant to the Indenture.

Rating. The term “Rating” means any currently effective rating on the 2014 Bonds issued by a Rating Agency.

Rating Agencies. The term “Rating Agencies” means S&P, Moody’s and Fitch.

Rebate Fund. The term “Rebate Fund” means the fund by that name established for the 2014A Bonds pursuant to the Indenture.

Record Date. The term “Record Date” means, with respect to any Interest Payment Date, the fifteenth (15th) day of the calendar month preceding such Interest Payment Date, whether or not such day is a Business Day.

Redemption Date. The term “Redemption Date” means the date fixed for an optional redemption prior to maturity of the 2014 Bonds.

Redemption Fund. The term “Redemption Fund” means the fund by that name established pursuant to the Indenture.

Redemption Price. The term “Redemption Price” means, with respect to any 2014 Bond (or portion thereof), the principal amount of such 2014 Bond (or portion) plus the interest accrued to the applicable Redemption Date and the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such 2014 Bond and the Indenture.

Registration Books. The term “Registration Books” means the records maintained by the Trustee for the registration of ownership and registration of transfer of the 2014 Bonds pursuant to the Indenture.

Reserve Fund. The term “Reserve Fund” means the fund by that name established pursuant to the Indenture.

Reserve Requirement. The term “Reserve Requirement” means \$2,405,740.25.

Reserve Surety Policy. The term “Reserve Surety Policy” means the municipal bond debt service reserve insurance policy No. 216216-R issued by the Insurer and deposited in the Reserve Fund to satisfy the Reserve Requirement.

Responsible Officer of the Trustee. The term “Responsible Officer of the Trustee” means any officer within the corporate trust division (or any successor group or department of the Trustee) including any vice president, assistant vice president, assistant secretary or any other officer or assistant officer of the Trustee customarily performing functions similar to those performed by the persons who at the time shall be such officers, respectively, with responsibility for the administration of the Indenture.

Revenues. The term “Revenues” means Water System Revenues and Hydroelectric System Revenues.

S&P. The term “S&P” means Standard & Poor’s Ratings Services, a Standard & Poor’s Financial Services LLC business, or any successor thereto.

Securities Depositories. The term “Securities Depositories” means The Depository Trust Company; and, in accordance with then current guidelines of the Securities and Exchange Commission, such other addresses and/or such other securities depositories as the District may designate in a Written Request of the District deliver to the Trustee.

Small Hydroelectric Projects. The term “Small Hydroelectric Projects” means the three hydroelectric facilities owned by the District on the date hereof and operated by Turlock Irrigation District, including all additions, betterments, extensions and improvements to such existing hydroelectric facilities.

State. The term “State” means the State of California.

Supplemental Indenture. The term “Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the District and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

Tax Certificate. The term “Tax Certificate” means the Tax Certificate dated the Closing Date, concerning certain matters pertaining to the use and investment of proceeds of the 2014A Bonds, issued by the District on the date of issuance of the 2014A Bonds, including any and all exhibits attached thereto.

Trustee. The term “Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association duly organized and existing under the laws of the United States of America, or its successor as Trustee under the Indenture as provided in the Indenture.

2008 Certificates. The term “2008 Certificates” means the 2008A Certificates and the 2008B Certificates, executed and delivered on June 24, 2008.

2008 Escrow Agent. The term “2008 Escrow Agent” means The Bank of New York Mellon Trust Company, N.A., as escrow agent pursuant to the terms of the 2008 Escrow Agreement, or its successor thereunder.

2008 Escrow Agreement. The term “2008 Escrow Agreement” means the 2008 Escrow Agreement, dated as of August 1, 2014, by and between the District and the 2008 Escrow Agent, as originally executed or as it may from time to time be amended or supplemented in accordance with its terms.

2008 Trust Agreement. The term “2008 Trust Agreement” means the Trust Agreement, dated as of June 1, 2008, by and among the District, the Corporation, and The Bank of New York Mellon Trust Company, N.A., as trustee thereunder.

2008A Certificates. The term “2008A Certificates” means the Merced Irrigation District 2008A Current Interest Refunding Revenue Certificates of Participation (Water and Hydroelectric System Projects) executed and delivered on June 24, 2008.

2008B Certificates. The term “2008B Certificates” means the Merced Irrigation District 2008B Capital Appreciation Revenue Certificates of Participation (Water and Hydroelectric System Projects) executed and delivered on June 24, 2008.

2005 Installment Purchase Contract. The term “2005 Installment Purchase Contract” means the Installment Purchase Contract, dated as of October 1, 2005, by and between the District and the Corporation, as originally executed and as it may from time to time be amended or supplemented in accordance therewith.

2005 Bonds. The term “2005 Bonds” means the Merced Irrigation District 2005 Electric System Refunding Revenue Bonds issued on November 10, 2005.

2005 Trust Agreement. The term “2005 Trust Agreement” means the Trust Agreement, dated as of October 1, 2005, by and among the District, the Corporation, and The Bank of New York Mellon Trust Company, N.A., as trustee thereunder.

2005 Indenture. The term “2005 Indenture” means that Indenture, dated as of October 1, 2005, by and between the District and The Bank of New York Mellon Trust Company, N.A., as trustee thereunder.

2014 Bonds. The term “2014 Bonds” means the 2014A Bonds and the 2014B Bonds.

2014A Bonds. The term “2014A Bonds” means the Merced Irrigation District Water and Hydroelectric System Refunding Revenue Bonds, Series 2014A issued under the Indenture.

2014B Bonds. The term “2014B Bonds” means the Merced Irrigation District Water and Hydroelectric System Refunding Revenue Bonds, Series 2014B (Taxable) issued under the Indenture.

Valuation Date. “Valuation Date” means the fifth Business Day preceding the date of redemption.

Value. The term “Value,” which shall be determined as of the date of calculation, means that the value of any investments shall be calculated as follows:

(a) For the purpose of determining the amount of any fund, all Permitted Investments credited to such fund shall be valued at fair market value. The Trustee shall determine the fair market value based on accepted industry standards and from accepted industry providers. Accepted industry providers shall include, but are not limited to, pricing services provided by Financial Times Interactive Data Corporation, Bank of America Merrill Lynch, and Morgan Stanley Smith Barney.

(b) As to certificates of deposit and bankers’ acceptances: the face amount thereof, plus accrued interest.

(c) As to any investment not specified above: market value, or, if the market value is not ascertainable by the District or the Trustee, at cost.

Water Service. The term “Water Service” means the water storage, conveyance and distribution service made available or provided by the Water System.

Water System. The term “Water System” means (i) the whole and each and every part of the water system of the District and including the portion thereof existing on the date hereof, and including all additions, betterments, extensions and improvements to such water system or any part thereof hereafter acquired or constructed, and (ii) the Small Hydroelectric Projects.

Water System Revenue Fund. The term “Water System Revenue Fund” means those District accounts designated by the District as account numbers 101.XXXX.40000 through 101.XXXX.49999 and account numbers 101.XXXX.59111, 59121, 59131, 59141, 59211, 59221, 59231, 59241, 59251, 59311, 59331, 59351, 59511, 59521, 59531, 59551, and 59810 (excluding 101.XXXX.48000 Contribution Revenue Non Cash), together with other accounts created in the future and designated by action of the Board of Directors as a part of the Water System Revenue Fund established pursuant to the Indenture.

Water System Revenues. The term “Water System Revenues” means all income, rents, rates, fees, charges and other moneys derived from the ownership or operation of the Water System, including, without limiting the generality of the foregoing,

- (1) all income, rents, rates, fees, charges, business interruption insurance proceeds or other moneys derived by the District from the sale, furnishing and supplying of water, other services, facilities, and commodities sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Water System; plus
- (2) the proceeds of any stand-by or water availability charges; plus
- (3) connection charges or similar charges related to the Water System; plus
- (4) for any Fiscal Year, the amount of 1% ad valorem property tax if and to the extent received by the District; plus
- (5) all fees or other income derived from use of Water System rights-of-way; plus
- (6) the earnings on and income derived from the investment of the amounts described in clauses (1), (2), (3), (4) and (5) hereof, and from investment of amounts in the Water System Revenue Fund; plus
- (7) the earnings on and income derived from investment of the District reserves allocated to the Water System; plus
- (8) all amounts transferred from the Rate Stabilization Fund to the Water System Revenue Fund during any Fiscal Year in accordance with the Indenture.

but excluding in all cases (i) any amounts transferred from the Water System Revenue Fund to the Rate Stabilization Fund during any Fiscal Year in accordance with the Indenture, (ii) customer deposits or any other deposits or advances subject to refund until such deposits or advances have become the property of the District, (iii) any proceeds of taxes restricted by law to be used by the District to pay obligations of the District other than Bonds or Contracts, (iv) Hydroelectric System Revenues and (v) revenues of the Energy System.

Written Consent of the District; Written Order of the District; Written Request of the District; Written Requisition of the District. The terms “Written Consent of the District,” “Written Order of the District,” “Written Request of the District,” and “Written Requisition of the District” mean, respectively, a written consent, order, request or requisition signed by or on behalf of the District by the President of its Board of Directors or its General Manager or by the Secretary of its Board of Directors or by any two persons (whether or not officers of the Board of Directors of the District) who are specifically authorized by resolution of the District to sign or execute such a document on its behalf.

Content of Certificates and Opinions. Every certificate or opinion provided for in the Indenture except the certificate of destruction provided for in the Indenture, with respect to compliance with any provision of the Indenture includes: (1) a statement that the person making or giving such certificate or opinion has read such provision and the definitions in the Indenture relating thereto; (2) a brief statement as to the nature and scope of the examination or investigation upon which the certificate or opinion is based; (3) a statement that, in the opinion of such person he has made or caused to be made such examination or investigation as is necessary to enable him to express an informed opinion with respect to the subject matter referred to in the instrument to which his signature is affixed; (4) a statement of the assumptions upon which such certificate or opinion is based, and that such assumptions are reasonable; and (5) a statement as to whether, in the opinion of such person, such provision has been complied with.

THE 2014 BONDS

Registration Books. The Trustee will keep or cause to be kept, at the Office of the Trustee, sufficient records for the registration and transfer of ownership of the 2014 Bonds, which upon reasonable notice and at reasonable times be open to inspection during regular business hours by the District and the Owners; and, upon presentation for such purpose, the Trustee is, under such reasonable regulations as it may prescribe, register or

transfer or cause to be registered or transferred, on such records, the ownership of the 2014 Bonds as provided for in the Indenture.

The person in whose name any 2014 Bond is registered is deemed the Owner thereof for all purposes of the Indenture, and payment of or on account of the interest on and principal and Redemption Price of by such 2014 Bonds is made only to or upon the order in writing of such registered Owner, which payments are valid and effectual to satisfy and discharge liability upon such 2014 Bond to the extent of the sum or sums so paid.

2014 Bonds Mutilated, Lost, Destroyed or Stolen. If any 2014 Bond becomes mutilated, the District, at the expense of the Owner of said 2014 Bond, will execute, and the Trustee will thereupon authenticate and deliver, a new 2014 Bond of like tenor, series and authorized denomination in exchange and substitution for the 2014 Bonds so mutilated, but only upon surrender to the Trustee of the 2014 Bond so mutilated. Every mutilated 2014 Bond so surrendered to the Trustee will be canceled by it. If any 2014 Bond is lost, destroyed or stolen, evidence of such loss, destruction or theft may be submitted to the Trustee and, if such evidence be satisfactory to the Trustee and indemnity satisfactory to the Trustee is given, the District, at the expense of the Owner, will execute, and the Trustee will thereupon authenticate and deliver, a new 2014 Bond of like tenor, series and authorized denomination in lieu of and in substitution for the 2014 Bond so lost, destroyed or stolen (or if any such 2014 Bond has matured or is about to mature, instead of issuing a substitute 2014 Bond, the Trustee may pay the same without surrender thereof). The District may require payment by the Owner of a sum not exceeding the actual cost of preparing each new 2014 Bond issued under the Indenture and of the expenses which may be incurred by the District and the Trustee in connection therewith. Any 2014 Bond issued under the provisions of the Indenture in lieu of any 2014 Bond alleged to be lost, destroyed or stolen constitutes an original additional contractual obligation on the part of the District whether or not the 2014 Bond so alleged to be lost, destroyed, or stolen be at any time enforceable by anyone, and is entitled to the benefits of the Indenture with all other 2014 Bonds secured by the Indenture. Notwithstanding any other provision of the Indenture, in lieu of delivering a new 2014 Bond for a 2014 Bond which has been mutilated, lost, destroyed or stolen and which has matured or has been selected for redemption, the Trustee may make payment of such 2014 Bond upon receipt of indemnity satisfactory to the Trustee.

Book Entry System.

Election of Book Entry System. Prior to the issuance of the 2014 Bonds, the District may provide that such 2014 Bonds are initially issued as book entry 2014 Bonds. If the District elects to deliver any 2014 Bonds in book entry form, then the District will cause the delivery of a separate single fully registered bond (which may be typewritten) for each maturity date of such 2014 Bonds in an authorized denomination corresponding to that total principal amount of the 2014 Bonds designated to mature on such date. Upon initial issuance, the ownership of each such 2014 Bond will be registered in the 2014 Bond Registration Books in the name of the Nominee, as nominee of the Depository, and ownership of the 2014 Bonds, or any portion thereof may not thereafter be transferred except as provided in the Indenture.

With respect to book entry 2014 Bonds, the District and the Trustee have no responsibility or obligation to any Participant or to any person on behalf of which such a Participant holds an interest in such book entry 2014 Bonds. Without limiting the immediately preceding sentence, the District and the Trustee have no responsibility or obligation with respect to: (i) the accuracy of the records of the Depository, the Nominee, or any Participant with respect to any ownership interest in book entry 2014 Bonds; (ii) the delivery to any Participant or any other person, other than an Owner as shown in the 2014 Bond Registration Books, of any notice with respect to book entry 2014 Bonds, including any notice of redemption; (iii) the selection by the Depository and its Participants of the beneficial interests in book entry 2014 Bonds to be redeemed in the event the District redeems the 2014 Bonds in part; or (iv) the payment by the Depository or any Participant or any other person, of any amount of principal of, premium, if any, or interest on book entry 2014 Bonds. The District and the Trustee may treat and consider the person in whose name each book entry 2014 Bond is registered in the 2014 Bond Registration Books as the absolute Owner of such book entry 2014 Bond for the purpose of payment of principal of, premium and interest on such 2014 Bond, for the purpose of giving notices of redemption and other matters with respect to such 2014 Bond, for the purpose of registering transfers with respect to such 2014 Bond, and for all other purposes whatsoever. The Trustee will pay all principal of, premium, if any, and interest on the 2014 Bonds only to or upon the order of the respective Owner, as

shown in the 2014 Bond Registration Books, or his respective attorney duly authorized in writing, and all such payments will be valid and effective to fully satisfy and discharge the District's obligations with respect to payment of principal of, premium, if any, and interest on the 2014 Bonds to the extent of the sum or sums so paid. No person other than an Owner, as shown in the 2014 Bond Registration Books, will receive a 2014 Bond evidencing the obligation to make payments of principal of, premium, if any, and interest on the 2014 Bonds. Upon delivery by the Depository to the District and the Trustee of written notice to the effect that the Depository has determined to substitute a new nominee in place of the Nominee, and subject to the provisions in the Indenture with respect to Record Dates, the word Nominee in the Indenture will refer to such nominee of the Depository.

Delivery of Letter of Representations. In order to qualify the book entry 2014 Bonds for the Depository's book entry system, the District and the Trustee will execute and deliver to the Depository a Letter of Representations. The execution and delivery of a Letter of Representations will not in any way impose upon the District or the Trustee any obligation whatsoever with respect to persons having interests in such book entry 2014 Bonds other than the Owners, as shown on the 2014 Bond Registration Books. By executing a Letter of Representations, the Trustee agrees to take all action necessary at all times so that the Trustee will be in compliance with all representations of the Trustee in such Letter of Representations. In addition to the execution and delivery of a Letter of Representations, the District and the Trustee will take such other actions, not inconsistent with the Indenture, as are reasonably necessary to qualify book entry 2014 Bonds for the Depository's book entry program.

Selection of Depository. In the event that: (i) the Depository determines not to continue to act as Securities Depository for book entry 2014 Bonds; or (ii) the District determines that continuation of the book entry system is not in the best interest of the beneficial owners of the 2014 Bonds or the District, then the District will discontinue the book entry system with the Depository. If the District determines to replace the Depository with another qualified Securities Depository, the District will prepare or direct the preparation of a new single, separate, fully registered 2014 Bond for each of the maturity dates of such book entry 2014 Bonds, registered in the name of such successor or substitute qualified Securities Depository or its Nominee as provided in the Indenture. If the District fails to identify another qualified Securities Depository to replace the Depository, then the 2014 Bonds are no longer restricted to being registered in such 2014 Bond Registration Books in the name of the Nominee, but will be registered in whatever name or names the Owners transferring or exchanging such 2014 Bonds designate, in accordance with the provisions of the Indenture.

Payments To Depository. Notwithstanding any other provision of the Indenture to the contrary, so long as all Outstanding 2014 Bonds are held in book entry form and registered in the name of the Nominee, all payments of principal of, redemption premium, if any, and interest on such 2014 Bond and all notices with respect to such 2014 Bond will be made and given, respectively to the Nominee, as provided in the Letter of Representations or as otherwise instructed by the Depository and agreed to by the Trustee notwithstanding any inconsistent provisions in the Indenture.

Transfer of 2014 Bonds to Substitute Depository. (i) The 2014 Bonds are initially issued as provided in the Indenture. Registered ownership of such 2014 Bonds, or any portions thereof, may not thereafter be transferred except: (A) to any successor of DTC or its nominee, or of any substitute depository designated pursuant to the Indenture ("Substitute Depository"); provided that any successor of DTC or Substitute Depository is qualified under any applicable laws to provide the service proposed to be provided by it; (B) to any Substitute Depository, upon: (1) the resignation of DTC or its successor (or any Substitute Depository or its successor) from its functions as depository; or (2) a determination by the District that DTC (or its successor) is no longer able to carry out its functions as depository; provided that any such Substitute Depository is qualified under any applicable laws to provide the services proposed to be provided by it; or (C) to any person as provided below, upon: (1) the resignation of DTC or its successor (or any Substitute Depository or its successor) from its functions as depository; or (2) a determination by the District that DTC or its successor (or Substitute Depository or its successor) is no longer able to carry out its functions as depository.

(ii) In the case of any transfer pursuant to the Indenture, upon receipt of all Outstanding 2014 Bonds by the Trustee, together with a Written Request of the District to the Trustee designating the Substitute Depository, a single new 2014 Bond, which the District will prepare or cause to be prepared, will be issued for each maturity of

2014 Bonds then Outstanding, registered in the name of such successor or such Substitute Depository or their Nominees, as the case may be, all as specified in such Written Request of the District. In the case of any transfer pursuant to the Indenture, upon receipt of all Outstanding 2014 Bonds by the Trustee, together with a Written Request of the District to the Trustee, new 2014 Bonds, which the District will prepare or cause to be prepared, will be issued in such denominations and registered in the names of such persons as are requested in such Written Request of the District, subject to the limitations of the Indenture, provided that the Trustee is not required to deliver such new 2014 Bonds within a period of less than sixty (60) days from the date of receipt of such Written Request from the District.

(iii) In the case of a partial redemption or an advance refunding of any 2014 Bonds evidencing a portion of the principal maturing in a particular year, DTC or its successor (or any Substitute Depository or its successor) will make an appropriate notation on such 2014 Bonds indicating the date and amounts of such reduction in principal, in form acceptable to the Trustee, all in accordance with the Letter of Representations. The Trustee will not be liable for such Depository's failure to make such notations or errors in making such notations and the records of the Trustee as to the Outstanding principal amount of such 2014 Bonds will be controlling.

(iv) The District and the Trustee will be entitled to treat the person in whose name any 2014 Bond is registered as the Owner thereof for all purposes of the Indenture and any applicable laws, notwithstanding any notice to the contrary received by the Trustee or the District; and the District and the Trustee will not have responsibility for transmitting payments to, communicating with, notifying, or otherwise dealing with any beneficial owners of the 2014 Bonds. Neither the District nor the Trustee has any responsibility or obligation, legal or otherwise, to any such beneficial owners or to any other party, including DTC or its successor (or Substitute Depository or its successor), except to the Owner of any 2014 Bonds, and the Trustee may rely conclusively on its records as to the identity of the Owners of the 2014 Bonds.

VALIDITY OF 2014 BONDS

Validity of 2014 Bonds. The validity of the authorization and issuance of the 2014 Bonds is not dependent on and is not affected in any way by any proceedings taken by the District or the Trustee with respect to any other agreement. The recital contained in the 2014 Bonds that the same are issued pursuant to the Constitution and laws of the State is conclusive evidence of the validity and of compliance with the provisions of law in their issuance.

REDEMPTION OF 2014 BONDS

Selection of 2014 Bonds for Redemption. Whenever provision is made in the Indenture for the redemption of less than all of the 2014 Bonds, the Trustee will select the 2014 Bonds for redemption as a whole or in part on any date as directed by the District, and approved in writing by the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy), and by lot within each maturity in integral multiples of \$5,000 in accordance with the Indenture. The Trustee will promptly notify the District in writing of the numbers of the 2014 Bonds or portions thereof so selected for redemption.

Partial Redemption of 2014 Bonds. Upon surrender of any 2014 Bond redeemed in part only, the District will execute and the Trustee will authenticate and deliver to the Owner thereof, at the expense of the District, a new 2014 Bond or 2014 Bonds of authorized denominations equal in aggregate principal amount to the unredeemed portion of the 2014 Bonds surrendered and of the same series, interest rate and maturity.

Effect of Redemption. Notice of redemption having been duly given pursuant to the Indenture, and moneys for payment of the Redemption Price of, together with interest accrued to the date fixed for redemption on, the 2014 Bonds (or portions thereof) so called for redemption being held by the Trustee, on the Redemption Date designated in such notice, the 2014 Bonds (or portions thereof) so called for redemption will become due and payable, interest on the 2014 Bonds so called for redemption will cease to accrue, said 2014 Bonds (or portions thereof) will cease to be entitled to any benefit or security under the Indenture, and the Owners of said 2014 Bonds will have no rights in respect thereof except to receive payment of the Redemption Price thereof. The Trustee will, upon surrender for payment of any of the 2014 Bonds to be redeemed on their Redemption Dates, pay such 2014 Bonds at the

Redemption Price. All 2014 Bonds redeemed pursuant to the provisions of the Indenture are canceled upon surrender thereof.

**REVENUES, FUNDS AND ACCOUNTS;
PAYMENT OF PRINCIPAL AND INTEREST**

Pledge and Assignment; Revenue Funds. (a) All of the Revenues, all amounts held in the Water System Revenue Fund and the Hydroelectric System Revenue Fund described in subsection (b) below, the Rate Stabilization Fund described in the Indenture and any other amounts (including proceeds of the sale of the 2014 Bonds) held in any fund or account established pursuant to the Indenture (except the Rebate Fund) are hereby irrevocably pledged to secure the payment of the principal of and interest, and the premium, if any, on the 2014 Bonds in accordance with their terms and the provisions of the Indenture, subject however to the pledge thereon securing Bonds and Contracts, and the Revenues shall not be used for any other purpose while the 2014 Bonds remain Outstanding; provided that out of the Revenues and amounts on deposit in the Rate Stabilization Fund there may be apportioned such sums for such purposes as are expressly permitted in the Indenture. Said pledge, together with the pledge created for the benefit of other Bonds and Contracts, shall constitute a first lien on and security interest on Revenues and, subject to application of Revenues and all amounts on deposit in the Water System Revenue Fund, the Hydroelectric System Revenue Fund and the Rate Stabilization Fund as permitted in the Indenture, the Water System Revenue Fund, the Hydroelectric System Revenue Fund, the Rate Stabilization Fund and other funds and accounts created under the Indenture for the payment of the principal of and interest, and the premium, if any, on the 2014 Bonds in accordance with the terms of the Indenture, and shall attach, be perfected and be valid and binding from and after the Closing Date, without any physical delivery thereof or further act and shall be valid and binding against all parties having claims of any kind in tort, contract or otherwise against the District, irrespective of whether such parties have notice. The parties to the Indenture acknowledge that the District has previously pledged Net Hydroelectric System Revenues to the payment of the 2005 Installment Purchase Agreement and the principal of and interest on the 2005 Bonds, which pledge is subordinate to the pledge of Hydroelectric System Revenues in the Indenture. Such Hydroelectric System Revenues shall be applied to pay the 2005 Installment Purchase Agreement and the principal of and interest on the 2005 Bonds solely in strict accordance with clause (e)(iii) below.

(b) In order to carry out and effectuate the pledge and lien contained in the Indenture, the District agrees and covenants to receive all Revenues in trust under the Indenture and (i) the Water System Revenues shall be deposited when and as received in a special fund designated as the "Water System Revenue Fund" and (ii) the Hydroelectric System Revenues shall be deposited when and as received in a special fund designated as the "Hydroelectric System Revenue Fund" which funds are created under the Indenture. The District agrees and covenants to maintain the Water System Revenue Fund and the Hydroelectric System Revenue Fund and to hold the Water System Revenue Fund and the Hydroelectric System Revenue Fund separate and apart from other funds so long as the 2014 Bonds remain unpaid. Moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund shall be held in trust by the District and shall be applied, used and withdrawn by the District for the purposes set forth in the Indenture.

(c) The District shall, from the moneys in the Water System Revenue Fund, pay all Water System Operation and Maintenance Costs (including amounts reasonably required to be set aside in contingency reserves for Water System Operation and Maintenance Costs, the payment of which is not then immediately required) as such Water System Operation and Maintenance Costs become due and payable.

(d) The District shall, from the moneys in the Hydroelectric System Revenue Fund, pay all Hydroelectric Operation and Maintenance Costs (including amounts reasonably required to be set aside in contingency reserves for Hydroelectric Operation and Maintenance Costs, the payment of which is not then immediately required) as such Hydroelectric Operation and Maintenance Costs become due and payable and such amounts, if any, as may be determined in a final order of a court of competent jurisdiction from which no opportunity for further appeal exists to be periodically due and owing to the County of Mariposa, California, under that certain Agreement between Merced Irrigation District and County of Mariposa for Settlement of Water Rights Dispute, dated as of March 1, 1960.

(e) All remaining moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund shall be applied by the District at the following times for the transfer to the following respective special funds in the following order of priority; and all moneys in each of such funds shall be held in trust and shall be applied, used and withdrawn only for the purposes set forth in the Indenture:

(i) Interest and Principal Payments. Not later than five (5) Business Days prior to each Interest Payment Date, the District shall, from the moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, transfer to the Trustee for deposit in the Payment Fund the amount, if any, necessary for the payments of interest and principal, including mandatory sinking fund installments, if any, on the 2014 Bonds due and payable on such Interest Payment Date. The District shall also, from the moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, transfer to the applicable trustee for deposit in the respective payment fund, without preference or priority, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, any other Debt Service in accordance with the provisions of any Bond or Contract. Notwithstanding the foregoing, so long as the 2005 Installment Purchase Agreement or the 2005 Bonds remain outstanding, no Hydroelectric System Revenues shall be applied to the payment of the principal of and interest on the 2014B Bonds, unless the lien on Net Hydroelectric System Revenues set forth in the 2005 Installment Purchase Agreement and the 2005 Indenture have been waived or terminated as provided therein. Hydroelectric System Revenues may be applied to the payment of the principal of and interest on the 2014B Bonds in accordance with clause (e)(iv) below even if the 2005 Installment Purchase Agreement or the 2005 Bonds remain outstanding.

(ii) Reserve Funds. Not later than five (5) Business Days prior to each Interest Payment Date, the District shall, from the remaining moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, thereafter, without preference or priority and in the event of any insufficiency of such moneys ratably without any discrimination or preference, transfer to the applicable trustee for such other reserve funds and/or accounts, if any, as may have been established in connection with Bonds or Contracts, that sum, if any, necessary to restore such funds or accounts to an amount equal to the reserve requirement with respect thereto. No such transfer shall be made with respect to the Reserve Fund, which shall be deemed fully funded at all times by the deposit of the Reserve Surety Policy therein.

(iii) 2005 Energy System Obligation. To the extent the revenues of the Energy System are insufficient to pay installment payments under the 2005 Installment Purchase Agreement or principal of and interest on the 2005 Bonds, the District shall, from the moneys in the Water System Revenue Fund and the Hydroelectric System Revenue Fund, transfer to the trustee under the 2005 Trust Agreement or the trustee under the 2005 Indenture, as applicable, to pay such installment payments under the 2005 Installment Purchase Agreement or principal of and interest on the 2005 Bonds.

(iv) Policy Costs and Insurer Reimbursement Amounts. The District shall, from the moneys in the Water System Revenue Fund, pay all Water System Operation and Maintenance Costs (including amounts reasonably required to be set aside in contingency reserves for Water System Operation and Maintenance Costs, the payment of which is not then immediately required) as such Water System Operation and Maintenance Costs become due and payable

(v) Surplus. Moneys on deposit in the Water System Revenue Fund and the Hydroelectric System Revenue Fund on any date when the District reasonably expects such moneys will not be needed for the payment of Water System Operation and Maintenance Costs or Hydroelectric System Operations and Maintenance Costs, as applicable, or for any of the purposes described in clauses (e)(i), (e)(iii) or (e)(iv) may be expended by the District on expenses related to the Parks and Recreation Facilities, if any, to the Drainage District, if any, payments of principal of and interest on the 2014 Loan Agreement, and for any other purpose permitted by law, including, but not limited to the deposit of amounts in the Rate Stabilization Fund in accordance with the Indenture.

(f) All moneys held by the District in the Water System Revenue Fund and the Hydroelectric System Revenue Fund shall be invested in Permitted Investments and the investment earnings thereon shall remain on deposit in the respective fund.

Application of Payment Fund. There is established with the Trustee the Payment Fund, which the Trustee covenants to maintain and hold in trust separate and apart from other funds held by it so long as any principal of and interest on the 2014 Bonds remain unpaid. Except as directed in the Indenture, all payments of interest and principal on the 2014 Bonds transferred by the District from the Water System Revenue Fund and the Hydroelectric System Revenue Fund to the Payment Fund pursuant to the Indenture are promptly deposited by the Trustee upon receipt thereof into the Payment Fund; except that all moneys received by the Trustee and required under the Indenture to be deposited in the Redemption Fund are promptly deposited therein. All payments of interest and principal on the 2014 Bonds deposited with the Trustee are held, disbursed, allocated and applied by the Trustee only as provided in the Indenture. The Trustee has established and held an Interest Account and a Principal Account within the Payment Fund.

The Trustee will transfer from the Payment Fund and deposit into the following respective accounts the following amounts in the following order of priority and at the following times, the requirements of each such account (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account subsequent in priority: (a) Not later than the Business Day preceding each Interest Payment Date, the Trustee will deposit in the Interest Account that sum, if any, required to cause the aggregate amount on deposit in the Interest Account to be at least equal to the amount of interest becoming due and payable on such Interest Payment Date on all 2014 Bonds then Outstanding. No deposit need be made into the Interest Account so long as there is in such fund moneys sufficient to pay the interest becoming due and payable on such Interest Payment Date on all 2014 Bonds then Outstanding.

(b) Not later than the Business Day preceding each date on which the principal of the 2014 Bonds becomes due and payable under the Indenture, the Trustee will deposit in the Principal Account that sum, if any, required to cause the aggregate amount on deposit in the Principal Account to equal the principal amount of the 2014 Bonds coming due and payable on such date or subject to mandatory sinking fund redemption on such date. No deposit need be made into the Principal Account so long as there is in such fund moneys sufficient to pay the principal becoming due and payable on such date on all 2014 Bonds then Outstanding.

Application of Interest Account. All amounts in the Interest Account are used and withdrawn by the Trustee solely for the purpose of paying interest on the 2014 Bonds as it becomes due and payable (including accrued interest on any 2014 Bonds purchased or accelerated prior to maturity pursuant to the Indenture).

Application of Principal Account. All amounts in the Principal Account are used and withdrawn by the Trustee solely to pay the principal amount of the 2014 Bonds at maturity, mandatory sinking fund redemption, purchase or acceleration; provided, however, that at any time prior to selection for redemption of any such 2014 Bonds, upon written direction of the District, the Trustee will apply such amounts to the purchase of 2014 Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as directed pursuant to a Written Request of the District, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to the 2014 Bonds.

Application of Redemption Fund. There is established with the Trustee a special fund designated as the "Redemption Fund." All amounts in the Redemption Fund are used and withdrawn by the Trustee solely for the purpose of paying the Redemption Price of the 2014 Bonds to be redeemed on any Redemption Date pursuant to the Indenture; provided, however, that at any time prior to selection for redemption of any such 2014 Bonds, upon written direction of the District, the Trustee will apply such amounts to the purchase of 2014 Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as directed pursuant to a Written Request of the District, except that the

purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to the 2014 Bonds.

Rate Stabilization Fund. There is continued in the Indenture a special fund designated as the “Rate Stabilization Fund” to be held by the District in trust under the Indenture, which fund the District has agreed and covenanted to maintain and to hold separate and apart from other funds so long as any 2014 Bonds remain unpaid. On the date of execution of the Indenture, the District will deposit \$1,500,000 into the Rate Stabilization Fund. Money transferred by the District from the Water System Revenue Fund and the Hydroelectric System Revenue Fund to the Rate Stabilization Fund in accordance with the Indenture shall be held in the Rate Stabilization Fund and applied in accordance with the Indenture.

The District may withdraw all or any portion of the amounts on deposit in the Rate Stabilization Fund and transfer such amounts to the Water System Revenue Fund or the Hydroelectric System Revenue Fund for application in accordance with the Indenture or, in the event that all or a portion of the 2014 Bonds are discharged in accordance with the Indenture, transfer all or any portion of such amounts for application in accordance with the Indenture. Amounts transferred from the Rate Stabilization Fund to the Water System Revenue Fund and the Hydroelectric System Revenue Fund pursuant to the Indenture during or within 270 days after a Fiscal Year, may be taken into account as Revenues for purposes of the calculations in the Indenture in such Fiscal Year.

Acquisition and Construction Fund. There is continued in the Indenture with the Trustee a fund previously established and designated as the “Acquisition and Construction Fund” which fund the Trustee will maintain and hold in trust separate and apart from other funds held by it. The moneys in the Acquisition and Construction Fund will be applied to the payment of the costs of acquisition of the Project and of expenses incidental thereto. Before any payment is made from the Acquisition and Construction Fund, the District will cause file with the Trustee a Written Request of the District. Each such Requisition of the District shall be sufficient evidence to the Trustee of the facts stated therein and the Trustee shall have no duty to confirm the accuracy of such facts. Upon receipt of such Written Request, the Trustee will pay the amount set forth therein. The Trustee need not make any such payment if he or she has received notice of any lien, right to lien or attachment upon, or claim affecting the right to receive payment of, any of the moneys so to be paid, which has not been released and will not be released simultaneously with such payment.

When the Project has been constructed and acquired, a Certificate of the District stating the fact and date of such acquisition, construction and acceptance and stating that all of such costs of acquisition and incidental expenses have been determined and paid (or that all of such costs and expenses have been paid less specified claims which are subject to dispute and for which a retention in the Acquisition and Construction Fund is to be maintained in the full amount of such claims until such dispute is resolved), will be delivered to the Trustee by the District. Upon the receipt of such Certificate, the Trustee will transfer any remaining balance in the Acquisition and Construction Fund not needed for Acquisition and Construction Fund purposes (but less the amount of any such retention which will be certified to the Trustee by a Certificate of the District) to the District, which will deposit such amounts in the Hydroelectric System Revenue Fund or the Water System Revenue Fund established under the Indenture, as directed in a Certificate of the District.

Investments. All moneys in any of the funds or accounts established with the District or the Trustee pursuant to the Indenture are invested by the District or the Trustee, as the case may be, solely in Permitted Investments, which will, as nearly as practicable, mature on or before the dates when such moneys are anticipated to be needed for disbursement. Any investments by the Trustee are directed by the District pursuant to a Written Request of the District filed with the Trustee at least two (2) Business Days in advance of the making of such investments (which directions are promptly confirmed to the Trustee in writing). In the absence of any such directions from the District, the Trustee invests any such moneys in Permitted Investments described in clause (d) of the definition thereof; provided, however, that any such investment is made by the Trustee only if, prior to the date on which such investment is to be made, the Trustee receives a written direction from the District specifying a specific money market fund and, if no such written direction from the District is so received, the Trustee holds such moneys uninvested. Obligations purchased as an investment of moneys in any fund are deemed to be part of such fund or account.

All interest or gain derived from the investment of amounts in any of the funds or accounts established under the Indenture shall be deposited in the Interest Account unless otherwise provided in the Indenture, except that the investment earnings on the Rate Stabilization Fund shall be transferred to the Water System Revenue Fund and the Hydroelectric System Revenue Fund upon receipt thereof as directed by the District. For purposes of acquiring any investments under the Indenture, the Trustee may commingle funds (other than the Rebate Fund) held by it under the Indenture. The Trustee may act as principal or agent in the acquisition or disposition of any investment and may impose its customary charges therefor. The Trustee shall incur no liability for losses arising from any investments made pursuant to the Indenture.

The District acknowledges that to the extent that regulations of the Comptroller of the Currency or other applicable regulatory entity grant the District the right to receive brokerage confirmations of security transactions as they occur, the District specifically waives receipt of such confirmations to the extent permitted by law. The Trustee will furnish the District periodic cash transaction statements which include detail for all investment transactions effected by the Trustee and brokers selected by the District. Upon the District's election, such statements will be delivered via the Trustee's online service and upon electing such service; paper statements will be provided only upon request. The District further understands that trade confirmations for securities transactions effected by the Trustee will be available upon request and at no additional cost and other trade confirmations may be obtained from the applicable broker.

The Trustee may make any investments under the Indenture through its own bond or investment department or trust investment department, or those of its parent or an affiliate. The Trustee or any of its affiliates may act as sponsor, advisor or manager in connection with any investments made by the Trustee under the Indenture. The Trustee or any of its affiliates may act as sponsor, advisor or manager in connection with any investments made by the Trustee under the Indenture. The District will invest, or cause to be invested, all moneys in any fund or accounts established with the Trustee as provided in the Tax Certificate. For investment purposes, the Trustee may commingle the funds and accounts established under the Indenture, but will account for each separately. In making any valuations of investments under the Indenture, the Trustee may utilize and rely on computerized securities pricing services that may be available to the Trustee, including those available through the Trustee accounting system.

Rebate Fund.

Establishment. The Trustee has established a fund for the 2014A Bonds designated the "Rebate Fund." Except as may otherwise be approved by an opinion of Bond Counsel that the exclusion from gross income for federal income tax purposes of interest on the 2014A Bonds will not be adversely affected, the District will cause to be deposited in the Rebate Fund such amounts as are required to be deposited therein pursuant to the Indenture and the Tax Certificate. All money at any time deposited in the Rebate Fund will be held by the Trustee in trust for payment to the United States Treasury. All amounts on deposit in the Rebate Fund for the 2014A Bonds will be governed by the Indenture and the Tax Certificate, unless and to the extent that the District delivers to the Trustee an opinion of Bond Counsel that the exclusion from gross income for federal income tax purposes of interest on the 2014A Bonds will not be adversely affected if such requirements are not satisfied. Notwithstanding anything to the contrary contained in the Indenture or in the Tax Certificate, the Trustee: (i) is deemed conclusively to have complied with the provisions of the Indenture and thereof if it follows all Requests of the District; and (ii) has no liability or responsibility to enforce compliance by the District with the terms of the Indenture and the Tax Certificate; and (iii) may rely conclusively on the District's calculations and determinations and certifications relating to rebate matters; and (iv) has no responsibility to independently make any calculations or determinations or to review the District's calculations or determinations thereunder.

Annual Computation. Within 55 days of the end of each Bond Year (as such term is defined in the Tax Certificate), the District will calculate or cause to be calculated the amount of rebatable arbitrage, in accordance with Section 148(f)(2) of the Code and Section 1.148-3 of the Treasury Regulations (taking into account any applicable exceptions with respect to the computation of the rebatable arbitrage, described, if applicable, in the Indenture or the Tax Certificate (e.g., the temporary investments exceptions of Section 148(f)(4)(B) and the construction expenditures exception of Section 148(f)(4)(C) of the Code), and taking into account whether the

election pursuant to Section 148(f)(4)(C)(vii) of the Code (the “1½% Penalty”) has been made), for such purpose treating the last day of the applicable Bond Year as a computation date, within the meaning of Section 1.148-1(b) of the Treasury Regulations (the “Rebatable Arbitrage”). The District will obtain expert advice as to the amount of the Rebatable Arbitrage to comply with the Indenture.

Annual Transfer. Within 55 days of the end of each Bond Year, upon the Written Request of the District an amount will be deposited to the Rebate Fund by the Trustee from any Net Revenues legally available for such purpose (as specified by the District in the aforesaid Written Request), if and to the extent required so that the balance in the Rebate Fund will equal the amount of Rebatable Arbitrage so calculated in accordance with the Indenture. In the event that immediately following the transfer required by the previous sentence, the amount then on deposit to the credit of the Rebate Fund exceeds the amount required to be on deposit therein, upon Written Request of the District the Trustee will withdraw the excess from the Rebate Fund and then credit the excess to the Payment Fund.

Payment to the Treasury. The Trustee will pay, as directed by Written Request of the District, to the United States Treasury, out of amounts in the Rebate Fund: (A) Not later than 60 days after the end of: (X) the fifth Bond Year; and (Y) each applicable fifth Bond Year thereafter, an amount equal to at least 90% of the Rebatable Arbitrage calculated as of the end of such Bond Year; and (B) Not later than 60 days after the payment of all the 2014a Bonds, an amount equal to 100% of the Rebatable Arbitrage calculated as of the end of such applicable Bond Year, and any income attributable to the Rebatable Arbitrage, computed in accordance with Section 148(f) of the Code and Section 1.148-3 of the Treasury Regulations.

In the event that, prior to the time of any payment required to be made from the Rebate Fund, the amount in the Rebate Fund is not sufficient to make such payment when such payment is due, the District will calculate or cause to be calculated the amount of such deficiency and deposit an amount received from any legally available source equal to such deficiency prior to the time such payment is due. Each payment required to be made pursuant to the Indenture will be made to the Internal Revenue Service Center, Ogden, Utah 84201 on or before the date on which such payment is due, and will be accompanied by Internal Revenue Service Form 8038-T (prepared by the District), or will be made in such other manner as provided under the Code.

Disposition of Unexpended Funds. Any funds remaining in the Rebate Fund after redemption and payment of the 2014a Bonds and the payments described in subsection (a) above being made may be withdrawn by the District and utilized in any manner by the District.

Survival of Defeasance. Notwithstanding anything in the Indenture to the contrary, the obligation to comply with the requirements of the Indenture survives the defeasance or payment in full of the 2014a Bonds.

Application of Funds and Accounts When No 2014 Bonds are Outstanding. On the date on which all 2014 Bonds are retired under the Indenture or provision made therefor pursuant to the Indenture and after payment of all amounts due the Trustee under the Indenture, all moneys then on deposit in any of the funds or accounts (other than the Rebate Fund) established with the Trustee pursuant to the Indenture will be withdrawn by the Trustee and paid to the District for use by the District at any time for any purpose permitted by law.

Reserve Fund. The Trustee will establish and hold in trust the Reserve Fund. The District will deposit the Reserve Surety Policy in the Reserve Fund and the Trustee will draw upon the Reserve Surety Policy in accordance with the Indenture. As long as the Reserve Surety Policy is in full force and effect, and the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy, the District and Trustee must comply with the following provisions:

(a) In the event and to the extent that moneys on deposit in the Payment Fund, plus all amounts on deposit in and credited to the Reserve Fund in excess of the amount of the Reserve Surety Policy, are insufficient to pay the amount of principal and interest coming due, then upon the later of: (i) one (1) Business Day after receipt by the Insurer of a Notice of Nonpayment (as such terms are defined in the Reserve Surety Policy), duly executed by the Trustee certifying that payment due under the Indenture has not been made to the Trustee; or (ii) the Interest

Payment Date, the Insurer will make a deposit of funds in an account with the Trustee or its successor sufficient for the payment to the Trustee of amounts which are then due to the Trustee under the Indenture up to but not in excess of the Policy Limit, as defined in the Reserve Surety Policy; provided, however, that in the event that the amount on deposit in, or credited to, the Reserve Fund, in addition to the amount available under the Reserve Surety Policy, includes amounts available under a letter of credit, insurance policy, reserve surety policy or other such funding instrument (the "Additional Funding Instrument"), draws on the Reserve Surety Policy and the Additional Funding Instrument will be made on a pro rata basis to fund the insufficiency.

(b) The District will repay any draws under the Reserve Surety Policy and pay all related reasonable expenses incurred by the Insurer. Interest will accrue and be payable on such draws and expenses from the date of payment by the Insurer at the Late Payment Rate. "Late Payment Rate" means the lesser of: (i) the greater of: (A) the per annum rate of interest, publicly announced from time to time by JP Morgan Chase Bank at its principal office in the City of New York, as its prime or base lending rate ("Prime Rate") (any change in such Prime Rate to be effective on the date such change is announced by JP Morgan Chase Bank) plus 3%; and (B) the then applicable highest rate of interest on the Bonds; and (ii) the maximum rate permissible under applicable usury or similar laws limiting interest rates. The Late Payment Rate is computed on the basis of the actual number of days elapsed over a year of 360 days. In the event that JP Morgan Chase Bank ceases to announce its Prime Rate publicly, Prime Rate will be the publicly announced prime or base lending rate of such national bank as the Insurer will specify.

(c) Repayment of draws and payment of expenses and accrued interest thereon at the Late Payment Rate (collectively, "Policy Costs") will commence in the first month following each draw, and each such monthly payment will be in an amount at least equal to 1/12 of the aggregate of Policy Costs related to such draw.

(d) Amounts in respect of Policy Costs paid to the Insurer will be credited first to interest due, then to the expenses due and then to principal due. As and to the extent that payments are made to the Insurer on account of principal due, the coverage under the Reserve Surety Policy will be increased by a like amount, subject to the terms of the Reserve Surety Policy.

(e) All cash and investments in the Reserve Fund will be transferred to the Payment Fund for payment of the principal of and interest on the 2014 Bonds before any drawing may be made on the Reserve Surety Policy or any other credit facility credited to the Reserve Fund in lieu of cash ("Credit Facility"). Payment of any Policy Costs will be made prior to replenishment of any such cash amounts. Draws on all Credit Facilities (including the Reserve Surety Policy) on which there is available coverage will be made on a pro-rata basis (calculated by reference to the coverage then available thereunder) after applying all available cash and investments in the Reserve Fund. Payment of Policy Costs and reimbursement of amounts with respect to other Credit Facilities will be made on a pro-rata basis prior to replenishment of any cash drawn from the Reserve Fund. For the avoidance of doubt, "available coverage" means the coverage then available for disbursement pursuant to the terms of the applicable alternative credit instrument without regard to the legal or financial ability or willingness of the provider of such instrument to honor a claim or draw thereon or the failure of such provider to honor any such claim or draw.

(f) If the District fails to pay any Policy Costs in accordance with the requirements of the Indenture, the Insurer will be entitled to exercise any and all legal and equitable remedies available to it, including those provided under the Indenture other than: (i) acceleration of the maturity of the payments of principal of and interest on the 2014 Bonds; or (ii) remedies which would adversely affect Owners of the 2014 Bonds.

(g) The Trustee will ascertain the necessity for a claim upon the Reserve Surety Policy in accordance with the provisions of the Indenture and provide notice to the Insurer in accordance with the terms of the Reserve Surety Policy at least five (5) Business Days prior to an Interest Payment Date. Where deposits are required to be made by the District with the Trustee to the Payment Fund for the payment of principal of and interest on the 2014 Bonds more often than semi-annually, the Trustee is instructed to give notice to the Insurer of any failure of the District to make timely payment in full of such deposits within two Business Days of the date due.

So long as the Reserve Surety Policy is in full force and effect and the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy, future deposits of a surety in the Reserve Fund require the prior written consent of the Insurer.

Additional Contracts and Bonds. If the Contract is executed or Bonds are issued for refunding purposes, there shall be delivered an opinion of Bond Counsel addressed to the Insurer (or a reliance letter relating thereto), or a certificate of discharge of the trustee for such Contracts or Bonds to be refunded, to the effect that, upon the making of the required deposit to escrow, the legal defeasance of such Contracts or Bonds to be refunded shall have occurred. If the Contracts or Bonds to be refunded are insured by Assured Guaranty Municipal Corp., at least three Business Days prior to the proposed date for delivery of the insurance policy with respect to such Contracts or Bonds refunding such Contracts or Bonds to be refunded, the Insurer shall also receive (i) the verification letter, of which the Insurer shall be an addressee, by an Independent Certified Public Accountant, of the adequacy of the escrow established to provide for the payment of such Contracts or Bonds to be refunded in accordance with the terms and provisions of the escrow agreement by which such Contracts or Bonds are being refunded, and (ii) the form of an opinion of Bond Counsel addressed to the Insurer (or a reliance letter relating thereto) to the effect that the escrow agreement by which such Contracts or Bonds are being refunded is a valid and binding obligation of the parties thereto, enforceable in accordance with its terms (such escrow agreement shall provide that no amendments are permitted without the prior written consent of the Insurer). An executed copy of each of such opinion and reliance letter, if applicable, or Trustee's discharge certificate, as the case may be, shall be forwarded to the Insurer prior to delivery of such Contracts or Bonds.

For purposes of the Indenture, any Policy Costs due and owing will be treated as Operations and Maintenance Costs of the Water System and Operations and Maintenance Costs of the Hydroelectric System.

Claims upon the Insurance Policy and Payments by and to the Insurer. If, on the third Business Day prior to the related scheduled interest payment date or principal payment date ("Payment Date") there is not on deposit with the Trustee, after making all transfers and deposits required under the Indenture, moneys sufficient to pay the principal of and interest on the 2014 Bonds due on such Payment Date, the Trustee will give notice to the Insurer and to its designated agent (if any) (the "Insurer's Fiscal Agent") by telephone or telecopy of the amount of such deficiency by 12:00 noon, New York City time, on such Business Day. If, on the second Business Day prior to the related Payment Date, there continues to be a deficiency in the amount available to pay the principal of and interest on the 2014 Bonds due on such Payment Date, the Trustee will make a claim under the Insurance Policy and give notice to the Insurer and the Insurer's Fiscal Agent (if any) by telephone of the amount of such deficiency, and the allocation of such deficiency between the amount required to pay interest on the 2014 Bonds and the amount required to pay principal of the 2014 Bonds, confirmed in writing to the Insurer and the Insurer's Fiscal Agent by 12:00 noon, New York City time, on such second Business Day by filling in the form of Notice of Claim and Certificate delivered with the Insurance Policy.

The Trustee will designate any portion of payment of principal on the 2014 Bonds paid by the Insurer, whether by virtue of mandatory sinking fund redemption, maturity or other advancement of maturity, on its books as a reduction in the principal amount of the 2014 Bonds registered to the then current Owner, whether DTC or its nominee or otherwise, and will issue a replacement 2014 Bond to the Insurer, registered in the name of Assured Guaranty Municipal Corp., in a principal amount equal to the amount of principal so paid (without regard to authorized denominations); provided that the Trustee's failure to so designate any payment or issue any replacement 2014 Bond will have no effect on the amount of principal or interest payable by the District on any 2014 Bond or the subrogation rights of the Insurer.

The Trustee will keep a complete and accurate record of all funds deposited by the Insurer into the Policy Payments Account (defined below) and the allocation of such funds to payment of interest on and principal of any 2014 Bond. The Insurer has the right to inspect such records at reasonable times upon reasonable notice to the Trustee.

Upon payment of a claim under the Insurance Policy, the Trustee will establish a separate special purpose trust account for the benefit of Owners referred to herein as the "Policy Payments Account" and over which the

Trustee will have exclusive control and sole right of withdrawal. The Trustee will receive any amount paid under the Insurance Policy in trust on behalf of Owners and will deposit any such amount in the Policy Payments Account and distribute such amount only for purposes of making the payments for which a claim was made. Such amounts will be disbursed by the Trustee to Owners in the same manner as principal and interest payments are to be made with respect to the 2014 Bonds under the Indenture regarding payment of the 2014 Bonds. It is not necessary for such payments to be made by checks or wire transfers separate from the check or wire transfer used to pay the principal of and interest on the 2014 Bonds with other funds available to make such payments. Notwithstanding anything in the Indenture to the contrary, the District agrees to pay to the Insurer (i) a sum equal to the total of all amounts paid by the Insurer under the Insurance Policy (the "Insurer Advances"); and (ii) interest on such Insurer Advances from the date paid by the Insurer until payment thereof in full, payable to the Insurer at the Late Payment Rate per annum (collectively, the "Insurer Reimbursement Amounts"). "Late Payment Rate" means the lesser of (a) the greater of (i) the per annum rate of interest, publicly announced from time to time by JP Morgan Chase Bank at its principal office in the City of New York, as its prime or base lending rate (any change in such rate of interest to be effective on the date such change is announced by JP Morgan Chase Bank) plus 3%, and (ii) the then applicable highest rate of interest on the 2014 Bonds and (b) the maximum rate permissible under applicable usury or similar laws limiting interest rates. The Late Payment Rate is computed on the basis of the actual number of days elapsed over a year of 360 days. The District hereby covenants and agrees that the Insurer Reimbursement Amounts are secured by a lien on and pledge of the Revenues and payable from such Revenues on a parity with the payments of principal of and interest on the 2014 Bonds.

Funds held in the Policy Payments Account will not be invested by the Trustee and may not be applied to satisfy any costs, expenses or liabilities of the Trustee. Any funds remaining in the Policy Payments Account following an Interest Payment Date will promptly be remitted to the Insurer.

Payments by the Insurer as a Result of Nonpayment. The Insurer is entitled to pay principal or interest on the 2014 Bonds that become Due for Payment but are unpaid by reason of Nonpayment by the District (as such terms are defined in the Insurance Policy) and any amounts due on the 2014 Bonds as a result of acceleration of the maturity thereof in accordance with the Indenture, whether or not the Insurer has received a Notice of Nonpayment (as such terms are defined in the Insurance Policy) or a claim upon the Insurance Policy.

PARTICULAR COVENANTS

Compliance with Indenture. The Trustee will not authenticate or deliver any 2014 Bond in any manner other than in accordance with the provisions of the Indenture, and the District will not suffer or permit any default by it to occur under the Indenture, but will faithfully observe and perform all the covenants, conditions and requirements of the Indenture.

Budgets. On or prior to the fifteenth day of each Fiscal Year, the District will certify to the Trustee that the amounts budgeted for payment of principal and interest on the 2014 Bonds are fully adequate for the payment of all principal and interest on the 2014 Bonds for such Fiscal Year. If the amounts so budgeted are not adequate for the payment of all principal and interest on the 2014 Bonds, the District will take such action as may be necessary to cause such annual budget to be amended, corrected or augmented so as to include therein the amounts required to be raised by the District in the then ensuing Fiscal Year for the payment of all principal and interest on the 2014 Bonds and will notify the Trustee of the proceedings then taken or proposed to be taken by the District.

Payment of Taxes and Compliance with Governmental Regulations. The District will pay and discharge all taxes, assessments and other governmental charges which may later be lawfully imposed upon the Water System, the Hydroelectric System, or any part thereof or upon the Revenues when the same becomes due. The District will duly observe and comply with all valid regulations and requirements of any governmental authority relative to the operation of the Water System, Hydroelectric System, or any part thereof, but the District is not required to comply with any regulations or requirements so long as the validity or application thereof is contested in good faith.

Observance of Laws and Regulations. To the extent necessary to assure its performance under the Indenture, the District will well and truly keep, observe and perform all valid and lawful obligations or regulations

now or later imposed on it by contract, or prescribed by any law of the United States of America, or of the State, or by any officer, board or commission having jurisdiction or control, as a condition of the continued enjoyment of any and every right, privilege or franchise now owned or later acquired by the District, including its right to exist and carry on its business, to the end that such contracts, rights and franchises are maintained and preserved, and are not abandoned, forfeited or in any manner impaired.

Eminent Domain Proceeds. If all or any part of the Water System or Hydroelectric System is taken by eminent domain proceedings, the Net Proceeds thereof are to be applied as follows:

If (1) the District files with the Trustee a certificate showing (i) the estimated loss of annual Net Revenues, if any, suffered or to be suffered by the District by reason of such eminent domain proceedings, (ii) a general description of the additions, betterments, extensions or improvements to the Water System or Hydroelectric System proposed to be acquired and constructed by the District from such Net Proceeds, and (iii) an estimate of the additional annual Net Revenues to be derived from such additions, betterments, extensions or improvements, and (2) the District, on the basis of such certificate filed with the Trustee, determines that the estimated additional annual Net Revenues will sufficiently offset the estimated loss of annual Net Revenues resulting from such eminent domain proceedings so that the ability of the District to meet its obligations under the Indenture will not be substantially impaired (which determination is final and conclusive), then the District will promptly proceed with the acquisition and construction of such additions, betterments, extensions or improvements substantially in accordance with such certificate and such Net Proceeds will be applied for the payment of the costs of such acquisition and construction, and any balance of such Net Proceeds not required by the District for such purpose will be deposited in the Water System Revenue Fund and the Hydroelectric System Revenue Fund as directed by the District.

If the foregoing conditions are not met, then such Net Proceeds will be applied by the District in part to the prepayment of the 2014 Bonds as provided in the Indenture and in part to such other fund or account as may be appropriate and used for the retirement of Bonds and Contracts in the same proportion which the aggregate unpaid principal balance of principal and Interest due on the 2014 Bonds then bears to the aggregate unpaid principal amount of such Bonds and Contracts.

Against Sale or Other Disposition of Property. The District will not enter into any agreement or lease which impairs the operation of the Water System or Hydroelectric System or any part thereof necessary to secure adequate Revenues for the payment of the principal and interest due on the 2014 Bonds, or which would otherwise impair the operation of the Water System or Hydroelectric System. Any real or personal property which has become nonoperative or which is not needed for the efficient and proper operation of the Water System or Hydroelectric System, or any material or equipment which has become worn out, may be sold if such sale will not impair the ability of the District to pay the principal and interest on the 2014 Bonds when due and if the proceeds of such sale are deposited in the Water System Revenue Fund and the Hydroelectric System Revenue Fund as directed by the District.

Nothing in the Indenture restricts the ability of the District to sell any portion of the Water System or Hydroelectric System if such portion is immediately repurchased by the District and if such arrangement cannot by its terms result in the purchaser of such portion of the Water System or Hydroelectric System exercising any remedy which would deprive the District of or otherwise interfere with its right to own and operate such portion of the Water System or Hydroelectric System.

Against Competitive Facilities. To the extent permitted by law, the District covenants that it will not acquire, construct, maintain or operate and will not, to the extent permitted by law and within the scope of its powers, permit any other public or private agency, corporation, district or political subdivision or any person whomsoever to acquire, construct, maintain or operate within the District any water system competitive with the Water System.

Maintenance and Operation of the Water System and Hydroelectric System. The District will maintain and preserve the Water System and Hydroelectric System in good repair and working order at all times and will operate

the Water System and Hydroelectric System in an efficient and economical manner and will pay all Operation and Maintenance Costs as they become due and payable.

Payment of Claims. The District will pay and discharge any and all lawful claims for labor, materials or supplies which, if unpaid, might become a lien on the Revenues or the funds or accounts created under the Indenture or on any funds in the hands of the District pledged to pay the principal and interest on the 2014 Bonds or to the Owners prior or superior to the lien of the 2014 Bonds or which might impair the security of the principal and interest due on the 2014 Bonds.

Compliance with Contracts. The District will neither take nor omit to take any action under any contract if the effect of such act or failure to act would in any manner impair or adversely affect the ability of the District to pay the principal and interest on the 2014 Bonds when due; and the District will comply with, keep, observe and perform all agreements, conditions, covenants and terms, express or implied, required to be performed by it contained in all other contracts affecting or involving the Water System or Hydroelectric System, to the extent that the District is a party thereto. Notwithstanding the foregoing, nothing in the Indenture shall require the District to comply with, keep, observe or perform any such agreement, condition, covenant or term, express or implied, contained in any such contracts if the District is contesting in good faith the interpretation, validity or enforceability of such agreement, condition, covenant or term, express or implied, unless required by the terms of a final order of a court of competent jurisdiction from which no opportunity for further appeal exists.

Insurance. (a) The District will procure and maintain or cause to be procured and maintained insurance on the Water System and Hydroelectric System with responsible insurers in such amounts and against such risks (including damage to or destruction of the Water System and Hydroelectric System) as are usually covered in connection with water and wastewater systems similar to the Water System and Hydroelectric System so long as such insurance is available from reputable insurance companies.

In the event of any damage to or destruction of the Water System or Hydroelectric System caused by the perils covered by such insurance, the Net Proceeds thereof will be applied to the reconstruction, repair or replacement of the damaged or destroyed portion of the Water System or Hydroelectric System, respectively. The District will begin such reconstruction, repair or replacement promptly after such damage or destruction has occurred, and will continue and properly complete such reconstruction, repair or replacement as expeditiously as possible, and will pay out of such Net Proceeds all costs and expenses in connection with such reconstruction, repair or replacement so that the same will be completed and the Water System and Hydroelectric System will be free and clear of all claims and liens.

If such Net Proceeds exceed the costs of such reconstruction, repair or replacement portion of the Water System or Hydroelectric System, respectively, and/or the cost of the construction of additions, betterments, extensions or improvements to the Water System or Hydroelectric System, respectively, then the excess Net Proceeds will be applied in part to the prepayment of principal and interest on the 2014 Bonds as provided in the Indenture and in part to such other fund or account as may be appropriate and used for the retirement of Bonds and Contracts in the same proportion which the aggregate unpaid principal balance of the 2014 Bonds then bears to the aggregate unpaid principal amount of such Bonds and Contracts. If such Net Proceeds are sufficient to enable the District to retire the entire obligation evidenced by the Indenture prior to the final due date of the principal and interest on the 2014 Bonds as well as the entire obligations evidenced by Bonds and Contracts then remaining unpaid prior to their final respective due dates, the District may elect not to reconstruct, repair or replace the damaged or destroyed portion of the Water System or Hydroelectric System, and/or not to construct other additions, betterments, extensions or improvements to the Water System or Hydroelectric System; and thereupon such Net Proceeds will be applied to the prepayment of principal and interest on the 2014 Bonds as provided in the Indenture and to the retirement of such Bonds and Contracts.

(b) The District will procure and maintain such other insurance as it deems advisable or necessary to protect its interests, which insurance affords protection in such amounts and against such risks as are usually covered in connection with water and wastewater systems similar to the Water System and Hydroelectric System.

(c) Any insurance required to be maintained by paragraph (a) above and, if the District determines to procure and maintain insurance pursuant to paragraph (b) above, such insurance, may be maintained under a self-insurance program so long as such self-insurance is maintained in the amounts and manner usually maintained in connection with water and wastewater systems similar to the Water System and Hydroelectric System and is, in the opinion of an accredited actuary, actuarially sound.

Collection of Rates and Charges. The District will have in effect at all times by-laws, rules and regulations requiring each customer to pay the rates and charges applicable to the Water Service and providing for the billing thereof and for a due date and a delinquency date for each bill.

Enforcement of Contracts. The District will not voluntarily consent to or permit any rescission of, nor will it consent to any amendment to or otherwise take any action under or in connection with any contracts previously or later entered into if such rescission or amendment would in any manner impair or adversely affect the ability of the District to pay principal and interest on the 2014 Bonds.

Continuing Disclosure. The District covenants and agrees that it will comply with and carry out all of the provisions of the Continuing Disclosure Certificate. Notwithstanding any other provision of the Indenture, failure of the District to comply with the Continuing Disclosure Certificate is not considered an Event of Default; however, any Owner or Beneficial Owner may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under the Indenture. For purposes of the Indenture, "Beneficial Owner" means any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any 2014 Bond (including persons holding 212 Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any 2014 Bond for federal income tax purposes.

Punctual Payment. The District will cause the Trustee to pay the principal and interest to become due in respect of all of the 2014 Bonds, in strict conformity with the terms of the 2014 Bonds and of the Indenture, according to the true intent and meaning thereof, but only out of Revenues and other assets pledged for such payment as provided in the Indenture.

Extension of Payment of 2014 Bonds. The District will not directly or indirectly extend or assent to the extension of the maturity of any of the 2014 Bonds or the time of payment of any claims for interest by the purchase of such 2014 Bonds or by any other arrangement, and in case the maturity of any of the 2014 Bonds or the time of payment of any such claims for interest is extended, such 2014 Bonds or claims for interest will not be entitled, in case of any default under the Indenture, to the benefits of the Indenture, except subject to the prior payment in full for the principal of all of the 2014 Bonds then Outstanding and of all claims for interest thereon which have not been so extended.

Against Encumbrances. The District will not make any pledge of or place any lien on Revenues or the moneys in the Water System Revenue Fund, the Hydroelectric System Revenue Fund or the Rate Stabilization Fund except as provided in the Indenture. The District may at any time, or from time to time, execute Contracts or issue Bonds as permitted in the Indenture or incur evidences of indebtedness or incur other obligations for any lawful purpose which are payable from and secured by a pledge of lien on Revenues on any moneys in the Water System Revenue Fund, the Hydroelectric System Revenue Fund and the Rate Stabilization Fund as may from time to time be deposited therein, provided that such pledge and lien shall be subordinate in all respects to the pledge of and lien thereon provided in the Indenture.

Power to Issue 2014 Bonds and Make Pledge and Assignment. The District is duly authorized pursuant to law to issue the 2014 Bonds and to enter into the Indenture and to pledge and assign the Revenues and other assets purported to be pledged and assigned under the Indenture in the manner and to the extent provided in the Indenture. The 2014 Bonds and the provisions of the Indenture are and will be the legal, valid and binding special obligations of the District in accordance with their terms, and the District and the Trustee will at all times, subject to the provisions of the Indenture and to the extent permitted by law, defend, preserve and protect said pledge and

assignment of Revenues and other assets and all the rights of the 2014 Bond Owners under the Indenture against all claims and demands of all persons whomsoever.

Accounting Records and Financial Statements. (a) The District will keep appropriate accounting records in which complete and correct entries are made of all transactions relating to the District, which records are available for inspection by the Trustee at reasonable hours and under reasonable conditions. (b) The District will prepare and file with the Trustee annually within two hundred seventy (270) days after the close of each Fiscal Year (commencing with the Fiscal Year ending March 31, 2013) financial statements of the District for the preceding Fiscal Year prepared in accordance with generally accepted accounting principles, together with an Accountant's Report thereon.

Tax Covenants. Notwithstanding any other provision of the Indenture, and except as may otherwise be approved by an opinion of Bond Counsel that the exclusion from gross income of the portion of interest on the 2014A Bonds will not be adversely affected for federal income tax purposes, the District covenants to comply with all applicable requirements of the Code necessary to preserve such exclusion from gross income with respect to the 2014A Bonds and specifically covenants, without limiting the generality of the foregoing, as follows: (a) Private Activity. The District will take no action or refrain from taking any action or make any use of the proceeds of the 2014A Bonds or of any other moneys or property which would cause the 2014A Bonds to be "private activity bonds" within the meaning of Section 141 of the Code; (b) Arbitrage. The District will make no use of the proceeds of the 2014A Bonds or of any other amounts or property, regardless of the source, or take any action or refrain from taking any action which will cause the 2014A Bonds to be "arbitrage bonds" within the meaning of Section 148 of the Code; (c) Federal Guarantee. The District will make no use of the proceeds of the 2014A Bonds or take or omit to take any action that would cause the 2014A Bonds to be "federally guaranteed" within the meaning of Section 149(b) of the Code; (d) Information Reporting. The District will take or cause to be taken all necessary action to comply with the informational reporting requirement of Section 149(e) of the Code necessary to preserve the exclusion of interest on the 2014A Bonds pursuant to Section 103(a) of the Code; (e) Hedge Bonds. The District will make no use of the proceeds of the 2014A Bonds or any other amounts or property, regardless of the source, or take any action or refrain from taking any action that would cause the 2014A Bonds to be considered "hedge bonds" within the meaning of Section 149(g) of the Code unless the District takes all necessary action to assure compliance with the requirements of Section 149(g) of the Code to maintain the exclusion from gross income of interest on the 2014A Bonds for federal income tax purposes; and (f) Miscellaneous. The District will take no action or refrain from taking any action inconsistent with its expectations stated in the Tax Certificate executed by the District in connection with the issuance of the 2014A Bonds and will comply with the covenants and requirements stated therein and incorporated by reference in the Indenture. The covenants set forth in the Indenture are not applicable to, and nothing contained therein is deemed to prevent the District from issuing other Bonds or Contracts the interest with respect to which has been determined by Bond Counsel to be subject to federal income taxation.

The Tax Covenant and the covenants set forth in the Indenture shall not be applicable to, and nothing contained in the Indenture shall be deemed to prevent the District from issuing the 2014B Bonds or other Bonds or Contracts the interest with respect to which has been determined by Bond Counsel to be subject to federal income taxation.

Waiver of Laws. The District will not at any time insist upon or plead in any manner whatsoever, or claim or take the benefit or advantage of, any stay or extension law now or at any time later in force that may affect the covenants and agreements contained in the Indenture or in the 2014 Bonds, and all benefit or advantage of any such law or laws is expressly waived by the District to the extent permitted by law.

Further Assurances. The District will make, execute and deliver any and all such further assurances, instruments and resolutions as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of the Indenture and for the better assuring and confirming unto the Owners of the 2014 Bonds of the rights and benefits provided in the Indenture.

Prosecution and Defense of Suits. The District will promptly, upon request of the Trustee or any 2014 Bond Owner, from time to time take such action as may be necessary or proper to remedy or cure any defect in or

cloud upon the title to the Revenues or any part thereof, whether now existing or later developing, will prosecute all such suits, actions and other proceedings as may be appropriate for such purpose and will indemnify and save the Trustee (including all of its employees, officers and directors) and every 2014 Bond Owner harmless from all loss, cost, damage and expense, including attorneys' fees, which they or any of them may incur by reason of any such defect, cloud, suit, action or proceeding.

The District will defend against every suit, action or proceeding at any time brought against the Trustee (including all of its employees, officers and directors) or any 2014 Bond Owner upon any claim by a 2014 Bond Owner or a third party arising out of the receipt, application or disbursement of any of the payments of principal or interest on the 2014 Bonds or involving the rights of the Trustee or any 2014 Bond Owner under the Indenture; provided that the Trustee or any 2014 Bond Owner at such party's election may appear in and defend any such suit, action or proceeding. The District will indemnify and hold harmless the Trustee and the 2014 Bond Owners against any and all liability claimed or asserted by any such person, arising out of such receipt, application or disbursement, and will indemnify and hold harmless the 2014 Bond Owners against any attorneys' fees or other expenses which any of them may incur in connection with any litigation (including pre-litigation activities) to which any of them may become a party by reason of ownership of 2014 Bonds. The District will promptly reimburse any 2014 Bond Owner in the full amount of any attorneys' fees or other expenses which such Owner may incur in litigation or otherwise in order to enforce such party's rights under the Indenture or the 2014 Bonds, provided that such litigation is concluded favorably to such party's contentions therein.

EVENTS OF DEFAULT AND REMEDIES OF 2014 BOND OWNERS

Events of Default. The following events are Events of Default under the Indenture: (a) Default by the District in the due and punctual payment of the principal of any 2014 Bonds when and as the same becomes due and payable, whether at maturity as therein expressed, by proceedings for redemption, by acceleration, or otherwise. (b) Default by the District in the due and punctual payment of the interest on any 2014 Bonds when and as the same becomes due and payable. (c) Default by the District in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the 2014 Bonds if such default has continued for a period of thirty (30) days after written notice thereof, specifying such default and requiring the same to be remedied, has been given to the District by the Trustee or by the Owners of not less than a majority in aggregate principal amount of 2014 Bonds Outstanding; provided, however, that if in the reasonable opinion of the District the default stated in the notice can be corrected, but not within such thirty (30) day period and corrective action is instituted by the District, with the written approval of the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy), within such thirty (30) day period and diligently pursued in good faith until the default is corrected such default is not an Event of Default under the Indenture. (d) The District will file a petition or answer seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if a court of competent jurisdiction approves a petition filed with or without the consent of the District seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction assumes custody or control of the District or of the whole or any substantial part of its property. (e) Payment of the principal of any Bond or with respect to any Contract is accelerated in accordance with its terms.

Remedies Upon Event of Default. If any Event of Default specified in the Indenture occurs and continues, the Trustee will, with the written approval of the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy), and for any other Event of Default, the Trustee may, with the written approval of the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy), which consent is at the sole discretion of the Insurer, in each case, upon notice in writing to the District, declare the principal of all of the 2014 Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same becomes and is immediately due and payable, anything in the Indenture or in the 2014 Bonds contained to the contrary notwithstanding. Nothing contained in the Indenture permits or requires the Trustee to accelerate payments due under the Indenture if the District is not in default of its obligation under the Indenture.

Any such declaration is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due has been obtained or entered, the District will deposit with the Trustee a sum sufficient to pay all the principal of and interest on the 2014 Bonds which is overdue, with interest on such overdue principal at the rate borne by the respective 2014 Bonds to the extent permitted by law, and the reasonable charges and expenses of the Trustee, and any and all other Events of Default known to the Trustee, has been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate has been made therefor, then, and in every such case the Trustee will on behalf of the Owners of all of the 2014 Bonds, rescind and annul such declaration and its consequences and waive such Event of Default; but no such rescission and annulment extends to or affects any subsequent Event of Default, or impairs or exhausts any right or power consequent thereon.

Application of Revenues and Other Funds After Default. If an Event of Default shall occur and be continuing, all Revenues held or thereafter received by the Trustee, amounts on deposit in the Rate Stabilization Fund, and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than amounts held in the Rebate Fund) shall be applied in the following order: (i) to the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Owners of the 2014 Bonds and payment of reasonable fees and expenses of the Trustee (including reasonable fees and disbursements of its accountants and counsel) incurred in and about the performance of its powers and duties under the Indenture; (ii) from the Water System Revenues, to the payment of Operation and Maintenance Costs of the Water System and, from the Hydroelectric System Revenues, to the payment of Operation and Maintenance Costs of the Hydroelectric System; (iii) to the payment of the principal of and interest then due on the 2014 Bonds (upon presentation of the 2014 Bonds to be paid, and stamping or otherwise noting thereon of the payment if only partially paid, or surrender thereof if fully paid), in accordance with the provisions of the Indenture, the payment of the principal and interest then due with respect to such Contract in accordance with the provisions thereof and the payment of the principal of and interest then due on such Bonds in accordance with the provisions thereof and of any indenture related thereto, in the following order of priority: First: To the payment to the persons entitled thereto of all installments of interest then due on the 2014 Bonds, with respect to such Contract or on such Bonds, as applicable, in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference; and Second: To the payment to the persons entitled thereto of all installments of unpaid principal of any 2014 Bond, with respect to such Contract or on such Bonds, as applicable, which shall have become due, whether at maturity or by acceleration or redemption, with interest on the overdue principal at the rate of eight percent (8%) per annum, and, if the amount available shall not be sufficient to pay in full all the 2014 Bonds together with such interest, then to the payment thereof ratably, according to the amounts of principal due on such date to the persons entitled thereto, without any discrimination or preference; Third: To the extent the revenues of the Energy System are insufficient to pay installment payments under the 2005 Installment Purchase Agreement or principal of and interest on the 2005 Bonds, to the payment of such installment payments under the 2005 Installment Purchase Agreement or principal of and interest on the 2005 Bonds; Fourth: To the extent Policy Costs or Insurer Reimbursement Amounts are due and payable to the Insurer, to the payment of such amounts; and Fifth: If there shall exist any remainder after the foregoing payments, such remainder shall be paid to the District to be expended on expenses related to the Parks and Recreation Facilities, if any, payments of principal of and interest on the 2014 Loan Agreement, and for any other purpose permitted by law.

So long as the 2005 Installment Purchase Agreement or the 2005 Bonds remain outstanding, and notwithstanding the foregoing, no Hydroelectric System Revenues shall be applied to the payment of the principal of and interest on the 2014B Bonds in accordance with the Indenture, unless the lien on Net Hydroelectric System Revenues set forth in the 2005 Installment Purchase Agreement and the 2005 Indenture have been waived or terminated as provided therein. Hydroelectric System Revenues may be applied to the payment of the principal of and interest on the 2014 Bonds in accordance with the Indenture even if the 2005 Installment Purchase Agreement or the 2005 Bonds remain outstanding.

Trustee to Represent 2014 Bond Owners. The Trustee is irrevocably appointed (and the successive respective Owners of the 2014 Bonds, by taking and holding the same, is conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Owners of the 2014 Bonds for the purpose of

exercising and prosecuting on their behalf such rights and remedies as may be available to such Owners under the provisions of the 2014 Bonds or the Indenture and applicable provisions of law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the 2014 Bond Owners, the Trustee in its discretion may, and upon the written request of the Owners of a majority in aggregate principal amount of the 2014 Bonds then Outstanding, and upon being indemnified to its satisfaction therefor, will proceed to protect or enforce its rights or the rights of such Owners by such appropriate action, suit, mandamus or other proceedings as it deems most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power in the Indenture granted, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Owners under the 2014 Bonds or the Indenture or any law; and upon instituting such proceeding, the Trustee is entitled, as a matter of right, to the appointment of a receiver of the Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the 2014 Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the 2014 Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee is brought in the name of the Trustee for the benefit and protection of all the Owners of such 2014 Bonds, subject to the provisions of the Indenture.

2014 Bond Owners' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Owners of a majority in aggregate principal amount of the 2014 Bonds then Outstanding has the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, and upon indemnification of the Trustee to its reasonable satisfaction to direct the method of conduct in all remedial proceedings taken by the Trustee under the Indenture, provided that such direction is not otherwise than in accordance with law and the provisions of the Indenture, and that the Trustee has the right to decline to follow any such direction which in the opinion of the Trustee would be unjustly prejudicial to 2014 Bond Owners not parties to such direction.

Suit by Owners. No Owner of any 2014 Bonds has the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture with respect to such 2014 Bonds, unless: (a) such Owners has given to the Trustee written notice of the occurrence of an Event of Default; (b) the Owners of not less than fifty percent (50%) in aggregate principal amount of the 2014 Bonds then Outstanding have made written request upon the Trustee to exercise the powers granted under the Indenture or to institute such suit, action or proceeding in its own name; (c) such Owner or Owners has tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (d) the Trustee has failed to comply with such request for a period of sixty (60) days after such written request has been received by, and said tender of indemnity has been made to, the Trustee; and (e) no direction inconsistent with such written request has been given to the Trustee during such sixty (60) day period by the Owners of a majority in aggregate principal amount of the 2014 Bonds then Outstanding.

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Owner of 2014 Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Owners of 2014 Bonds has any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Owners of 2014 Bonds, or to enforce any right under the 2014 Bonds, the Indenture, or applicable law with respect to the 2014 Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right is instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Owners of the Outstanding 2014 Bonds, subject to the provisions of the Indenture.

Absolute Obligation of the District. Nothing in the Indenture or in the 2014 Bonds affects or impairs the obligation of the District, which is absolute and unconditional, to pay the principal of and interest on the 2014 Bonds to the respective Owners of the 2014 Bonds at their respective dates of maturity, or upon call for redemption, as provided in the Indenture, but only out of the Revenues, the amounts on deposit in the Rate Stabilization Fund and other assets in the Indenture pledged therefor, or affect or impair the right of such Owners, which is also absolute and unconditional, to enforce such payment by virtue of the contract embodied in the 2014 Bonds.

Remedies Not Exclusive. No remedy in the Indenture conferred upon or reserved to the Trustee or to the Owners of the 2014 Bonds is intended to be exclusive of any other remedy or remedies, and each and every such remedy, to the extent permitted by law, is cumulative and in addition to any other remedy given under the Indenture or now or later existing at law or in equity or otherwise.

No Waiver of Default. No delay or omission of the Trustee or of any Owner of the 2014 Bonds to exercise any right or power arising upon the occurrence of any Event of Default impairs any such right or power or is construed to be a waiver of any such Event of Default or an acquiescence therein.

Insurer Rights. The Insurer is deemed to be the sole holder of the 2014 Bonds insured under the Insurance Policy for the purpose of exercising any voting right or privilege or giving any consent or direction or taking any other action that the holders of the 2014 Bonds insured by it are entitled to take pursuant to the Indenture pertaining to (i) defaults and remedies and (ii) the duties and obligations of the Trustee. In furtherance thereof and as a term of the Indenture and each 2014 Bond, the Trustee and each Owner of the 2014 Bonds appoint the Insurer as their agent and attorney-in-fact and agree that the Insurer may at any time during the continuation of any proceeding by or against the District under the United States Bankruptcy Code or any other applicable bankruptcy, insolvency, receivership, rehabilitation or similar law (an "Insolvency Proceeding") direct all matters relating to such Insolvency Proceeding, including without limitation, (A) all matters relating to any claim or enforcement proceeding in connection with an Insolvency Proceeding (a "Claim"), (B) the direction of any appeal of any order relating to any Claim, (C) the posting of any surety, supersedeas or performance bond pending any such appeal and (D) the right to vote to accept or reject any plan or adjustment. In addition, the Trustee and each Owner of the 2014 Bonds delegate and assign to the Insurer, to the fullest extent permitted by law, the rights of the Trustee and each Owner of the 2014 Bonds in the conduct of any Insolvency Proceeding, including, without limitation, all rights of any party to an adversary proceeding or action with respect to any court order issued in connection with any such Insolvency Proceeding. Remedies granted to the Owner of the 2014 Bonds shall expressly include mandamus.

THE TRUSTEE

Duties, Immunities and Liabilities of Trustee. (a) The Trustee will, prior to an Event of Default, and after the curing or waiving of all Events of Default which may have occurred, perform such duties and only such duties as are expressly and specifically set forth in the Indenture and no implied covenants or duties are read into the Indenture against the Trustee. The Trustee will, during the existence of any Event of Default (which has not been cured or waived), exercise such of the rights and powers vested in it by the Indenture, and use the same degree of care and skill in their exercise, as a prudent man would exercise or use under the circumstances in the conduct of his own affairs.

(b) The District may remove the Trustee at any time, unless an Event of Default has occurred and is continuing, and will remove the Trustee if at any time requested to do so by an instrument or concurrent instruments in writing signed by the Owners of not less than a majority in aggregate principal amount of the 2014 Bonds then Outstanding (or their attorneys duly authorized in writing) or if at any time the Trustee ceases to be eligible in accordance with the Indenture, or becomes incapable of acting, or is adjudged a bankrupt or insolvent, or a receiver of the Trustee or its property is appointed, or any public officer takes control or charge of the Trustee or of its property or affairs for the purpose of rehabilitation, conservation or liquidation, in each case by giving written notice of such removal to the Trustee and thereupon the District shall promptly appoint a successor Trustee by an instrument in writing.

(c) The Trustee may at any time resign by giving written notice of such resignation to the District and by giving the 2014 Bond Owners notice of such resignation by mail at the addresses shown on the Registration Books. Upon receiving such notice of resignation, the District will promptly appoint a successor Trustee by an instrument in writing.

(d) Any removal or resignation of the Trustee and appointment of a successor Trustee becomes effective upon acceptance of appointment by the successor Trustee. If no successor Trustee has been appointed and have accepted appointment within forty five (45) days of giving notice of removal or notice of

resignation as aforesaid, the resigning Trustee or any 2014 Bond Owner (on behalf of himself and all other 2014 Bond Owners) may petition any court of competent jurisdiction for the appointment of a successor Trustee, and such court may thereupon, after such notice (if any) as it may deem proper, appoint such successor Trustee. Any successor Trustee appointed under the Indenture will signify its acceptance of such appointment by executing and delivering to the District and to its predecessor Trustee a written acceptance thereof, and thereupon such successor Trustee, without any further act, deed or conveyance, becomes vested with all the moneys, estates, properties, rights, powers, trusts, duties and obligations of such predecessor Trustee, with like effect as if originally named Trustee in the Indenture; but, nevertheless at the Written Request of the District or the request of the successor Trustee, such predecessor Trustee will execute and deliver any and all instruments of conveyance or further assurance and do such other things as may reasonably be required for more fully and certainly vesting in and confirming to such successor Trustee all the right, title and interest of such predecessor Trustee in and to any property held by it under the Indenture and will pay over, transfer, assign and deliver to the successor Trustee any money or other property subject to the trusts and conditions set forth in the Indenture. Upon request of the successor Trustee, the District will execute and deliver any and all instruments as may be reasonably required for more fully and certainly vesting in and confirming to such successor Trustee all such moneys, estates, properties, rights, powers, trusts, duties and obligations. Upon acceptance of appointment by a successor Trustee as provided in the Indenture, the District will mail or cause the successor trustee to mail a notice of the succession of such Trustee to the trusts under the Indenture to each Rating Agency which is then rating the 2014 Bonds and to the 2014 Bond Owners at the addresses shown on the Registration Books. If the District fails to mail such notice within fifteen (15) days after acceptance of appointment by the successor Trustee, the successor Trustee will cause such notice to be mailed at the expense of the District.

(e) Any Trustee appointed under the provisions of the Indenture in succession to the Trustee will be a trust company, banking association or bank having the powers of a trust company, having a combined capital and surplus of at least Seventy-Five Million Dollars (\$75,000,000), and subject to supervision or examination for federal or state authority. If such bank, banking association or trust company publishes a report of condition at least annually, pursuant to law or to the requirements of any supervising or examining authority above referred to, then for the purpose of the Indenture the combined capital and surplus of such trust company, banking association or bank is deemed to be its combined capital and surplus as set forth in its most recent report of condition so published. In case at any time the Trustee ceases to be eligible in accordance with the provisions of the Indenture, the Trustee will resign immediately in the manner and with the effect specified in the Indenture.

Merger or Consolidation. Any trust company, banking association or bank into which the Trustee may be merged or converted or with which it may be consolidated or any trust company, banking association or bank resulting from any merger, conversion or consolidation to which it is a party or any trust company, banking association or bank to which the Trustee may sell or transfer all or substantially all of its corporate trust business, provided such trust company, banking association or bank is eligible under the Indenture, will be the successor to such Trustee, without the execution or filing of any paper or any further act, anything in the Indenture to the contrary notwithstanding.

Liability of Trustee. (a) The recitals of facts in the Indenture and in the 2014 Bonds are statements of the District, and the Trustee does not assume responsibility for the correctness of the same, or make any representations as to the validity or sufficiency of the Indenture or the 2014 Bonds, nor does the Trustee incur any responsibility in respect thereof, other than as expressly stated in the Indenture in connection with the respective duties or obligations in the Indenture or in the 2014 Bonds assigned to or imposed upon it. The Trustee is, however, responsible for its representations contained in its certificate of authentication on the 2014 Bonds. The Trustee is not liable in connection with the performance of its duties under the Indenture, except for its own negligence or willful misconduct. The Trustee may become the Owner of 2014 Bonds with the same rights it would have if it were not Trustee, and, to the extent permitted by law, may act as depository for and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of 2014 Bond Owners, whether or not such committee represents the Owners of a majority in principal amount of the 2014 Bonds then Outstanding.

(b) The Trustee is not liable for any error of judgment made in good faith by a Responsible Officer of the Trustee, unless it is proved that the Trustee was negligent in ascertaining the pertinent facts.

(c) The Trustee is not liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Owners of not less than a majority (or such other percentage provided for in the Indenture) in aggregate principal amount of the 2014 Bonds at the time Outstanding relating to the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any trust or power conferred upon the Trustee under the Indenture.

(d) The Trustee is not liable for any action taken by it in good faith and believed by it to be authorized or within the discretion or rights or powers conferred upon it by the Indenture.

(e) The Trustee is not deemed to have knowledge of any default or Event of Default under the Indenture or any other event which, with the passage of time, the giving of notice, or both, would constitute an Event of Default under the Indenture unless and until a Responsible Officer of the Trustee has actual knowledge of such event or the Trustee has been notified in writing, in accordance with the Indenture, of such event by the District or the Owners of not less than fifty percent (50%) of the 2014 Bonds then Outstanding. Except as otherwise expressly provided in the Indenture, the Trustee is not bound to ascertain or inquire as to the performance or observance by the District of any of the terms, conditions, covenants or agreements in the Indenture of any of the documents executed in connection with the 2014 Bonds, or as to the existence of an Event of Default thereunder or an event which would, with the giving of notice, the passage of time, or both, constitute an Event of Default thereunder. The Trustee is not responsible for the validity, effectiveness or priority of any collateral given to or held by it.

(f) No provision of the Indenture requires the Trustee to expend or risk its own funds or otherwise incur any financial liability in the performance of its duties under the Indenture, or in the exercise of any of its rights or powers.

(g) The Trustee is under no obligation to exercise any of the rights or powers vested in it by the Indenture at the request or direction of Owners pursuant to the Indenture, unless such Owners have offered to the Trustee reasonable security or indemnity against the costs, expenses and liabilities which might be incurred by it in compliance with such request or direction. No permissive power, right or remedy conferred upon the Trustee under the Indenture is construed to impose a duty to exercise such power, right or remedy and the Trustee shall not be answerable for other than its negligence or willful misconduct.

(h) Whether or not expressly so provided in the Indenture, every provision therein relating to the conduct or affecting the liability of or affording protection to the Trustee is subject to the provisions of the Indenture.

(i) The Trustee has no responsibility with respect to any information, statement, or recital in any official statement, offering memorandum or any other disclosure material prepared or distributed with respect to the 2014 Bonds.

(j) The immunities extended to the Trustee also extend to its directors, officers, employees and agents.

(k) The Trustee may execute any of the trusts or powers of the Indenture and perform any of its duties through attorneys, agents and receivers and is not answerable for the conduct of the same if appointed by it with reasonable care.

(l) The Trustee is not considered in breach of or in default in its obligations under the Indenture or progress in respect thereto in the event of enforced delay ("unavoidable delay") in the performance of such obligations due to unforeseeable causes beyond its control and without its fault or negligence, which affect the Trustee's ability to perform its obligations under the Indenture, including, but not limited to, Acts of God or of the

public enemy or terrorists, acts of a government, acts of the other party, fires, floods, epidemics, quarantine restrictions, strikes, freight embargoes, earthquakes, explosion, mob violence, riot, inability to procure or general sabotage or rationing of labor, equipment, facilities, sources of energy, material or supplies in the open market, litigation or arbitration involving a party or others relating to zoning or other governmental action or inaction pertaining to the Revenues, malicious mischief, condemnation, and unusually severe weather or delays of suppliers or subcontractors due to such causes or any similar event and/or occurrences beyond the control of the Trustee.

(m) The Trustee will hold the financial statements in compliance with the Indenture solely as an accommodation to the Bond Owners and will have no duty or obligation to review such financial statements.

(n) The Trustee will have the right to accept and act upon instructions, including funds transfer instructions ("Instructions") given pursuant to the Indenture and delivered using Electronic Means ("Electronic Means" means the following communications methods: S.W.I.F.T., e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Trustee, or another method or system specified by the Trustee as available for use in connection with its services under the Indenture); provided, however, that the District will provide to the Trustee an incumbency certificate listing officers with the authority to provide such Instructions ("Authorized Officers") and containing specimen signatures of such Authorized Officers, which incumbency certificate will be amended by the District whenever a person is to be added or deleted from the listing. If the District elects to give the Trustee Instructions using Electronic Means and the Trustee in its discretion elects to act upon such Instructions, the Trustee's understanding of such Instructions will be deemed controlling. The District understands and agrees that the Trustee cannot determine the identity of the actual sender of such Instructions and that the Trustee will conclusively presume that directions that purport to have been sent by an Authorized Officer listed on the incumbency certificate provided to the Trustee have been sent by such Authorized Officer. The District will be responsible for ensuring that only Authorized Officers transmit such Instructions to the Trustee and that the District and all Authorized Officers are solely responsible to safeguard the use and confidentiality of applicable user and authorization codes, passwords and/or authentication keys upon receipt by the District. The Trustee will not be liable for any losses, costs or expenses arising directly or indirectly from the Trustee's reliance upon and compliance with such Instructions notwithstanding such directions conflict or are inconsistent with a subsequent written instruction. The District agrees: (i) to assume all risks arising out of the use of Electronic Means to submit Instructions to the Trustee, including without limitation the risk of the Trustee acting on unauthorized Instructions, and the risk of interception and misuse by third parties; (ii) that it is fully informed of the protections and risks associated with the various methods of transmitting Instructions to the Trustee and that there may be more secure methods of transmitting Instructions than the method(s) selected by the District; (iii) that the security procedures (if any) to be followed in connection with its transmission of Instructions provide to it a commercially reasonable degree of protection in light of its particular needs and circumstances; and (iv) to notify the Trustee immediately upon learning of any compromise or unauthorized use of the security procedures.

(o) The Trustee is not concerned with or accountable to anyone for the subsequent use or application of any moneys which are released or withdrawn in accordance with the provisions of the Indenture.

Right to Rely on Documents. The Trustee is protected in acting upon any notice, resolution, requisition, request, consent, order, certificate, report, opinion, notes, direction, facsimile transmission, electronic mail or other paper or document believed by it to be genuine and to have been signed or presented by the proper party or parties. The Trustee may consult with counsel, who may be counsel of or to the District, with regard to legal questions, and the opinion of such counsel is full and complete authorization and protection in respect of any action taken or suffered by it under the Indenture in good faith and in accordance therewith.

The Trustee may treat the Owners of the 2014 Bonds appearing in the Trustee's Registration Books as the absolute owners of the 2014 Bonds for all purposes and the Trustee is not affected by any notice to the contrary.

Whenever in the administration of the trusts imposed upon it by the Indenture the Trustee deems it necessary or desirable that a matter be proved or established prior to taking or suffering any action under the Indenture, such matter (unless other evidence in respect thereof be in the Indenture specifically prescribed) may be

deemed to be conclusively proved and established by a Certificate, Request or Requisition of the District and such Certificate, Request or Requisition is full warrant to the Trustee for any action taken or suffered in good faith under the provisions of the Indenture in reliance upon such Certificate, Request or Requisition, but in its discretion the Trustee may, in lieu thereof, accept other evidence of such matter or may require such additional evidence as it may deem reasonable.

Preservation and Inspection of Documents. All documents received by the Trustee under the provisions of the Indenture will be retained in its respective possession and will be subject at all reasonable times to the inspection of the District, and any 2014 Bond Owner, and their agents and representatives duly authorized in writing, at reasonable hours and under reasonable conditions.

Compensation and Indemnification. The District will pay to the Trustee from time to time all reasonable compensation for all services rendered under the Indenture, and also all reasonable expenses, charges, legal and consulting fees and other disbursements and those of their attorneys, agents and employees, incurred in and about the performance of their powers and duties under the Indenture.

The District indemnifies, defends and holds harmless the Trustee, its officers, employees, directors and agents from and against any loss, costs, claims, liability or expense (including fees and expenses of its attorneys and advisors) without negligence or bad faith on its part, arising out of or in connection with the execution of the Indenture, acceptance or administration of the trust created under the Indenture, including costs and expenses of defending itself against any claim or liability in connection with the exercise or performance of any of its powers under the Indenture. The rights of the Trustee and the indemnification obligations of the District will survive removal or resignation of the Trustee under the Indenture or the discharge of the 2014 Bonds and the Indenture.

Notice to Insurer by Trustee. The Trustee will notify the Insurer of any failure of the District to provide notices, certificates and other information under the transaction documents of which the Trustee has actual or deemed knowledge pursuant to the Indenture.

MODIFICATION OR AMENDMENT OF THE INDENTURE

Amendments Permitted. (a) The Indenture and the rights and obligations of the District, the Owners of the 2014 Bonds, and the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the District and the Trustee may enter into when the written consent of the Insurer, so long as the Insurer has not defaulted on any obligation under the Insurance Policy of the Reserve Surety Policy, has been filed with the Trustee. No such modification or amendment will: (1) extend the fixed maturity of any 2014 Bonds, or reduce the amount of principal thereof or premium (if any) thereon, or extend the time of payment, or change the rate of interest or the method of computing the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Owner of each 2014 Bond so affected; or (2) eliminate the aforesaid consent of the Insurer required to affect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture except as permitted in the Indenture, or deprive the Owners of the 2014 Bonds of the lien created by the Indenture on such Revenues and other assets except as permitted in the Indenture, without the consent of the Insurer. It is not necessary for the consent of the Insurer to approve the particular form of any Supplemental Indenture, but it is sufficient if such consent approves the substance thereof. Promptly after the execution by the District and the Trustee of any Supplemental Indenture pursuant to the Indenture, the Trustee will mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to each Rating Agency and the Owners of the 2014 Bonds at the respective addresses shown on the Registration Books. Any failure to give such notice, or any defect therein, will not, however, in any way impair or affect the validity of any such Supplemental Indenture.

(b) The Indenture and the rights and obligations of the District, the Trustee and the Owners of the 2014 Bonds may also be modified or amended from time to time and at any time by a Supplemental Indenture, which the District and the Trustee may enter into without the consent of any 2014 Bond Owners, but with the written consent of the Insurer so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy, if the Trustee receives an opinion of Bond Counsel to the effect that the

provisions of such Supplemental Indenture will not materially adversely affect the interests of the Owners of the Outstanding 2014 Bonds, including, without limitation, for any one or more of the following purposes:

(1) to add to the covenants and agreements of the District contained in the Indenture other covenants and agreements thereafter to be observed, to pledge or assign additional security for the 2014 Bonds (or any portion thereof), or to surrender any right or power in the Indenture reserved to or conferred upon the District;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the District may deem necessary or desirable;

(3) to modify, amend or supplement the Indenture in such manner as to permit the qualification of the Indenture under the Trust Indenture Act of 1939, as amended, or any similar federal statute under the Indenture in effect, and to add such other terms conditions and provisions as may be permitted by said act or similar federal statute; and

(4) to modify, amend or supplement the Indenture in such manner as to cause interest on the 2014A Bonds to remain excludable from gross income under the Code.

(c) The Trustee may in its discretion, but is not obligated to, enter into any such Supplemental Indenture authorized by the Indenture which materially adversely affects the Trustee's own rights, duties or immunities under the Indenture or otherwise.

(d) Prior to the Trustee entering into any Supplemental Indenture under the Indenture, there will be delivered to the Trustee an opinion of Bond Counsel stating, in substance, that such Supplemental Indenture has been adopted in compliance with the requirements of the Indenture and that the adoption of such Supplemental Indenture will not, in and of itself, adversely affect the exclusion of interest on the 2014A Bonds from federal income taxation and from state income taxation.

Effect of Supplemental Indenture. Upon the execution of any Supplemental Indenture pursuant to the Indenture, the Indenture is deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under the Indenture of the District, the Trustee, the Insurer and all Owners of 2014 Bonds Outstanding will thereafter be determined, exercised and enforced thereunder subject in all respects to such modification and amendment, and all the terms and conditions of any such Supplemental Indenture is deemed to be part of the terms and conditions of the Indenture for any and all purposes.

Endorsement of 2014 Bonds; Preparation of New 2014 Bonds. 2014 Bonds delivered after the execution of any Supplemental Indenture pursuant to the Indenture may, and if the Trustee so determines will, bear a notation by endorsement or otherwise in form approved by the District and the Trustee as to any modification or amendment provided for in such Supplemental Indenture, and, in that case, upon demand on the Owner of any 2014 Bonds Outstanding at the time of such execution and presentation of his or her 2014 Bonds for the purpose at the Office of the Trustee or at such additional offices as the Trustee may select and designate for such purpose, a suitable notation will be made on such 2014 Bonds. If the Supplemental Indenture so provides, new 2014 Bonds so modified as to conform, in the opinion of the District and the Trustee, to any modification or amendment contained in such Supplemental Indenture, will be prepared and executed by the District and authenticated by the Trustee, and upon demand on the Owners of any 2014 Bonds then Outstanding will be exchanged at the Office of the Trustee, without cost to any 2014 Bond Owner, for 2014 Bonds then Outstanding, upon surrender for cancellation of such 2014 Bonds, in equal aggregate principal amount of the same maturity.

Amendment of Particular 2014 Bonds. The provisions of the Indenture do not prevent any 2014 Bond Owner from accepting any amendment as to the particular 2014 Bonds held by such 2014 Bond Owner.

Effect of Insurance Policy. In determining whether any amendment, consent, waiver or other action to be taken, or any failure to take action, under the Indenture would adversely affect the security for the 2014 Bonds or the rights of the Owners, the Trustee must consider the effect of any such amendment, consent, waiver, action or inaction as if there were no Insurance Policy.

DEFEASANCE

Discharge of Indenture. The 2014 Bonds may be paid by the District in any of the following ways, provided that the District also pays or causes to be paid any other sums payable under the Indenture by the District: (a) by paying or causing to be paid the principal of and interest and redemption premiums (if any) on such 2014 Bonds, as and when the same become due and payable; (b) by the deposit with the Trustee, in trust, at or before maturity, money or securities in the necessary amount (as provided in the Indenture) to pay or redeem all 2014 Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all of the 2014 Bonds then Outstanding.

If the District also pays or causes to be paid all other sums payable under the Indenture by the District, then and in that case, at the election of the District (as evidenced by a Certificate of the District filed with the Trustee, signifying the intention of the District to discharge all such indebtedness and the Indenture), and notwithstanding that any such 2014 Bonds have not been surrendered for payment, the Indenture and the pledge of Revenues and other assets made under the Indenture, and all covenants, agreements and other obligations of the District under the Indenture ceases, terminates, becomes void and is completely discharged and satisfied. In such event, upon the Written Request of the District, the Trustee will execute and deliver to the District all such instruments as may be necessary or desirable to evidence such discharge and satisfaction, and the Trustee will pay over, transfer, assign or deliver all moneys or securities or other property held by it pursuant to the Indenture which are not required for the payment or redemption of such 2014 Bonds not theretofore surrendered for such payment or redemption to the District.

The Indenture cannot be discharged until all amounts due or to become due to the Insurer shall have been paid in full in accordance with the Indenture. The District's obligation to pay such amounts shall expressly survive payment in full of the payments of principal of and interest on the 2014 Bonds.

Discharge of Liability on 2014 Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding 2014 Bonds (whether upon or prior to the maturity or the Redemption Date of such 2014 Bonds), provided that, if such Outstanding 2014 Bonds are to be redeemed prior to maturity, notice of such redemption has been given as provided in the Indenture or provisions satisfactory to the Trustee has been made for the giving of such notice, then all liability of the District in respect of such 2014 Bonds ceases, terminates and is completely discharged, and the Owners thereof are thereafter entitled only to payment out of such money or securities deposited with the Trustee as aforesaid for their payment, subject however, to the provisions of the Indenture.

The District may at any time surrender to the Trustee for cancellation by it any 2014 Bonds previously issued and delivered, which the District may have acquired in any manner whatsoever, and such 2014 Bonds, upon such surrender and cancellation, are deemed to be paid and retired.

Deposit of Money or Securities with Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any 2014 Bonds, the money or securities so to be deposited or held must be invested in Defeasance Securities, held by the Trustee in the funds and accounts established pursuant to the Indenture and will be:

lawful money of the United States of America in an amount equal to the principal amount of such 2014 Bonds and all unpaid interest thereon to maturity, except that, in the case of 2014 Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption is given as provided in the Indenture or provisions satisfactory to the Trustee has been made for the giving of such notice, the amount to be deposited or held

is the principal amount of such 2014 Bonds and all unpaid interest and premium, if any, thereon to the Redemption Date; or

Defeasance Securities the principal of and interest on which when due will, in the written opinion of an Independent Certified Public Accountant or Independent Financial Consultant filed with the District and the Trustee, provide money sufficient to pay the principal of and all unpaid interest to maturity, or to the Redemption Date (with premium, if any), as the case may be, on the 2014 Bonds to be paid or redeemed as directed by the District as such principal, interest and premium, if any, become due, provided that in the case of 2014 Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption has been given as provided in the Indenture or provision satisfactory to the Trustee has been made for the giving of such notice;

provided, in each case, that: (i) the Trustee has been irrevocably instructed (by the terms of the Indenture or by Written Request of the District) to apply such money to the payment of such principal, interest and premium, if any, with respect to such 2014 Bonds as directed by the District; (ii) the District has delivered to the Trustee an opinion of Bond Counsel addressed to the District and the Trustee to the effect that such 2014 Bonds have been discharged in accordance with the Indenture (which opinion may rely upon and assume the accuracy of the Independent Certified Public Accountant's or Independent Financial Consultant's opinion referred to above); (iii) the District has delivered an escrow agreement (which will be acceptable in form and substance to the Insurer, so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy); and (iv) the District has delivered a certificate of discharge of the Trustee with respect to the 2014 Bonds. The opinion of Bond Counsel and Independent Certified Public Accountant's or Independent Financial Consultant's opinion referred to above will be acceptable in form and substance, and addressed, to the District, Trustee and Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy). The Insurer will be provided with final drafts of the above-referenced documentation not less than five Business Days prior to the funding of the escrow. 2014 Bonds are deemed Outstanding under the Indenture unless and until they are in fact paid and retired or the above criteria are met.

Payment of 2014 Bonds After Discharge of Indenture. Notwithstanding any provisions of the Indenture, any moneys held by the Trustee in trust for the payment of the principal of, or interest on, any 2014 Bonds and remaining unclaimed for two (2) years after the principal of all of the 2014 Bonds has become due and payable (whether at maturity or upon call for redemption or by acceleration as provided in the Indenture), if such moneys were so held at such date, or two (2) years after the date of deposit of such moneys if deposited after said date when all of the 2014 Bonds became due and payable, is repaid to the District free from the trusts created by the Indenture upon receipt of an indemnification agreement acceptable to the District and the Trustee indemnifying the Trustee with respect to claims of Owners of 2014 Bonds which have not yet been paid, and all liability of the Trustee with respect to such moneys thereupon ceases; provided, however, that before the repayment of such moneys to the District as aforesaid, the Trustee will at the written direction of the District (at the cost of the District), first mail to the Owners of 2014 Bonds which have not yet been paid, at the addresses shown on the Registration Books, a notice, in such form as may be deemed appropriate by the Trustee with respect to the 2014 Bonds so payable and not presented and with respect to the provisions relating to the repayment to the District of the moneys held for the payment thereof.

MISCELLANEOUS

Liability Limited. Notwithstanding anything in the Indenture or the 2014 Bonds, but subject to the priority of payment with respect to Operation and Maintenance Costs, the District is not required to advance any moneys derived from any source other than the Revenues, the Water System Revenue Fund, the Hydroelectric System Revenue Fund, the Rate Stabilization Fund and other moneys pledged under the Indenture for any of the purposes mentioned in the Indenture, whether for the payment of the principal of or interest on the 2014 Bonds or for any other purpose of the Indenture. Nevertheless, the District may, but is not required to, advance for any of the purposes of the Indenture any funds of the District which may be made available to it for such purposes.

Successor Is Deemed Included in All References to Predecessor. Whenever in the Indenture either the District or the Trustee is named or referred to, such reference is deemed to include the successors or assigns thereof,

and all the covenants and agreements in the Indenture contained by or on behalf of the District or the Trustee binds and inures to the benefit of the respective successors and assigns thereof whether so expressed or not.

Limitation of Rights to Parties and 2014 Bond Owners. Nothing expressed or implied in the Indenture or in the 2014 Bonds is intended or construed to give to any person other than the District, the Trustee and the Owners of the 2014 Bonds, any legal or equitable right, remedy or claim under or in respect of the Indenture or any covenant, condition or provision therein contained; and all such covenants, conditions and provisions are and will be held to be for the sole and exclusive benefit of the District, the Trustee and the Owners of the 2014 Bonds.

Waiver of Notice; Requirement of Mailed Notice. Whenever in the Indenture the giving of notice by mail or otherwise is required, the giving of such notice may be waived in writing by the person entitled to receive such notice and in any such case the giving or receipt of such notice is not a condition precedent to the validity of any action taken in reliance upon such waiver. Whenever in the Indenture any notice is required to be given by mail, such requirement will be satisfied by the deposit of such notice in the United States mail, postage prepaid, by first class mail.

Destruction of 2014 Bonds. Whenever in the Indenture provision is made for the cancellation by the Trustee and the delivery to the District of any 2014 Bonds, the Trustee will destroy such 2014 Bonds as may be allowed by law, and deliver a certificate of such destruction to the District.

Severability of Invalid Provisions. If any one or more of the provisions contained in the Indenture or in the 2014 Bonds is for any reason held to be invalid, illegal or unenforceable in any respect, then such provision or provisions is deemed severable from the remaining provisions contained in the Indenture and such invalidity, illegality or unenforceability will not affect any other provision of the Indenture, and the Indenture is construed as if such invalid or illegal or unenforceable provision had never been contained therein. The District declares that it would have entered into the Indenture and authorized the issuance of the 2014 Bonds pursuant thereto irrespective of the fact that any one or more Sections, paragraphs, sentences, clauses or phrases of the Indenture may be held illegal, invalid or unenforceable.

Evidence of Rights of 2014 Bond Owners. Any request, consent or other instrument required or permitted by the Indenture to be signed and executed by 2014 Bond Owners may be in any number of concurrent instruments of substantially similar tenor and will be signed or executed by such 2014 Bond Owners in person or by an agent or agents duly appointed in writing. Proof of the execution of any such request, consent or other instrument or of a writing appointing any such agent, or of the holding by any person of 2014 Bonds transferable by delivery, will be sufficient for any purpose of the Indenture and will be conclusive in favor of the Trustee and the District if made in the manner provided in the Indenture.

The fact and date of the execution by any person of any such request, consent or other instrument or writing may be proved by the certificate of any notary public or other officer of any jurisdiction, authorized by the laws thereof to take acknowledgments of deeds, certifying that the person signing such request, consent or other instrument acknowledged to him the execution thereof, or by an affidavit of a witness of such execution duly sworn to before such notary public or other officer. The Ownership of 2014 Bonds will be proved by the Registration Books. Any request, consent, or other instrument or writing of the Owner of any 2014 Bond will bind every future Owner of the same 2014 Bond and the Owner of every 2014 Bond issued in exchange therefor or in lieu thereof, in respect of anything done or suffered to be done by the Trustee or the District in accordance therewith or reliance thereon.

Disqualified 2014 Bonds. In determining whether the Owners of the requisite aggregate principal amount of 2014 Bonds have concurred in any demand, request, direction, consent or waiver under the Indenture, 2014 Bonds which are known by the Trustee to be owned or held by or for the account of the District, or by any other obligor on the 2014 Bonds, or by any person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the District or any other obligor on the 2014 Bonds, will be disregarded and deemed not to be Outstanding for the purpose of any such determination. 2014 Bonds so owned which have been pledged in good faith may be regarded as Outstanding for the purposes of the Indenture if the pledgee will establish to the

satisfaction of the Trustee the pledgee's right to vote such 2014 Bonds and that the pledgee is not a person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the District or any other obligor on the 2014 Bonds. In case of a dispute as to such right, any decision by the Trustee taken upon the advice of counsel will be full protection to the Trustee. Upon request, the District will certify to the Trustee those 2014 Bonds that are disqualified pursuant to the Indenture and the Trustee may conclusively rely on such certificate.

Money Held for Particular 2014 Bonds. The money held by the Trustee for the payment of the interest, principal or premium due on any date with respect to particular 2014 Bonds (or portions of 2014 Bonds in the case of registered 2014 Bonds redeemed in part only) will, on and after such date and pending such payment, be set aside on its books and held in trust by it for the Owners of the 2014 Bonds entitled thereto, subject, however, to the provisions of the Indenture but without any liability for interest thereon.

Funds and Accounts. Any fund or account required by the Indenture to be established and maintained by the Trustee may be established and maintained in the accounting records of the Trustee, either as a fund or an account, and may, for the purposes of such records, any audits thereof and any reports or statements with respect thereto, be treated either as a fund or as an account; but all such records with respect to all such funds and accounts will at all times be maintained in accordance with corporate trust industry standards to the extent practicable, and with due regard for the requirements of the Indenture and for the protection of the security of the 2014 Bonds and the rights of every Owner thereof.

Waiver of Personal Liability. No member, officer, agent, employee, consultant or attorney of the District will be individually or personally liable for the payment of the principal of or premium or interest on the 2014 Bonds or be subject to any personal liability or accountability by reason of the issuance thereof; but nothing contained in the Indenture will relieve any such member, officer, agent, employee, consultant or attorney from the performance of any official duty provided by law or by the Indenture.

CUSIP Numbers. Neither the Trustee nor the District will be liable for any defect or inaccuracy in the CUSIP number that appears on any 2014 Bond or in any redemption notice. The Trustee may, in its discretion, include in any redemption notice a statement to the effect that the CUSIP numbers on the 2014 Bonds have been assigned by an independent service and are included in such notice solely for the convenience of the 2014 Bondholders and that neither the District nor the Trustee will be liable for any inaccuracies in such numbers.

Choice of Law. THE INDENTURE WILL BE GOVERNED BY THE LAWS OF THE STATE.

Insurer as Third Party Beneficiary. The Insurer is intended as a third party beneficiary to the Indenture.

Impairment of Insurer's Rights. No contract may be entered into or any action taken by which the rights of the Insurer or security for or sources of payment of the 2014 Bonds may be impaired or prejudiced in any material respect except upon obtaining the prior written consent of the Insurer.

Interest Rate Exchange Agreement. Any interest rate exchange agreement ("Swap Agreement") entered into by the District must meet the following conditions: (i) the Swap Agreement must be entered into to manage interest costs related to, or a hedge against (a) assets then held, or (b) debt then outstanding, or (iii) debt reasonably expected to be issued within the next twelve (12) months, and (ii) the Swap Agreement must not contain any leverage element or multiplier component greater than 1.0x unless there is a matching hedge arrangement which effectively off-sets the exposure from any such element or component. Unless otherwise consented to in writing by the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy), any uninsured net settlement, breakage or other termination amount then in effect will be subordinate to the payment of principal of and interest on the 2014 Bonds and on any debt on parity with Contracts or Bonds. The District may not terminate a Swap Agreement unless it demonstrates to the satisfaction of the Insurer prior to the payment of any such termination amount that such payment will not cause the District to be in default under the Indenture or any supplement thereto or amendment thereof, including but not limited to, any monetary obligations thereunder. All counterparties or guarantors to any Swap Agreement must have a rating of at least "A-" and "A3" by S&P and Moody's. If the counterparty or guarantor's rating falls below "A-" or "A3" by either S&P or Moody's,

the counterparty or guarantor must execute a credit support annex to the Swap Agreement, which credit support annex will be acceptable to the Insurer. If the counterparty or the guarantor's long term unsecured rating falls below "Baal" or "BBB+" by either Moody's or S&P, a replacement counterparty or guarantor, acceptable to the Insurer (so long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy), will be required.

Insurer Consideration. The rights granted to the Insurer under the Indenture or any supplement thereto or amendment thereof to request, consent to or direct any action are rights granted to the Insurer in consideration of its issuance of the Insurance Policy. Any exercise by the Insurer of such rights is merely an exercise of the Insurer's contractual rights and may not be construed or deemed to be taken for the benefit, or on behalf, of the Owners and such action does not evidence any position of the Insurer, affirmative or negative, as to whether the consent of the Owners or any other person is required in addition to the consent of the Insurer.

Amounts Paid by Insurer. Amounts paid by the Insurer under the Insurance Policy and the Reserve Surety will not be deemed paid for purposes of the Indenture and the 2014 Bonds relating to such payments will remain Outstanding and continue to be due and owing until paid by the District in accordance with the Indenture. The Indenture may not be discharged unless all amounts due or to become due to the Insurer have been paid in full or duly provided for.

Covenant to Preserve Priority. Each of the District and Trustee covenant and agree to take such action (including, as applicable, filing of Uniform Commercial Code financing statements and continuations thereof) as is necessary from time to time to preserve the priority of the pledge of the Revenues set forth in the Indenture under applicable law.

Subrogation and Survival of Obligations. The Insurer will, to the extent it makes any payment of principal of or interest on the 2014 Bonds, become subrogated to the rights of the recipients of such payments in accordance with the terms of the Insurance Policy. Each obligation of the District to the Insurer under the Indenture or any supplement thereto or amendment thereof will survive discharge or termination of the Indenture or any supplement thereto or amendment thereof.

Reimbursement of Fees. The District will pay or reimburse the Insurer any and all charges, fees, costs and expenses that the Insurer may reasonably pay or incur in connection with (i) the administration, enforcement, defense or preservation of any rights or security in the Indenture or any supplement thereto or amendment thereof; (ii) the pursuit of any remedies under the Indenture or any supplement thereto or amendment thereof or otherwise afforded by law or equity, (iii) any amendment, waiver or other action with respect to, or related to, the Indenture or any supplement thereto or amendment thereof whether or not executed or completed, or (iv) any litigation or other dispute in connection with the Indenture or any supplement thereto or amendment thereof or the transactions contemplated thereby, other than costs resulting from the failure of the Insurer to honor its obligations under the Insurance Policy. The Insurer reserves the right to charge a reasonable fee as a condition to executing any amendment, waiver or consent proposed in respect of the Indenture or any supplement thereto or amendment thereof.

Provision of Information. So long as the Insurer has not defaulted on any obligation under the Insurance Policy or the Reserve Surety Policy, the Insurer will be provided with the following information by the District or Trustee, as the case may be:

(a) Annual audited financial statements within 270 days after the end of the District's Fiscal Year (together with a certification of the District that it is not aware of any default or Event of Default under the Indenture), and the District's annual budget within 30 days after the approval thereof together with such other information, data or reports as the Insurer will reasonably request from time to time;

(b) Notice of any draw upon the Reserve Fund within two Business Days after knowledge thereof other than (i) withdrawals of amounts in excess of the Reserve Requirement and (ii) withdrawals in connection with a refunding of the 2014 Bonds;

(c) Notice of any default known to the Trustee or District within five Business Days after knowledge thereof;

(d) Prior notice of the advance refunding or redemption of any of the 2014 Bonds, including the principal amount, maturities and CUSIP numbers thereof;

(e) Notice of the resignation or removal of the Trustee and the appointment of, and acceptance of duties by, any successor thereto;

(f) Notice of the commencement of any proceeding by or against the District commenced under the United States Bankruptcy Code or any other applicable bankruptcy, insolvency, receivership, rehabilitation or similar law (an "Insolvency Proceeding");

(g) Notice of the making of any claim in connection with any Insolvency Proceeding seeking the avoidance as a preferential transfer of any payment of principal of, or interest on, the 2014 Bonds;

(h) A full original transcript of all proceedings relating to the execution of any amendment, supplement, or waiver to the Indenture or any supplement thereto or amendment thereof; and

(i) All reports, notices and correspondence to be delivered to Owners under the terms of the Indenture and any supplement thereto or amendment thereof.

In addition, to the extent that the District has executed a Continuing Disclosure Certificate, covenant or undertaking with respect to the 2014 Bonds, all information furnished pursuant to such agreements will also be provided to the Insurer, simultaneously with the furnishing of such information.

Additional Information. The Insurer has the right to receive such additional information as it may reasonably request.

Discussion of and Access to Information. The District will permit the Insurer to discuss the affairs, finances and accounts of the District or any information the Insurer may reasonably request regarding the security for the 2014 Bonds with appropriate officers of the District and will use commercially reasonable efforts to enable the Insurer to have access to the facilities, books and records of the District on any Business Day upon reasonable prior notice.

APPENDIX C

FORM OF OPINION OF BOND COUNSEL

Upon issuance of the 2014 Bonds, Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, proposes to render its final approving opinion in substantially the following form:

_____, 2014

Merced Irrigation District
744 West 20th Street
Merced, CA 95340

*Re: Merced Irrigation District Water and Hydroelectric System Refunding Revenue Bonds,
Series 2014A and Series 2014B (Taxable)*

Members of the Board of Directors:

We have examined a certified copy of the record of the proceedings of the Merced Irrigation District (the "District") relative to the issuance of the \$_____ Merced Irrigation District Water and Hydroelectric System Refunding Revenue Bonds, Series 2014A (the "2014A Bonds") and the \$_____ Merced Irrigation District Water and Hydroelectric System with the 2014B Bonds (Taxable) (the "2014B Bonds," and together with the 2014A Bonds the "2014 Bonds"), dated the date hereof, and such other information and documents as we consider necessary to render this opinion. In rendering this opinion, we have relied upon certain representations of fact and certifications made by the District, the initial purchaser of the 2014 Bonds and others. We have not undertaken to verify through independent investigation the accuracy of the representations and certifications relied upon by us.

The 2014 Bonds are being issued pursuant to an Indenture of Trust, dated as of August 1, 2014 (the "Indenture"), by and between the District and The Bank of New York Mellon Trust Company, N.A., as trustee (the "Trustee"). The 2014 Bonds mature on the dates and in the amounts referenced in the Indenture. The 2014 Bonds are dated their date of delivery and bear interest at the rates per annum referenced in the Indenture. The 2014 Bonds are registered in the form set forth in the Indenture.

Based on our examination as Bond Counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. The proceedings of the District show lawful authority for the issuance and sale of the 2014 Bonds under the laws of the State of California now in force, and the Indenture has been duly authorized, executed and delivered by the District, and, assuming due authorization, execution and delivery by the Trustee, as appropriate, the 2014 Bonds and the Indenture are valid and binding obligations of the District enforceable against the District in accordance with their terms.

2. The obligation of the District to make the payments of principal of and interest on the 2014 Bonds from Net Revenues (as defined in the Indenture) is an enforceable obligation of the District and does not constitute an indebtedness of the District in contravention of any constitutional or statutory debt limit or restriction.

3. Under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the 2014A Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. It should be noted that, with respect to corporations, such interest may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.

4. Interest (and original issue discount) on the 2014 Bonds is exempt from State of California personal income tax.

5. The amount by which a 2014A Bond Owner's original basis for determining loss on sale or exchange in the applicable 2014A Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable bond premium reduces the 2014A Bond Owner's basis in the applicable 2014A Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of 2014A Bond premium may result in a 2014A Bond Owner realizing a taxable gain when a 2014A Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the 2014A Bond to the Owner. Purchasers of the 2014A Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable bond premium.

6. The difference between the issue price of a 2014A Bond (the first price at which a substantial amount of the 2014A Bonds of a maturity are to be sold to the public) and the stated redemption price at maturity with respect to such 2014A Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a 2014A Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a 2014A Bond Owner will increase the 2014A Bond Owner's basis in the applicable 2014A Bond. Original issue discount that accrues for the 2014A Bond Owner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals or corporations (as described in paragraph 3 above) and is exempt from State of California personal income tax.

7. Under existing statutes, regulations, rulings and judicial decisions, interest on the 2014B Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Code.

8. Except for certain exceptions, the difference between the issue price of a 2014B Bond (the first price at which a substantial amount of 2014B Bonds of the same maturity is to be sold to the public) and the stated redemption price at maturity with respect to such 2014B Bond (to the extent the redemption price at maturity is greater than the issue price) constitutes original issue discount. Original issue discount accrues under a constant yield method. The amount of original issue discount deemed received by the 2014B Bond Owner will increase the 2014B Bond Owner's basis in the 2014B Bond. 2014B Bond Owners should consult their own tax advisor with respect to taking into account any original issue discount on the 2014B Bonds.

9. The amount by which a 2014B Bond Owner's original basis for determining loss on sale or exchange in the applicable 2014B Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable bond premium, which the 2014B Bond Owner may elect to amortize under Section 171 of the Code. Such amortizable bond premium reduces the 2014B Bond Owner's basis in the applicable 2014B Bond (and the amount of taxable interest received) and is deductible for federal income tax purposes. The basis reduction as a result of the amortization of 2014B Bond premium may result in the 2014B Bond Owner realizing a taxable gain when a 2014B Bond is sold by the 2014B Bond Owner for an amount equal to or less (under certain circumstances) than the original cost of the 2014B Bond to the 2014B Bond Owner. The 2014B Bond Owners that have a basis in the 2014B Bond that is greater than the principal amount of the 2014B Bonds should consult their own tax advisors with respect to whether or not they should elect to amortize such premium under Section 171 of the Code.

The opinions expressed herein as to the exclusion from gross income of interest on the 2014A Bonds are based upon certain representations of fact and certifications made by the District and are subject to the condition that the District comply with all requirements of the Code that must be satisfied subsequent to the issuance of the 2014 Bonds to assure that such interest on the 2014A Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest on the 2014A Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the 2014 Bonds. The District has covenanted to comply with all such requirements.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such

actions or events are taken or do occur. The Indenture and the Tax Certificate relating to the 2014A Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest on the 2014A Bonds for federal income tax purposes with respect to any 2014A Bond if any such action is taken or omitted based upon the opinion or advice of counsel other than ourselves. Other than expressly stated herein, we express no other opinion regarding tax consequences with respect to the 2014 Bonds.

The opinions expressed herein are based upon our analysis and interpretation of existing laws, regulations, rulings and judicial decisions and cover certain matters not directly addressed by such authorities. We call attention to the fact that the rights and obligations under the Indenture and the 2014 Bonds are subject to bankruptcy, insolvency, reorganization, moratorium, fraudulent conveyance and other similar laws affecting creditors' rights, to the application of equitable principles if equitable remedies are sought, to the exercise of judicial discretion in appropriate cases and to limitations on legal remedies against public agencies in the State of California.

We are admitted to the practice of law only in the State of California and our opinion is limited to matters governed by the laws of the State of California and federal law. We assume no responsibility with respect to the applicability or the effect of the laws of any other jurisdiction.

We express no opinion herein as to the accuracy, completeness or sufficiency of the Official Statement relating to the 2014 Bonds or other offering material relating to the 2014 Bonds and expressly disclaim any duty to advise the owners of the 2014 Bonds with respect to matters contained in the Official Statement.

Respectfully submitted,

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APPENDIX D

INFORMATION CONCERNING DTC

The information in this section concerning DTC and DTC's book-entry only system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the completeness or accuracy thereof. The following description of the procedures and record keeping with respect to beneficial ownership interests in the 2014 Bonds, payment of principal, premium, if any, accreted value, if any, and interest on the 2014 Bonds to DTC Participants or Beneficial Owners, confirmation and transfers of beneficial ownership interests in the 2014 Bonds and other related transactions by and between DTC, the DTC Participants and the Beneficial Owners is based solely on information provided by DTC.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the 2014 Bonds. The 2014 Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered 2014 Bond will be issued for each annual maturity of the 2014 Bonds, each in the aggregate principal amount of such annual maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC is rated AA+ by Standard & Poor's. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of 2014 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the 2014 Bonds on DTC's records. The ownership interest of each actual purchaser of each 2014 Bonds ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the 2014 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive bonds representing their ownership interests in 2014 Bonds, except in the event that use of the book-entry system for the 2014 Bonds is discontinued.

To facilitate subsequent transfers, all 2014 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of 2014 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the 2014 Bonds; DTC's records reflect only the identity of the Direct Participants to whose

accounts such 2014 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of 2014 Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the 2014 Bonds, such as redemptions, tenders, defaults, and proposed amendments to the 2014 Bonds documents. For example, Beneficial Owners of 2014 Bonds may wish to ascertain that the nominee holding the 2014 Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the 2014 Bonds within a maturity are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to 2014 Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts 2014 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the 2014 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or the Trustee, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A 2014 Bond Owner shall give notice to elect to have its 2014 Bonds purchased or tendered, through its Participant, to the Trustee, and shall effect delivery of such 2014 Bond by causing the Direct Participant to transfer the Participant's interest in the 2014 Bonds, on DTC's records, to the Trustee. The requirement for physical delivery of 2014 Bond in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the 2014 Bond are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered 2014 Bond to the Trustee's DTC account.

DTC may discontinue providing its services as depository with respect to the 2014 Bonds at any time by giving reasonable notice to the District or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, physical certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, 2014 Bonds will be printed and delivered to DTC.

THE TRUSTEE, AS LONG AS A BOOK-ENTRY ONLY SYSTEM IS USED FOR THE 2014 Bonds, WILL SEND ANY NOTICE OF REDEMPTION OR OTHER NOTICES TO OWNERS ONLY TO DTC. ANY FAILURE OF DTC TO ADVISE ANY DTC PARTICIPANT, OR OF ANY DTC PARTICIPANT TO NOTIFY ANY BENEFICIAL OWNER, OF ANY NOTICE AND ITS CONTENT OR EFFECT WILL NOT AFFECT THE VALIDITY OF SUFFICIENCY OF THE PROCEEDINGS RELATING TO THE REDEMPTION OF THE 2014 Bonds CALLED FOR REDEMPTION OR OF ANY OTHER ACTION PREMISED ON SUCH NOTICE.

APPENDIX E

FORM OF CONTINUING DISCLOSURE CERTIFICATE

Upon issuance of the 2014 Bonds, the District proposes to enter into a Continuing Disclosure Certificate in substantially the following form:

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Merced Irrigation District (the “District”) in connection with the issuance of \$_____ Water and Hydroelectric System Refunding Revenue Bonds, Series 2014A and Series 2014B (Taxable) (the “Bonds”). The Bonds are being issued pursuant to an Indenture of Trust, dated as of August 1, 2014 (the “Indenture”), by and between the District and The Bank of New York Mellon Trust Company, N.A., as Trustee (the “Trustee”). The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with the Rule (as defined below).

SECTION 2. Definitions. In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Dissemination Agent” shall mean the District, or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

“EMMA” shall mean the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access System for municipal securities disclosures, maintained on the Internet at <http://emma.msrb.org/>.

“Holders” shall mean the Owners as defined in the Indenture.

“Listed Events” shall mean any of the events listed in Section 5(a) of this Disclosure Certificate.

“Official Statement” shall mean the Official Statement relating to the Bonds, dated _____, 2014.

“Participating Underwriter” shall mean any of the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Repository” shall mean EMMA.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“State” shall mean the State of California.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than 270 days after the end of the District's fiscal year (presently such fiscal year ends March 31), commencing with the report for the fiscal year ending March 31, 2015, provide to the Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(c).

(b) Not later than fifteen (15) Business Days prior to said date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If the District is unable to provide to the Repositories an Annual Report by the date required in subsection (a), the District shall send a notice to the Repository in substantially the form attached as Exhibit A.

(c) The Dissemination Agent shall:

(i) determine each year prior to the date for providing the Annual Report the name and address of the Repository, if any; and

(ii) if the Dissemination Agent is other than the District, file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and listing all the Repositories to which it was provided.

SECTION 4. Content of Annual Reports. The District's Annual Report shall contain or include by reference the following:

(a) The audited financial statements of the District for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they come available.

(b) An update for the last Fiscal Year of the operating results of the District and debt service coverage on the Bonds and any parity obligations presented in a similar format as the table entitled "MERCED IRRIGATION DISTRICT WATER SYSTEM HISTORIC OPERATING RESULTS" on page ___ of the Official Statement; provided however if such operating results and debt service coverage can be derived from the audited financial statements required to be filed in 4(a) above, failure to file a separate table under this section 4(b) shall not constitute a default hereunder.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been submitted to each of the Repositories or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The District shall clearly identify each such other document so included by reference.

SECTION 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not more than ten (10) Business Days after the event:

1. principal and interest payment delinquencies;
2. unscheduled draws on debt service reserves reflecting financial difficulties;
3. unscheduled draws on credit enhancements reflecting financial difficulties;
4. substitution of credit or liquidity providers, or their failure to perform;
5. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability or Notices of Proposed Issue (IRS Form 5701 TEB);
6. tender offers;
7. defeasances;
8. ratings changes; and
9. bankruptcy, insolvency, receivership or similar proceedings.

Note: For the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. unless described in Section 5(a)(5), other notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other events affecting the tax status of the Bonds;
2. modifications to the rights of Bond holders;
3. optional, unscheduled or contingent Bond redemptions;
4. release, substitution or sale of property securing repayment of the Bonds;
5. non-payment related defaults;
6. the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of

business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; and

7. appointment of a successor or additional trustee or the change of the name of a trustee.

(c) If the District determines that knowledge of the occurrence of a Listed Event under Section 5(b) would be material under applicable federal securities laws, the District shall file a notice of such occurrence with EMMA in a timely manner not more than ten (10) Business Days after the event.

(d) While the failure to file a notice of the occurrence of a Listed Event under Section 5(a)(8) shall constitute non-compliance with the terms hereof and may be required to be disclosed by the District in accordance with the Rule, failure shall not constitute an event of default hereunder if (i) the District did not receive written notice of such rating change from the respective rating agency, (ii) the rating change was a result of a change in the rating of a liquidity or credit enhancement and the market was generally aware of the change in the rating of such liquidity or credit enhancer or (iii) the rating agency filed a notice of such rating change with the Repository.

SECTION 6. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(c).

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that, in the opinion of nationally recognized bond counsel, such amendment or waiver is permitted by the Rule. In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(c), and (ii) the Annual Report for the year in which the change is made shall present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to file an annual report under Section 4 hereof or to file a report of a significant event under Section 5 hereof, any Holders or Beneficial Owners of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to make such filing. Notwithstanding the foregoing, no action may be undertaken by Holders or Beneficial Owners of the Bonds with respect to the accuracy of the information contained in any such filing or otherwise without the approval in writing of Holder or Beneficial Owner of at least 50% of the aggregate principal amount of the Bonds. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Indenture, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

No Owners or Beneficial Owners may institute such action, suit or proceeding to compel performance unless they shall have first delivered to the District satisfactory written evidence of their status as Owners or Beneficial Owners of at least 50% aggregate principal amount of the Bonds, and a written notice of and request to cure such failure, and the District shall have refused to comply therewith within a reasonable time.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or wilful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: _____, 2014

MERCED IRRIGATION DISTRICT

By: _____
Chief Financial Officer

EXHIBIT A

NOTICE TO REPOSITORIES OF FAILURE TO FILE ANNUAL REPORT

Name of Obligated Person: MERCED IRRIGATION DISTRICT

Name of Obligation: WATER AND HYDROELECTRIC SYSTEM REFUNDING
REVENUE BONDS, SERIES 2014A AND SERIES 2014B
(TAXABLE)

Date of Issuance: _____, 2014

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Certificate executed by the District on the date of issuance of the Bonds. The District anticipates that the Annual Report will be filed by _____.

Dated: _____

MERCED IRRIGATION DISTRICT

By: [no signature required; form only]

APPENDIX F

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER:

Policy No: -N

BONDS: \$ in aggregate principal amount of

Effective Date:

Premium: \$

ASSURED GUARANTY MUNICIPAL CORP. ("AGM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") (as set forth in the documentation providing for the issuance of and securing the Bonds) for the Bonds, for the benefit of the Owners or, at the election of AGM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the Business Day next following the Business Day on which AGM shall have received Notice of Nonpayment, AGM will disburse to or for the benefit of each Owner of a Bond the face amount of principal of and interest on the Bond that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by AGM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of the principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in AGM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by AGM is incomplete, it shall be deemed not to have been received by AGM for purposes of the preceding sentence and AGM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, who may submit an amended Notice of Nonpayment. Upon disbursement in respect of a Bond, AGM shall become the owner of the Bond, any appurtenant coupon to the Bond or right to receipt of payment of principal of or interest on the Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under the Bond, to the extent of any payment by AGM hereunder. Payment by AGM to the Trustee or Paying Agent for the benefit of the Owners shall, to the extent thereof, discharge the obligation of AGM under this Policy.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity unless AGM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment of principal or interest that is Due for Payment made to an Owner by or on behalf of the Issuer which has been recovered from such Owner pursuant to the

United States Bankruptcy Code by a trustee in bankruptcy in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means telephonic or telecopied notice, subsequently confirmed in a signed writing, or written notice by registered or certified mail, from an Owner, the Trustee or the Paying Agent to AGM which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount and (d) the date such claimed amount became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer or any person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

AGM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee and the Paying Agent specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee and the Paying Agent, (a) copies of all notices required to be delivered to AGM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to AGM and shall not be deemed received until received by both and (b) all payments required to be made by AGM under this Policy may be made directly by AGM or by the Insurer's Fiscal Agent on behalf of AGM. The Insurer's Fiscal Agent is the agent of AGM only and the Insurer's Fiscal Agent shall in no event be liable to any Owner for any act of the Insurer's Fiscal Agent or any failure of AGM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, AGM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to AGM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy.

This Policy sets forth in full the undertaking of AGM, and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, (a) any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity and (b) this Policy may not be canceled or revoked. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW.

In witness whereof, ASSURED GUARANTY MUNICIPAL CORP. has caused this Policy to be executed on its behalf by its Authorized Officer.

ASSURED GUARANTY MUNICIPAL CORP.

By _____
Authorized Officer

A subsidiary of Assured Guaranty Municipal Holdings Inc.
31 West 52nd Street, New York, N.Y. 10019

(212) 826-0100

